



CAPITALAND MALAYSIA TRUST



CapitaLand
Malaysia Trust

WHERE IDEAS TAKE SHAPE

There is more than meets the eye in our business of managing real estate. Good ideas are the lifeblood of our business, where we transform visionary concepts and creative strategies into tangible realities across the real estate ecosystem. CapitaLand Malaysia Trust (CLMT) is focused on being a nexus where ideas take shape. Beyond the bricks and mortar of the properties we manage, we continue to pave the way ahead as a catalyst connecting people and businesses, transcending physical boundaries through innovative solutions and an extensive global network. We do more than construct spaces, but also forge connections, build communities and curate experiences that shape the future of real estate in innovative and meaningful ways.

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WE ARE COMMITTED TO DELIVER LONG-TERM AND SUSTAINABLE GROWTH

At CapitaLand Malaysia Trust, we remain focused on creating sustainable value for our stakeholders. We bring diverse ideas and leverage our real estate investment management expertise across our multifaceted portfolio - retail and logistics properties - supported by our strong team on the ground.

The convergence and interconnection of distinct shapes on the cover page captures this essence. It also showcases our dynamic ONE CapitaLand Ecosystem, as we forge ahead together with a shared purpose of making a positive impact.





Who We Are

CapitaLand Malaysia Trust (CLMT) is a real estate investment trust (REIT) and was listed on the Main Market of Bursa Malaysia Securities Berhad on 16 July 2010. CLMT's investment objective is to invest, on a long-term basis, in a geographically diversified portfolio of income-producing real estate assets across Malaysia that are used primarily for retail, commercial, office and industrial purposes. As at 31 December 2023, CLMT has a market capitalisation of approximately RM1.5 billion with a total asset value of approximately RM5.1 billion.

CLMT's portfolio of quality assets comprises six retail properties and two logistics properties with a total net lettable area of 4.3 million square feet. Its retail properties are strategically located across three key urban centres: Gurney Plaza and a significant interest in Queensbay Mall in Penang; three in Klang Valley – a majority interest in Sungei Wang Plaza in Kuala Lumpur; 3 Damansara in Petaling Jaya; and The Mines in Seri Kembangan; and East Coast Mall in Kuantan, Pahang. CLMT's logistics properties include Valdor Logistics Hub, located in one of Penang's key industrial hubs, and Glenmarie Distribution Centre, located within Hicom-Glenmarie Industrial Park in Shah Alam, Selangor.

CLMT is managed by CapitaLand Malaysia REIT Management Sdn. Bhd., a wholly owned indirect subsidiary of CapitaLand Investment Limited, a leading global real estate investment manager with a strong Asia foothold. MTrustee Berhad is the trustee for CLMT.

CLMT's interest in Queensbay Mall comprises:

- i. Approximately 91.8% of the total strata floor area of retail parcels, and
- ii. 100% of the car park bays.

CLMT's interest in Sungei Wang Plaza comprises:

- i. Approximately 61.9% of the total strata floor area of retail parcels, and
- ii. 100% of the car park bays.



Vision

To be Malaysia's leading diversified real estate investment trust through value creation and continuous innovation

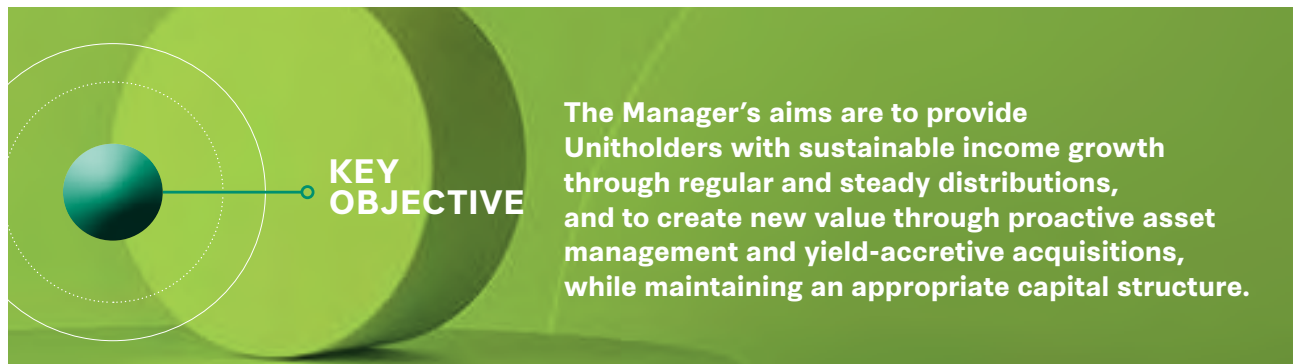


Mission

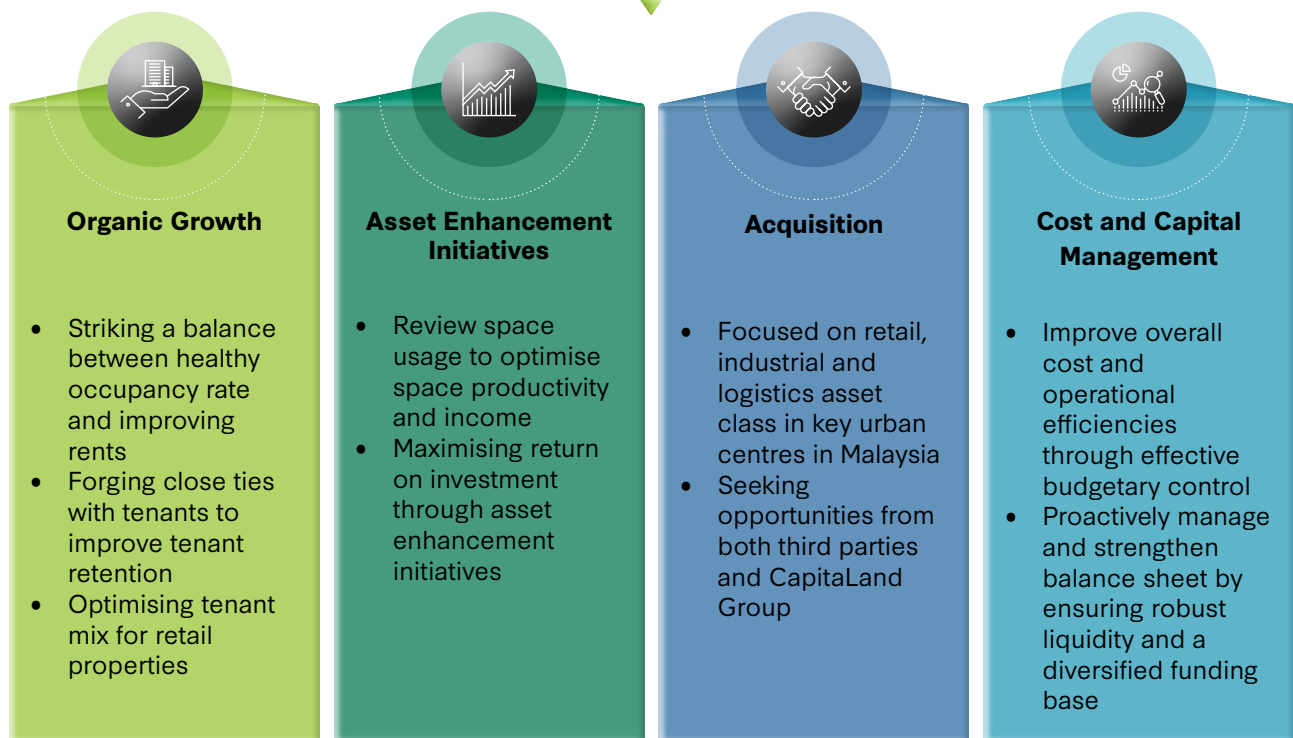
To deliver long-term and sustainable distribution of income and potential capital growth to Unitholders

FOR INVESTORS	: Deliver sustainable total returns
FOR TENANTS	: Create profitable opportunities
FOR SHOPPERS	: Create delightful shopping and lifestyle experiences
FOR EMPLOYEES:	: Provide opportunities to realise personal potential and achieve professional growth
FOR THE COMMUNITY	: Promote environmental sustainability, social responsibility and good corporate governance

VALUE CREATION



STRATEGIES



Investment Objective

The principal investment objective of CapitaLand Malaysia Trust (CLMT) is to invest, on a long-term basis, in a geographically diversified portfolio of income-producing real estate across Malaysia that are used for retail, commercial, office and industrial purposes or such other non-real estate investments as may be permitted under the Trust Deed, the Guidelines on Listed Real Estate Investment Trusts or by the Securities Commission Malaysia, with a view to providing Unitholders with long-term and sustainable distribution of income and potential capital growth.

The Manager believes that CLMT has made continued progress in growing its diversified portfolio to strengthen income resilience for the financial year ended 31 December 2023.

Future Prospects of the Market

The Manager views the Malaysian real estate sector to be resilient in the long-term and will continue to pursue the abovementioned value creation strategies. For more information in the sectors in which CLMT currently invests in, please refer to the 'Independent Market Overview' section on page 157 to 180 of CLMT Annual Report 2023.

SALIENT FEATURES

Fund Name	CapitaLand Malaysia Trust (CLMT)
Fund Category	Real Estate Investment Trust
Fund Type	Income
Fund Duration	Duration of the Trust/Termination Date: The earlier of the occurrence of any of the events listed in Clause 25.2 of the Trust Deed ⁱ ; or the expiration of a period of twenty one (21) years after the death of the last survivor of the issue now living of his majesty, the current Yang di-Pertuan Agong of Malaysia; or until such further period as the laws permit.
Authorised Investments	Real estate, non-real estate assets, cash, deposits and money market instruments in accordance with the REITs Guidelines ⁱⁱ and the Deed.
Authorised Investments Limits	• At least 75% of CLMT's total asset value must be invested in real estate that generates recurrent rental income at all times; and • Such other investments or limits as may be permitted by Securities Commission Malaysia (SC) and/or the REITs Guidelines.
Distribution Policy	Payout policy ratio: • At least 90% of CLMT's distributable income of each financial year. • Semi-annual distribution payment for the six-month period ending 30 June and 31 December of each year.
Borrowing Limitations	Up to 50% (FY 2022: 60%) of CLMT's total asset value at the time the borrowings or financing facilities or deferred payment arrangements are incurred. The temporary increase in the Malaysia Real Estate Investment Trust's gearing limit from 50% to 60% as announced by the SC on 12 August 2020 had lapsed on 31 December 2022.
Revaluation Policy	Valuation of investment properties are carried out: • Annually based on independent professional valuation; and • When a real estate is to be acquired or disposed by CLMT.
Management Fee	• Base Fee: up to 1.0% per annum of the value of Deposited Propertyⁱⁱⁱ (FY 2023 actual: 0.29%) • Performance Fee: up to 5.0% per annum of Net Property Income (before Management Fee) (FY 2023 actual: 4.75%) • Acquisition Fee: up to 1.0% of the purchase price of any Authorised Investments directly or indirectly acquired by the Trustee on behalf of CLMT (FY 2023 actual: 1.0%) • Divestment Fee: up to 0.5% of the sale price (after deducting the interest of any co-owners or co-participants) of any Authorised Investments directly or indirectly sold or divested by the Trustee on behalf of CLMT (FY 2023 actual: 0.5%)
Financial Year	1 January 2023 to 31 December 2023
Listing Market	Main Market of Bursa Malaysia Securities Berhad (Bursa Securities)
Minimum Investment	100 units per board lot
Bursa Securities Stock Name/Code	CLMT 5180

ⁱ The Deed dated 7 June 2010 (as amended and restated on 13 July 2021) entered into between the Manager and the Trustee.

ⁱⁱ Guidelines on Listed Real Estate Investment Trusts.

ⁱⁱⁱ As defined in the Deed, the value of Deposited Property is equal to all the assets of CLMT Group (total asset value).

HIGHLIGHTS OF FY 2023

FINANCIAL ACHIEVEMENTS

GROSS REVENUE
RM395.4
million

NET PROPERTY INCOME
RM217.4
million

DISTRIBUTABLE INCOME
RM109.8
million

DISTRIBUTION PER UNIT
4.17
sen

AVERAGE COST OF DEBT
4.07%

PORTFOLIO VALUATION
RM5.0
billion
Retail: RM4.9 billion
Logistics: RM123.2 million

OPERATIONAL ACHIEVEMENTS

RETAIL

NET LETTABLE AREA
3.9
million sq ft

NUMBER OF COMMITTED LEASES
1,426

OCCUPANCY RATE
91.7%

RENTAL REVERSION
7.0%

ANNUAL SHOPPER TRAFFIC
67.4
million

LOGISTICS

NET LETTABLE AREA
0.4
million sq ft

OCCUPANCY RATE
100%

RENTAL REVERSION
29.7%

SUSTAINABILITY ACHIEVEMENTS



ENVIRONMENT

Carbon Emissions Reduction
since 2019

12.0%

Energy Intensity Reduction
since 2019

7.4%

Water Intensity Reduction
since 2019

10.6%

Waste Intensity Reduction
since 2019

36.8%

Green Rating

39% portfolio GFA

Sustainable Financing

RM753 million



SOCIAL/ENABLE PILLAR

Female Representation on
Senior Management

38.5%

Total Training Hours

More than 9,920

Annual surveys conducted
with employees and tenants

#GivingBersama 3.0

Contributed **RM200,000** to over **2,300** beneficiaries in the communities
where CapitaLand operates



GOVERNANCE

Board
Independence

67%

Female Representation
on Board

22%

Audit Committee
Independence

100%

Staff attended Fraud,
Bribery & Corruption Training

100%

Staff attended
Whistle-blowing Training

100%

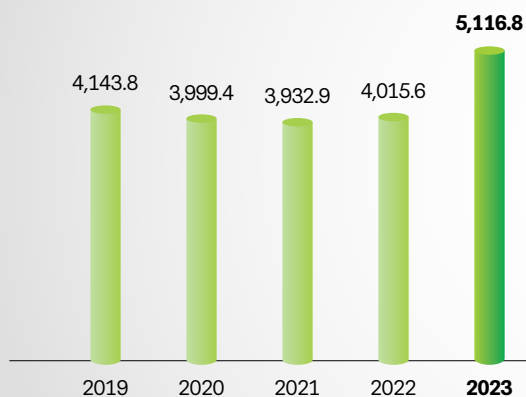
Staff attended
Cybersecurity Training

100%

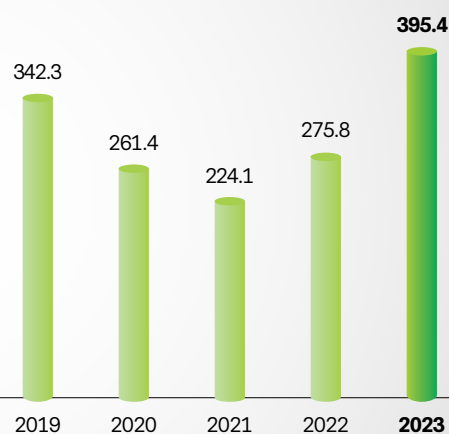
Note: For more information on our other performance metrics, please refer to page 116 to 117.

FINANCIAL HIGHLIGHTS

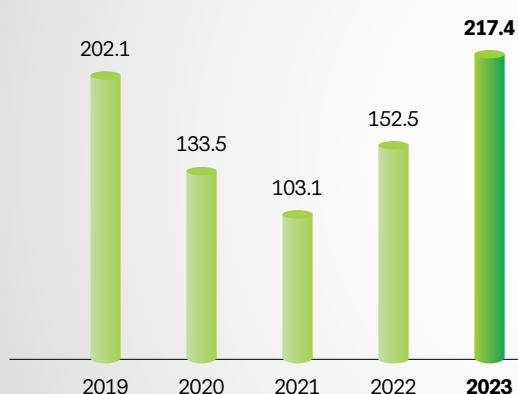
TOTAL ASSETS (RM MILLION)



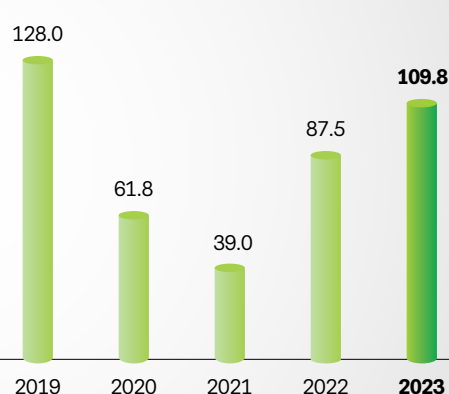
GROSS REVENUE (RM MILLION)



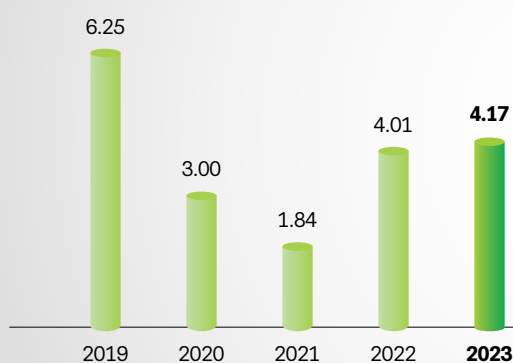
NET PROPERTY INCOME (RM MILLION)



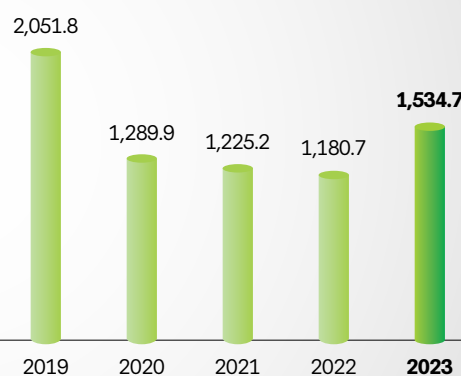
DISTRIBUTABLE INCOME (RM MILLION)



DISTRIBUTION PER UNIT (SEN)



MARKET CAPITALISATIONⁱ (RM MILLION)



CLMT Group Performance Highlights (RM million)	FY 2023	FY 2022	FY 2021	FY 2020	FY 2019
Gross Rental Income	317.8	220.1	185.6	210.3	266.9
Car Park Income	27.1	19.4	12.9	14.6	23.1
Other Revenue	50.5	36.3	25.6	36.5	52.3
Gross Revenue	395.4	275.8	224.1	261.4	342.3
Net Property Income	217.4	152.5	103.1	133.5	202.1
Distributable Income	109.8	87.5	39.0	61.8	128.0
Distribution Per Unit (sen)	4.17	4.01	1.84	3.00	6.25
Distribution Yield ⁱ (%)	7.45	7.50	3.20	4.80	6.25
Annual Total Return ⁱⁱ (%)	12.5	0.02	(5.0)	(34.5)	5.2
Average Total Return (3 years) (%)	2.5	(13.2)	(11.4)	(23.3)	(3.4)
Average Total Return (5 years) (%)	(4.4)	(15.0)	(10.0)	(5.6)	1.8
Earnings/(Loss) Per Unit (sen)	6.27	2.33	(1.44)	(4.11)	3.55
Management Expense Ratio ⁱⁱⁱ (%)	1.5	0.9	0.8	0.8	0.9
CLMT Group Financial Position Highlights (RM million)	FY 2023	FY 2022	FY 2021	FY 2020	FY 2019
Portfolio Property Valuation	5,008.6	3,892.0	3,826.0	3,895.0	4,035.0
Total Assets	5,116.8	4,015.6	3,932.9	3,999.4	4,143.8
Total Borrowings ^{iv}	2,169.6	1,452.7	1,413.3	1,411.6	1,376.7
Unitholders' Funds	2,747.2	2,418.1	2,391.3	2,443.9	2,601.9
Net Asset Value (NAV) Before Final Income Distribution	2,747.2	2,418.1	2,391.3	2,443.9	2,601.9
Net Asset Value (NAV) After Final Income Distribution	2,685.8	2,372.6	2,370.4	2,402.8	2,539.8
NAV Per Unit (Before Final Income Distribution) (RM)	1.0025	1.0957	1.1222	1.1842	1.2681
NAV Per Unit (After Final Income Distribution) (RM)	0.9801	1.0751	1.1124	1.1643	1.2378
CLMT Group Capital Management Highlights (RM million)	FY 2023	FY 2022	FY 2021	FY 2020	FY 2019
Gearing Ratio (%)	42.4	36.2	35.9	35.3	33.2
Unencumbered Assets as % of Total Assets	22.6	29.4	27.8	28.1	28.3
Average Term to Maturity (years)	3.4	3.6	4.0	3.5	4.4
Interest Coverage (times)	2.3	3.0	1.9	2.1	3.0
Average Cost of Debt (%)	4.07	3.24	3.34	4.09	4.44

CLMT Group refers to the consolidation of CLMT and its wholly owned subsidiaries, CLMT MTN Berhad, Luxury Ace Sdn. Bhd., Milky Way Properties Berhad, Scenic Growth Sdn. Bhd. and Success Idea Sdn. Bhd..

i Based on the closing market price of the respective financial year.

ii Annual total return is equal to the DPU plus capital appreciation (in sen) during the financial year divided by the closing unit price at the end of previous financial year.

iii Refers to the expenses of CLMT excluding property operating expenses and interest expense but including the Manager's management fees, expressed as a percentage of average net assets. Please refer to Note 21 of the financial statements.

iv Before deducting unamortised transaction costs.

TENANTS SPEAK

Estée Lauder

The Estée Lauder Companies has a long-standing relationship with CapitaLand of over 20 years, starting from 2004 when we launched M·A·C in Gurney Plaza. We have since opened many successful stores and our brands, Estée Lauder, M·A·C, Bobbi Brown, Clinique, Jo Malone London, Origins, La Mer, Tom Ford Beauty and Le Labo feature across the CapitaLand portfolio. We are proud of the partnership and the significant business we have grown over the years, especially in Penang Region. With CapitaLand's strategic vision and commitment to superior execution in their malls, we are looking forward to continuing to build a strong future together!

Ms Cheryl Joannides
Managing Director
The Estée Lauder Companies



UNIQLO

UNIQLO's collaboration with CapitaLand has been an extraordinary journey marked by innovation and excellence. Together, we've created shopping destinations that offer quality, comfort and style to customers. From the opening of UNIQLO at Queensbay Mall in 2013 to the launch of East Coast Mall and Gurney Plaza stores in 2014, our partnership has been instrumental in shaping vibrant retail spaces for communities. We look forward to delivering more exceptional experiences and creating fashion-forward spaces with CapitaLand.

Mr Yuki Yamada
Chief Executive Officer
UNIQLO Singapore and Malaysia



Padini

Padini and CapitaLand have been working hand in hand with a single goal to make our customers happy. This has been a long-term relationship that Padini always values. We hope to continue this successful relationship to satisfy our customers together for years to come.

Mr Benjamin Yong Tze Jet
Executive Director
Padini Holdings Bhd



Focus Point

Operating 11 stores in CapitaLand malls has been a remarkably positive experience. We sincerely appreciate the team's responsiveness, professionalism and unwavering commitment to creating a positive environment for our optical retail business. The presence of Focus Point's brand in CapitaLand malls has consistently instilled confidence in us, and we are excited to strengthen our partnership and collaborate further to achieve even greater success.

Dato' Liaw Choon Liang
President/CEO
Focus Point Holdings Bhd



SK Jewellery

Our Gurney Plaza outlet is a pivotal outlet with a strong and loyal following. Our recent relocation to a prominent and high-traffic location underscores our collaborative success. The team's strong retail management expertise, understanding of consumer preferences and commitment to brick-and-mortar shopping in the digital era not only benefits the mall, but also proves advantageous for us to thrive and connect with shoppers. Following our latest openings in Queensbay Mall and East Coast Mall, we look forward to continued success and growth with Capitaland.

Madam Mary Lim
Director and Chief Operating Officer
SK Jewellery Group



NSK Grocer

I am proud to share my positive experience with CapitaLand as we find the synergy between landlord and tenants commendable. 3 Damansara's inviting atmosphere, cleanliness and unwavering support rendered from the team makes it an exceptional place to do business. CapitaLand's commitment to excellence not only benefits NSK Grocer but also elevates the overall shopping experience for our customers. It's a pleasure to be part of a community that values quality, collaboration and customer satisfaction.

Mr Loh Teck Wah
Executive Director
NSK Grocer (KL) Sdn. Bhd.



Frangipani

As a tenant, we genuinely appreciate working with CapitaLand for their crucial contribution to providing a holistic mall experience. Their proficiency in managing the mall efficiently and careful selection of tenants not only elevated the mall positioning but also made us successful. We share a dedication to providing consumers with an unforgettable shopping experience. We value CapitaLand's proactive efforts to draw customers as well as the ongoing initiatives to improve the mall atmosphere which benefits all tenants.

Ms Loh Siew Nee
Director
Frangipani Holistic Wellness Sdn. Bhd.



Kakatoo

Kakatoo is our first F&B outlet with CapitaLand in Malaysia, although not our first collaboration with the group. We decided to open Kakatoo in Sungei Wang Plaza due to the central location in the heart of Kuala Lumpur. While there are several big and newly opened malls, we have confidence in the CapitaLand team working together with the other owners and Management Corporation in creating a differentiating factor to attract the mall's unique target market. The team here is responsive and we are glad to be part of Sungei Wang Plaza. We have plans to spread our wings to other CapitaLand malls in future.

Ms Joyce Chong Ms Elaine Chong
Marketing & Operation Directors
Co-Founders and franchise owners of Kakatoo



Richeese Factory

We began operations at The Mines on 1 September 2023, and later at Melawati Mall on 19 September 2023. Our relationship with CLMT and CapitaLand has grown stronger within this one year. CapitaLand's ability in keeping up with retail trends, like upgrading their properties, has really helped us to succeed. Eventhough it's only been a year, the team has been supportive and we are feeling confident about the future. We're excited to grow together the group and CLMT and CapitaLand for being great partners in our growth journey. Here's to achieving more success together!

Mr Joel Lee
Country Manager
Richeese Factory Malaysia



Acuhealing

We have a shared belief with CLMT by setting up our therapy centre in 3 Damansara will benefit those in need for complementary and alternative therapeutical treatments provided by Acuhealing. We enjoyed working together with the operations team and aspire for future engagement opportunities with other CapitaLand malls alongside our business expansion journey.

Mr Lim Fang Jiaw (Dave)
Director
Acu Physio TCM Sdn. Bhd.



YEAR IN BRIEF

1st Quarter

JANUARY

- Site visit with fund managers to Gurney Plaza and Queensbay Mall.
- Conducted non-deal roadshows with prospective investors pursuant to the announcement of the proposed acquisition of Queensbay Mall.
- CLMT announced an income distribution of 2.06 sen per unit for the period from 1 July 2022 to 31 December 2022 resulted an annual income distribution per unit of 4.01 sen for the financial year ended 31 December 2022.

FEBRUARY

- Conducted deal roadshow with existing and prospective investors pursuant to the announcement of the proposed acquisition of Queensbay Mall.
- Announced the completion of the registration of the transfer of 100% equity interest in CapitaLand Malaysia REIT Management Sdn. Bhd. (CMRM) from CapitaLand Investment Limited (CLI) to CLI FM Pte. Ltd. (CLI FM). CMRM is now a wholly owned subsidiary of CLI FM, which in turn is a wholly owned subsidiary of CLI.
- Income distribution of 2.06 sen per unit for the period from 1 July 2022 to 31 December 2022 was paid to Unitholders.
- CLMT held a virtual Unitholders' Meeting in conjunction with the proposed acquisition of Queensbay Mall with all resolutions approved by Unitholders.



▲ Virtual Unitholders' Meeting in conjunction with the proposed acquisition of Queensbay Mall was held on 23 February 2023.

- Announced an advanced income distribution of 0.74 sen per unit for the period from 1 January 2023 to 9 March 2023.

MARCH

- Completed a Private Placement of 464,997,500 units at RM0.49 for placement of each CLMT unit to raise gross proceeds of RM227.8 million. The proceeds were used to fund the acquisition of Queensbay Mall.
- Announced the completion of the acquisition of Queensbay Mall.
- An advanced income distribution of 0.74 sen per unit for the period from 1 January 2023 to 9 March 2023 was paid to Unitholders.
- All CapitaLand shopping malls switched off all non-essential lights for an hour from 8.30 p.m. in support of Earth Hour as part of our commitment for the planet and fight against climate change.



◀ CapitaLand malls supported the annual Earth Hour campaign by switching off all non-essential lights on 25 March 2023.

- A virtual Annual General Meeting (AGM) of CLMT was held with all resolutions approved by Unitholders.

2nd Quarter

APRIL

- Drawdown of CLMT's first sustainability-linked loan of RM60.0 million after the successful negotiation concluded in the previous financial year.
- In support of Earth Day, the Bintang Earth Day event was held at Jumba, Sungei Wang Plaza with various wellness workshops and sharing sessions conducted to raise awareness among shoppers on the need to protect Earth.

MAY

- CLMT strengthens logistics presence with an acquisition in the highly attractive Hicom-Glenmarie Industrial Park, widely regarded as a prime hub for logistics and warehouses in the Klang Valley.



▲ In tandem with the proposed acquisition of a freehold logistics warehouse in Hicom-Glenmarie Industrial Park, CMRM had also executed a Letter of Offer with a fashion retailer to fully lease the building for ten years.

- Secured additional RM45.0 million of credit facility from an existing principal banker.

JUNE

- Announced the appointment of Ms Goh Gek Hiang (Wu Yuxian) as Non-Executive Non-Independent Director and member of the Executive Committee in place of Mr Yap Neng Tong who resigned as Non-Executive Non-Independent Director and ceased as Chairman of the Executive Committee and member of the Nominating and Remuneration Committee with effect from 5 June 2023. On the same day, announced the redesignation of Mr Lim Cho Pin Andrew Geoffrey as Chairman of the Executive Committee and appointment as member of the Nominating and Remuneration Committee with effect from 5 June 2023.
- CLMT MTN Berhad, a wholly owned subsidiary of CLMT, issued Unrated Medium Term Notes (MTN) of RM300.0 million in three tranches of RM100.0 million each with the expected maturity ranging between three to five years. The proceeds were used to redeem the outstanding 3.5-Year Unrated MTN of RM300.0 million.

YEAR IN BRIEF

JULY

- CapitaLand partnered with airasia ride to offer up to RM10 off on airasia ride, the e-hailing platform of airasia Superapp at Gurney Plaza, Queensbay Mall, 3 Damansara and The Mines.
- Announced an income distribution of 1.19 sen per unit for the period from 10 March 2023 to 30 June 2023 (1H 2023 Income Distribution), in which the Distribution Reinvestment Plan (DRP) was applied to the entire 1.19 sen per CLMT unit.
- For the second consecutive year, CapitaLand clinched the Company of the Year Award for community care under the shopping mall category at the Sustainability and CSR Malaysia Awards 2023 for its #GivingBersama 2.0 initiative.



▲ CapitaLand awarded Company of the Year for community care at the Sustainability and CSR Malaysia Awards 2023.

AUGUST

- In collaboration with Kloth Cares, CapitaLand embarked on a fabric recycling initiative with the installation of fabric recycling bins at 3 Damansara and The Mines.



▲ A recycling campaign with the aim to raise awareness among the community on the importance of recycling unwanted fabrics.

- Announced the completion of the acquisition of the second logistics property located at the Hicom-Glenmarie Industrial Park in Shah Alam, Selangor. The logistics property is now known as Glenmarie Distribution Centre.

SEPTEMBER

- Announced the proposed divestment of 3 Damansara Office Tower for a sale consideration of RM52.0 million.
- Queensbay Mall won Malaysia Shopping Malls Association PPK Malaysia Best Experiential Marketing 2022 - 2023 Awards (Category C) - Silver Award for Hari Raya campaign: Senandung Aidilfitri.



▲ Hari Raya campaign held by Queensbay Mall won Best Experiential Marketing 2022 - 2023 Awards under Category C.

- An income distribution of 1.19 sen per unit pertaining to 1H 2023 Income Distribution was paid to Unitholders. Announced that CLMT had issued and allotted a total of 35,332,383 new units, which represented approximately 55.4% of the total number of new CLMT units, had all the entitled unitholders of CLMT elected to reinvest their respective electable portion under the DRP in new CLMT units.
- Site visit with key investors to Klang Valley shopping malls - 3 Damansara, The Mines and Sungei Wang Plaza.
- Secured a new credit facility of RM50.0 million.
- Announced the appointment of Dato' Ng Tiong Lip (Dato' Jeffrey Ng) as a Non-Executive Independent Director with effect from 1 October 2023.

3rd Quarter

4th Quarter

OCTOBER

- In support of Bursa Malaysia's charity run with the objective of raising awareness on the consequences of climate change, CLMT participated in the 7th edition of the Bursa Bull Charge 2023. The funds raised were primarily supporting charitable organisations that advocate climate action and environmental protection.



▲ An all-female team from Sungei Wang Plaza represented CLMT at the Bursa Bull Charge 2023 organised by Bursa Malaysia on 8 October 2023.

- Site visit with analysts and prospective investors to Queensbay Mall.
- CapitaLand, as the first mall operator in Malaysia, partnered with TNG Digital Sdn. Bhd. to offer portfolio-wide cashback campaign to reward shoppers for spending in CapitaLand malls from 27 October 2023 to 26 April 2024.

NOVEMBER

- Participated in CapitaLand Investment and CLI REITs Corporate Day 2023 in Bangkok, Thailand.

DECEMBER

- Announced the completion of the divestment of 3 Damansara Office Tower.
- The annual corporate social responsibility initiative, #GivingBersama 3.0, was rolled out and with the support of CapitaLand Group's philanthropic arm – CapitaLand Hope Foundation, where RM200,000



▲ CapitaLand staff visited Pertubuhan Kebajikan Baitul Husna Kuantan (top), Program Perumahan Rakyat Desa Rejang (middle) and Unit Mutiara Food Bank Penang (bottom) as part of the #GivingBersama 3.0 activities.

worth of essential and educational supplies was distributed to over 800 underserved children from 22 homes and schools as well as over 1,500 beneficiaries from 520 low-income families in Penang, Pahang, Klang Valley and Johor.

- CLMT successfully converted its existing RM693.0 million term loan facility utilised to finance the acquisition of Queensbay Mall into a sustainability-linked loan as an effort to continually strengthen the Environmental, Social and Governance standards while creating long-term value for the stakeholders.
- Queensbay Mall and The Mines awarded with Singapore's Building & Construction Green Mark Award Platinum and Green Mark Gold^{PLUS} (Provisional) respectively.



▲ A signing ceremony was held in conjunction with the conversion of CLMT's loan facility of RM693.0 million from CIMB into a sustainability-linked loan facility.

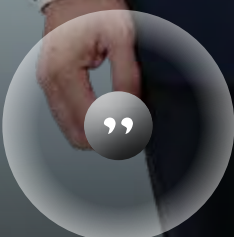
LETTER TO UNITHOLDERS



**DATO' NG TIONG LIP
(DATO' JEFFREY NG)**
Chairman



MR TAN CHOON SIANG
Chief Executive Officer



IN LINE WITH OUR COMMITMENT TO DELIVERING SUSTAINABLE VALUE, CAPITALAND MALAYSIA TRUST MAINTAINED A STRONG FOCUS ON IMPROVING OUR PORTFOLIO QUALITY AND INCOME. OUR RESILIENT BUSINESS FUNDAMENTALS SUPPORTED OUR PORTFOLIO PERFORMANCE AND WE CONCLUDED THE YEAR IN A MUCH STRONGER FINANCIAL POSITION.

Dear Unitholders,

2023 was a year of significant macroeconomic challenges and rising inflation which resulted in increased uncertainties in both the global and domestic economies. Factors such as the hike in electricity tariffs and rising interest rates contributed to a challenging business environment which was further compounded by the weakening domestic currency. Consequently, consumer sentiment turned cautious and businesses tightened their spending. Despite these headwinds, Malaysia's Gross Domestic Product growth for 2023 is projected to be around 4.0%.

In line with our commitment to delivering sustainable value, CapitaLand Malaysia Trust (CLMT) maintained a strong focus on improving our portfolio quality and income. Our resilient business fundamentals supported our portfolio performance and we concluded the year in a much stronger financial position. Net property income for FY 2023 rose 42.6% to RM217.4 million, primarily driven by new contribution from Queensbay Mall, recognition of full-year revenue from Valdor Logistics Hub as well as the stronger performance of CLMT's existing assets. CLMT's unit price appreciated 4.7% in the year, closing at RM0.56, and our market capitalisation expanded to RM1.5 billion¹. CLMT also delivered a total return of 12.1%² for our Unitholders.

During the year, we successfully completed our largest acquisition since IPO with Queensbay Mall, which was acquired at an agreed property value of RM990.5 million from our Sponsor, CapitaLand Investment Limited (CLI) and its related companies. We also successfully raised RM227.8 million through equity fund raising (EFR), benefitting from the support of both long-term and new investors, demonstrating their confidence in our business strategy.

SOLID FINANCIAL PERFORMANCE

In the year under review, CLMT recorded a gross revenue of RM395.4 million and a distributable income of RM109.8 million, 43.4% and 25.5% higher than FY 2022, respectively. The DPU for FY 2023 at 4.17 sen translated to a distribution yield of 7.4%, based on CLMT's closing price of RM0.56 on 29 December 2023. With the inclusion of new retail and logistics assets, CLMT's total assets increased by 27.4% to RM5.1 billion. On a same-store basis, CLMT portfolio valuation recorded an improvement of 1.1%³.

CLMT follows its distribution policy to pay out at least 90% of its distributable income during each financial year on a half-yearly basis. For FY 2023, CLMT will pay out approximately 100% of its distributable income, consistent with previous years.

During the year, CLMT made three income distributions to Unitholders totalling RM93.9 million or 3.99 sen per unit. These distributions comprised (i) the final income distribution for FY 2022 of 2.06 sen per unit for the period from 1 July 2022 to 31 December 2022, which was paid out on 22 February 2023; (ii) the advanced income distribution for FY 2023 of 0.74 sen per unit for the period from 1 January 2023 to 9 March 2023, which was paid out on 23 March 2023, in connection to the EFR to partially finance the acquisition of Queensbay Mall; and (iii) the first income distribution for FY 2023 of 1.19 sen per unit for the period from 10 March to 30 June 2023, which was paid out on 25 September 2023.

The Distribution Reinvestment Plan (DRP) was applied to the 1H 2023 income distribution, with a take-up rate of about 55.4%. The DRP will also be applied to the FY 2023 final income distribution of 2.24 sen per unit for the period from 1 July 2023 to 31 December 2023.

PRUDENT CAPITAL MANAGEMENT

We remained proactive in managing and strengthening CLMT's balance sheet, focusing on maintaining liquidity and diversified funding sources. As at 31 December 2023, CLMT's total borrowings stood at RM2,169.6 million⁴, translating to a gearing of 42.4% (FY 2022: 36.2%). This provides CLMT with a debt headroom of approximately RM776.8 million to fund potential acquisitions, to carry out asset enhancement initiatives and for working capital needs.

East Coast Mall, Sungei Wang Plaza and Glenmarie Distribution Centre remained unencumbered, providing CLMT with further financial flexibility. Approximately 85% of CLMT's debt was at fixed interest rates as at 31 December 2023. In tandem with the rising interest rate environment, CLMT's average cost of debt for FY 2023 increased to 4.07% per annum (FY 2022: 3.24% per annum) while the average term to maturity for outstanding debt decreased to 3.4 years (FY 2022: 3.6 years).

In April 2023, we drew down our first sustainability-linked loan of RM60.0 million to refinance the bridging loans utilised for the acquisition of Valdor Logistics Hub. In June 2023, CLMT MTN Berhad, a wholly owned

- 1 Based on 2,207 million units at unit price of RM0.535 on 30 December 2022 to 2,740 million units at unit price of RM0.56 on 29 December 2023.
- 2 Based on actual FY 2023 DPU paid out of 3.99 sen and capital appreciation of 2.50 sen and closing unit price of RM0.535 on 30 December 2022.
- 3 Excludes Queensbay Mall and Glenmarie Distribution Centre that were acquired in March and August 2023 respectively, and 3 Damansara Office Tower which was divested in December 2023.
- 4 Gross borrowings before amortisation cost.

LETTER TO UNITHOLDERS

subsidiary of CLMT, issued RM300.0 million Unrated Medium Term Notes (MTN) – its fourth issuance under its MTN programme of up to RM3.0 billion. The proceeds of this issuance were used to redeem the outstanding 3.5-Year RM300.0 million MTN. We have also secured additional credit facilities amounting to RM95.0 million in FY 2023 to replenish the facilities utilised for the acquisition of Queensbay Mall.

DISCIPLINED PORTFOLIO RECONSTITUTION APPROACH

Guided by our disciplined approach to enhance portfolio resilience in the long-term, CLMT is focused on executing our growth strategy whilst maintaining robust performance from existing assets through proactive asset enhancement and prudent cost management. We evaluate all potential investment opportunities to ensure our key investment considerations of DPU-yield accretion, value creation potential and income sustainability are met.

2023 was an eventful year for CLMT. The yield-accretive addition of Queensbay Mall, a quality retail asset with strong operating metrics, to CLMT's portfolio has bolstered portfolio resilience and deepened CLMT's presence in Penang, strengthening its foothold in the northern region of Malaysia where it owns Gurney Plaza and Valdor Logistics Hub.

In August 2023, we strengthened our logistics presence with another acquisition – Glenmarie Distribution Centre (GDC) – in the highly attractive Hicom-Glenmarie Industrial Park, widely regarded as a prime hub for logistics and warehouses in the Klang Valley. We also secured a fashion retail tenant to fully lease GDC for 10 years and are in the process of converting the logistics property into a temperature-controlled distribution centre to meet their growing business needs. Slated to commence income contribution in 2024, GDC's convert-to-suit exercise is a testament to our commitment to provide attractive real estate solutions and create opportunities to collaborate with CapitaLand Group's extensive network of over 1,000 unique retail brands in Malaysia. It also demonstrates our expertise in asset enhancement as we drive value creation for CLMT and expand our footprint in the logistics sector.

In December 2023, we successfully completed our maiden divestment of 3 Damansara Office Tower for RM52.0 million. The divestment was executed at a 4.0% premium to its latest independent valuation of RM50.0 million⁵, enabling us to not only monetise this non-core office asset but also unlock the value of such assets for reinvestments into new growth opportunities in the new economy sector.

DRIVING ORGANIC RETAIL GROWTH

By keeping abreast of the evolving shopper needs and taking a proactive approach to adapting our trade mix and curating exciting shopper experiences, we have seen positive outcomes in our portfolio performance such as stronger tenant sales, increased shopper footfall as well as higher income contribution. In FY 2023, we invested approximately RM55.6 million in capital expenditure to revitalise our assets.

An AEI was completed at Gurney Plaza to maximise space efficiency, creating more than 4,000 square feet (sq ft) of net lettable area for Sports Direct & USC. We also refreshed the mall's food and beverage (F&B) offerings, introducing trendy culinary concepts including Beauty in the Pot, Palsaik Korean BBQ and One Dish One Taste. Well-known fashion and beauty brands such as Tumi, Armani Exchange and Kens Apothecary also opened in 2023.



▲ Gurney Plaza undertook an AEI exercise on Level 4 to widen the space for sportswear offering.

At Queensbay Mall, we focused on strengthening our fashion and F&B selections to attract shoppers and increase sales. We brought in popular brands including H&M, Sacoar Blue, Calvin Klein Jeans, Tommy Hilfiger and Portofino; as well as popular Taiwanese coffee chain, HWC Coffee, and Japanese eatery, Robataya Izakaya.

We continued to revamp fashion choices and F&B brands at East Coast Mall as we focused on solidifying its position as the preferred destination mall in the East Coast region. We strengthened the mall's ground floor offerings with the addition of SK Jewellery, Kiehl's and Swatch. Several new-to-market fashion concepts including Levi's, Dockers and Vans also debuted while Uniqlo expanded its outlet. To provide shoppers with a wider variety of F&B options, we added Dolly Dim Sum, Bananabro and Zus Coffee.

For Sungei Wang Plaza (SWP), we continued to collaborate closely with the Sungei Wang Plaza Management Corporation (SWPMC) to reinvigorate its appeal to address the oversupply of retail space in

⁵ Based on the latest independent valuation conducted by Henry Butcher Malaysia Sdn. Bhd. as at 31 July 2023.

the BBKLCC (Bukit Bintang-Kuala Lumpur City Centre) area. Joint initiatives included marketing campaigns and thematic events such as thrift bazaars to attract new shoppers. SWPMC also partnered with Mega Star Arena (MSA), a concert event hall operator, to organise fan meet-ups and events for popular artistes in SWP. Since its opening in April 2023, MSA has hosted over 40 concert events that have been well-received, boosting the mall's appeal and traffic. During the year, Refash, Malaysia's largest online thrift store, opened a 5,000 sq ft physical outlet that has become highly popular among shoppers. SWP expanded its sportswear offerings with Sports Planet and Ocean Sport and introduced more F&B options such as Taste of Asia, Zus Coffee and Bread History.

To cater to the needs of the surrounding population in The Mines and 3 Damansara, which are located in established residential neighbourhoods, we have focused our trade mix to target the nearby residential and office communities by offering greater convenience through an expanded range of essential trades such as F&B options and services-related offerings.

At The Mines, we introduced offerings that cater to the needs of students and young families. These include more F&B choices including the addition of popular Indonesian fast-food chain Richeese Factory, Korean street food PapaFry, Bask Bear Coffee and Aliis Bistro, as well as new fashion brands such as Vtory, Hummer and Le'Aliffa Collections. The Mines is also known for its robust IT offerings and new openings in 2023 include Urban Republic by Switch, RealMe, and JC Gaming & Dr IT. Gatti Sports, an online sportswear shop, has also opened its latest concept store at The Mines spanning 10,500 sq ft.

At 3 Damansara, supermarket operator NSK Grocer launched Kafe Ruuma, an in-house café serving delicious and affordable local delights. We also expanded our selection of Japanese cuisine with the addition of Sushihan. Following the completion of the

AEI on the Lower Ground Floor, new eateries such as Shanghai Da Da Huntun and Fong Woh Tong have opened while popular fares including Nam Heong Chicken Rice and Richeese Factory will be opening in March 2024. Recognising the importance of a well-stocked pharmacy to meet the needs of the community, Big Pharmacy is targeted to open by end of February 2024 on the Lower Ground Floor. To further increase footfall and encourage visitors to spend more time at the mall, we brought in Swet Fitness, a gym operator that occupies 16,000 sq ft on Level 1.

Supported by our proactive retail and asset management initiatives, CLMT's retail operating metrics remained healthy as shopper traffic and tenant sales per square foot in 2023 continued trending upwards with same-store shopper traffic reaching 55.7 million, 25.1% higher than FY 2022, while total footfall for 2023 was 67.4 million. Tenant sales per square foot was 7.8% higher than FY 2022. About 388 leases were signed or renewed, resulting in average rental reversion for retail at 7.0%. For logistics, we have signed a new lease with rent reversion of 29.7%. As at 31 December 2023, our retail portfolio occupancy has improved to 91.7% while our logistics properties are 100.0% occupied.

COMMITMENT TO SUSTAINABILITY

CLMT integrates sustainability considerations in its operations, aligning its approach with that of its Sponsor. We actively contribute to the targets set out in CapitaLand's 2030 Sustainability Master Plan⁶, including the commitment to achieve Net Zero carbon emissions for scope 1 and 2 by 2050.

In FY 2023, we implemented initiatives to improve operational efficiencies and manage energy consumption across all our properties. Two of our retail properties have been awarded the prestigious Green Mark certification by the Building and Construction Authority of Singapore. Approximately 39% of portfolio gross floor area is now green-certified.

During the year, we also converted our largest loan facility of RM693 million into a sustainability-linked facility for the funding of the acquisition of Queensbay Mall. To date, we have about RM753 million in sustainability-linked facilities.

With funding support from CapitaLand Hope Foundation, the philanthropic arm of CapitaLand, CapitaLand contributed RM200,000 to provide daily essentials and educational supplies to more than 2,300 beneficiaries from homes, schools and low-income families in the Klang Valley, Penang, Pahang and Johor.



▲ Swet Fitness strengthens the anchor tenant offerings at 3 Damansara.

⁶ CapitaLand's 2030 Sustainability Master Plan is a strategic blueprint which outlines its ambitious goals and directs its sustainability efforts towards a common purpose. CapitaLand aims to build a resilient and resource efficient real estate portfolio, enable thriving and future-adaptive communities, and accelerate sustainability innovation and collaboration.

LETTER TO UNITHOLDERS

EXPANDING NEW ECONOMY FOOTPRINT

On 5 February 2024, we announced that MTrustee Berhad has entered into a conditional sale and purchase agreement to acquire three prime freehold ready-built factories located at the Nusajaya Tech Park in Iskandar Malaysia, Johor from Nusajaya Tech Park Sdn. Bhd., a related party to the Sponsor, for RM27.0 million. The proposed acquisition marks our entry into Johor, particularly Iskandar Malaysia, a highly attractive investment destination due to its favourable geographical location and proximity to Singapore. Post-transaction, CLMT's portfolio will be strengthened with the addition of these high-quality industrial properties and the enlarged portfolio's proportion of industrial and logistics properties making up 11% of the portfolio net lettable area of approximately 4.4 million sq ft.



▲ CLMT embarks on the proposed acquisition of its first industrial properties and expands into the fast-growing state of Johor.

SEEKING VALUE-ADDED OPPORTUNITIES IN PURSUIT OF GROWTH

Malaysia's economy is projected to grow at a moderate pace in 2024, ranging between 4.0% to 5.0%⁷, supported by favourable and resilient domestic demand and a continued increase in inbound tourism activity. However, the global economic outlook is expected to soften due to elevated inflation, higher interest rates and geopolitical uncertainties. Furthermore, Malaysia's challenging macroeconomic environment will be further impacted by the increase in consumption tax from 6% to 8%⁸ and the introduction of high-value goods tax ranging from 5% to 10%, effective from March and May 2024, respectively. These factors are likely to affect consumer sentiment and retail sales.

To enhance the resilience of CLMT's portfolio, we are committed to pursuing yield-accretive opportunities in the industrial and logistics space. For long-term growth, we will review our portfolio composition and strategically monetise non-core assets, recycling proceeds towards acquiring higher quality assets.

Despite challenges in the retail environment, we will continue to sharpen our focus on achieving operational excellence by retaining and attracting quality tenants, managing costs effectively, and executing asset enhancement initiatives well. Anchored by an income and geographically diversified quality portfolio, CLMT remains committed to delivering long-term and sustainable income distributions to Unitholders.

ACKNOWLEDGEMENTS

Our success in 2023 would not have been possible without the invaluable support and contributions of our stakeholders. On behalf of the Board and Management, we would like to extend our heartfelt appreciation to Mr Lui Chong Chee, who resigned from his position as Chairman and Non-Executive Independent Director on 1 February 2024. Throughout his tenure, Mr Lui provided steady counsel and guidance, playing a pivotal role as CLMT executes its strategic objectives to deliver stable returns. We would also like to thank Non-Executive Non-Independent Director Mr Yap Neng Tong, who stepped down from the Board during the financial year, for his invaluable input and contributions. We are pleased to welcome Ms Patricia Goh, Chief Executive Officer, Southeast Asia Investment, CapitaLand Investment, who was appointed as Non-Executive Non-Independent Director on 5 June 2023.

We would like to express our sincere appreciation to all our board members for their valuable insights, diverse perspectives and active participation in Board discussions. Their contributions have been instrumental in shaping CLMT's strategic direction. We would also like to thank the CLMT team for their dedication and their enthusiastic support.

Our appreciation goes to our Unitholders, the wider investment community, tenants, shoppers, and business partners for the trust that they have placed in us. Your unwavering support and confidence in CLMT are invaluable to us and we look forward to your continued support as we strive to propel CLMT to chart greater heights.

DATO' NG TIONG LIP (DATO' JEFFREY NG)
Chairman

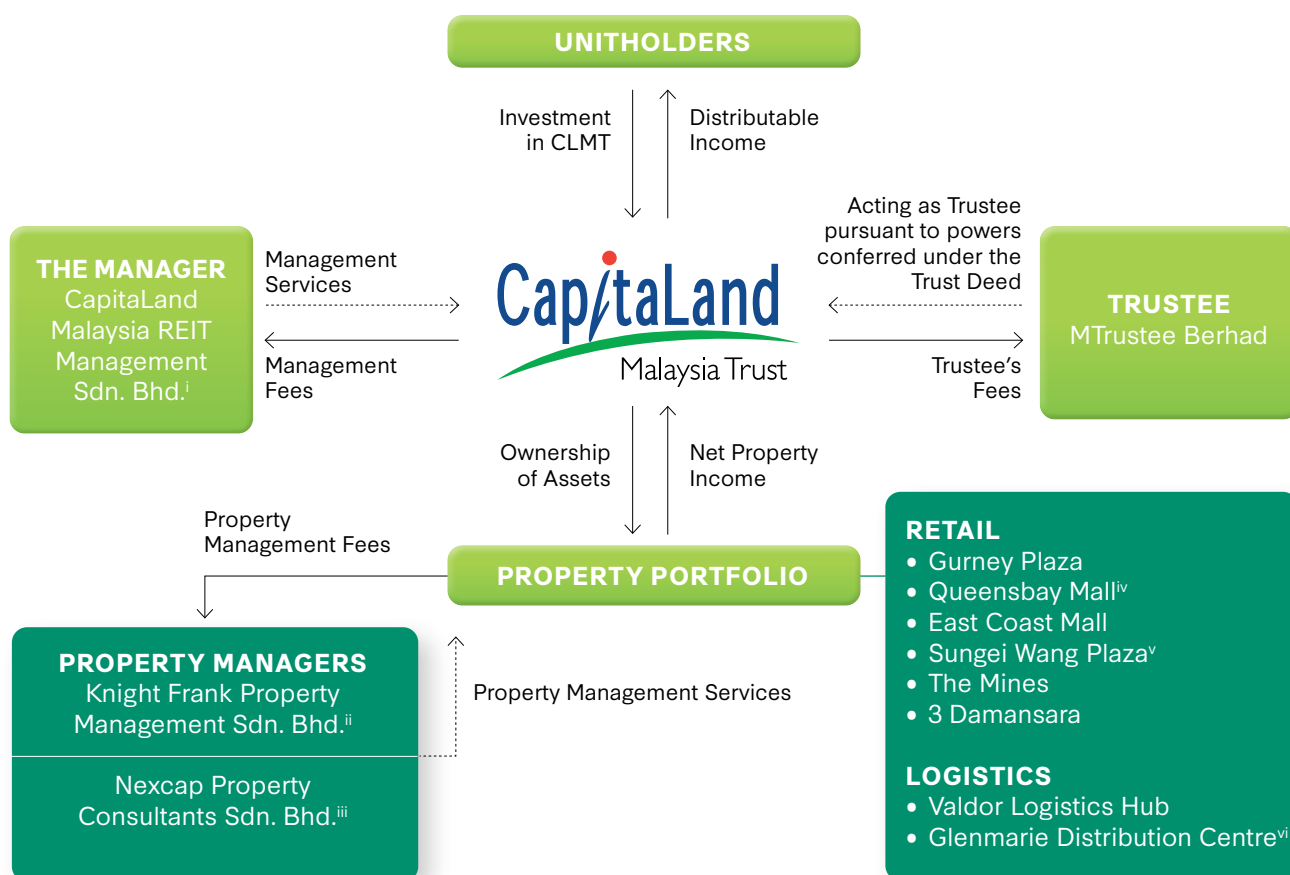
TAN CHOON SIANG
Chief Executive Officer

15 February 2024

⁷ Bank Negara Malaysia.

⁸ Excluding essential expenses like food and beverages and telecommunications.

TRUST STRUCTURE



- i The Manager holds a Capital Markets Services Licence issued by the SC for the regulated activity of fund management in relation to asset management restricted to real estate investment trust.
- ii Knight Frank Property Management Sdn. Bhd. manages Gurney Plaza; CLMT's interest in Queensbay Mall; East Coast Mall; 3 Damansara; The Mines and Valdor Logistics Hub.
- iii Nexcap Property Consultants Sdn. Bhd. only manages CLMT's interest in Sungei Wang Plaza.
- iv CLMT's interest in Queensbay Mall comprises approximately 91.8% of the total strata floor area of retail parcels and 100% of the car park bays.
- v CLMT's interest in Sungei Wang Plaza comprises approximately 61.9% of the total strata floor area of retail parcels and 100% of the car park bays.
- vi A property manager will be appointed for Glenmarie Distribution Centre upon the commencement of the lease in 2024.

ORGANISATION STRUCTURE



OUR BOARD OF DIRECTORS



**Dato' Ng Tiong Lip
(Dato' Jeffrey Ng)**

Chairman
Non-Executive Independent Director



Tan Choon Siang

Chief Executive Officer
Executive Non-Independent Director



Foo Wei Hoong

Non-Executive Independent Director



Tan Boon Peng

Non-Executive Independent Director



Mohd Yusof Bin Hussian

Non-Executive Independent Director



Tan Ming-Li

Non-Executive Independent Director



Lim Cho Pin Andrew Geoffrey

Non-Executive
Non-Independent Director



Goh Gek Hiang (Wu Yuxian)

Non-Executive
Non-Independent Director

DATO' NG TIONG LIP (DATO' JEFFREY NG), 67

Malaysian (Male)

Chairman, Non-Executive Independent Director

- Bachelor of Economics, Monash University, Australia
- Member, Malaysian Institute of Certified Public Accountants
- Fellow Member, Chartered Accountants Australia & New Zealand

Date of first appointment as a Director

1 October 2023

Date of appointment as Chairman

1 February 2024

Length of service as a Director (as at 31 December 2023)

3 months

Board committees served on

Nil

Present directorship of public company and listed issuer

- Ayer Holdings Berhad

Present principal commitments

- Chairman of Real Estate and Housing Developers Association (REHDA) Institute
- Panel Member of Appeal Board under the Federal Territory (Planning) Act 1982
- Adviser of Malaysian REIT Managers Association
- Member of Board of Studies – Master of Real Estate Development University Tunku Abdul Rahman
- Director of Urban Hallmark Properties Sdn. Bhd.

Past directorship in other listed company held over the preceding three years

- Non-independent Executive Director of Sunway REIT Management Sdn. Bhd. (Manager of Sunway Real Estate Investment Trust)
- Chairman and Independent Non-Executive Director of United Overseas Bank (Malaysia) Berhad

Background and working experience

- Chief Executive Officer of Sunway REIT Management Sdn. Bhd. (Manager of Sunway Real Estate Investment Trust) (From March 2008 to June 2023)
- Chairman of Sunway Lagoon Club Berhad (From April 2015 to June 2023)
- Executive Director of Swissglade Sdn. Bhd. (From March 2017 to August 2023)
- Managing Director of Asia Pacific Land Berhad (From June 1992 to March 2006)
- Executive Director of Low Yat Holdings Sdn. Bhd. (From January 1983 to May 1992)

Other than traffic offences, the list of convictions for offences within the past five years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

Nil

TAN CHOON SIANG, 47

Singaporean (Male)

Chief Executive Officer

Executive Non-Independent Director

- Bachelor of Science in Economics, Massachusetts Institute of Technology, United States
- Master of Science in Economics, Massachusetts Institute of Technology, United States

Date of first appointment as a Director

1 January 2022

Length of service as a Director (as at 31 December 2023)

2 years

Board committees served on

- Executive Committee (Member)

Present directorship of public company and listed issuer

- CLMT MTN Berhad
- Milky Way Properties Berhad

Present principal commitments (other than directorships in other listed companies)

- Vice Chairman of Malaysian REIT Managers Association

Past directorship in other listed company held over the preceding three years

Nil

Background and working experience

- Chief Financial Officer of Ascendas Property Fund Trustees Pte. Ltd. (From 2017 to 2021)
- Head of Corporate Finance & Treasury of Ascendas-Singbridge Pte. Ltd. (From 2016 to 2017)
- Various positions with Genting Singapore Limited, including Vice President of Corporate Finance, Vice President of Investments and Director of Corporate Planning (From 2011 to 2016)
- Executive Director of Corporate Solutions of Goldman Sachs, Singapore (From 2010 to 2011)
- Executive Director of Equities Structuring of Goldman Sachs, Hong Kong (From 2006 to 2010)

Conflict of interest or potential conflict of interest

- Nominee director of CapitaLand Investment Limited on the Board of the Manager, an indirect sole shareholder of the Manager

Other than traffic offences, the list of convictions for offences within the past five years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

Nil

OUR BOARD OF DIRECTORS

FOO WEI HOONG, 63

Malaysian (Male)
Non-Executive Independent Director

- Chartered Accountant, Member of the Malaysian Institute of Accountants
- Fellow of the Association of Chartered Certified Accountants, United Kingdom
- Certified Financial Planner, Financial Planning Association of Malaysia

Date of first appointment as a Director

1 June 2021

Length of service as a Director (as at 31 December 2023)

2 years 7 months

Board committees served on

- Audit Committee (Chairman)
- Nominating and Remuneration Committee (Member)

Present directorship of public company

- Etika Life Insurance (Cambodia) PLC

Present principal commitments (other than directorships in other listed companies)

Nil

Past directorship in other listed company held over the preceding three years

Nil

Background and working experience

- Head of Finance & Information Technology of Malaysian Industrial Development Finance Berhad (From 2007 to 2020)
- Head of Corporate Planning of Malaysian Industrial Development Finance Berhad (From 2006 to 2007)
- Vice President of Financial Services of Malaysian National Insurance Berhad (now known as Etika Insurance Berhad) (From 2001 to 2006)
- Financial Controller of PanGlobal Insurance Berhad (From 1996 to 2001)

Other than traffic offences, the list of convictions for offences within the past five years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

Nil

TAN BOON PENG, 57

Malaysian (Male)
Non-Executive Independent Director

- Master of Arts and Bachelor of Arts, University of Cambridge, United Kingdom

Date of first appointment as a Director

1 April 2019

Length of service as a Director (as at 31 December 2023)

4 years 9 months

Board committees served on

- Nominating and Remuneration Committee (Chairman)

Present directorship of public company and listed issuer

- Hap Seng Consolidated Berhad

Present principal commitments (other than directorships in other listed companies)

- Director of F136 Sdn. Bhd.

Past directorship in other listed company held over the preceding three years

Nil

Background and working experience

- Various positions, Regional Head of Equity Capital Markets being the last position, at CIMB Group (From 2003 to 2016)
- Head of Singapore of Research and Coordinator of Singapore/Malaysian Research Product of Indosuez W.I. Carr Securities (S) Pte Ltd (From 2000 to 2001)
- General Manager – RHB Research Institute Sdn. Bhd. (From 1999 to 2000)

Other than traffic offences, the list of convictions for offences within the past five years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

Nil

MOHD YUSOF BIN HUSSIAN, 74

Malaysian (Male)

Non-Executive Independent Director

- Fellow of Association of Chartered Certified Accountants, United Kingdom
- Member of Chartered Institute of Purchasing and Supply, United Kingdom
- Chartered Accountant, Member of the Malaysian Institute of Accountants

Date of first appointment as a Director

1 October 2020

Length of service as a Director (as at 31 December 2023)

3 years 3 months

Board committees served on

- Audit Committee (Member)

Present directorship of public company and listed issuer

Nil

Present principal commitments (other than directorships in other listed companies)

Nil

Past directorship in other listed company held over the preceding three years

Nil

Background and working experience

- Various positions, Re-engineering being the last position of Shell Malaysia (From 1986 to 1999)
- Finance and Administration Manager cum Company Secretary of PTM Thompson Advertising Sdn. Bhd., an affiliate of J. Walter Thompson Group in USA (From 1976 to 1985)
- External Auditor of Coopers & Lybrand (now known as PwC Malaysia) (From 1971 to 1976)

Other than traffic offences, the list of convictions for offences within the past five years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

Nil

TAN MING-LI, 54

Malaysian (Female)

Non-Executive Independent Director

- Bachelor of Laws (Honours) and Bachelor of Science, University of Melbourne, Australia

Date of first appointment as a Director

1 June 2021

Length of service as a Director (as at 31 December 2023)

2 years 7 months

Board committees served on

- Audit Committee (Member)

Present directorship of public company and listed issuer

- Tune Protect Group Berhad
- Tune Insurance Malaysia Berhad
- BP Plastics Holding Bhd.
- OM Holdings Limited (a limited liability company listed on both the Bursa Malaysia Securities Berhad and the Australian Stock Exchange)

Present principal commitments (other than directorships in other listed companies)

- Legal Practitioner of Cheang & Ariff (Partner)
- Disciplinary Committee of the Advocates & Solicitors' Disciplinary Board of Malaysia

Past directorship in other listed company held over the preceding three years

Nil

Background and working experience

- Legal Practitioner of Messrs Allen & Gledhill (From 1993 to 1997)

Other than traffic offences, the list of convictions for offences within the past five years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

Nil

OUR BOARD OF DIRECTORS

LIM CHO PIN ANDREW GEOFFREY, 54

Singaporean (Male)

Non-Executive Non-Independent Director

- Bachelor of Commerce (Economics), University of Toronto, Canada
- Master of Business Administration, Rotman School of Business, University of Toronto, Canada
- Chartered Financial Analyst® and Member of CFA Institute

Date of first appointment as a Director

15 April 2018

Length of service as a Director (as at 31 December 2023)

5 years 8 months

Board committees served on

- Executive Committee (Chairman)
- Nominating and Remuneration Committee (Member)

Present directorship of public company and listed issuer

- CapitaLand Ascendas REIT Management Limited (Manager of CapitaLand Ascendas Real Estate Investment Trust listed on the Singapore Exchange Securities Trading Limited (SGX-ST))

Present principal commitments (other than directorships in other listed companies)

- Group Chief Operating Officer of CapitaLand Investment Limited
- Member of Accounting for Sustainability Circle of Practice
- Member of Institute of Singapore Chartered Accountants' CFO Committee
- Director of SG Her Empowerment Limited
- Director and Chairman of Audit Committee of Sports Singapore (Singapore Sports Council)
- Committee Member of Singapore Exchange Regulation Pte Ltd

Past directorship in other listed company held over the preceding three years

- CapitaLand China Trust Management Limited (Manager of CapitaLand China Trust which is listed on the SGX-ST)
- CapitaLand Ascott Trust Management Limited (Manager of CapitaLand Ascott Trust which is listed on the SGX-ST)
- CapitaLand Integrated Commercial Trust Management Limited (Manager of CapitaLand Integrated Commercial Trust which is listed on the SGX-ST)

Background and working experience

- Group Chief Financial Officer (From 1 January 2017 to 31 December 2022)
- President of Real Estate Investment Trust Association of Singapore (REITAS) (From 4 May 2018 to 25 September 2020)
- Group Chief Financial Officer (Designate) of CapitaLand Limited (From 25 November 2016 to 31 December 2016)
- Managing Director and Head of SEA Coverage Advisory of HSBC Global Banking (From January 2016 to December 2016)
- Managing Director and Head of SEA Real Estate of HSBC Global Banking (From January 2015 to December 2015)
- Managing Director for SEA Investment Banking of HSBC Global Banking (From April 2013 to December 2014)
- Director for SEA Investment Banking of HSBC Global Banking (From April 2010 to March 2013)
- Associate Director for Investment Banking of HSBC Global Banking (From April 2007 to March 2010)
- Associate for Investment Banking of HSBC Global Banking (From July 2004 to March 2007)

Conflict of interest or potential conflict of interest

- Nominee director of CapitaLand Investment Limited on the Board of the Manager, an indirect sole shareholder of the Manager

Other than traffic offences, the list of convictions for offences within the past five years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

Nil

GOH GEK HIANG (WU YUXIAN), 43

Singaporean (Female)

Non-Executive Non-Independent Director

- Bachelor of Arts in Political Science and Sociology, National University of Singapore, Singapore
- Master of Science in Real Estate, National University of Singapore, Singapore

Date of first appointment as a Director

5 June 2023

Length of service as a Director (as at 31 December 2023)

6 months

Board committees served on

Executive Committee (Member)

Present directorship of public company and listed issuer

Nil

Present principal commitments (other than directorships in other listed companies)

- CEO for Southeast Asia Investment of CapitaLand Investment Limited

Past directorship in other listed company held over the preceding three years

Nil

Background and working experience

- Managing Director for Southeast Asia of CapitaLand Investment Limited (From March 2022 to June 2023)
- Head of Group Investment of Frasers Property Limited (From February 2017 to February 2022)
- Head of Business Development for Investment & Leasing of Ascendas Fund Management (S) Ltd (From August 2005 to February 2017)

Conflict of interest or potential conflict of interest

- Nominee director of CapitaLand Investment Limited on the Board of the Manager, an indirect sole shareholder of the Manager

Other than traffic offences, the list of convictions for offences within the past five years and particulars of any public sanction or penalty imposed by the relevant regulatory bodies during the financial year

Nil

Save as disclosed above, none of the Directors have:

- any family relationship with any Director of the Manager and/or major Unitholder of CLMT; and
- any conflict of interest or potential conflict of interest with CLMT and its subsidiaries.

TRUST MANAGEMENT

TAN CHOON SIANG

Nationality: Singaporean (Male)
Chief Executive Officer and Executive Non-Independent Director

Choon Siang is the CEO of CMRM since 1 January 2022. He is responsible for leading the management team in the planning and execution of CLMT's overall growth and operational strategies. Please refer to his profile on page 23 of the Our Board of Directors section in CLMT Annual Report 2023.

SOON YEONG CHYAN, 54

Nationality: Malaysian (Male)
Chief Financial Officer

- Bachelor of Accounting, University of Malaya
- Chartered Accountant (Malaysia), Member of the Malaysian Institute of Accountants
- Member of the Malaysian Institute of Certified Public Accountants

Date of commencement

10 December 2019

Working Experience

Having started his career with Price Waterhouse, now known as PwC, Yeong Chyan has almost 30 years of experience in the field of audit as well as in leading and managing the full spectrum of finance functions of companies involved in various industries including plantation and integrated palm oil manufacturing; property development and investment; and investment holdings.

Responsibilities

Yeong Chyan leads the finance team and is responsible for CLMT's financial management functions including the financial and management reporting, taxation, budgeting, treasury and all other finance-related matters.

MATTHEW LOH WOEI LIEH, 41

Nationality: Malaysian (Male)
Head, Investment

- Master of Science (Real Estate Investment Finance), Oxford Brookes University, United Kingdom
- Bachelor of Commerce, Deakin University, Australia

Date of commencement

1 December 2009

Working Experience

Matthew began his career in corporate planning with one of Kuok Group's real estate companies in Malaysia. Subsequently, he joined Mapletree Investment and was stationed between Singapore and China for more than two years under the asset management department. He then joined CapitaLand Group and was involved in the listing of CLMT. He rose through the ranks and was appointed Head of Investment in 2021. Having participated actively in the raising of funds from capital market for acquisition of assets, he was also instrumental in CLMT's asset diversification strategy. Since then, Matthew has led the charge in acquisition of yield-accretive assets. He has more than 18 years of experience in the real estate industry covering financial feasibility study, due diligence, investment, valuation, capital structuring, strategic planning and regulatory compliance.

Responsibilities

Matthew is responsible for formulating and executing investment and divestment strategies to enhance CLMT's value creation. He leads the team in sourcing, evaluating, structuring, negotiating and executing suitable investment opportunities for CLMT.

MELAINE ONG SOOK MUN, 41

Nationality: Malaysian (Female)
Head, Portfolio Management

- Bachelor of Science (Accounting & Finance), London School of Economics & Political Science, United Kingdom

Date of commencement

26 December 2017

Working Experience

Melaine has more than 10 years of related experience in the real estate and REIT sectors. Prior to joining the Manager, she was with Hektar Asset Management Sdn. Bhd. and involved in various functions including corporate strategy, asset management, investor communications, public relations and risk management. Prior to her appointment as Head, Portfolio Management in 2023, Melaine was actively involved in the asset management of The Mines, Sungei Wang Plaza and 3 Damansara Property.

Responsibilities

Melaine heads the portfolio management function and is responsible for CLMT portfolio's asset formulation, performance optimisation and asset enhancement initiatives (AEIs). She leads a team to spearhead asset management plans, ensure successful deployment of AEIs and actively carry out financial gatekeeping aimed to maximise portfolio value and returns. Responsible for the valuation and capex optimisation of the portfolio, she also works closely with the retail team to provide financial leadership in asset plans.

JASMINE LOO PIK KWAN ABDULLAH, 45

Nationality: Malaysian (Female)
Head, Investor Relations & Sustainability

- Bachelor of Arts (English Language), University Putra of Malaysia

Date of commencement

1 October 2014

Working Experience

Jasmine began her career in advertising and media agencies having previous stints with several international agencies including Mindshare, Mediavest and Universal McCann. She then joined national English news agency – New Straits Times Press and subsequently, The Edge Communications with a primary focus on real estate-related issues and developments. Having been with the media industry for more than a decade, Jasmine moved on to establish the corporate communications function for United Malayan Land Berhad and Bolton Berhad (now known as Symphony Life Berhad). Armed with over 20 years of experience in corporate communications, media and investor relations, Jasmine recently helmed the Manager's sustainability portfolio in 2023.

Responsibilities

Jasmine heads the investor relations and sustainability functions and is responsible for building rapport and facilitating timely and effective communication with the media, investment and research community. She also drives the sustainability efforts for CLMT and works closely with the retail operations team in carrying out strategies and relevant activities, abiding by CapitaLand's sustainability framework and policies.

LEE PHAIK SAN, 36

Nationality: Malaysian (Female)
Compliance Officer

- LLB (Honours) Degree, University of Malaya
- Advocate & Solicitor, High Court of Malaya

Date of commencement

2 August 2021

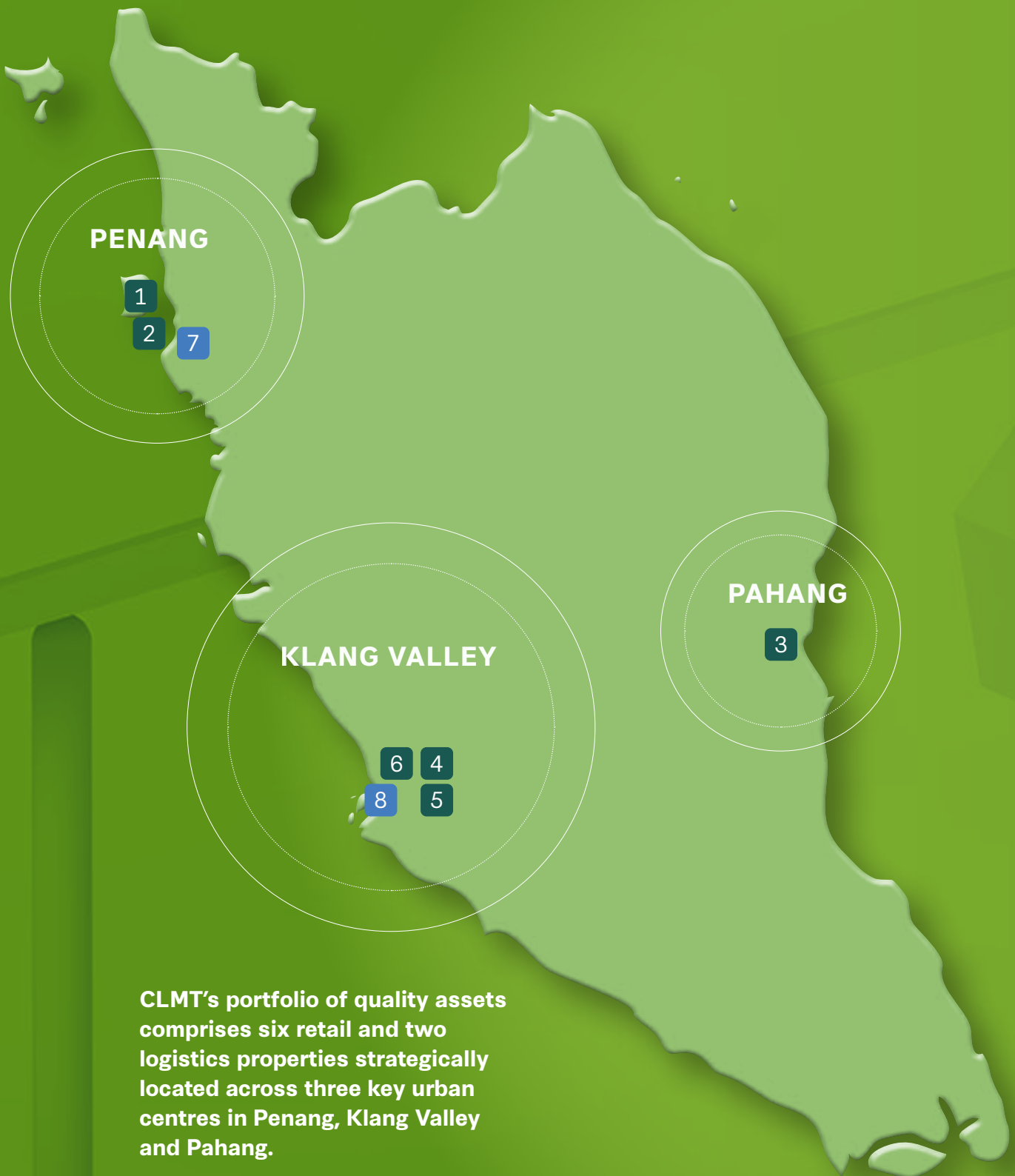
Working Experience

Having gained admission to the Malaysian Bar in 2010, Phaik San has more than 13 years of experience in the legal profession. She transitioned to an in-house legal counsel role in 2015 where she has contributed her expertise to various private limited and public listed corporations. Prior to her appointment as Compliance Officer in 2023, she was instrumental in CLMT's asset acquisition and financing advisory matters. To further enhance her proficiency and commitment as Compliance Officer, Phaik San has successfully completed the licensing modules of the Securities Commission of Malaysia.

Responsibilities

As the Compliance Officer and Legal Counsel of the Manager, Phaik San provides legal and compliance advisory services. She also handles litigation cases and facilitates seamless communication between the Board and management team on these aspects. She is responsible in ensuring the effective implementation of legal and compliance related policies and measures within CMRM.

PROPERTY OVERVIEW



PORTFOLIO DIVERSIFICATION

RETAIL

Outside Klang Valley

Klang Valley

LOGISTICS

1

Gurney Plaza



4

Sungei Wang Plaza



7

Valdor Logistics Hub



2

Queensbay Mall



5

The Mines



8

Glenmarie Distribution Centre



3

East Coast Mall



6

3 Damansara



PROPERTY DETAILS

GURNEY PLAZA

Strategically located along the popular Gurney Drive promenade in Penang, Gurney Plaza is situated in one of the prime real estate areas on the island. Opened in July 2001, the nine-storey Gurney Plaza has undergone regular asset enhancement initiatives and today, it is widely recognised as the leading premier regional lifestyle shopping mall in the Northern region, and the preferred destination for shopping, dining and entertainment under one roof catering to both locals and tourists.

Property Information

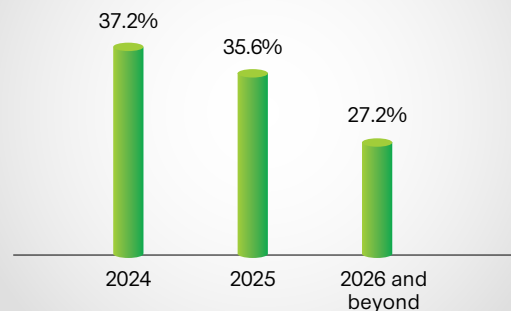
Centre Management Office
Lot No. 170-06-01, Level 6, Persiaran Gurney
10250 Penang, Malaysia
Tel: +60 4 222 8222
Fax: +60 4 228 6666
Website: www.gurneyplaza.com.my

Land Tenure	Freehold
Year of Completion	2001 ⁱ
Acquisition Date	14 July 2010 and 28 March 2011
Acquisition Price (RM million)	1,015.0 ⁱⁱ
Carpark Lots	1,836

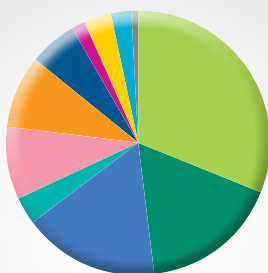
- i The completion of Gurney Plaza and Gurney Plaza Extension was in 2001 and 2008 respectively.
ii Equals to RM800.0 million for Gurney Plaza and RM215.0 million for Gurney Plaza Extension.



LEASE EXPIRY PROFILE (% OF GROSS RENTAL INCOME)

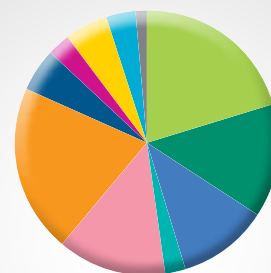


TRADE SECTOR ANALYSIS % OF GROSS RENTAL INCOME



Fashion/ Accessories	30.6	Electronics/I.T.	5.7
Food & Beverage	17.0	Supermarket & Hypermarket	1.5
Beauty/Health	17.7	Gifts/Specialty/ Books/Hobbies/ Toys/Lifestyle	3.2
Services	3.7	Houseware/ Furnishings	2.9
Leisure & Entertainment/ Sports & Fitness	8.7	Others	0.4
Department Store	8.6		

TRADE SECTOR ANALYSIS % OF NET LETTABLE AREA



Fashion/ Accessories	20.5	Electronics/I.T.	5.4
Food & Beverage	13.9	Supermarket & Hypermarket	2.7
Beauty/Health	10.9	Gifts/Specialty/ Books/Hobbies/ Toys/Lifestyle	5.0
Services	2.6	Houseware/ Furnishings	3.8
Leisure & Entertainment/ Sports & Fitness	13.3	Others	1.4
Department Store	20.5		

As at 31 December 2023	
Gross Floor Area (sq ft)	1,253,314
Net Lettable Area (sq ft)	889,859
Number of Committed Leases	387
Committed Occupancy (%)	99.2
Weighted Average Lease Expiry (years)	1.53
Appraised Value Conducted by Savills (Malaysia) Sdn. Bhd. (RM million)	1,690.0
Shopper Traffic (million)	18.1

Key Tenants

Parkson Elite • Mercato • Golden Screen Cinemas • Rolex • The Hour Glass • Omega • Hugo Boss • Coach Armani Exchange • Marks & Spencer • Padini Concept Store • JD Sports • Sports Direct & USC • Uniqlo Beauty in The Pot • Switch • senQ

Title Particulars	
Title	Gurney Plaza is erected on two (2) parcels of land under Geran 130393, Lot 5628 Seksyen 1 and H.S.(D) 17259, Lot 5626 Seksyen 1, both in Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang.
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	(FIRST GRADE) The land comprised in the title: i) shall not be affected by any provision of the National Land Code (Code) limiting the compensation payable on the exercise by the State Authority of a right of access or use conferred by Chapter 3 of Part Three of the Code or on the creation of a Land Administrator's right of way; and ii) subject to the implied condition that land is liable to be re-entered if it is abandoned for more than three years shall revert to the State only if the proprietor for the time being dies without heirs; and iii) the title shall confer the absolute right to all forest produce and to all oil, mineral and other natural deposits on or below the surface of the land (including the right to work or extract any such produce or deposit and remove it beyond the boundaries of the land).
Encumbrances	- H.S.(D) 17259, Lot 5626 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang - A lease over part of the land in favour of Parkson Corporation Sdn. Bhd. (Registration No. 157029-X) registered on 13 October 2004 vide presentation no. 0799SC2004029845 for a period of fifteen (15) years commenced on 3 August 2001 and expired on 2 August 2016. This lease has expired but it is still reflected on the land search report. - A charge by MTrustee Berhad (Registration No. 163032-V) as trustee in favour of Public Bank Berhad (Registration No. 64630-H) registered on 5 October 2011 vide presentation no. 0799SC2011034916. - Grant of an easement for a perpetual term registered on 5 October 2011 vide presentation no. 0799SC2011034874. - Grant of an easement for a perpetual term registered on 5 October 2011 vide presentation no. 0799SC2011034875. - Grant of an easement for a perpetual term registered on 5 October 2011 vide presentation no. 0799SC2011034876. - Grant of an easement for a perpetual term registered on 5 October 2011 vide presentation no. 0799SC2011034899. - Grant of an easement for a perpetual term registered on 5 October 2011 vide presentation no. 0799SC2011034900. - Grant of an easement for a perpetual term registered on 5 October 2011 vide presentation no. 0799SC2011034901. - Geran 130393, Lot 5628 Seksyen 1, Bandar George Town, Daerah Timor Laut, Negeri Pulau Pinang - Grant of an easement for a perpetual term registered on 13 September 2012 vide presentation no. 0799SC2012032585. - Grant of an easement for a perpetual term registered on 6 December 2012 vide presentation no. 0799SC2012045745.

PROPERTY DETAILS

QUEENSBAY MALL

Located in Bayan Lepas – the heart of the high-tech Free Industrial Zone along the southeastern shorefront of Penang island, Queensbay Mall is easily accessible given its location which enjoys close proximity to two bridge connections (Penang Bridge and Sultan Abdul Halim Muadzam Shah Bridge) as well as the Penang International Airport. It is a free-standing eight-storey shopping centre with a lower ground floor and a lower ground mezzanine comprising five floors of retail space and car parks.

As one of the largest shopping malls on Penang island, Queensbay Mall houses international and home-grown brands including fashion, lifestyle, dining, entertainment, sports, electronics, home furnishing and a department store.



Property Information

Centre Management Office (for CLMT strata parcels only)
Lot 1F-78, Queensbay Mall, 100 Persiaran Bayan Indah
11900 Bayan Lepas, Pulau Pinang
Tel: +60 4 646 8888 / 619 8999
Fax: +60 4 646 4848
Website: www.queensbaymallmalaysia.com

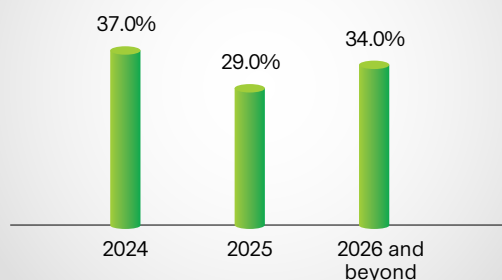
Land Tenure Freehold

Year of Completion 2006

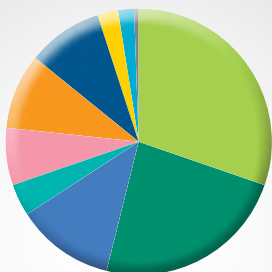
Acquisition Date 21 March 2023

Acquisition Price 990.5
(RM million)

LEASE EXPIRY PROFILE (% OF GROSS RENTAL INCOME)

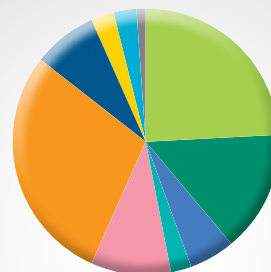


TRADE SECTOR ANALYSIS % OF GROSS RENTAL INCOME



Fashion/Accessories	30.5	Electronics/I.T.	9.1
Food & Beverage	23.6	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	2.5
Beauty/Health	11.8	Houseware/Furnishings	2.1
Services	4.0	Others	0.4
Leisure & Entertainment/Sports & Fitness	6.9		
Department Store	9.1		

TRADE SECTOR ANALYSIS % OF NET LETTABLE AREA



Fashion/Accessories	24.2	Electronics/I.T.	7.7
Food & Beverage	14.8	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	2.7
Beauty/Health	5.5	Houseware/Furnishings	2.9
Services	2.7	Others	0.9
Leisure & Entertainment/Sports & Fitness	9.5		
Department Store	29.1		

As at 31 December 2023	
Gross Floor Area (sq ft)	927,171 ⁱ
Net Lettable Area (sq ft)	883,518
Number of Committed Leases	320
Committed Occupancy (%)	99.3
Weighted Average Lease Expiry (years)	1.60
Appraised Value Conducted by Savills (Malaysia) Sdn. Bhd. (RM million)	1,081.4
Shopper Traffic (from 21 March 2023) (million)	11.7

Key Tenants

Aeon • Uniqlo • Padini Concept Store • Harvey Norman • Golden Screen Cinemas • Brands Outlet • H&M • Bata Sephora • Puma • Maxis • G2000 • Adidas • Canton-i • Dragon-i • Haidilao Hot Pot • Forever 21 • Adidas

ⁱ Represents approximately 91.8% of the total strata floor area of retail parcels of Queensbay Mall.

Title Particulars	
Title	Queensbay Mall is held under four hundred and thirty-eight (438) strata titles and erected on master title under Geran 97433, Lot 15736, Mukim 12, Daerah Barat Daya, Negeri Pulau Pinang.
Tenure	Freehold
Restrictions-in-Interest	This land shall not be transferred, charged, leased, subleased or done with any dealings without the prior written approval of the State Authority.
Express Conditions	For commercial purposes only.
Encumbrances	438 Strata Titles (i) private caveat is lodged on four hundred and thirty-three (433) strata titles by CIMB Bank Berhad (Registration No. 197201001799 (13491-P)) registered on various dates in 2023 vide various presentation numbers; (ii) private caveat is lodged on five (5) strata titles by MTrustee Berhad (Registration No. 198701004362 (163032-V)) registered on various dates in 2023 vide various presentation numbers; (iii) four hundred and thirty-three (433) strata titles are charged in favour of CIMB Bank Berhad (Registration No. 197201001799 (13491-P)) registered on various dates in 2023 vide various presentation number.

PROPERTY DETAILS

EAST COAST MALL

Strategically located in the heart of Kuantan's city centre in Pahang – the third largest state in Malaysia, East Coast Mall is a four-storey shopping mall with one level of basement and car parks located on the rooftop, third floor, ground and basement levels.

Located within the Putra Square development, which also comprises Zenith Hotel, Menara Zenith as well as the Sultan Ahmad Shah International Convention Centre, East Coast Mall is within a walking distance from other local attractions and amenities such as the Darul Makmur Stadium and the Kuantan Urban Transformation Centre. It is also recognised as the leading mall in Kuantan with its established mix of domestic and international retailers. Besides local patronage, East Coast Mall also attracts shoppers from towns within the neighbouring states of Terengganu and Kelantan, and tourists visiting the East Coast of Peninsular Malaysia.

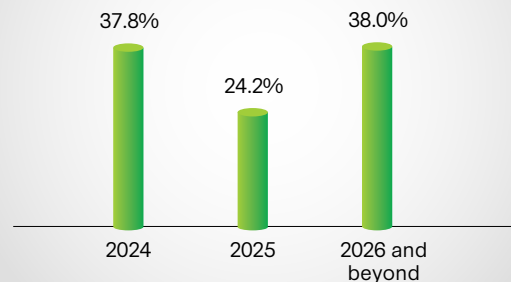


Property Information

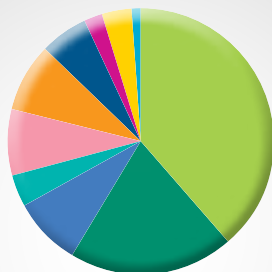
Centre Management Office, Lot L3-01A, Level 3,
Jalan Putra Square 6, Putra Square
25200 Kuantan, Pahang Darul Makmur, Malaysia
Tel: +60 9 565 8688
Fax: +60 9 565 8699
Website: www.eastcoastmall.com.my

Land Tenure	Leasehold interest for 99 years expiring on 18 December 2106
Year of Completion	2008
Acquisition Date	14 November 2011
Acquisition Price (RM million)	310.0
Carpark Lots	1,101

LEASE EXPIRY PROFILE (% OF GROSS RENTAL INCOME)

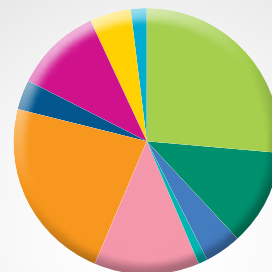


TRADE SECTOR ANALYSIS % OF GROSS RENTAL INCOME



Fashion/Accessories	38.7	Electronics/I.T.	6.0
Food & Beverage	20.0	Supermarket & Hypermarket	2.1
Beauty/Health	8.5	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	3.5
Services	3.9	Houseware/Furnishings	1.1
Leisure & Entertainment/Sports & Fitness	7.9		
Department Store	8.3		

TRADE SECTOR ANALYSIS % OF NET LETTABLE AREA



Fashion/Accessories	26.5	Electronics/I.T.	3.5
Food & Beverage	11.8	Supermarket & Hypermarket	10.7
Beauty/Health	4.2	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	5.1
Services	1.3	Houseware/Furnishings	1.7
Leisure & Entertainment/Sports & Fitness	12.6		
Department Store	22.6		

As at 31 December 2023	
Gross Floor Area (sq ft)	1,063,097 ⁱ
Net Lettable Area (sq ft)	467,453
Number of Committed Leases	200
Committed Occupancy (%)	98.7
Weighted Average Lease Expiry (years)	1.56
Appraised Value Conducted by PPC International Sdn. Bhd. (RM million)	608.0
Annual Shopper Traffic (million)	8.7

Key Tenants

Parkson • Golden Screen Cinemas • Uniqlo • Padini Concept Store • Aeon Big • Max • JD Sports • Guess Tommy Hilfiger • Calvin Klein • Toys'R'Us • Babyshop • Mothercare • Kiehl's • L'Occitane

ⁱ Inclusive of the car park area as required by the authorities in Kuantan.

Title Particulars	
Title	East Coast Mall is erected on the land held under H.S.(D) 28468, PT. 92050, Bandar Kuantan, Daerah Kuantan, Negeri Pahang Darul Makmur
Tenure	Leasehold interest for 99 years expiring on 18 December 2106.
Restrictions-in-Interest	This land shall not be transferred, leased or charged save with the prior written approval of the State Authority.
Express Conditions	This land shall be used as a commercial building only.
Encumbrances	A lease over part of the land in favour of Tenaga Nasional Berhad (Registration no. 199001009294 (200866-W)) registered on 2 December 2022 vide presentation no. 14336/2022 for a period of thirty (30) years commencing on 1 June 2020 and expiring on 31 May 2050.

PROPERTY DETAILS

SUNGEI WANG PLAZA

Sungei Wang Plaza, which translates as 'the river of gold', opened in 1977 and is one of the most popular shopping centres in Kuala Lumpur's prime shopping and commercial precinct – the 'Golden Triangle' – an area that comprises three bordering streets, namely Jalan Bukit Bintang, Jalan Sultan Ismail and Jalan Imbi.

A one-stop shopping centre 'for all kinds of everything', the 11-storey Sungei Wang Plaza is well-known for its unique blend of specialty stores, entertainment outlets that appeals to the mass market, with vibrant and energetic lifestyle zones catering to the young and young-at-heart shoppers. Being strategically located in the Bukit Bintang shopping precinct, it also commands strong patronage from local and international tourists.



Property Information

Centre Management Office (for CLMT strata parcels only)
Lot No. 6F-111, Level 6 (SWP Box No. 129)
Jalan Sultan Ismail, 55100 Kuala Lumpur, Malaysia
Tel: +60 3 2117 0288
Fax: +60 3 2117 0388
Website: www.sungeiwang.com

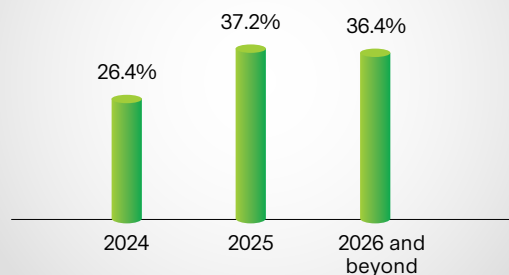
Land Tenure Freehold

Year of Completion 1977

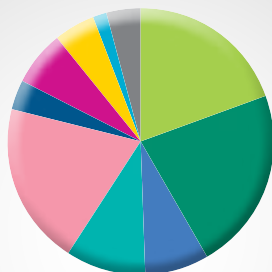
Acquisition Date 14 July 2010

Acquisition Price 724.0
(RM million)

LEASE EXPIRY PROFILE (% OF GROSS RENTAL INCOME)

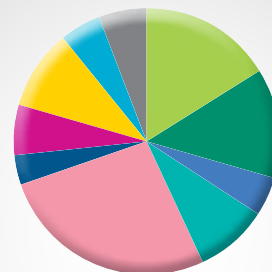


TRADE SECTOR ANALYSIS % OF GROSS RENTAL INCOME



Fashion/Accessories	19.5	Electronics/I.T.	3.5
Food & Beverage	22.3	Supermarket & Hypermarket	6.8
Beauty/Health	7.9	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	4.9
Services	9.6	Houseware/Furnishings	1.7
Leisure & Entertainment/Sports & Fitness	19.8	Others	4.0

TRADE SECTOR ANALYSIS % OF NET LETTABLE AREA



Fashion/Accessories	16.3	Electronics/I.T.	3.7
Food & Beverage	13.3	Supermarket & Hypermarket	6.3
Beauty/Health	4.8	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	9.5
Services	8.8	Houseware/Furnishings	5.1
Leisure & Entertainment/Sports & Fitness	26.5	Others	5.7

As at 31 December 2023	
Gross Floor Area (sq ft)	511,103 ⁱ
Net Lettable Area (sq ft)	414,216
Number of Committed Leases	169
Committed Occupancy (%)	87.2
Weighted Average Lease Expiry (years)	1.71
Appraised Value Conducted by PPC International Sdn. Bhd. (RM million)	430.0
Annual Shopper Traffic (million)	16.6

Key Tenants:

Giant • Camp 5 • Sport Planet • Taste of Asia • Original Classic • Ocean Sports • MinNature Malaysia
Nose • Refash • NAE Kitchenette

ⁱ Equal to 47,483 sq m, representing approximately 61.9% of the total strata floor area of retail parcels of Sungei Wang Plaza.

Title Particulars	
Title	Sungei Wang Plaza is held under two hundred and five (205) strata titles and erected on master title Geran 11043, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur.
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	For commercial purposes only.
Encumbrances	205 Strata Titles (i) the whole of the parcel of strata title Geran 11043/M1/3/312 is leased in favour of Premier Honour Sdn. Bhd. (Registration No. 653322-W) registered on 26 March 2012 vide presentation no. PDSC9564/2012 for a period of thirty (30) years commenced on 31 August 2008 and expiring on 30 August 2038.ⁱ (ii) two (2) easements for a perpetual term registered on the strata title bearing Geran 11043/M1/B1/11, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur all registered on 5 November 2020 vide presentation nos. PDSC32847/2020 and PDSC32845/2020 respectively (iii) one (1) easement for a perpetual term registered on the strata title bearing Geran 11043/M1/6/673, Lot 1197 Seksyen 67, Bandar Kuala Lumpur, Daerah Kuala Lumpur, Wilayah Persekutuan Kuala Lumpur registered on 5 November 2020 vide presentation no. PDSC32846/2020

ⁱ This lease has been terminated and is pending de-registration.

PROPERTY DETAILS

3 DAMANSARA

3 Damansara is a four-storey shopping mall that is strategically located at the intersection of two major highways, being the Sprint Highway and Lebuhraya Damansara Puchong Highway, making it easily accessible from Kuala Lumpur and various parts of Petaling Jaya.

As a niche community mall within an integrated development, 3 Damansara is well positioned to serve the residents from the surrounding established mix of high density and affluent landed residential estates as well as the neighbouring office catchment.



Property Information

Centre Management Office
Lot B3-01, Basement B3, No. 3, Jalan SS20/27
47400 Petaling Jaya,
Selangor Darul Ehsan, Malaysia
Tel: +60 3 7663 2888
Fax: +60 3 7663 2899
Website: www.threedamansara.com/en/

Land Tenure Freehold

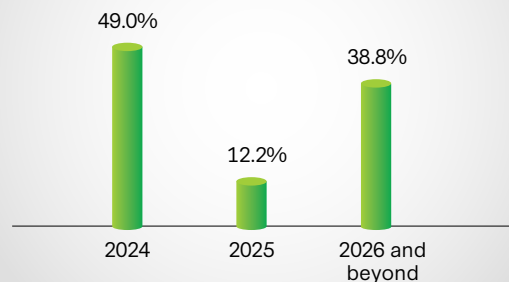
Year of Completion 2008

Acquisition Date 10 July 2015

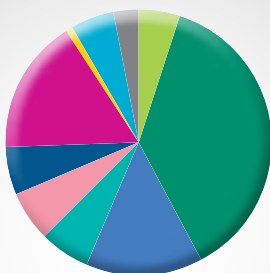
Acquisition Price 475.0
(RM million)

Carpark Lots 1,759

LEASE EXPIRY PROFILE (% OF GROSS RENTAL INCOME)

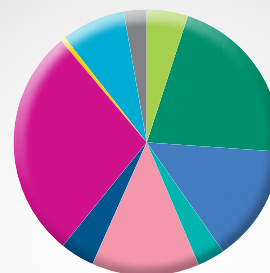


TRADE SECTOR ANALYSIS % OF GROSS RENTAL INCOME



Fashion/ Accessories	5.1	Electronics/I.T.	5.7
Food & Beverage	37.2	Supermarket & Hypermarket	16.5
Beauty/Health	14.3	Gifts/Specialty/ Books/Hobbies/ Toys/Lifestyle	0.7
Services	6.2	Houseware/ Furnishings	5.4
Leisure & Entertainment/ Sports & Fitness	6.0	Others	2.9

TRADE SECTOR ANALYSIS % OF NET LETTABLE AREA



Fashion/ Accessories	5.3	Electronics/I.T.	4.1
Food & Beverage	20.9	Supermarket & Hypermarket	28.2
Beauty/Health	14.2	Gifts/Specialty/ Books/Hobbies/ Toys/Lifestyle	0.6
Services	3.4	Houseware/ Furnishings	7.6
Leisure & Entertainment/ Sports & Fitness	13.0	Others	2.7

As at 31 December 2023	
Gross Floor Area (sq ft)	639,477
Net Lettable Area (sq ft)	468,911
Number of Committed Leases	103
Committed Occupancy (%)	78.8
Weighted Average Lease Expiry (years)	1.36
Appraised Value Conducted by Henry Butcher Malaysia Sdn. Bhd. (RM million)	415.0
Annual Shopper Traffic (million)	4.1

Key Tenants:

NSK Grocer • Esquire Kitchen • Kingdom Palace Restaurant • Mr. DIY • Fancier • Rakuzen • Nando's • TBM Sushihan • Golden Screen Cinemas

Title Particulars	
Title	3 Damansara is held under three (3) strata titles Geran 54431/M1/B4/2, Geran 54431/M1-C/1/605 and Geran 54431/M1-C/1/606, all in Lot 45821 Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor Darul Ehsan and erected on master title Geran 54431, Lot 45821 Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor Darul Ehsan.
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	Commercial Building
Encumbrances	3 Strata Titles (i) strata title Geran 54431/M1/B4/2, Lot 45821 Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor Darul Ehsan is charged in favour of CIMB Bank Berhad (Registration No. 13491-P) registered on 21 November 2018 vide presentation no. 002SC57229/2018 (ii) strata title Geran 54431/M1-C/1/605, Lot 45821 Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor Darul Ehsan is charged in favour of CIMB Bank Berhad (Registration No. 197201001799) registered on 14 December 2023 vide presentation no. 00SC133927/2023 (iii) strata title Geran 54431/M1-C/1/606, Lot 45821 Seksyen 39, Bandar Petaling Jaya, Daerah Petaling, Negeri Selangor Darul Ehsan is charged in favour of CIMB Bank Berhad (Registration No. 197201001799) registered on 14 December 2023 vide presentation no. 00SC133927/2023

PROPERTY DETAILS

THE MINES

The Mines, well-known for its Venetian-like internal water canal, is located at the south of the federal district of Kuala Lumpur in Seri Kembangan town centre. The five-storey suburban family mall is linked to the Mines International Exhibition & Convention Centre, Mines Beach Resort and The Mines Resort & Golf Club, and targeted at residents residing and working in the southern region of Kuala Lumpur and Selangor.

The Mines underwent an asset enhancement exercise in 2008-2009 which involved the creation of an extension wing and a dedicated drop-off area for the convenience of shoppers. It offers a wide variety of retail, IT digital, food and beverage, homewares and family entertainment options.

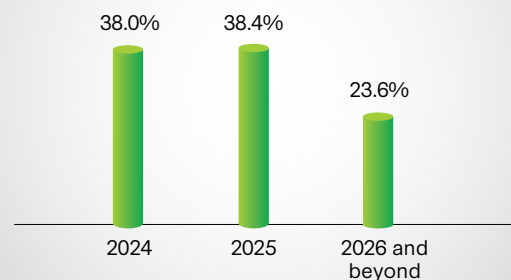
Property Information

Centre Management Office
Box No. 228, Level 4 Centre Management Office
The Mines, Jalan Dulang, MINES Resort City
43300 Seri Kembangan
Selangor Darul Ehsan, Malaysia
Tel: +60 3 8949 6288
Fax: +60 3 8949 6388
Website: capitaland.com/my/malls/the-mines/en

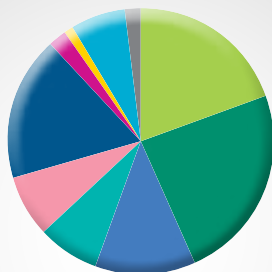
Land Tenure	Leasehold interest for 99 years expiring on 20 March 2091
Year of Completion	1997
Acquisition Date	14 July 2010
Acquisition Price (RM million)	530.0
Carpark Lots	1,282



LEASE EXPIRY PROFILE (% OF GROSS RENTAL INCOME)

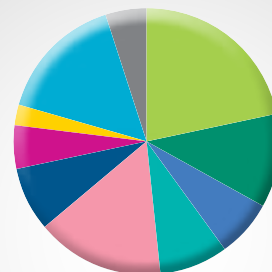


TRADE SECTOR ANALYSIS % OF GROSS RENTAL INCOME



Fashion/Accessories	19.6	Electronics/I.T.	17.7
Food & Beverage	24.0	Supermarket & Hypermarket	2.0
Beauty/Health	12.1	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	1.3
Services	7.4	Houseware/Furnishings	6.6
Leisure & Entertainment/Sports & Fitness	7.5	Others	1.8

TRADE SECTOR ANALYSIS % OF NET LETTABLE AREA



Fashion/Accessories	21.7	Electronics/I.T.	8.0
Food & Beverage	11.4	Supermarket & Hypermarket	5.1
Beauty/Health	7.0	Gifts/Specialty/Books/Hobbies/Toys/Lifestyle	2.7
Services	8.3	Houseware/Furnishings	15.4
Leisure & Entertainment/Sports & Fitness	15.5	Others	4.9

As at 31 December 2023	
Gross Floor Area (sq ft)	1,150,798
Net Lettable Area (sq ft)	734,131
Number of Committed Leases	247
Committed Occupancy (%)	80.0
Weighted Average Lease Expiry (years)	1.43
Appraised Value Conducted by PPC International Sdn. Bhd. (RM million)	661.0
Annual Shopper Traffic (million)	8.1

Key Tenants

TGV Cinemas • Dees • Lotus's • Starbucks Coffee • Watsons • Switch • Tewah • Mr. DIY • Celebrity Fitness
Kenny Rogers Roasters

Title Particulars	
Title	The Mines is erected on the land held under H.S.(D) 59894, No. PT. 16722, Mukim Petaling, Daerah Petaling, Negeri Selangor Darul Ehsan
Tenure	Leasehold interest for 99 years expiring on 20 March 2091
Restrictions-in-Interest	The land cannot be transferred, leased or charged without the prior consent of the State Authority.
Express Conditions	Commercial building
Encumbrances	i) Grant of an easement for a perpetual term registered on 15 December 2009 vide presentation no. 001SC117530/2009. ii) A charge by Mtrustee Berhad, (Registration No. 16032-V) as trustee to Malaysian Trustees Berhad (Registration No. 197501000080(21666-V)) registered on 3 August 2023 vide presentation no. 001SC67565/2023

PROPERTY DETAILS

VALDOR LOGISTICS HUB

Strategically located in one of Penang's key industrial hubs, Valdor Logistics Hub enjoys easy accessibility due to its close proximity to Batu Kawan Industrial Park and is well-connected to the North-South Highway and Penang Second Bridge.

Valdor Logistics Hub comprises a single-storey warehouse annexed to a double-storey office building, two single-storey detached warehouses and other ancillary buildings. It is currently leased to tenants from logistics trade sector.

Property Information

No. 1564, Mukim 12, Jalan Nafiri,
Kawasan Perindustrian Valdor, Sungai Jawi,
14200 Pulau Pinang.

Land Tenure	Freehold
Year of Completion	Building 1 and 2: 2007 Building 3: 2014
Acquisition Date	14 December 2022
Acquisition Price (RM million)	80.0

As at 31 December 2023

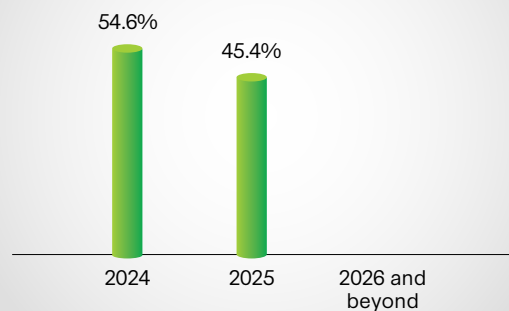
Gross Floor Area/Net Lettable Area (sq ft)	335,000
Number of Committed Leases	2
Committed Occupancy (%)	100
Weighted Average Lease Expiry (years)	1.19
Appraised Value Conducted by PPC International Sdn. Bhd. (RM million)	82.0

Key Tenants

MMP Logistic Sdn. Bhd. • Prismma Express Sdn. Bhd.



LEASE EXPIRY PROFILE (% OF GROSS RENTAL INCOME)



Title Particulars

Title	Valdor Logistics Hub is erected on two (2) parcels of land held under GM 448, Lot 1628, and GM 450, Lot 1630, both in Mukim 12, Tempat Ladang Valdor, Daerah Seberang Perai Selatan, Negeri Pulau Pinang.
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	(FIRST GRADE) The land comprised in the title: i) Shall not be affected by any provision of the National Land Code limiting the compensation payable on the exercise by the State Authority of a right of access or use conferred by Chapter 3 of Part Three of the Code or on the creation of a Land Administrator's right of way; and ii) Subject to the implied condition that land is liable to be re-entered if it is abandoned for more than three years, shall revert to the State only if the proprietor for the time being dies without heirs; and iii) The title shall confer the absolute right to all forest produce and to all oil, mineral and other natural deposits on or below the surface of the land (including the right to work or extract any such produce or deposit and remove it beyond the boundaries of the land).
Encumbrances	i) A private caveat by CIMB Bank Berhad (Registration No. 197201001799 (13491-P)) registered on 10 April 2023 vide presentation no. 0703B2023000343. ii) A charge by MTrustee Berhad (Registration No. 198701004362 (163032-V)) as trustee in favour of CIMB Bank Berhad (Registration No. 197201001799 (13491-P)) registered on 19 April 2023 vide presentation no. 0703SC2023000708.

GLENMARIE DISTRIBUTION CENTRE

Located at the Hicom-Glenmarie Industrial Park in Shah Alam, Klang Valley, a region known for its large concentration of logistics facilities and distribution centres, Glenmarie Distribution Centre is a single-storey detached warehouse with an annexed three-storey office building that enjoys excellent connectivity to major transport hubs such as Port Klang and the Kuala Lumpur International Airport via the North Klang Valley Expressway, ELITE Expressway, Guthrie Corridor Expressway and Federal Highway.

Glenmarie Distribution Centre is currently undergoing a retrofitting exercise to convert the conventional warehouse into an ambient temperature-controlled distribution centre with green amenities. The lease will commence upon the completion of the retrofitting exercise in 2024.

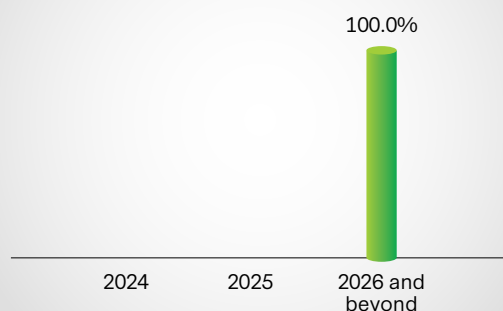
Property Information

No. 5 & 7, Jalan Jurunilai U1/20, Hicom-Glenmarie Industrial Park, Seksyen U1, 40150 Shah Alam, Selangor Darul Ehsan

Land Tenure	Freehold
Year of Completion	1996
Acquisition Date	29 August 2023
Acquisition Price (RM million)	RM39.7 million



LEASE EXPIRY PROFILE (% OF GROSS RENTAL INCOME)



As at 31 December 2023

Gross Floor Area/Net Lettable Area (sq ft)	85,104
Number of Committed Lease	1
Committed Occupancy (%)	100
Weighted Average Lease Expiry (years)	10.01
Appraised Value Conducted by PPC International Sdn. Bhd. (RM million)	41.2

Key Tenant

Single tenant in logistics trade sector

Title Particulars

Title	Glenmarie Distribution Centre is erected on the land held under Geran 215178, Lot 61783, Bandar Glenmarie, Daerah Petaling, Negeri Selangor Darul Ehsan.
Tenure	Freehold
Restrictions-in-Interest	Nil
Express Conditions	Industry
Encumbrances	Nil

MARKETING & PROMOTIONS

DIGITAL MARKETING

CAPITASTAR

CapitaLand malls organised reward campaigns via the CapitaStar platform during festive seasons to entice members to spend and boost tenant sales.

For Chinese New Year period, CapitaStar members were rewarded with Huat Huat E-angpou and Ong Ong CashBack STARVouchers with minimum spending at the Klang Valley and outstation malls respectively.

During the Hari Raya festivities, shoppers were rewarded with Mesra E-Duit Raya STARVouchers upon collecting five stamps at Gurney Plaza, Queensbay Mall and East Coast Mall. Meanwhile, those that frequent the Klang Valley malls were rewarded with Meriah Raya Cashback STARVouchers upon minimum spending.

CapitaLand announced the cessation of CapitaStar Rewards Programme in Malaysia from 18 December 2023. The retirement of the programme will enable CapitaLand malls to focus efforts on creating more exciting experiences for our customers, which include forging partnerships with existing retail ecosystem to engage shoppers and increase footfall.

2) Partnership with airasia ride

- a) CapitaLand partnered with airasia ride, the e-hailing platform of airasia Superapp, to encourage shoppers to visit selected malls until 30 June 2024. Shoppers can enjoy discounted rides using designated promo codes when commuting to and from 3 Damansara, The Mines, Gurney Plaza and Queensbay Mall through the airasia Superapp.



3) Partnership with Touch 'n Go eWallet

- a) CapitaLand is the first mall operator to partner with TNG Digital Sdn. Bhd. to offer a portfolio-wide cashback campaign to reward shoppers in Malaysia. From 27 October 2023 to 26 April 2024, shoppers who spend a minimum of RM100 in a single receipt using Touch 'n Go eWallet at any of the participating retailers in CapitaLand malls will be rewarded with a randomised cashback voucher.



STRATEGIC PARTNERSHIP

CapitaLand established partnerships with well-known brands focused on targeted tactical campaigns to capture audience.

1) Partnership with Hawley & Hazel

For the second consecutive year partnership with Hawley & Hazel, a giveaway of over 8,500 units of toothpaste for shoppers that spent a minimum of RM30 in a single receipt between 1 July to 31 December 2023. Several self-service contactless redemption vending machines were placed at Gurney Plaza, East Coast Mall, The Mines and Sungei Wang Plaza.



GURNEY PLAZA

A PROSPEROUS VOYAGE

一帆风顺 is a Chinese expression which translates to smooth sailing. Embracing this sentiment, Gurney Plaza welcomed the auspicious Lunar New Year with the theme of "A Prosperous Voyage". Shoppers were greeted by a 38-foot-tall Ming-inspired Treasure Fleet in the heart of Gurney Plaza. The grand centrepiece depicted a magnificent traditional Chinese pier that was accompanied by 18 rabbits and windmills.



LOVE FLOWS WHERE GREEN GOES

In conjunction with Earth Hour and World Environmental Day, 'Love Flows Where Green Goes' campaign at Gurney Plaza aimed to create awareness on sustainable future and nurturing "green" mindset. Gurney Plaza extension wing was transformed into a "Greentopia" by presenting a plant market and Serendipity Art Exhibition which showcased 43 students from Yeow Chye Art Studio. There were also planter painting and plant potting workshops for Capitastar members whereby members may redeem the workshop entry tickets using STAR\$.



SOWILD ARTS MEET CONSERVATION

Gurney Plaza teamed up with gifted painter and well-known wildlife conservation artist, Christine Das, for the SoWild Arts Meet Conservation workshops where

children learnt about wildlife at the approximately 800 sq ft Art Safari play area on Level 3 which features a reading nook, indoor play zone, doodling corner and educational toys.



ECO-FRIENDLY CHRISTMAS ENHANCEMENT

Gurney Plaza embraced the spirit of sustainability in collaboration with Kiehl's for an enchanted Christmas celebration. The centrepiece of the eco-friendly endeavour is a 30ft tall Christmas tree made from recycled materials and sustainable production methods.

To encourage sustainable practices among shoppers, Gurney Plaza launched the "Recycle and Be Rewarded" campaign in collaboration with Kiehl's. Shoppers that returned empty bottles at the recycling station earned exclusive Kiehl's rewards and complimentary gifts.



MARKETING & PROMOTIONS

QUEENSBAY MALL

Queensbay Mall's marketing and promotional activities were organised through Queensbay Mall Management Corporation (QBMMC).

SENANDUNG AIDILFITRI

The award-winning Senandung Aidilfitri festive campaign is one that was filled with love, share and care. From elegant Malay dance performances and sounds of traditional music from various states of Malaysia performed by the Dewan Budaya, University Sains Malaysia, the Centre Stage was transformed to a grand depiction of traditional courtyard of elite noblemen of the past. A Majlis Berbuka Puasa was also held on 30 March 2023 where 30 children from Pusat Jagaan Inapan Kasih Sayang were treated to a wonderful evening at Queensbay Mall.



VOGUE FOR VIRTUE 2023 - RE:SET

Queensbay Mall's Vogue for Virtue charity event returns in 2023. A sum of RM8,000 was channelled to The National Autism Society of Malaysia, Penang Deaf Association and House of Hope signifying its commitment to building a better future for underprivileged children. The fashion showcase featured Uniqlo, Forever 21, HLA, Eichitoo, Bonia, Adidas, Puma, Timberland, Quicksilver Roxy, New Era, Love Bonito, Iora & TRT. Other event partners are Bath & Body Works, Dressing Paula, Chicco, Nars, Havaianas, Lego, PICO and HWC Coffee.



▲ Cheque presentation ceremony to The National Autism Society of Malaysia, Penang Deaf Association and House of Hope.

WANDERLUST ODYSSEY

An enchanting spectacle, "Wanderlust Odyssey," transformed the mall's Centre Atrium into a cosmic wonderland for the festive season. The immersive experience invites shoppers to travel on an imaginative journey through an endless galaxy, adorned with crystalised stars, swirling balls, and towering structures in captivating blue, silver, and white tones. Residents of Cheshire Home Penang performed Christmas carols that led to a heartwarming touch in support of differently-abled residents. The Q-Kids club members enjoyed Santa Claus candies giveaways, astronaut stilt walkers, balloonists, and workshops. The annual Snow Shower schedule completed the mesmerising holiday experience.



▲ Shoppers in heightened excitement during snow shower while they journeyed through Wanderlust Odyssey.

EAST COAST MALL

DISNEY 100 YEARS OF WONDER POP-UP STORE @ EAST COAST MALL

In conjunction with Parents' Day and the school holidays, East Coast Mall orchestrated a captivating array of activities, creating an immersive experience for shoppers. The celebration of the Disney 100 Years of Wonder Pop-up Store added an extra layer of magic to the joyous school holiday season. Shoppers were delighted by the Disney 100 Years of Wonder Pop-up Store boasting a vast array of over 500 of the latest Disney merchandise that offered an exciting adventure for visitors of all ages.

The setup featured an entrance arch adorned with nostalgic memories of Mickey. A walkway transported visitors through the rich and storied history of Disney. The grand stage, reminiscent of classic cinemas from a bygone era, serves as a focal point, hosting timeless scenes and providing a perfect backdrop for capturing cherished memories with a life-sized Mickey.



▲ Children and parents were immersed in the Disney 100 Years of Wonder Pop-up Store during the school holidays.

SUPPORT LOKAL: EAST COAST TEXTILE CRAFT FESTIVAL & WOOD AND LIFESTYLE FAIR

(a) Festival Kraf Tekstil Pantai Timur



▲ Shoppers enjoyed the craft painting workshop at the East Coast Textile Craft Festival.

Organised by the East Coast Textile Craft Festival (FKTPT), the festival featured diverse local textile craft products such as batik, songket, and Royal Pahang Weaving from 75 craft entrepreneurs mainly from Kelantan, Terengganu and Pahang. Other activities in conjunction with the festival included 'Ini Batik Malaysia' and 'Let's Enter the National Craft Institute' exhibitions, and the Royal Pahang Weaving Skills Institute exhibition. Various craft demonstrations and interactive sessions took place to provide insight into the meticulous process of crafting these art pieces.

(b) Wood and Lifestyle Fair

In conjunction with the Merdeka celebration, the Malaysian Timber Industry Board (MTIB) organised the Wood and Lifestyle Fair. The fair featured participation from Kuala Lumpur, the East Coast and Johor, and was designed to impart substantial knowledge to entrepreneurs, particularly among the small and medium enterprise sector. Meanwhile, visitors were able to have better appreciation on the diverse applications of timber and wood products, presenting them as viable choices for home and office decorations.

MAGICAL CHRISTMAS @ EAST COAST MALL

East Coast Mall was magically transformed into a grand circus spectacle. Shoppers were enchanted by a giant elephant and giraffe, welcoming them to a Magical Christmas. Apart from the festive display that offered plenty of insta-worthy memories, shoppers also immersed themselves in enchanting performances and exciting activities such as the Magical Christmas Dance Show, Clown Appearances, Santa Claus Meet & Greet, Snowy Christmas, and a Magic Show. Other activities include exclusive redemptions, Magical Christmas Treats and lucky draws.



▲ Magical snowy moments with our dancers, Santa, and shoppers.

MARKETING & PROMOTIONS

SUNGEI WANG PLAZA

Sungei Wang Plaza's marketing and promotional activities were organised through Sungei Wang Plaza Management Corporation (SWPMC).

DIDI & FRIENDS SCHOOL HOLIDAY EDITION IN SUNGEI WANG PLAZA

Sungei Wang Plaza welcomed families and young fans with open arms during the lively and entertaining event "Didi & Friends School Holiday Edition in Sungei Wang Plaza!" Live stage performances featuring the characters of Didi & Friends, were a major highlight of the event. Children and parents gathered around the stage to enjoy lively musical performances, dance-along sessions, and interactive storytelling. The infectious energy of the characters and their engaging performances filled the air with excitement, creating a memorable experience for everyone present.



▲ Children and parents enjoyed live stage performances brought by the famous characters, -Didi & Friends.

MY BIG SHOW A.I.23

The MY FM Big Show A.I.23 at Sungei Wang Plaza was an electrifying and star-studded event that captivated the hearts of music enthusiasts in Kuala Lumpur. Organised by the popular radio station MY FM, the event brought together 28 international and local renowned artists from Hong Kong, Taiwan, China and Malaysia.



▲ Concert ticket giveaway activity at Sungei Wang Plaza.

FUN UNDER THE MOON



▲ Sungei Wang Plaza's annual signature Mid-Autumn Festival features the largest lantern parade in Bukit Bintang.

Sungei Wang Plaza's signature annual Mid-Autumn Festival in 2023 was themed "Fun Under the Moon". The mall was adorned with "Malaysia's Largest Inflatable Moon" as certified by The Malaysia Book of Records, accompanied by sparkling LED stars. Sungei Wang Plaza's lantern parade, the largest lantern parade in Bukit Bintang, was graced by Yang Amat Berhormat Fong Kui Lun, Member of Parliament of Bukit Bintang. Thousands of shoppers and tourists lined the street of Bukit Bintang to witness the captivating lantern parade which stretched a kilometre long. Participants of all ages carried beautifully crafted lanterns, illuminating the night with a myriad of colours and designs. Traditional performances including dragon dances and cultural displays added to the event's festive atmosphere.

A REMARKABLE STAR-FILLED CHRISTMAS

"A Remarkable Star-Filled Christmas" promised an enchanting experience for visitors as the mall was transformed into a breathtaking star-studded festive atmosphere, adorned with decorations that created a celestial ambience, evoking a sense of wonder and magic as part of the holiday festivities. Two magnificent 20-ft Christmas trees adorned with twinkling lights and dazzling ornaments mesmerised visitors.



▲ Christmas gifts were presented to kids along with the launching of A Remarkable Star-Filled Christmas, spread joys and created memories in this joyous festive season.

3 DAMANSARA

SCHOOL'S OUT FUN'S IN

3 Damansara hosted a vibrant array of holiday activities to captivate families and children while offering enticing shopping incentives. The centre concourse was transformed into an imaginative playground, fostering interactive family experiences and encouraging creative exploration. Weekend highlights included a Kids Cosplay Competition, mascot appearances, Nerf Blaster Target Shooting Range, live interactive performances featuring Clown Frankie, sand art, K-pop and hip-hop dance showcases, magic shows, Nintendo Switch gaming station and art workshops.



▲ Various family activities were held during the school holidays to instil fond memories.

The 'Colourful Childhood with Love' drawing exhibition and award ceremony also took place where 250 drawings by primary and secondary school students was featured. The exhibition was in collaboration with Pertubuhan Gerakan Belia Bersatu Malaysia, Persatuan Mencegah Dadah Malaysia, and Nixon International Humanitarian Organisation.

MEOW FIESTA 2023

The MEOW Fiesta 2023 brought together passionate cat enthusiasts from all over to showcase their beloved feline pets. Apart from exploring and observing various cat breeds in action, the CFA International Cat Show and National MEOW Championship saw the furry friends being evaluated by a panel of international and local judges. In collaboration with Kelab Meow United, and in partnership with the Feline Fanciers' Association (FFA) and Cat Fanciers' Association (CFA), 3 Damansara curated an enticing lineup of activities for both beautiful



▲ Cat enthusiasts and their feline friends dived into the fun at The MEOW Fiesta 2023.

felines and their paw-rents. These activities included the MEOW Fiesta Bazaar, Cat Adoption Drive, Petting Zoo & Kids Activities, and the International Cat Championship.

ANIMANIA FESTIVAL

The magical AniMania Festival brought together enthusiasts in the enchanting worlds of animations, manga, games, and cosplay. The event showcased various performances and activities, such as an authentic Japanese Maid Café, Itasha Auto showcase, Anisong performance, Light & Dark Photography and Takoyaki Eating Competitions. There was also more than 100 booths presenting Arts & Crafts by Doujin artists.



▲ Cosplay aficionados reveled in exciting performances and activities, from auto showcases to Light & Dark photography and cosplay contests, all while engaging with renowned guest cosplayers at AniMania Festival.

THE MINES

MALAYSIA NATIONAL BREAKING CHAMPIONSHIP (SEA GAMES 2023 SELECTION)

The inclusion of breakdancing in the Olympic lineup for Paris 2024 set enthusiasts abuzz and The Mines seized the opportunity by holding Malaysia National Breaking Championship at Centre Court in collaboration with the KL Dance Sport Association and Malaysia Dance Sport Federation (Breaking), and sanctioned by Kementerian Belia and Sukan (KBS), World Dance Sport Federation, Dance Sport Asia and Malaysia Dance Sport Federation (MYDF). The event gathered together local athletes, breakdance enthusiasts and fans. The event also witnessed the attendance of Hannah Yeoh – Minister of Youth & Sports, the Vice President of Olympic Council Malaysia and the Secretary of Dance Sport Asia.



▲ Prize presentation ceremony by Minister of Youth & Sports (YB Hannah Yeoh), the Vice President of Olympic Council Malaysia and the Secretary of Dance Sport Asia.

FLASH DANCE COSPLAY PARTY



▲ The enthralling event featured captivating artist exhibitions, diverse merchandise stalls, electrifying cosplay competitions and the magnetic presence of celebrity cosplayers, created an irresistible allure for anime enthusiasts and cosplayers of all ages.

In collaboration with Season4Otaku, the anime cosplay extravaganza at Centre Court boasted an array of captivating programs included artist exhibitions and merchandise stalls, cosplay competitions and tenant promotions. The event highlight was the presence and performances of esteemed local and international celebrity cosplayers that captivated anime enthusiasts of all ages.

AN ARTISTIC & MELODIOUS CELEBRATION OF MALAYSIAKU

An annual signature event organised in conjunction with Merdeka and Malaysia Day's celebrations, the canal area transformed into a multilevel concert stage where shoppers enjoyed performances by local artists in conjunction with the Malaysiaku Music Festival. There were also music and singing performances by Yamaha Music School and the annual My.Reka Doodle Contest was organised to the delight of art enthusiasts.



▲ The annual Music Festival transformed the canal area into a vibrant multilevel concert stage where shoppers reveled in performances by local artists.

E-SPORTS TOURNAMENTS

The inaugural e-sports tournaments organised by The Mines in collaboration with GenBijiakDotMy featuring PUBG Mobile and Mobile Legends Bang Bang. The tournament brought about almost 300 contestants gathered at the Centre Court vying to win attractive cash prizes. Popular Cosplayers also showcases their finest PUBG and Mobile Legend Bang Bang costumes much to the delight of fans. The event extended beyond competitive gaming, featuring complimentary PS4 game plays, immersive racing simulations and engaging kids' robotic workshops at the free play section.

OPERATIONS REVIEW

PORTFOLIO LEASE EXPIRY PROFILE

Majority of the tenancies of CLMT properties typically have a three-year lease term. The portfolio lease expiry was evenly spread out as at 31 December 2023, with 37.3% and 30.9% of the leases by gross rental income due for renewal in 2024 and 2025 respectively, with the balance expiring from 2026 onwards. For the portfolio lease expiry profile as at 31 December 2023 by gross rental income, 13.4% was made up by anchor tenants¹.

PORTFOLIO LEASE EXPIRY PROFILE

(as at 31 December 2023)

	Number of Leases	% of Gross Rental Income
2024	608	37.3
2025	406	30.9
2026 and beyond	404	31.8
Note: Portfolio lease expiry profile excludes leases expiring on 31 December 2023.		

PORTFOLIO LEASE EXPIRY PROFILE FOR 2024

(as at 31 December 2023)

Retail	No. of Leases	% of Gross Rental Income	% of Net Lettable Area
Gurney Plaza	160	13.6	8.6
Queensbay Mall	105	10.9	12.6
East Coast Mall	85	5.9	5.3
Sungei Wang Plaza	87	1.2	3.5
3 Damansara	54	2.2	5.1
The Mines	116	3.6	6.6
CLMT Retail	607	37.4	41.7

Logistics	No. of Leases	% of Gross Rental Income	% of Net Lettable Area
Valdor Logistics Hub	1	32.9	47.6
CLMT Logistics	1	32.9	47.6
Note: Glenmarie Distribution Centre is currently undergoing a retrofitting exercise and the lease will commence upon completion in 2024.			

¹ Anchor tenants are defined as follows:

- For retail: >20,000 sq ft NLA from the trade sectors of "Supermarket", "Departmental Store" or "Leisure & Entertainment" trade i.e. cinemas, exhibition centre, etc.
- For logistics: >20,000 sq ft NLA

OPERATIONS REVIEW

PORTFOLIO TOP 10 TENANTS

CLMT's gross rental income is well distributed within its portfolio of 1,429 committed leases. Collectively, the 10 largest tenants accounted for about 15.9% of the total gross rental income.

10 LARGEST TENANTS OF CLMT

(as at 31 December 2023)

Tenant	Trade Sector	% of Gross Rental Income
Parkson / Parkson Elite	Departmental Store	4.0
Aeon	Departmental Store	2.6
Padini Concept Store	Fashion / Accessories	1.6
Uniqlo	Fashion / Accessories	1.5
Golden Screen Cinemas	Leisure & Entertainment	1.4
Logistics tenant from Glenmarie Distribution Centre ⁱ	Logistics	1.1
Watsons / Muse by Watsons	Beauty / Health	1.1
MMP Logistic	Logistics	1.0
Nando's	Food & Beverage	0.8
Prisma Express	Logistics	0.8
Total		15.9

ⁱ Glenmarie Distribution Centre is currently undergoing a retrofitting exercise and the lease will commence upon completion.

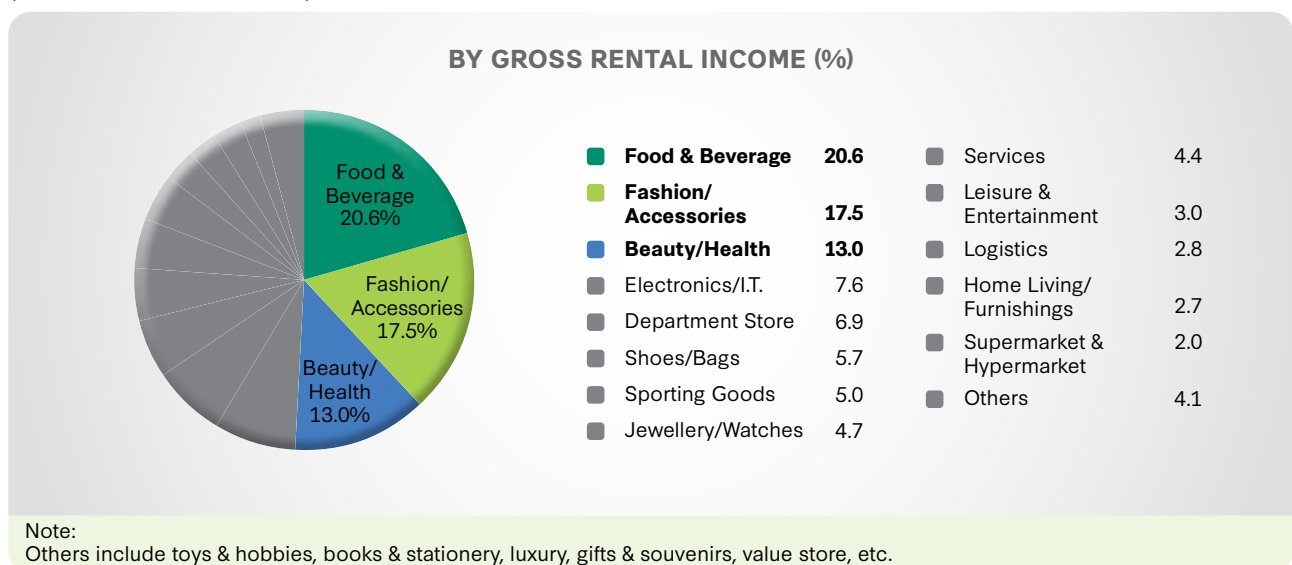
PORTFOLIO TRADE SECTOR ANALYSIS

CLMT's portfolio is well diversified with different trade sectors contributing to rental income. As at 31 December 2023, Food & Beverage is the largest contributor to gross rental income at 20.6% of the total portfolio. The Fashion / Accessories trade represents the second largest contributor to gross rental income at 17.5%, followed by Beauty/Health as the third largest contributor at 13.0%. The top three trade sectors account for 51.1% of the portfolio's gross rental income.

PORTFOLIO TRADE SECTOR ANALYSIS

(% of Gross Rental Income)

(as at 31 December 2023)



PORTFOLIO OCCUPANCY RATE

On the back of the business recovery of the retail sector post-COVID-19 alongside proactive asset management plans, the occupancy rates of retail assets, particularly the Klang Valley malls, have seen considerable improvements over the last year. With the inclusion of Queensbay Mall in FY 2023, CLMT's overall retail occupancy rate is 91.7% as at 31 December 2023 whilst the two logistics properties are fully occupied. This led to CLMT's portfolio occupancy rate improving to 92.6% as at 31 December 2023 from 85.9% a year ago.

OCCUPANCY RATE (%)

As at 31 December	2023	2022	2021	2020	2019
Gurney Plaza	99.2	98.2	96.3	98.6	99.8
Queensbay Mall	99.3	-	-	-	-
East Coast Mall	98.7	98.2	97.5	97.4	99.5
Sungei Wang Plaza	87.2	75.6	66.4	64.2	82.0
3 Damansara	78.8	64.5	68.5	77.0	92.8
3 Damansara Office Tower	-	-	-	-	-
The Mines	80.0	79.0	76.2	85.2	90.5
CLMT Retail	91.7	84.3	82.5	86.6	93.8

Note:

3 Damansara Office Tower was divested on 4 December 2023.

As at 31 December	2023	2022	2021	2020	2019
Valdor Logistics Hub	100.0	100.0	-	-	-
Glenmarie Distribution Centre	100.0	-	-	-	-
CLMT Logistics	100.0	100.0	-	-	-

RENTAL REVERSION

For FY 2023, incoming average rents for CLMT's portfolio registered a positive rental reversion of 7.5%. During the year, CLMT signed 389 new and renewal leases accounting for 979,504 sq ft or 22.9% of total net lettable area.

Total retail recorded a positive rental reversion of 7.0% underpinned by strategic asset management and improving retail sentiments. While the retail malls in Penang and East Coast (Ex-Klang Valley) were able to register healthy 9.9% positive reversion, our ongoing priority for Klang Valley malls is to ensure healthy occupancy rate and allow flexibility on rental rates. This will enable us to rejuvenate and adjust retail tenant mix to remain relevant and in tune with evolving shoppers' behaviour. For Valdor Logistics Hub, there was one new lease concluded in 2023 and it was adjusted with a positive reversion of 29.7%.

SUMMARY OF RENEWALS/NEW LEASES

(excluding newly created units, reconfigured units and turnover rent component for retail leases) (as at 31 December 2023)

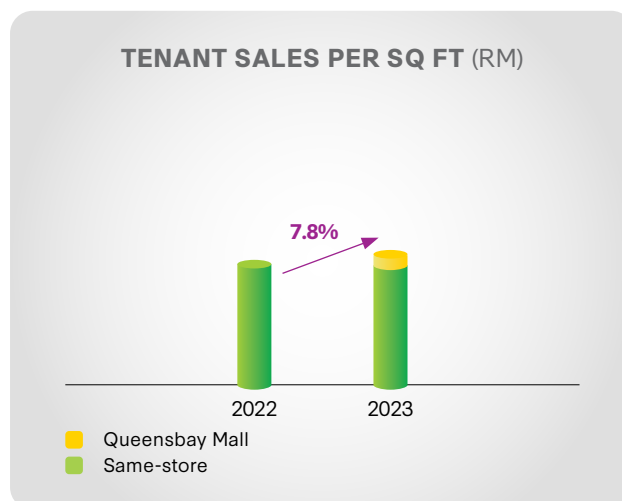
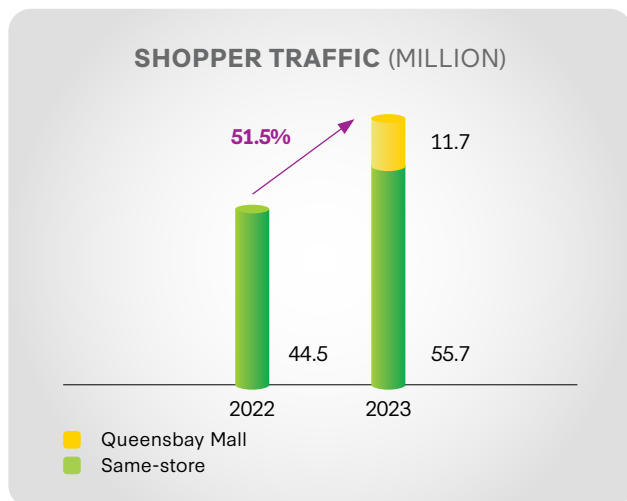
	No. of new leases/ renewals	Change in rental rates ⁱ (%)
CLMT Retail	388	7.0
Ex-Klang Valley	251	9.9
Klang Valley	137	-3.9
CLMT Logistics	1	29.7
CLMT Portfolio	389	7.5

i Change in the current average rental rates versus the preceding average rental rates.

OPERATIONS REVIEW

RETAIL TENANT SALES AND SHOPPER TRAFFIC

Following the gradual improvements in retail sentiment post-COVID-19, CLMT's retail operations rebounded and consequently, tenant sales and shopper traffic rebounded. CLMT retail malls registered an annual shopper traffic of 67.4 million in 2023 and this was driven by the inclusion of Queensbay Mall into the portfolio on 21 March 2023. On same-store basis, shopper traffic grew 25.1% year-on-year. Similarly tenant sales per square foot improved 7.8% year-on-year. CLMT will continue to stay ahead of evolving trends by improving our retail offerings and optimising occupancy with the fresh trade concepts to meet the needs of today's consumers.



PORTFOLIO VALUATION

CLMT conducted an independent valuation of its portfolio in December 2023 and the methodologies applied included income capitalisation method, comparison and cost approach. CLMT portfolio valuation grew to RM5.0 billion boosted mainly by the acquisition of Queensbay Mall during the year. On a same-store basis, the independent valuation for existing properties as at 31 December 2023 saw an increase of 1.1% from a year ago driven by higher valuations from Gurney Plaza and East Coast Mall. Capitalisation rates held steady compared with last valuation.

As at 31 December 2023, the valuations for Gurney Plaza and Queensbay Mall were conducted by Savills (Malaysia) Sdn. Bhd. The valuations for East Coast Mall, Sungei Wang Plaza, The Mines, Valdor Logistics Hub and Glenmarie Distribution Centre were conducted by PPC International Sdn. Bhd., while the valuation for 3 Damansara was conducted by Henry Butcher (Malaysia) Sdn. Bhd.

VALUATIONS AND PROPERTY YIELD

CLMT Portfolio	Valuation (RM million)			Property Yield (%) ⁱ		Capitalisation Rate (%) ⁱⁱ	
	31 Dec 2023	31 Dec 2022	Increase/ (Decrease)	FY 2023	FY 2022	31 Dec 2023	31 Dec 2022
Gurney Plaza	1,690.0	1,675.0	15.0	6.1	5.7	6.75	6.75
Queensbay Mall ⁱⁱⁱ	1,081.4	-	81.4 ^v	7.3	-	6.75	-
East Coast Mall	608.0	590.0	18.0	7.0	7.5	7.00	7.00
Sungei Wang Plaza	430.0	422.0	8.0	(1.0)	(1.0)	7.00	7.00
3 Damansara	415.0	419.0	(4.0)	(0.1)	(0.4)	6.50	6.50
The Mines	661.0	655.0	6.0	1.7	2.8	7.00	7.00
Valdor Logistics Hub	82.0	81.0	1.0	5.5	5.8	7.50	7.50
Glenmarie Distribution Centre ^{iii, iv}	41.2	-	0.8 ^v	-	-	6.25	-
CLMT Portfolio	5,008.6	3,842.0	126.2	4.3	4.0		

FY 2023 Net Fair
Value Gains

55.1

- i Property yield is calculated by dividing annualised NPI for the period by the independent valuation of the property.
- ii Capitalisation rate refers to the reversionary capitalisation rate adopted by the independent valuers to derive the market value of each property.
- iii Acquired in FY 2023.
- iv Excluded from FY 2023 yield computation as revenue contribution from the secured lease has not commenced in FY 2023.
- v The gain in valuation was arrived at by comparing the valuation as at 31 December 2023 against the first valuation conducted on 7 October 2022 for QBM and 2 May 2023 for GDC for the purpose of asset acquisitions.

CORPORATE DEVELOPMENTS

Acquisitions

On 8 February 2023, CLMT issued a circular to its Unitholders pertaining to proposed acquisition of 91.8% of the total strata floor area of retail parcels and 100% of the car park bays in Queensbay Mall from Special Coral Sdn. Bhd., an indirect subsidiary of CLI and Retail Galaxy Pte. Ltd., an indirect wholly owned subsidiary of CapitaLand Mall Asia Limited. The sale and purchase agreement was entered via MTrustee Berhad (Trustee) on behalf of CLMT on 9 November 2022. The total purchase consideration of RM990.5 million was principally arrived at after taking into consideration the total market value of Queensbay Mall of RM1,000.0 million as at 7 October 2022, being the material valuation date for Queensbay Mall as ascribed by Savills (Malaysia) Sdn. Bhd., being the independent registered valuer appointed by the Trustee, on behalf of CLMT in a valuation letter, issued on 3 November 2022. The acquisition was funded by a mixture of private placement of new units in CLMT and bank borrowings. The acquisition was completed on 21 March 2023.

CLMT announced the acquisition of its second logistics property on 15 May 2023 by entering into a sale and purchase agreement through the Trustee with Cynnyx Sdn. Bhd. to acquire a freehold logistics warehouse located at the Hicom Glenmarie Industrial Park in Shah Alam, Selangor at a purchase price of RM39.7 million. The purchase price was arrived at on a "willing buyer willing seller" basis based on the market value of the property of RM40.4 million, as appraised by PPC International Sdn. Bhd., an independent firm of registered valuers, in its valuation report dated 2 May 2023. Upon completion of the acquisition on 29 August 2023, the property named as Glenmarie Distribution Centre is currently undergoing a retrofitting exercise to convert it into a temperature-controlled warehouse.

Divestment

On 5 September 2023, the Trustee acting on behalf of CLMT, entered into a sale and purchase agreement for the sale of 3 Damansara Office Tower to Lagenda Harta Sdn. Bhd., a wholly owned subsidiary of Lagenda Properties Berhad, for a sale consideration of RM52.0 million. The market value of 3 Damansara Office Tower of RM50.0 million was appraised by Henry Butcher Malaysia Sdn. Bhd., an independent firm of registered valuers in its valuation report dated 31 July 2023. The net proceeds after divestment costs of approximately RM50.5 million was utilised to repay existing borrowings. The divestment exercise was completed on 4 December 2023.

VALUE CREATION

CLMT is committed to delivering long-term sustainable returns to our Unitholders in line with our growth strategies to unlock and create value from our properties.

ASSET ENHANCEMENT INITIATIVES

Proactive asset management unlocks the potential value of our retail properties as it enhances the retail environment and improves the attractiveness of the malls to shoppers and retailers.

In the third quarter of 2023, Gurney Plaza completed an AEI which includes the creation of additional 4,000 sq ft of new leasable space to cater to Sports Direct & USC's enhanced sports offering. With the completion of the AEI, this will improve the overall aesthetics of the mall and refresh the variety to the existing trade mix on Level 4.

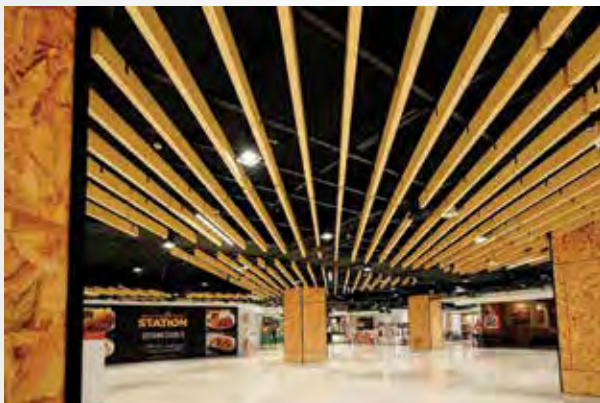


▲ Sports Direct



▲ USC

3 Damansara completed an AEI on Lower Ground floor in the fourth quarter of 2023. The works include optimising about 14,000 sq ft of space to inject more quality food and beverage (F&B) offerings. This will enhance its appeal among the surrounding neighbourhood community and strengthen its position as a community niche mall. Following the completion of the AEI, several new outlets have commenced operations including Shanghai Da Da Huntun and Fong Woh Tong. Meanwhile, existing F&B outlets including Seoul Station and Burger King have introduced new concepts to offer fresh experiences to customers. In addition, Kafe Ruuma – the in-house F&B offering by NSK Grocer, offers popular local fares in a casual dining atmosphere.



▲ Completion of the AEI on Lower Ground floor



▲ Kafe Ruuma, the in-house F&B of NSK Grocer

YIELD-ACCRETIVE ACQUISITIONS

The acquisition of 91.8% of the total strata floor area of retail parcels and 100% of the car park bays in Queensbay Mall was completed on 21 March 2023. Queensbay Mall is a high-quality retail mall strategically located at Bayan Lepas along the southeastern shorefront of the Penang island with transport links and proximity to the Penang Bridge and the Bayan Lepas industrial hub in Penang's Free Trade Zone. With the acquisition, CLMT was able to optimise and enhance its portfolio resilience and diversification. Validating the acquisition, CLMT's gross revenue for the financial year 2023 rose 43.4% year-on-year to RM395.4 million while net property income grew 42.6% year-on-year to RM217.4 million. As at 31 December 2023, portfolio valuation increased portfolio valuation increased to RM5.0 billion from RM3.8 billion as at 31 December 2022.



▲ Queensbay Mall



▲ H&M



▲ HWC Coffee

Completed on 29 August 2023, the acquisition of Glenmarie Distribution Centre strengthens our logistics footprint and marks our presence in the highly attractive Hicom-Glenmarie Industrial Park, widely regarded as a prime hub for logistics and warehouses in the Klang Valley. In tandem with the acquisition, we had also secured a reputable international fashion retailer to fully lease the building for ten years. It is currently undergoing a retrofitting exercise to convert the warehouse into a temperature-controlled distribution centre and is slated for completion in 2024. Thereafter, the new lease will commence and expected to generate a gross rental income of RM3.5 million per annum which will provide CLMT with a stable income stream.



▲ Glenmarie Distribution Centre

OPERATIONS REVIEW

PORTFOLIO RECONSTITUTION

CLMT reviews and evaluates existing properties, and where assets may no longer be relevant, we review the potential to monetise and redeploy the capital into higher yielding assets.

FY 2023 was a significant year where we unlocked value with the divestment of 3 Damansara Office Tower. The divestment of 3 Damansara Office Tower of RM52.0 million was above the valuation of RM50.0 million as at 31 July 2023. This will enable us to redeploy the funds into higher yielding assets with better fundamentals. On 5 February 2024, CLMT had announced that MTrustee Berhad has entered into a conditional sale and purchase agreement to acquire three prime freehold ready-built factories located at the Nusajaya Tech Park in Iskandar Malaysia, Johor for RM27.0 million. The proposed acquisition marks our entry into Johor, particularly Iskandar Malaysia, a highly attractive investment destination due to its favourable geographical location and proximity to Singapore.



▲ Completion of the divestment of 3 Damansara Office Tower on 4 December 2023.

FINANCIAL REVIEW

GROSS REVENUE

Gross revenue for FY 2023 amounted to RM395.4 million, reflecting a surge of RM119.6 million or 43.4% compared to the previous year. The improvement in gross revenue was primarily attributed to two key factors: (i) strategic acquisition of Queensbay Mall (QBM), a prominent shopping mall in Penang that was completed in March 2023 and (ii) improvement in gross revenue across all the properties.

Gross Revenue by Property	FY 2023 RM'000	FY 2022 RM'000	Change (%)
Gurney Plaza	153,496	135,717	13.1
Queensbay Mall	87,886	-	-
East Coast Mall	66,925	64,148	4.3
Sungei Wang Plaza	18,485	16,674	10.9
3 Damansara Property	21,908	17,435	25.7
The Mines	41,525	41,416	0.3
Valdor Logistics Hub	5,165	427	>100
Total	395,390	275,817	

NET PROPERTY INCOME

Net property income (NPI) for FY 2023 amounting to RM217.4 million was RM64.9 million, or 42.6%, higher than the NPI of RM152.5 million in FY 2022. The upswing in NPI was mainly driven by the acquisition of QBM and the increase in gross revenue across the existing properties, as mentioned earlier.

Notwithstanding the above, the notable rise in operating expenses was primarily due to the Imbalance Cost Pass-Through (ICPT) charges, which rose from 3.7 sen per kWh in 2022 to 20 sen per kWh in 1H 2023 and revised slightly to 17 sen per kWh in 2H 2023. Additionally, the increase in operating expenses was also due to higher service charges payable to the management corporations of stratified properties and increase in marketing expenses aimed at enhancing the vibrancy of the malls through more marketing and promotional activities. Moreover, there was a lower write-back of provision for doubtful debts during the financial year under review as compared to FY 2022.

Net Property Income by Property	FY 2023 RM'000	FY 2022 RM'000	Change (%)
Gurney Plaza	102,398	95,468	7.3
Queensbay Mall	62,093	-	-
East Coast Mall	42,406	44,027	(3.7)
Sungei Wang Plaza	(4,105)	(4,108)	0.1
3 Damansara Property	(989)	(1,791)	44.8
The Mines	11,544	18,525	(37.7)
Valdor Logistics Hub	4,540	389	>100.0
Glenmarie Distribution Centre	(481)	-	-
Total	217,406	152,510	

DISTRIBUTIONS

For FY 2023, CLMT declared a total distribution per unit (DPU) of 4.17 sen to Unitholders as shown below:

Period	DPU (Sen)	Payment date
1 January 2023 to 9 March 2023 ⁱ	0.74	23 March 2023
10 March 2023 to 30 June 2023	1.19	25 September 2023
1 July 2023 to 31 December 2023	2.24	By 31 March 2024
Total	4.17	

ⁱ Represents an advanced income distribution in respect of the equity fund raising undertaken to part finance the acquisition of QBM.

FINANCIAL REVIEW

The income distribution for the period from 10 March 2023 to 30 June 2023 was subjected to the Distribution Reinvestment Plan (DRP) where Unitholders may elect to convert the income distribution received (net of withholding tax) into new CLMT units. A total of 35,332,383 new units were issued out of 63,737,836 units eligible for the DRP exercise. For the final income distribution for the period from 1 July 2023 to 31 December 2023, CLMT intends to apply the DRP on the DPU of 2.24 sen that will be distributed to Unitholders by 31 March 2024. The total DPU of 4.17 sen represents a payout of approximately 100% of CLMT's FY 2023 distributable income of RM109.8 million.

DISTRIBUTION HISTORY

Period	DPU (sen)	Distribution (RM'000)
FY 2023		
1 January 2023 - 9 March 2023	0.74	16,330
10 March 2023 - 30 June 2023	1.19	32,108
1 July 2023 - 31 December 2023	2.24	61,387
Total	4.17	109,825
FY 2022		
1 January 2022 - 30 June 2022	1.95	42,027
1 July 2022 - 31 December 2022	2.06	45,462
Total	4.01	87,489
FY 2021		
1 January 2021 - 30 June 2021	0.86	18,151
1 July 2021 - 31 December 2021	0.98	20,882
Total	1.84	39,033
FY 2020		
1 January 2020 - 30 June 2020	1.01	20,759
1 July 2020 - 31 December 2020	1.99	41,071
Total	3.00	61,830
FY 2019		
1 January 2019 - 30 June 2019	3.22	65,822
1 July 2019 - 31 December 2019	3.03	62,169
Total	6.25	127,991

FINANCIAL POSITION

The total assets for CLMT Group was RM5,116.8 million as at 31 December 2023, compared to RM4,015.6 million as at 31 December 2022. The increase of RM1,101.2 million primarily resulted from the acquisitions of QBM and Glenmarie Distribution Centre (GDC), amounting to RM1.0 billion and RM40.0 million, respectively. Additionally, a net fair value gain of RM55.1 million was recognised for CLMT Group's investment properties portfolio. The divestment of 3 Damansara Office Tower (3DOT) was completed on 4 December 2023, leading to the derecognition of RM50.0 million in investment property.

Total gross borrowings increased by RM719.7 million to RM2,169.6 million as at balance sheet date mainly due to the acquisitions of QBM and GDC. The term loan associated with 3DOT, totalling RM50.5 million, was repaid upon the completion of the divestment.

Unitholders' fund of CLMT Group as at 31 December 2023 was RM2,747.2 million, an increase of RM329.1 million from 31 December 2022. The increase in Unitholders' fund is mainly attributable to the 464,997,500 new units issued pursuant to the equity fund raising exercise to fund the acquisition of QBM at RM0.49 per unit in March 2023. An additional 35,332,383 of new units were also issued pursuant to the DRP exercise at an issue price of RM0.4767 per unit in September 2023. The payment of Manager's management fees in units also contributed to the increase in Unitholders' fund.

CAPITAL MANAGEMENT

The Manager continues to rigorously monitor the cash position and borrowings of CLMT Group with the view of strengthening its capital structure and competitive position.

BORROWINGS

The Manager's capital management strategy involves adopting and maintaining an appropriate level of leverage to ensure optimal returns to Unitholders.

The Manager engages with bankers continuously and continues to secure additional credit facilities to fund CLMT's acquisitions and business expansion as well as to beef up its buffer to cater for uncertainties in an ever-evolving operating environment.

In June 2023, CLMT MTN Berhad, a wholly owned subsidiary of CLMT, issued Unrated Medium Term Notes (MTN) of RM300.0 million through three tranches of RM100.0 million each with an expected maturity ranging from three to five years. The proceeds from the issuance were used to redeem the outstanding 3.5-Year Unrated MTN of RM300.0 million.

The CLMT Group's initiative to manage interest rates with a high fixed to floating ratio has cushioned the adverse impact of the rising interest rate environment. For the financial year ended 31 December 2023, the average interest rate of the Group remained low at 4.07%, with 85% of the total borrowings at fixed rates as at 31 December 2023.

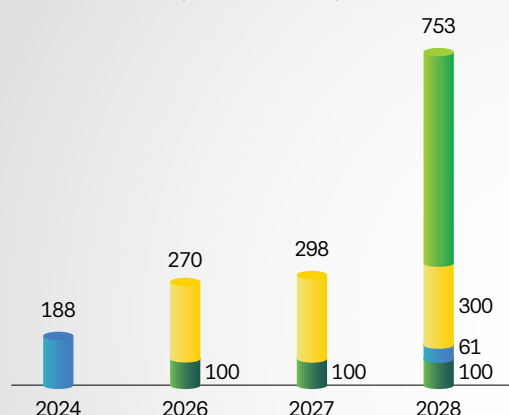
In December, the CLMT Group successfully converted its RM693.0 million term loan facility utilised to fund the acquisition of QBM into a sustainability-linked loan as part of its commitment towards responsible growth in creating long-term value for Unitholders.

The total gross borrowings of CLMT Group as of 31 December 2023 was RM2,169.6 million (FY 2022: RM1,452.7 million), which translates to a gearing of 42.4% (FY 2022: 36.2%).

DEBT PROFILE

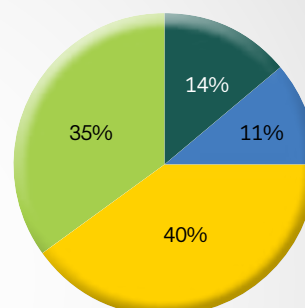
The debt maturity and diversified sources of funding profile of the CLMT Group as at 31 December 2023 were as follows:

BORROWINGS
(RM MILLION)



■ MTN
■ Revolving Credit Facilities
■ Term Loan Facilities
■ Sustainability-linked Term Loan Facilities

DIVERSIFIED SOURCES OF FUNDING



CAPITAL MANAGEMENT

CASH FLOWS AND LIQUIDITY

The Manager proactively monitors its cash and credit lines to ensure that adequate funding is available to fund business requirements and payment of income distributions to the Unitholders.

CASH AND CASH EQUIVALENTS

As at 31 December 2023, the CLMT Group's cash and cash equivalents amounted to RM78.0 million, reflecting a decrease of RM6.4 million as compared to FY 2022. This was primarily due to net cash outflows attributable to investing activities.

OPERATING ACTIVITIES

The CLMT Group's net operating cash inflows for FY 2023 amounted to RM227.8 million, marking a rise of RM72.2 million as compared to the previous year. The increase was mainly attributed to the higher net property income and higher collection of rent arrears throughout the financial year under review.

INVESTING ACTIVITIES

Net cash used in investing activities for the financial year under review of RM1,011.3 million was mainly due to cash outflows for the acquisition and incidental costs for Queensbay Mall (QBM) and Glenmarie Distribution Centre (GDC), along with a total expenditure of RM25.7 million on investment properties and plant and equipment. The impact of these outflows was partly offset by the net proceeds received from the divestment of 3 Damansara Office Tower (3DOT) of RM50.5 million.

FINANCING ACTIVITIES

Net cash inflows from financing activities for FY 2023 amounted to RM775.4 million was primarily driven by the drawdown of a term loan amounting to RM693.0 million and RM75.9 million from revolving credit facilities to fund the acquisition of QBM. These inflows were partially offset by the repayment of term loan associated with 3DOT of RM50.5 million upon the completion of the divestment exercise.

INVESTOR & MEDIA RELATIONS

We are committed to the principles of delivering timely, objective and transparent information to our stakeholders. Our stakeholders include Unitholders, potential retail and institutional investors, financial analysts, fund managers and the media. The Management and Investor Relations (IR) team proactively engage with the investment community to provide a clear narration of CapitaLand Malaysia Trust (CLMT)'s corporate developments, financial and operating performance and future growth strategy to raise the profile of CLMT among the investment community. The valuable feedback and insights gathered from these engagements allow the Board of Directors and Management to understand the investment community's views and feedback, which will then aid the Management in execution and making appropriate investment decisions.

Guided by our Unitholders' Communication and Investor Relations Policy, we advocate a regular, effective and fair communication channel with our stakeholders. The policy is accessible on CLMT's corporate website (www.clmt.com.my) under the Investor Relations section.

To facilitate the prompt dissemination of information, all announcements and news are published on CLMT's corporate website including quarterly financial results, annual reports, annual and extraordinary general meeting-related materials, recording of briefings as well as presentation materials used at investor conferences and roadshows. Investors may also sign up for email alerts to receive timely updates on CLMT's latest announcements and developments. A dedicated "Ask Us" email address (ask-us@clmt.com.my) is also available to address queries from investors and the general public.

PROACTIVE ENGAGEMENT WITH STAKEHOLDERS

In 2023, the Management and IR team regularly and proactively engaged with institutional investors from local and foreign companies through one-to-one meetings, post-results investor briefings and roadshows. Updates on CLMT's latest corporate developments, ongoing operational and growth strategies, financial and operational performance, capital management and prospects were provided in a timely and transparent manner to the stakeholders.

The discontinuation of the Malaysian Investor Relations Association (MIRA), in which the Manager was a corporate member, effective 1 July 2023 had seen its role assumed by Bursa Malaysia Berhad to become the single point of reference for investor relation matters. The Bursa Investor Relations Programme was launched in December 2023 to enhance the standards and capabilities of investor relations practices, to raise the

visibility and investability of Malaysian listed issuers to foreign and local investors. The IR team kept itself abreast with the latest developments by Bursa Malaysia through participating in various knowledge sharing sessions and webinars organised by the Bursa Malaysia, particularly focused on sustainability-related topics amidst the growing importance of this aspect.

CLMT, a member of the Malaysian REIT Managers Association (MRMA), participated in active engagements through MRMA with government bodies, regulators and industry stakeholders to enhance regulatory framework and tax structures, among others.

EQUITY RESEARCH COVERAGE

Throughout the year, the IR team maintained active and timely engagements with analysts that covered CLMT stock with five analyst coverage retained.

We will continue to work closely with various securities firms and investment banks to expand our outreach to institutional investors, private banking clients, high net worth individuals and retail investors to expand CLMT's unitholding base.

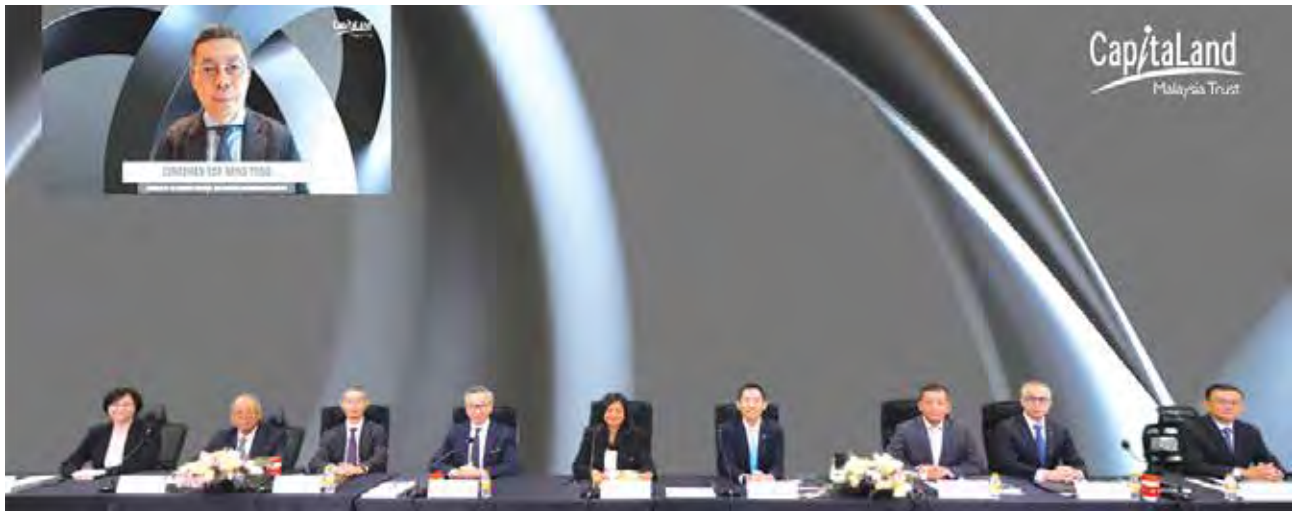
GENERAL MEETINGS

General Meetings provide an important communication channel between the Management and Unitholders as it gives the Board and the Management an opportunity to interact with investors.

On 23 February 2023, CLMT held virtual Unitholders' Meeting for the proposed acquisition of Queensbay Mall from CapitaLand, the Sponsor and its associated companies. CLMT's CEO made a presentation on the proposed acquisition to provide Unitholders with a better understanding of the rationale behind the acquisition and benefits of this transaction. Queries from Unitholders were addressed virtually during the question and answer session. The meeting was attended by all the Directors as well as independent financial advisors. The proposed acquisition was approved, receiving strong support of above 99.0% for the acquisition.

On 29 March 2023, CLMT held its virtual AGM, with full attendance from the Board of Directors and Management. Unitholders were updated about CLMT's FY 2022 performance and the outlook for the next financial year. The AGM provides an important channel of communication between the Manager and Unitholders as it gives the Board and the Management an opportunity to present on CLMT's financial and operational performance and address questions and comments from the Unitholders.

INVESTOR & MEDIA RELATIONS



▲ CLMT held virtual AGM on 29 March 2023 with all resolutions approved by Unitholders.

Prior to the AGM and Unitholders' Meeting, the Manager received questions from existing institutional and retail investors that were addressed during the virtual meetings. All AGM and Unitholders' Meeting resolutions were voted via electronic poll, with voting results announced during the sessions and published on Bursa Malaysia and CLMT's corporate website on the same day. The Manager's responses to substantial and relevant questions raised at the AGM and Unitholders Meeting were also published on CLMT's website within 24 hours upon the conclusion of the General Meetings, while the respective minutes for the General Meetings were made available on CLMT's website for greater transparency and made available on CLMT's corporate website.

PROPERTY VISITS

Alongside our ongoing communication to the investment community on CLMT's business growth plans and turnover strategies to improve the performance of the Klang Valley malls, we also organised property visits



▲ On 25 September, a Klang Valley-focused mall tour was organised for key institutional investors.

to our retail assets in Penang and Klang Valley. These visits offered first-hand experience of the design and operations of the malls, and a greater appreciation of CLMT's long-term growth potential.

Three property visits were conducted during the financial year under review with detailed narration of the respective malls plans and strategies provided to the analysts, investors and fund managers in addressing their queries.

CORPORATE DEVELOPMENTS

CLMT issued a circular in conjunction with the announcement on the proposed acquisition of approximately 91.8% of the total strata floor area of retail parcels in Queensbay Mall on 8 February 2023 to Unitholders. Alongside with the announcement, the IR team developed a holistic communications plan that fully encapsulated the key investment merits to garner investor support for the acquisition in this quality retail asset. Prior to the Unitholders' Meeting conducted in February 2023, the Management and IR team held various engagements with fund managers to narrate the rationale of this investment and CLMT's long-term fundamental outlook, and at the same time address any queries and concerns. As a result of these engagements, the equity fund raising exercise saw participation from new and existing institutional investors, as well as high-net-worth individuals.

On 15 May 2023, CLMT announced the proposed acquisition of its second logistics asset located at the Hicom-Glenmarie Industrial Park in Shah Alam, Selangor. CLMT also announced its maiden proposed divestment exercise of 3 Damansara Office Tower on 5 September 2023. The IR team communicated closely with the analysts and investors to address their queries, followed up on the analyst reports issued and collated analysts and investors' views for the Board and Management's consumption.

POST-RESULTS RESEARCH COVERAGE

Research Institutions	Date of Last Report	Recommendation	Target Price (RM)
CGS-CIMB Securities Sdn. Bhd.	26 October 2023	Hold	0.510
Kenanga Investment Bank Berhad	31 January 2024	Market Perform	0.580
Maybank Investment Bank Berhad	31 January 2024	Hold	0.590
TA Securities Holdings Berhad	31 January 2024	Buy	0.680
UOB Kay Hian Securities (M) Sdn. Bhd.	31 January 2024	Hold	0.560
Average Target Price			0.584

INVESTOR & MEDIA RELATIONS CALENDAR 2023

FIRST QUARTER

- Property visit to Gurney Plaza and Queensbay Mall, Penang
- Non-Deal Roadshows
- FY 2022 results press release followed by media and analysts' briefings
- Deal roadshow for the proposed acquisition of approximately 91.8% of the total strata floor area of retail parcels in Queensbay Mall
- CLMT Unitholders' Meeting for the proposed acquisition of 91.8% of the total strata floor area of retail parcels in Queensbay Mall
- CLMT Annual General Meeting

SECOND QUARTER

- 1Q 2023 results press release followed by analysts' briefing
- 1Q 2023 post-results meetings with investors
- Press release on the proposed acquisition of CLMT's second logistics property in Shah Alam, Selangor

THIRD QUARTER

- 2Q 2023 results press release followed by media and analysts' briefings
- 2Q 2023 post-results meetings with institutional investors
- Press release on the proposed divestment of 3 Damansara Office Tower
- Property visits to Klang Valley malls for institutional investors

FOURTH QUARTER

- Property visit to Queensbay Mall for analysts and potential investors
- 3Q 2023 results press release followed by analysts' briefing
- CapitaLand Investment and CLI REITs Corporate Day 2023, Bangkok
- CLMT converts its largest loan facility of RM693 million into a sustainability-linked loan facility press release
- CLMT clinches Green Mark Certifications for Queensbay Mall and The Mines press release

UNITHOLDER & MEDIA ENQUIRIES

If you have any enquiries or would like to find out more about CLMT, please contact:

Jasmine Loo

Investor Relations & Sustainability

Tel : +603 2279 9888

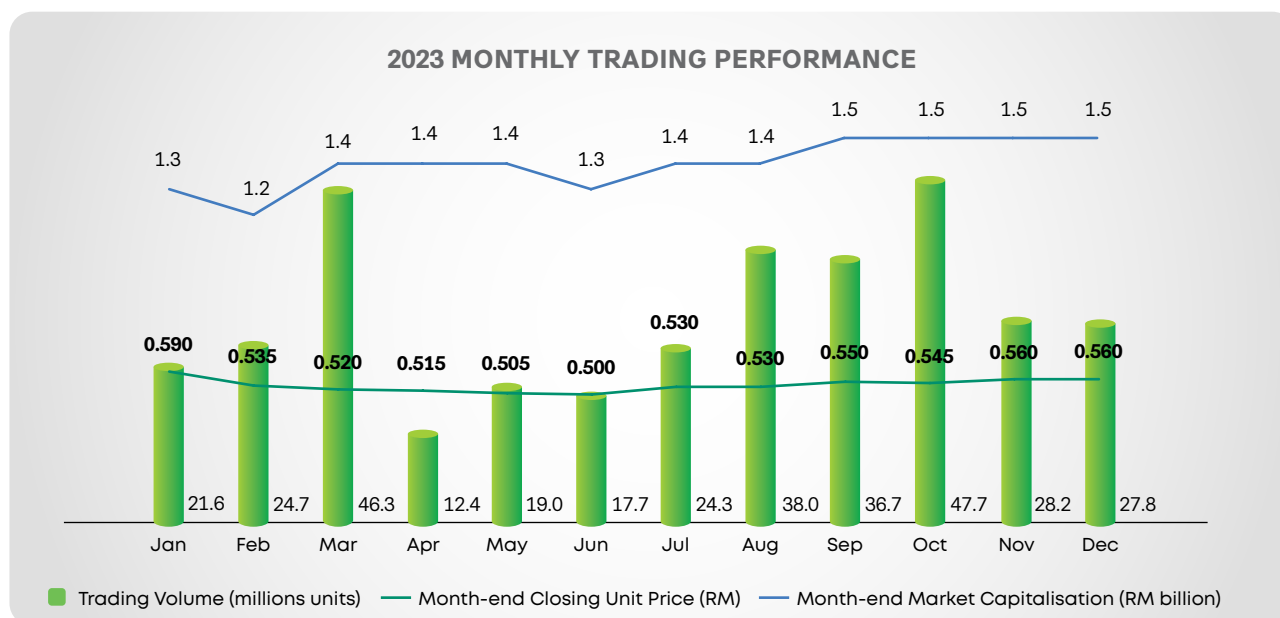
Fax : +603 2279 9889

Email : ask-us@clmt.com.my

Website : www.clmt.com.my

TRADING & YIELD PERFORMANCE

CLMT traded in the unit price range from RM0.490 to RM0.610 in 2023, concluding the year with a closing unit price of RM0.560 and a market capitalisation of approximately RM1.5 billion on the last trading day as at 29 December 2023. Total trading volume recorded much higher at 344.4 million units, increased by 585.2% from last year and this translated to an average daily trading volume of approximately 1.4 million units. At a closing unit price of RM0.560 as at 31 December 2023, it reflected a 4.3% upside from the average target price of RM0.584 given by the analysts.



CLMT'S 5-YEAR TRADING PERFORMANCE

Trading Highlights	FY 2023	FY 2022	FY 2021	FY 2020	FY 2019
Opening Market Price (RM)	0.530	0.575	0.625	1.00	1.01
Closing Market Price (RM)	0.560	0.535	0.575	0.625	1.00
Highest Traded Price (RM)	0.610	0.600	0.74	1.02	1.13
Lowest Traded Price (RM per unit)	0.490	0.510	0.57	0.59	1.00
Total Trading Volume (million units)	344.4	49.9	167.0	204.8	181.5
Market Capitalisation ⁱ (RM million)	1,534.7	1,180.7	1,225.2	1,289.9	2,051.8
Units in Circulation ⁱⁱ (unit '000)	2,740,459	2,206,935	2,130,856	2,063,846	2,051,753

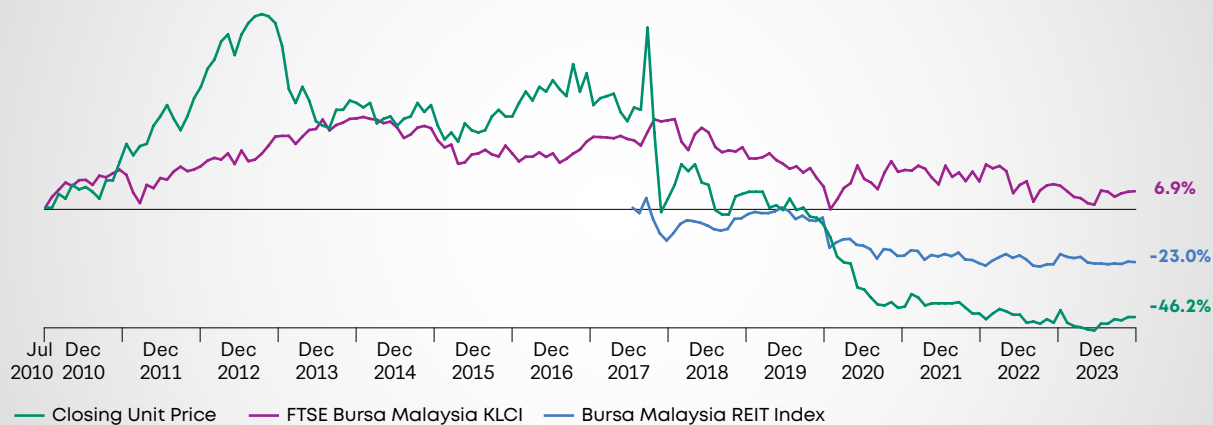
ⁱ Based on the closing market price of the respective financial year.

ⁱⁱ Units in circulation at the end of the respective financial year.

TOTAL UNITHOLDER RETURN

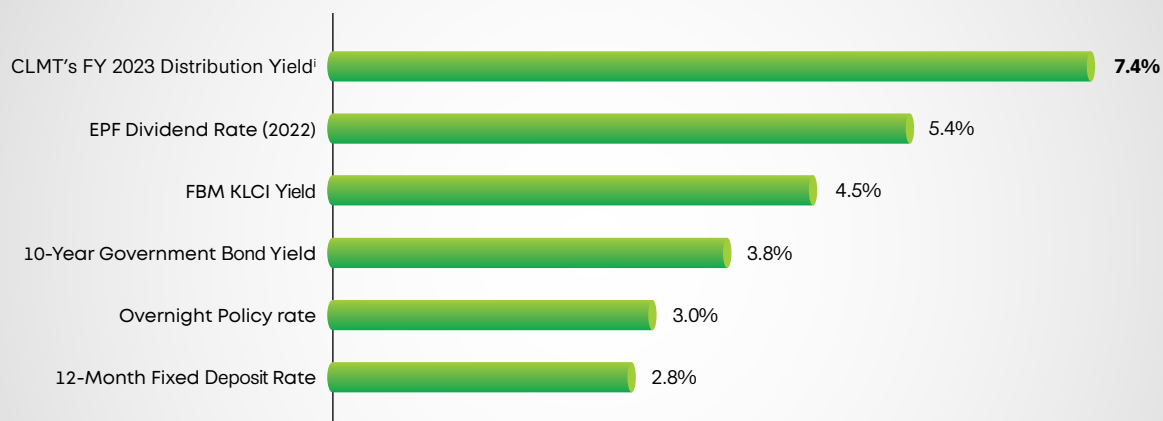
Total Unitholder Return	1-year (from 1 Jan to 31 Dec 2023)	3-year (from 1 Jan 2021 to 31 Dec 2023)	5-year (from 1 Jan 2019 to 31 Dec 2023)
Closing unit price on the last trading day prior to the commencement of the period (RM)	0.535	0.625	1.010
Capital appreciation/ (depreciation) (RM)	0.025	(0.065)	(0.450)
Distribution per unit paid (RM)	0.0399	0.0977	0.2091
Total return as at 31 December 2023 (%)	12.1	5.2	(23.9)

PRICE TRENDS SINCE CLMT'S IPO



Note:
Bursa Malaysia REIT Index was launched in 2017.

COMPARATIVE YIELDS



Source: Bloomberg, Bank Negara Malaysia, Employees Provident Fund.

i Based on DPU of 4.17 sen for the period 1 January 2023 to 31 December 2023 and the closing unit price of RM0.560 on 29 December 2023.

CORPORATE GOVERNANCE

OUR ROLE

CapitaLand Malaysia REIT Management Sdn. Bhd. (Manager), the manager of CapitaLand Malaysia Trust (CLMT), set the strategic direction of CLMT and make recommendations to MTrustee Berhad (Trustee), in its capacity as trustee of CLMT on any investment or divestment opportunities for CLMT and the enhancement of the assets of CLMT in accordance with the stated investment strategy for CLMT. The research, evaluation and analysis required for this purpose are coordinated and carried out by the Manager.

As the Manager, we have general powers of management over the assets of CLMT. Our primary responsibility is to manage the assets and liabilities of CLMT for the benefit of the Unitholders of CLMT. We do this with a focus on generating rental income and enhancing asset values over time so as to maximise returns from the investments and ultimately, the income distribution and total returns to Unitholders.

Our other functions and responsibilities of the Manager include:

- (a) using our best endeavour to conduct CLMT's business in a proper and efficient manner in the best interests of the Unitholders;
- (b) preparing annual business plans for review by the Directors of the Manager, including forecasts on revenue, net income and capital expenditure, explanations on major variances in previous years' financial results, written commentaries on key issues and underlying assumptions for rental rates, operating expenses and other relevant assumptions;
- (c) ensuring compliance with relevant laws and regulations, including but not limited to the Companies Act 2016, the Capital Markets and Services Act 2007 (CMSA), the Main Market Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Securities) (Listing Requirements), the Securities Commission's (SC) Guidelines on Listed Real Estate Investment Trusts (REITs Guidelines), Licensing Handbook, written directions, notices, codes and other applicable guidelines issued by SC and/or Bursa Securities and the tax rulings issued by the Inland Revenue Board of Malaysia on the taxation of CLMT and its Unitholders as well as any updates and amendments to such relevant laws and regulations;

(d) attending to all regular communications with Unitholders;

(e) and supervising Knight Frank Property Management Sdn. Bhd. and Nexcap Property Consultants Sdn. Bhd. (collectively, the Property Managers), which pursuant to the property management agreements, perform the day-to-day property management functions (including leasing, marketing and promotion, operations coordination and other property management activities) for CLMT's properties namely Gurney Plaza, Queensbay Mall¹, Sungei Wang Plaza², 3 Damansara Property³, The Mines, East Coast Mall and Valdor Logistics Hub.

The Manager also considers sustainability issues (including environmental and social factors) as part of its responsibility. CLMT's environmental, sustainability and community outreach programmes are set out on page 109 to 133 of CLMT Annual Report 2023.

The Manager administers the enterprise risk management and ensures that internal controls are in place to mitigate and manage the risks as set out in the Enterprise Risk Management section on 104 to 108 of CLMT Annual Report 2023.

CLMT, constituted as a trust, is externally managed by the Manager.

The Manager appoints experienced and well qualified personnel to run its day-to-day operations. The Manager was appointed in accordance with the terms of the deed dated 7 June 2010 (as amended, supplemented or restated from time to time) (Trust Deed). The Trust Deed outlines certain circumstances under which the Manager can be removed, including by notice in writing given by the Trustee upon the occurrence of certain events, or by resolution passed by a simple majority of Unitholders present and voting at a meeting of Unitholders duly convened held in accordance with the provisions of the Trust Deed.

During the year 2023, CapitaLand Investment Limited (CLI) transferred its 100% equity interest in the Manager to CLI FM Ptd Ltd (CLI FM). CLI FM has subsequently changed its name to CLI Asset Management Pte Ltd (CLI AM) effective 29 January 2024. Accordingly, the Manager is now a wholly owned subsidiary of CLI AM (formerly known as CLI FM), which in turn is a wholly owned subsidiary of CLI. CLI at the same time also holds a significant indirect interest in CLMT. CLI is a leading global real estate investment manager with

1 CLMT's interest in Queensbay Mall comprises approximately 91.8% of the total strata floor area of retail parcels and 100% of the car park bays.
2 CLMT's interest in Sungei Wang Plaza comprises approximately 61.9% of the total strata floor area of retail parcels and 100% of the car park bays.
3 3 Damansara Property comprises 3 Damansara and 3 Damansara Office Tower, whereby the Manager divested 3 Damansara Office Tower on 4 December 2023.

a strong Asia foothold and has a vested interest in the long-term performance of CLMT. CLI's significant indirect unitholding in CLMT demonstrates its commitment to CLMT and as a result, CLI's interests is aligned with that of other Unitholders. The Manager's association with CLI provides the following benefits to CLMT, among other things,;

- (a) a stable pipeline of property assets through CapitalLand Group;
- (b) wider and better access to banking and capital markets;
- (c) fund raising and treasury support; and
- (d) access to a pool of experienced management talent.

OUR CORPORATE GOVERNANCE FRAMEWORK AND CULTURE

The Manager embraces the tenets of good corporate governance, including accountability, transparency and sustainability. It is committed to enhancing long-term Unitholder value and has appropriate people, processes and structure to direct and manage the business and affairs of the Manager with a view to achieving operational excellence and delivering CLMT's long-term strategic objectives. The developed policies and practices meet the specific business needs of CLMT and provide a firm foundation for a trusted and respected real estate investment trust.

There was no public sanction or penalty imposed on the Manager by the relevant regulatory bodies during the financial year ended 31 December 2023.

As of the date of this Corporate Governance Statement (Statement), our corporate governance framework is set out below:



CORPORATE GOVERNANCE

The Board of Directors (Board) sets the tone from the top and is responsible for the Manager's corporate governance standards and policies, underscoring their importance to the Manager and CLMT.

This Statement sets out the Manager's application of the corporate governance practices for financial year (FY) 2023 with reference to the principles and practices of the Malaysian Code on Corporate Governance 2021 (Code) issued by the SC.

Throughout FY 2023, the Manager has applied in general with the principles and practices of corporate governance laid down by the Code and substantially, with the underlying provisions of the Code. Where there are deviations, appropriate explanations are provided in this Statement. This Statement also sets out additional policies and practices adopted by the Manager which are not provided in the Code.

BOARD MATTERS

Intended Outcome 1.0

Every company is headed by a board, which assumes responsibility for the company's leadership and is collectively responsible for meeting the objectives and goals of the company.

Practice 1.1: The board should set the company's strategic aims, ensures that the necessary resources are in place for the company to meet its objectives and review management performance. The board should set the company's values and standards and ensure that its obligations to its shareholders and other stakeholders are understood and met.

The Board oversees the strategic direction, performance and affairs of the Manager, in furtherance to the Manager's primary responsibility in fostering the success of CLMT so as to deliver sustainable value over the long-term to Unitholders. It provides overall guidance to the management team (Management), led by the Chief Executive Officer (CEO). The Board works with Management to achieve CLMT's objectives and long-term success and Management is accountable to the Board for its performance. Management is responsible for the execution of the strategy for CLMT and the day-to-day operation of CLMT's business.

The Board establishes goals for Management and monitors the achievement of these goals. It ensures that proper and effective controls are in place to assess and manage business risks and compliance with requirements under the Listing Requirements, REITs Guidelines as well as any other applicable guidelines prescribed by Bursa Securities, SC or other relevant authorities and such other applicable laws. It also sets the disclosure and transparency standards for CLMT and ensures that obligations to Unitholders and other

stakeholders are understood and met. The goals and achievements of CLMT are set in the Balance Scorecard approved by the Board and measured at the end of each financial year. The Board also receives periodic reports on the risks, compliance, conflicts of interest or potential conflicts of interest, if any and internal controls managed and applied by Management for CLMT and the Manager.

The Directors are fiduciaries and collectively, as the Board and individually, obliged at all times to act honestly and objectively in the best interests of CLMT. Consistent with this principle, the Board is committed to good ethics and integrity of action and has adopted a Code of Business Conduct and Ethics for Board of Directors (Board Code) which provides that every Director is expected to, among other things, adhere to the highest standards of ethical conduct. All Directors are required to comply with the Board Code. This sets the appropriate tone from the top in respect of the desired organisational culture and assists the Board in ensuring proper accountability by the Manager. In line with this, the Board has a standing policy that a Director must not allow himself or herself to get into a position where there is a conflict between his or her duty to CLMT and his or her own interests. Where a Director has a conflict of interest or potential conflict of interest in a particular matter, he or she will be required to disclose his or her interest to the Board, recuse himself or herself from deliberations on the matter and abstain from voting on the matter. Every Director has complied with this policy, and where relevant, such compliance has been duly recorded in the minutes of meeting or written resolutions. The Board Code which was last revised on 28 July 2022 is published on CLMT's website at www.clmt.com.my (Website).

Furthermore, the Directors have the responsibility to act with due diligence in the discharge of their duties and ensure that they have the relevant knowledge to carry out and discharge their duties as Directors, including understanding their roles as executive, non-executive, and IDs, the business of CLMT and the environment in which CLMT operates. The Directors are also required to dedicate the necessary effort, commitment and time of their work as Directors, and are expected to attend all meetings of the Board, unless unforeseen circumstances make attendance impractical.

Board Committees

The Board has established various Board Committees to assist in the discharge of its functions. These Board Committees are the Audit Committee (AC), Nominating and Remuneration Committee (NRC) and the Executive Committee (Exco). The Board undertakes all the responsibilities for approving corporate disclosures other than certain non-material and routine disclosures which approvals are delegated to Management, following the dissolution of the Corporate Disclosure Committee on 1 February 2020.

All the Board Committees have clear written terms of reference setting out their respective composition, authorities and duties. Each of these Board Committees operates under delegated authority from the Board with the Board retaining overall oversight. The decisions and significant matters discussed at the respective Board Committees are reported to the Board on a periodic basis. The minutes of the Board Committee meetings which record the key deliberations and decisions taken during these meetings are also circulated to all Board members for their information. The composition of the various Board Committees is set out under the Corporate Information section of CLMT Annual Report 2023. The duties and responsibilities of the Board Committees are set out in this Statement.

The Board may form other Board Committees from time to time as dictated by business imperatives. The composition of each Board Committee is also reviewed as and when there are changes to Board membership and is managed to ensure an equitable distribution of responsibilities among Board members, to maximise the effectiveness of the Board and to foster active participation and contribution from Board members. Diversity of experience and appropriate skills are considered in the composition of the respective Board Committees.

Meetings of Board and Board Committees

Board and Board Committee meetings are scheduled prior to the start of each financial year in consultation with the Directors. In line with good governance practices, the Manager leveraged on technology by conducting hybrid meetings of the Board and Board Committees, which made it more convenient for meeting participation and robust discussion. The conduct of Board and Board Committee meetings which include a participation by any Director via audio or video conference is permitted by the Constitution of the Manager (Constitution). If a Director is unable to attend a Board or Board Committee meeting, he or she may provide his or her comments to the Chairman or the relevant Board Committee chairman ahead of the meeting and these comments are taken into consideration in the deliberations. The Board and Board Committees may also make decisions by way of written resolutions. In addition to scheduled meetings, the Board may also hold ad hoc meetings as and when required by business imperatives.

At each scheduled Board meeting, the Board is apprised, amongst others, the following:

- (a) significant matters discussed at the AC meeting which is typically scheduled before the Board meeting;
- (b) AC's recommendation on CLMT's periodic and year-end financial results following AC's review of the same;

- (c) decisions made by Board Committees in the period under review;
- (d) updates on the CLMT Group's business and operations in the period under review, including market developments and trends, as well as business initiatives and opportunities;
- (e) financial performance, budgetary and capital management related matters in the period under review, including any material variance between any projections in budget or business plans and the actual results from business activities and operations;
- (f) any risk management issues that materially impact CLMT's operations or financial performance;
- (g) updates on key Unitholder engagements in the period under review, as well as analyst views and market feedback;
- (h) updates on CLMT Group's sustainability matters;
- (i) prospective transactions which Management is exploring; and
- (j) summary of dealings in CLMT units by the Manager.

This allows the Board to develop a good understanding of the progress of CLMT Group's business as well as the issues and challenges faced by CLMT, as well as promotes active engagement with Management.

The Manager adopts and practises the principle of collective decisions and therefore, no individual Director influences or dominates the decision-making process. There is mutual respect and trust among the Directors and therefore the Board benefits from a culture of frank and rigorous discussions. Such discussions conducted on a professional basis contribute to the dynamism and effectiveness of the Board. The Board composition is such that there is diversity in views and perspectives which enriches deliberations and contributes to better decision-making by the Board. At Board and Board Committee meetings, all the Directors actively participate in discussions, and particularly, they engage in open and constructive debate and will challenge the Management on its assumptions and recommendations.

A total of five (5) Board meetings were held in FY 2023 with the Company Secretary in attendance at every meeting while Management and internal and external auditors attended the Board and Committee meetings upon invitation, as and when necessary. The quorum for meeting of Directors is two (2), one (1) of which shall be a representative of CLI and one (1) ID. Decisions are determined by a majority of votes, including the

CORPORATE GOVERNANCE

affirmative votes of at least one (1) ID, with any Director interested in the matter deliberated abstaining.

A table showing the attendance record of the Directors at meetings of the Board and Committees in FY 2023 is set out on page 95 of the Corporate Governance section of CLMT Annual Report 2023. The Manager believes in the manifest contribution of its Directors beyond attendance at formal Board and Committee meetings. To judge a Director's contributions based on his attendance at formal meetings alone would not do justice to his overall contributions, which include being accessible to Management for guidance or exchange of views outside the formal environment of Board and Board Committee meetings. In addition to the formal meetings held in FY 2023, Management has received and benefited from the strategic guidance of the Board through the Directors having had many interactive sessions with Management in person and also through electronic means.

Directors' Development

In view of the increasingly demanding, complex and multi-dimensional roles of a Director, the Board recognises the importance of continuous training and development, including material sustainability risks and opportunities for its Directors so as to equip them to discharge the duties and responsibilities of their office based on their abilities as Directors. The Manager has in place a training framework to guide and support the Manager towards meeting the objective of having a Board which comprises individuals who are competent and possess up-to-date knowledge and skills necessary to discharge duties and responsibilities. Newly appointed Directors who have no prior experience as a director of a listed issuer are provided with training on the roles and responsibilities of a director of a listed issuer in accordance with the Listing Requirements.

Upon appointment, each Director is provided a copy of the Director's Manual (which includes information on a broad range of matters relating to the role, duties and responsibilities of a director). All Directors, upon appointment, also undergo an induction programme which focuses on orientating the Director to CLMT's business, operations, strategies, organisation structure, responsibilities of the CEO and other persons having authority and responsibility for planning, directing and controlling the activities of the Manager (key management personnel), as well as financial and governance practices. Through the induction programme, the new Director also gets acquainted with members of Management which facilitates their interaction at Board meetings.

Following their appointment, Directors are provided with opportunities for continuing education in areas such as Directors' duties and responsibilities, changes to regulations and accounting standards and industry-

related matters, so as to be updated on matters that affect or which may enhance their performance as Directors or Board Committee members. The Directors may also recommend suitable training and development programmes to the Board. In FY 2023, the training and professional development programmes for the Directors included seminars conducted by experts and senior business leaders on board practices and issues faced by boards. The Directors also regularly receive reading materials on topical matters or subjects as well as updates on regulatory changes and their implications. The Board has been continuously briefed and updated on the Corporate Liability Provision under Section 17A of the Malaysian Anti-Corruption Commission (Amendment) Act 2018 (MACC Act), the gap analysis addressed with the policies and procedures put in place by Management for the Manager's compliance as guided by the Guidelines on Adequate Procedures issued pursuant to Section 17A(5) of the MACC Act and the latest development on the corporate governance issues.

All Directors have attended the Mandatory Accreditation Programme (MAP) as prescribed by Bursa Securities, within four months of their appointments. Training programmes, seminars and conferences attended by the Directors during FY 2023 are set out on page 95 to 96 of the Corporate Governance section of CLMT Annual Report 2023.

Practice 1.2: A Chairman of the board who is responsible for instilling good corporate governance practices, leadership and effectiveness of the board is appointed.

As of the date of this Statement, the Board comprises eight (8) Directors, five (5) of whom are IDs. The Chairman of the Board is a non-executive ID. Profiles of the Chairman and the Directors are provided in Our Board of Directors section on page 22 to 27 of CLMT Annual Report 2023.

The Chairman is responsible for:

- (i) providing leadership to the Board so that the Board can perform its responsibilities effectively;
- (ii) overseeing the Board agenda and interfacing between Management and Board members for delivery of information required at each Board meeting;
- (iii) leading all Board meetings and discussions;
- (iv) encouraging active participation and allowing dissenting views to be freely expressed by the Directors;
- (v) managing the interface between Board and Management on all other matters;

(vi) ensuring appropriate steps are taken to provide effective communication with stakeholders and that their views are communicated to the Board; and

(vii) leading the Board in establishing and monitoring good corporate governance practices in the Manager.

Practice 1.3: The positions of Chairman and CEO are held by different individuals.

The roles and responsibilities of the Chairman and the CEO are held by separate individuals, in keeping with the principles that there be a clear division of responsibilities between the leadership of the Board and Management and that no one individual has unfettered powers in decision making. During the financial year 2023, the Board was led by Mr Lui Chong Chee (Mr Lui). Following his resignation as Non-Executive Independent Director effective 1 February 2024, the Manager had redesignated Dato' Jeffrey Ng as Chairman of the Board whilst the CEO is Mr Tan Choon Siang. The Chairman and the CEO enjoy a positive and constructive working relationship between them and support each other in their respective leadership roles. They do not share any family ties.

The Chairman provides leadership to the Board and facilitates the conditions for the overall effectiveness of the Board, Board Committees and individual Directors. This includes approving the agenda set for the Board meetings and ensuring that there is sufficient information provided and time given at meetings to address all agenda items, and promoting open and constructive engagement among the Directors as well as between the Board and the Management on strategic issues.

The Chairman devotes considerable time to understanding the business of CLMT, as well as the issues and the competition that CLMT faces. He plays a leadership role by providing oversight, direction, advice and guidance to the CEO. He also maintains open lines of communication and engages with other members of Management regularly, and acts as a sounding board for the CEO on any strategic and significant operational matters.

The Chairman also ensures that the Board works together with Management with integrity, competency and moral authority, and that the Board engages Management in deliberations on strategy, business operations and enterprise risks.

The CEO has full executive responsibilities to manage CLMT's Group business and to develop and implement policies approved by the Board.

The separation of the roles and responsibilities between the Chairman and the CEO and the resulting clarity

of roles provide a healthy professional relationship between the Board and Management, facilitates robust deliberations on CLMT Group's business activities and the exchange of ideas and views to help shape CLMT's strategic process thus ensuring an appropriate balance of power, increased accountability and greater capacity of the Board for independent decision-making.

Since the roles of the Chairman and the CEO are held by separate individuals who are not related to each other, whereby the Chairman is an ID, no lead ID is appointed.

Practice 1.4: The Chairman of the board should not be a member of the Audit Committee, Nomination Committee or Remuneration Committee.

During the financial year under review, Mr Lui is a non-executive independent Chairman and he is also a member of the NRC. The Board delegates and entrusts its review function to the NRC which operates within clearly defined terms of reference and specific powers granted thereunder. Nonetheless, following Mr Lui's resigned as Non-Executive Independent Director effective 1 February 2024, the Manager had redesignated Dato' Jeffrey Ng as the Chairman of the Board.

Dato' Jeffrey Ng is not a member of the AC, NRC and Exco of the Manager. Hence, the Manager has applied the recommendation under Practice 1.4 of the Code.

Practice 1.5: The board is supported by a suitably qualified and competent Company Secretary to provide sound governance advice, ensure adherence to rules and procedures, and advocate adoption of corporate governance best practices.

The Board is supported by two (2) suitably qualified and competent Company Secretaries. The Directors also have separate and independent access to the Company Secretaries of the Manager. The Company Secretaries keep themselves abreast of relevant developments. They have oversight of corporate secretarial administration matters and advise the Board and Management on corporate governance matters. The Company Secretary attends Board meetings and assists the Chairman in ensuring that procedures are followed. The Company Secretary also facilitates the induction programme for new Directors and oversees professional development administration for the Directors. The appointment and the removal of the Company Secretaries is subject to the Board's approval.

During FY 2023, the Company Secretary has advised on corporate disclosures and compliance with the Companies Act 2016 and provided updates on the Code, REITs Guidelines, Listing Requirements, the

CORPORATE GOVERNANCE

Corporate Liability Provision under Section 17A of the MACC Act and other related laws for the Manager's and Board's information.

Practice 1.6: Directors receive meeting materials, which are complete and accurate within a reasonable period prior to the meeting. Upon conclusion of the meeting, the minutes are circulated in a timely manner.

The Manager recognises the importance of providing the Board with complete, adequate, accurate and timely information prior to Board meetings and on an ongoing basis, to enable the Directors to make informed decisions to discharge their duties and responsibilities.

The Company Secretary of the Manager works with the Chairman and Management to ensure that Board papers and agendas are provided to each Director at least seven (7) days before the date of the Board meetings so that they can familiarise themselves with the matters prior to the Board meetings. The Board meets regularly and at each Board meeting, the CEO provides updates on CLMT's business and operations as well as its financial performance. Presentations in relation to specific businesses areas are also made by key executives and external consultants or experts. This allows the Board to develop a good understanding of the progress of CLMT's business as well as the issues and challenges facing CLMT, and also promotes active engagement between the Board and the key executives of the Manager.

In line with the Manager's ongoing commitment to minimise paper wastage and reduce its carbon footprint, the Manager does not provide printed copies of Board and Board Committee meeting materials. Instead, the Directors are provided with tablet devices to enable them to access and review meeting materials prior to and during meetings. This initiative also enhances information security as the meeting materials are made available through a secure channel. The Directors are also able to review and approve written resolutions using tablet devices.

The Manager practises timely circulation of the minutes of the Board and Committee meetings after each meeting. These minutes accurately reflect the deliberations and decisions of the Board and Board Committees, including whether any Director abstained from voting or deliberating on any matter.

Intended Outcome 2.0

There is demarcation of responsibilities between the board, board committees and management. There is clarity in the authority of the board, its committees and individual directors.

Practice 2.1: The board has a board charter which is periodically reviewed and published on the company's website. The board charter clearly identifies: -

- The respective roles and responsibilities of the board, board committees, individual directors and management; and
- Issues and decisions reserved for the board.

The Board Charter has been established to outline a clear roles and responsibilities of the Board to ensure that principles and practices of good corporate governance are applied by the Board. The Board's duties and responsibilities as guided by the Board Charter include amongst other, the following:

- (a) approving CLMT's broad policies, strategies and objectives;
- (b) approving annual budgets, major funding including capital management proposals, investment and divestment proposals;
- (c) reviewing at least annually the adequacy and effectiveness of the risk management and internal control systems including financial, operational, compliance and information technology controls of CLMT and the Manager;
- (d) reviewing and approving succession plans for Directors;
- (e) reviewing and approving the appointment of and succession plan for the CEO; and
- (f) reviewing and approving the Board's overall remuneration policy and compensation framework.

The Board Charter is periodically reviewed to reflect changes to the Board's policies, procedures and processes as well as any development in statutes and regulations that may have an impact on the discharge of the Board's duties and responsibilities. The Board Charter which was last revised on 28 April 2022 is published on the Website.

The Board has also adopted a set of internal control which establishes financial approval limits for capital expenditure, investments, divestments, bank borrowings and issuance of debt instruments and this is clearly communicated to Management in writing. The Board has reserved authority to approve certain matters including:

- (a) material acquisition, investments and divestments;
- (b) issue of new units in CLMT (Units);

- (c) income distributions and other returns to Unitholders; and
- (d) matters which involve a conflict of interest for a controlling Unitholder or a Director.

Apart from matters that specifically require the Board's approval, the Board delegates authority for transactions below the Board's approval limits to Board Committees and Management to optimise operational efficiency.

Intended Outcome 3.0

The board is committed to promoting good business conduct and maintaining a healthy corporate culture that engenders integrity, transparency and fairness.

The board, management, employees and other stakeholders are clear on what is considered acceptable behaviour and practice in the company.

Practice 3.1: The board establishes a Code of Conduct and Ethics for the company, and together with management implements its policies and procedures, which include managing conflicts of interest, preventing the abuse of power, corruption, insider trading and money laundering. The Code of Conduct and Ethics is published on the company's website.

The Manager adheres to an ethics and code of business conduct policy which deals with issues such as confidentiality, conduct and work discipline, corporate gifts and concessionary offers. Clear policies and guidelines on how to handle work place harassment and grievances are also in place.

The policies and guidelines are published on CapitaLand's Intranet which is accessible by all employees of the Manager. The policies that the Manager has implemented aim to help to detect and prevent occupational fraud mainly in three ways.

Firstly, the Manager offers fair compensation packages, based on practices of pay-for-performance and promotion based on merit to its employees. The Manager also provides various healthcare subsidies and financial assistance schemes to alleviate the common financial pressures its employees face.

Secondly, clearly documented policies and work procedures incorporate internal controls which ensure that adequate checks and balances are in place. Periodic audits are also conducted to evaluate the efficacy of these internal controls.

Finally, the Manager seeks to build and maintain the right organisational culture through its core values, educating its employees on good business conduct and ethical values. This is achieved through orientation training of new employees and periodic training updates for existing employees.

The Board has developed a Board Code, which essentially sets out the standards of conduct expected from all Directors, including avoiding conflict of interest / potential conflict of interest, duties of honesty and good faith, professionalism and commitment, preventing non-compliance with laws, rules and regulations. If the conflict of interest / potential conflict of interest cannot be avoided, then the director must make full disclosure to the Board. The Board Code which was last revised on 28 July 2022 is published on the Website.

Bribery and Corruption Prevention Policy

The Manager adopts a strong stance against corruption and bribery. In addition to clear guidelines and procedures for the giving and receipt of corporate gifts and concessionary offers, all employees of the Manager are required to make a declaration on an annual basis where they pledge to uphold the Manager's core values and not to engage in any corrupt or unethical practices. This serves as a reminder to all employees to maintain the highest standards of integrity in their work and business dealings. This is in line with the Corporate Liability Provision under Section 17A of the MACC Act which came into force on 1 June 2020.

The Board had on 22 January 2020 adopted the Fraud, Bribery & Corruption Risk Management Policy, also recognised as the ABC Policy, for the Manager's compliance. The ABC Policy underpins CLMT Group's strategies in identifying, preventing and managing bribery and corruption issues. The ABC Policy applies to all Directors, managers and employees of the Manager in dealing with external parties in the commercial context. The Manager's zero-tolerance policy towards corruption and bribery has been extended to its business dealings with third parties. Pursuant to the ABC Policy, amongst others, the Manager requires that certain agreements incorporate anti-bribery and anti-corruption provisions and communication of the zero-tolerance policy towards corruption and bribery is disseminated to all third parties in all correspondences to emphasise the Manager's commitment and seriousness. The ABC Policy is reviewed periodically to ensure that it continues to remain relevant, appropriate and effective to enforce the principles highlighted therein and to ensure continued compliance with the prevailing laws relating to corruption and bribery in Malaysia. A copy of the ABC Policy can be found on the Website.

A set of comprehensive communication slides has been established to communicate and disseminate the Corporate Liability Provision under Section 17A of the MACC Act as well as the ABC Policy throughout the CLMT Group through online training modules and other communication channels. The compliance with the policies and procedures put in place as guided by the Guidelines on Adequate Procedures issued pursuant to Section 17A(5) of the MACC Act will be monitored closely, both on an ongoing basis and in

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conjunction with the annual assessment of the CLMT Group's corruption risks. The annual risk assessment is carried out to identify the corruption risks to which the CLMT Group is exposed to and the appropriateness of the mitigation measures established to minimise the exposure to these risks.

Anti-Money Laundering and Countering the Financing of Terrorism Measures

The Anti-Money Laundering, Anti-Terrorism Financing and Proceeds of Unlawful Activities Act 2001 (AMLATFA) lays down various activities which AMLATFA views as unlawful activities and which the Manager must be aware of. The Manager has applied a policy on the prevention of money laundering and terrorism financing and is alert at all times to suspicious transactions. As part of its business operational practices, the Manager performs due diligence checks on its counterparties in order to ensure that it is able to detect any suspicious money laundering and terrorist financing activities and it does not enter into business transactions with terrorist suspects or other high-risk persons or entities.

Under this policy, all relevant records or documents relating to business relations with the CLMT's Group's customers or transactions entered into must be retained for a period of at least seven years following the termination of such business relations or the completion of such transactions.

All prospective employees, officers and Capital Markets Services Representatives Licence (CMSRL) representatives of the Manager are also screened against various money laundering and terrorism financing information sources and lists of designated entities and individuals provided by SC. Periodic training is provided by the Manager to its Directors, employees and CMSRL representatives to ensure that they are updated and aware of applicable anti-money laundering and countering of terrorism financing regulations, the prevailing techniques and trends in money laundering and terrorism financing and the measures adopted by the Manager to combat money laundering and terrorism financing.

Practice 3.2: The board establishes, reviews and together with management implements policies and procedures on whistleblowing.

A Whistleblowing Policy and other procedures are put in place to provide the Manager's employees and parties who have dealings with the Manager with well defined, accessible and trusted channels to report suspected fraud, corruption, dishonest practices or other improprieties in the workplace, and for the independent investigation of any reported incidents and appropriate follow up action.

The objective of this policy is to encourage the reporting of such matters so that employees or external parties making any reports in good faith will be able to do so with the confidence that they will be treated fairly and, to the extent possible, be protected from reprisal. The AC reviews all whistleblowing complaints at its scheduled meetings. Independent, thorough investigation and appropriate follow up actions are then taken. The outcome of each investigation is reported to the AC. All employees of the Manager are informed of this Whistleblowing Policy which is made available on CapitaLand's Intranet. A copy of the Whistleblowing Policy can also be found on the Website.

Intended Outcome 4.0

The company addresses sustainability risks and opportunities in an integrated and strategic manner to support its long-term strategy and success.

Practice 4.1: The board together with management takes responsibility for the governance of sustainability in the company including setting the company's sustainability strategies, priorities and targets. The Board takes into account sustainability considerations when exercising its duties including among others the development and implementation of company strategies, business plans, major plans of action and risk management. Strategic management of material sustainability matters should be given driven by senior management.

Practice 4.2: The board ensures that the company's sustainability strategies, priorities and targets as well as performance against these targets are communicated to its internal and external stakeholders.

Practice 4.3: The board takes appropriate action to ensure they stay abreast with and understand the sustainability issues relevant to the company and its business, including climate-related risks and opportunities.

The Board takes cognisance of the Code to strengthen the oversight of sustainability with five new practices.

In 2020, CapitaLand launched the Sustainability Master Plan that articulates the CapitaLand Group's sustainability targets, strategies and plans till 2030. The CapitaLand 2030 Sustainability Master Plan focuses on three key themes to drive sustainability efforts in the environment, social and governance (ESG) pillars, enabling the CapitaLand Group to create a larger positive impact for the environment and society. As a CLI-sponsored Real Estate Investment Trust, CLMT led by the Manager's CEO, is aligned with CapitaLand's 2030 Sustainability Master Plan. CapitaLand's 2030 Sustainability Master Plan is regularly reviewed where necessary to complement CapitaLand Group's business strategy and align with climate science.

To ensure the sustainability practice becomes an integral part of the organisational activities, the Board, had approved the sustainability performance and the achievement of set targets as part of CLMT Balanced Scorecard and these are cascaded down throughout the organisation from the Board through senior management to employees. Sustainability goals are part of the Balanced Scorecard for measuring performance which include measurements that track progress towards sustainability target for the Manager.

The Manager, through company disclosures and various engagement channels including dialogues, participation at conferences, member representations in industry related associations, benchmarking and responding to sustainability surveys seeks to understand its stakeholders' views, communicate effectively with them and respond to their concerns.

The Manager is committed to maintaining close stakeholder engagement and communication with key stakeholders.

The Board is mindful of the importance for its members to have an adequate understanding of the industry issues that may pose threat to the sustainability of the business, and they should possess the appropriate skills and experience to manage these risks. Whenever required, the Directors will undergo education programmes, such as through internal workshops and training to be apprised of changes to emerging sustainability issues including climate-related topics and their impacts on the Group.

Practice 4.4: Performance evaluations of the board and senior management include a review of the performance of the board and senior management in addressing the company's material sustainability risks and opportunities.

The Board effectiveness evaluation questionnaires for FY 2023 had been updated to include questionnaire on Board's oversight of ESG and sustainability related performance measures. The Board concluded that ESG practices will remain one of the areas requiring ongoing focus and dedicated attention for continuous improvement.

Practice 4.5: The board identifies a designated person within management, to provide dedicated focus to manage sustainability strategically, including the integration of sustainability considerations in the operations of the company. (Step-up)

As part of the CapitaLand Group, CLMT's sustainability strategy is aligned to that of CLI. CLMT is committed to working towards long-term and annual targets under CLI 2030 Sustainability Master Plan Framework. To strengthen its sustainability stewardship, the Manager

has formalised a Sustainability department effective January 2023, which is helmed by Ms Jasmine Loo, and supported by various Heads of Department of the Manager, and the Heads of Department of the operations and technical teams of CLI. The Sustainability department regularly updated the Board on matters relating to sustainability management performance of CLMT, key material issues identified by stakeholders and the planned follow-up measures.

Intended Outcome 5.0

Board decisions are made objectively in the best interests of the company taking into account diverse perspectives and insights.

Practice 5.1: The Nomination Committee should ensure that the composition of the board is refreshed periodically. The tenure of each director should be reviewed by the Nomination Committee and annual re-election of a director should be contingent on satisfactory evaluation of the director's performance and contribution to the board.

The Manager has on 21 October 2021 established the NRC. The NRC is entrusted to assist the Board in, inter alia, matters relating to the appointment, re-appointment and retirement of Board and Board Committees members, review of Board's performance and Director's independence; the leadership development and succession plan and framework for the CEO; and the remuneration for the Directors.

The annual assessment of the Board, Board Committees and individual Directors for FY 2023 was conducted by the NRC on 24 January 2024 using a self and peer assessment approach. The criteria for the evaluation are guided by the Corporate Governance Guide issued by Bursa Malaysia Berhad.

A summary of key activities undertaken by the NRC in discharging its nomination duties during the financial year under review and up to the date of this Statement is set out below:

- (a) reviewed and assessed the proposed appointment of Ms Goh Gek Hiang (Wu Yuxian) (Ms Patricia Goh) as Non-Executive Non-Independent Director in place of the resigning Director, Mr Yap Neng Tong (Mr Jonathan Yap) and recommended to the Board for approval;
- (b) reviewed the revised Board Effectiveness Evaluation Form for FY 2023 (Evaluation Form);
- (c) reviewed and proposed the appointment of Dato' Jeffrey Ng as Non-Executive Independent Director to the Board for approval;
- (d) reviewed the size and composition of the Board, structure and membership of the Board Committees;

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- (e) assessed the performance of the Board, Board Committees and individual Directors based on the duly completed Evaluation Form;
- (f) assessed the independence of all non-executive IDs;
- (g) reviewed the payment of non-executive Directors' Fees;
- (h) reviewed the CLMT 2023 Balanced Scorecard;
- (i) reviewed and proposed the redesignation of Dato' Jeffrey Ng as Chairman of the Board to the Board for approval; and
- (j) reviewed and proposed the changes in NRC composition to the Board for approval.

Practice 5.2: At least half of the board comprises independent directors. For Large Companies⁴, the board comprises a majority independent directors

The Board has a strong independent element. As at the date of this Statement, the Board comprises eight (8) Directors, five (5) of whom including the Chairman, Dato' Jeffrey Ng are IDs. Profiles of the Directors are provided in our Board of Directors section on page 22 to 27 of CLMT Annual Report 2023 reflecting that there is a majority of IDs on the Board of the Manager.

The Board reviews from time to time the size and composition of the Board and each Board Committee, with a view of ensuring that its size is appropriate in facilitating effective decision making, and the composition reflects a strong independent element as well as there is balance and diversity of thought and backgrounds. The review takes into account the scope and nature of CLMT Group's operations, and the competition that it faces.

Practice 5.3: The tenure of an independent director does not exceed a cumulative term limit of nine years. Upon completion of the nine years, an independent director may continue to serve on the board as a non-independent director. If the board intends to retain an independent director beyond nine years, it should provide justification and seek annual shareholders' approval through a two-tier voting process.

Practice 5.4: The board has a policy which limits the tenure of its independent directors to nine years without further extension. (Step Up)

The Board through NRC, assessed (and as and when circumstances require) the independence of each Director in accordance with the Listing Requirements, REITs Guidelines and the guidance in the Code. A Director is considered independent if he or she is

independent in conduct, character and judgement, and:

- (a) has no relationship with the Manager, its related corporations, its major shareholders, CLMT's major Unitholders (being Unitholders who have interests in voting Units with 10% or more of the total votes attached to all voting Units) or the Manager's officers that could interfere, or be reasonably perceived to interfere with the exercise of his or her independent business judgement in the best interests of CLMT;
- (b) is independent from the management of the Manager and CLMT, from any business relationship with the Manager and CLMT, and from every major shareholder of the Manager and every major unitholder of CLMT;
- (c) is not a major shareholder of the Manager or a major unitholder of CLMT;
- (d) is not employed by the Manager or CLMT or their related corporations (save for their roles as IDs of the Manager);
- (e) has not served on the Board for a cumulative period of more than twelve (12) years;
- (f) is not and has not been an officer of the Manager or CLMT or their related corporations, the trustee of CLMT or its related corporation within the last three years;
- (g) has not been engaged as an adviser by the Manager or its related corporation under such circumstances as prescribed by Bursa Securities or is not presently a partner, director (except as an independent director) or major shareholder, as the case may be, of a firm or corporation which provides professional advisory services to the Manager or CLMT under such circumstances as prescribed by Bursa Securities within the last three years;
- (h) not acting as a nominee or representative of any executive director or major shareholder of the Manager or major unitholder of CLMT; and
- (i) has not engaged in any transaction with the Manager or CLMT under such circumstances as prescribed by Bursa Securities, or is not presently a partner, director or major shareholder, as the case may be, of a firm or corporation (other than subsidiaries of the Manager) which has engaged in any transaction with the Manager or CLMT under such circumstances as prescribed by Bursa Securities within the last three years.

There is a rigorous process to evaluate the independence of each ID. As part of the process:

⁴ Large Companies refers to (1) Companies on the FTSE Bursa Malaysia Top 100 Index; or (2) Companies with market capitalisation of RM2 billion and above, at the start of the companies' financial year.

(a) each ID provides information on his business interests and confirms, upon appointment, as well as on an annual basis, that there are no relationships which interfere with the exercise of his independent business judgement in the best interests of Unitholders; and such information is reviewed by the NRC; and

(b) the NRC also reflects on the respective IDs' conduct and contributions at Board and Board Committee meetings, specifically, whether the relevant ID has exercised independent judgement in discharging his or her duties and responsibilities.

Each ID is required to recuse himself or herself from the Board's deliberations on his or her independence. In appropriate cases, the NRC also reviews the independence of an ID as and when there is a change of circumstances involving the ID. In this regard, an ID is required to report to the Manager when there is any change of circumstances which may affect his or her independence.

The NRC has also carried out the assessment of each of the independence of its IDs for FY 2023 and the continuation in office as independent director. The paragraphs below set out the outcome of the assessment.

Mr Lui, Dato' Jeffrey Ng, Mr Tan Boon Peng, Encik Mohd Yusof bin Hussian, Mr Foo and Ms Tan Ming-Li do not have any relationships which could interfere with the exercise of their independence and have therefore demonstrated independence of character and judgement in the discharge of his/ her responsibilities as a Director of the Manager in FY 2023. The Board, based on the assessment conducted by the NRC, was satisfied that each relevant non-executive Director had acted with independent judgement and able to and has been adequately carrying out his / her duties as an ID of the Manager. All assessments and evaluations carried out by the NRC were duly documented.

The Manager believes that Board renewal is a necessary and continual process, for good governance and ensuring that the Board has the skills, expertise and experience which are relevant to the evolving needs of CLMT's business; renewal or replacement of a Director therefore does not necessarily reflect his/ her performance or contributions to date. The Board has established an internal guideline that an ID will serve for a period of up to two three-year terms and any extension of term up to a maximum period of nine years (inclusive of the initial two terms served) will be individually considered by the Board.

Practice 5.5: Appointment of board and senior management are based on objective criteria, merit and with due regard for diversity in skills, experience, age, cultural background and gender. Directors appointed should be able to devote the required time to serve

the board effectively. The board should consider the existing board positions held by a director, including on boards of non-listed companies. Any appointment that may cast doubt on the integrity and governance of the company should be avoided.

Practice 5.6: In identifying candidates for appointment of directors, the board does not solely rely on recommendations from existing board members, management or major shareholders. The board utilises independent sources to identify suitably qualified candidates. If the selection of candidates was based on recommendations made by existing directors, management or major shareholders, the Nominating Committee should explain why these source(s) suffice and other sources were not used.

Practice 5.7: The board should ensure shareholders have the information they require to make an informed decision on the appointment and reappointment of a director. This includes details of any interest, position or relationship that might influence, or reasonably be perceived to influence, in a material respect their capacity to bring an independent judgement to bear on issues before the board and to act in the best interests of the listed company as a whole. The board should also provide a statement as to whether it supports the appointment or reappointment of the candidate and the reasons why.

The Board embraces diversity and formally adopted a Board Diversity Policy in January 2020. The Board Diversity Policy provides that the Board shall comprise talented and dedicated Directors with a diverse mix of expertise, experience, perspectives, skills and backgrounds, with due consideration given to other diversity factors including but not limited to diversity in business or professional experience, age and gender.

The Board believes in diversity and values the benefits that diversity can bring to the Board in its deliberations. Diversity enhances the Board's decision-making capability and ensures that the Manager has the opportunity to benefit from all available talent and perspectives.

In line with the Paragraph 15.01A of the Listing Requirements, the Board had on 23 June 2022 approved and adopted the Directors' Fit and Proper Policy which outlined the fit and proper criteria for the appointment and re-appointment of Directors on the Board of the Manager and its subsidiaries. The said policy is devised to ensure that each of the Directors has the character and integrity; experience and competence; and time commitment to effectively discharge his or her role as a Director of the Manager and its subsidiaries. A copy of the Directors' Fit and Proper Policy is made available on the Website.

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The NRC, in carrying out its duties of determining the optimal composition of the Board in its Board renewal process, identifies possible candidates and makes recommendations of board appointments to the Board whilst considering diversity factors such as age, educational, business and professional backgrounds of its members. Female representation is also considered an important aspect of diversity. As at the date of this Statement, the Board comprises eight (8) members, two (2) of them are female members. The Directors are professionals with varied backgrounds, expertise and experience including in finance, retail management, investment, real estate, legal and accounting.

Though the appointment and re-appointment of Directors of the Manager is not subject to the approval of the Unitholders of CLMT, the Board has a formal and transparent process for the appointment and re-appointment of Directors. The NRC assisted the Board in matters relating to reviewing and recommending to the Board all nominations for the appointment and re-appointment of Directors. For Board nomination, the NRC shall consider candidates on merit and against objective criteria and with due regard to the benefits of diversity on the Board, including gender, taking care that appointees have enough time available to devote to the position. Prior to the appointment of a Director, the proposed appointee shall be required to disclose any other business interests that may result in a conflict of interest/potential conflict of interest and be required to report any future business interests that could result in a conflict of interest and of members to the various Board Committees.

During the financial year under review and up to the date of this Statement, there were a few changes to the Board composition. Mr Jonathan Yap resigned as Non-Executive Non-Independent Director of the Manager effective 5 June 2023. In replacement thereof, Ms Patricia Goh was nominated by CLI and appointed to fill the said vacancy. Dato' Jeffrey Ng was also appointed as Non-Executive Independent Director of the Manager effective 1 October 2023 and redesignated as Chairman of the Board effective 1 February 2024 following the resignation of Mr Lui. The NRC had reviewed and assessed both Ms Patricia Goh's and Dato' Jeffrey Ng's experience, skills, time commitment and expertise, and was satisfied that they have fulfilled the required criteria set by the Board and would be able to contribute to the Board with their vast experience. The Board had subsequently based on the recommendation of the NRC, reviewed and approved the appointment of Ms Patricia Goh and Dato' Jeffrey Ng as Directors of the Manager.

Board Composition and Renewal

The Board strives to ensure that there is an optimal blend in the Board of backgrounds, experience and

knowledge in business and general management, with expertise relevant to the CLMT Group's business and track record, whereby each Director can bring to the Board an independent and objective perspective to enable balanced and well-considered decisions to be made in the interests of the CLMT Group.

There is a structured process for determining Board composition and for selecting candidates for appointment as Directors. The Board through NRC evaluates the Board's competencies on a long-term basis and identifies competencies which may be further strengthened in the long-term. Board succession planning takes into account the need to maintain flexibility to effectively address succession planning and to ensure that the Manager continues to attract and retain highly qualified individuals to serve on the Board. The process ensures that the Board composition is such that the Board has capabilities and experience which are aligned with CLMT's strategy and environment.

The NRC assisted the Board to carry out Board succession planning through the annual review of the Board's composition as well as when a Director gives notice of his or her intention to retire or resign. The NRC will seek to refresh the Board membership progressively and in an orderly manner, whilst ensuring continuity and sustainability of corporate performance.

The Board may retain external consultants from time to time to assist the Board in identifying suitable candidates for appointment to the Board. Candidates are identified based on the needs of CLMT and the relevant skills required, taking into account, among other things, the requirements in the Listing Requirements, REITs Guidelines and the Code, as well as the factors in the Board Diversity Policy and Directors' Fit and Proper Policy. The candidates will be assessed against a range of criteria including their skills and expertise, market and industry knowledge. The Board also considers the qualities of the candidates, in particular whether they are aligned to the strategic directions and values of CLMT. In addition, the Board assesses the candidates' ability to commit time to the affairs of CLMT, taking into consideration their other current appointments.

Practice 5.8: The Nominating Committee is chaired by an Independent Director or the Senior Independent Director.

The NRC is chaired by Mr Tan Boon Peng, a non-executive independent Director.

Practice 5.9: The board comprises at least 30% women directors.

Practice 5.10: The board discloses in its annual report the company's policy on gender diversity for the board and senior management

Pursuant to the Listing Requirements and REITs Guidelines, the board of a management company must comprise at least one (1) woman director effective 1 June 2023. As at the date of this Statement, the Board consists of two (2) women directors, representing 25% of the Board's composition. Hence, the Manager has met the said requirement.

Despite the Manager not meeting the 30% women directors in its board composition as recommended under the Practice 5.9 of the MCCG, it does not deprive the Board of objective decision-making from female perspective. Ms Tan Ming-Li has been in active legal practice since 1994 and specialising in corporate and securities law. Meanwhile, Ms Patricia Goh is the Chief Executive Officer of Southeast Asia Investment of CLI and has extensive experience in direct investment, mergers & acquisitions, asset management and leasing. Both Ms Tan Ming-Li and Ms Patricia Goh have played an effective role in offering diverse perspectives and insights to the Manager and CLMT.

Nevertheless, the Board recognises and embraces the benefits of having a diverse Board and senior management and viewing the increasing gender diversity at Board and senior management level as a good corporate governance practice. With that, the Board aims to achieve at least 30% female representation in the composition of the Board and senior management positions over the next few years. The formalisation of the appointment of woman candidate as Director(s) of the Manager will be the NRC's and Board's focused priority in year 2024.

Intended Outcome 6.0

Stakeholders are able to form an opinion on the overall effectiveness of the board and individual directors.

Practice 6.1: The board should undertake a formal and objective annual evaluation to determine the effectiveness of the board, its committees and each individual director. The board should disclose how the assessment was carried out its outcome, actions taken and how it has or will influence board composition.

For Large Companies, the board engages an independent expert at least every three years, to facilitate objective and candid board evaluation.

The Manager believes that oversight from a strong and effective Board goes a long way towards guiding a business enterprise to achieving success.

Whilst Board performance is ultimately reflected in the long-term performance of CLMT Group, the Board believes that engaging in a regular process of self and peer assessment and evaluation of board performance provides an opportunity for the Board to reflect on its effectiveness including the quality of its decisions, and for Directors to consider their performance and contributions. It also enables the Board to identify key strengths and areas for improvement which are essential to effective stewardship and attaining success for CLMT.

As part of the Manager's commitment towards improving corporate governance, the Board has approved and implemented a process to evaluate annually the effectiveness of the Board as a whole and that of each of its Board Committees and individual Directors. The criteria for the evaluation are guided by the Corporate Governance Guide issued by Bursa Malaysia Berhad. As part of the process, a questionnaire is sent to the Directors, and the evaluation results are aggregated and discussed at the NRC meeting which were then shared with the Board and follow up action is taken where necessary with a view to enhance the effectiveness of the Board and individual Directors in the discharge of its or their duties and responsibilities respectively.

Board and Board Committees

The evaluation categories covered in the questionnaire included Board structure, Board strategy, performance and governance, Board functions and practices, environmental, social and governance (ESG) or sustainability and Board Committees' effectiveness. As part of the questionnaire, the Board also considered whether the creation of value for Unitholders has been taken into account in the decision-making process. For FY 2023, the outcome of the evaluation was satisfactory and the Directors on the whole provided affirmative ratings across all the evaluation categories.

Individual Directors

The evaluation categories covered in the questionnaire include Director's duties, contributions, conduct and interpersonal skills, as well as strategic thinking and risk management. For FY 2023, the outcome of the evaluation was satisfactory and each of the Directors on the whole received affirmative ratings across all the evaluation categories.

The Board also recognises that contributions by an individual Director can take different forms including providing objective perspectives on issues, facilitating business opportunities and strategic relationships, and accessibility to Management outside of the formal environment of Board and/or Committee meetings.

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Board Evaluation as an Ongoing Process

The Board believes that the performance evaluation should be an ongoing process and the Board achieves this by seeking feedback on a regular basis. The regular interactions among the Directors, and between the Directors and Management, also contribute to this ongoing process. Through this process of engaging its members, the Board also benefits from an understanding of shared norms among Directors which also contributes to a positive Board culture. The collective Board performance and the contributions of individual Directors are also reflected in, and evidenced by, synergistic performance of the Board in discharging its responsibilities as a whole by providing proper guidance, diligent oversight and able leadership, as well as lending support to Management in steering CLMT in the appropriate direction, for the long-term performance of CLMT whether under favourable or challenging market conditions.

Intended Outcome 7.0

The level and composition of remuneration of directors and senior management take into account the company's desire to attract and retain the right talent in the board and senior management to drive the company's long-term objectives. Remuneration policies and decisions are made through a transparent and independent process.

Practice 7.1: The board has remuneration policies and procedures to determine the remuneration of directors and senior management, which takes into account the demands, complexities and performance of the company as well as skills and experience required. The remuneration policies and practices should appropriately reflect the different roles and responsibilities of non-executive directors, executive directors and senior management. The policies and procedures are periodically reviewed and made available on the company's website.

A formal and transparent procedure exists for developing policies on Director and executive remuneration. For fixing the remuneration packages of individual Directors and key management personnel, the primary responsibility of which has been delegated to the NRC. These policies are in line with CLMT Group's business strategy and the executive compensation framework is based on the key principle of linking pay to performance, which is aligned with the long-term success of CLMT. Pay-for-performance is emphasised by linking total remuneration to the achievement of corporate and individual goals and objectives. The Board has access to independent remuneration consultants for advice on remuneration matters as and when required.

In terms of the process adopted by the Manager for developing and reviewing policies on remuneration

and determining the remuneration packages for Directors and key management personnel, the Manager, through an independent remuneration consultant, takes into account compensation benchmarks within the industry, as appropriate, so as to ensure that the remuneration packages payable to Directors and key management personnel are in line with the objectives of the remuneration policies. It also considers the compensation framework of CLI as a point of reference. The Manager is an indirect subsidiary of CLI which also holds a significant stake in CLMT. The association with the CLI Group puts the Manager in a better position to attract and retain better qualified management talent whereby it provides an intangible benefit to the Manager such that it allows its employees to associate themselves with an established corporate group which can offer them the depth and breadth of experience and enhanced career development opportunities.

In FY 2023, an independent remuneration consultant, Willis Towers Watson (WTW) provided professional advice on Board and executive remuneration. WTW, the consultant, is not related to the Manager, its controlling shareholder, its related corporations nor to any of its Directors.

Remuneration Policy for Key Management Personnel

The remuneration framework and policy is designed to support the implementation of CLMT Group's strategy and deliver sustainable Unitholder value. The principles governing the Manager's key management personnel remuneration policy are as follows:

Business Alignment

- > Focus on generating rental income and enhancing asset value over time so as to maximise returns from investments and ultimately the income distribution and total return to Unitholders.
- > Provide sound and structured funding to ensure affordability and cost-effectiveness in line with performance goals.
- > Enhance retention of key talent to build strong organisational capabilities.

Motivate Right Behaviour

- > Pay-for-performance – align, differentiate and balance rewards according to multiple dimensions of performance.
- > Strengthen line-of-sight by linking rewards with performance.

Fair & Appropriate

- > Ensure competitive remuneration relative to the appropriate external talent markets.

- > Manage internal equity such that the remuneration systems are being viewed as fair across the CLMT Group.
- > Significant and appropriate portion of pay-at-risk, taking into account risk policies of the CLMT Group, symmetrical with risk outcomes and sensitive to the risk time horizon.

Effective Implementation

- > Maintain rigorous corporate governance standards.
- > Exercise appropriate flexibility to meet strategic business needs and practical implementation considerations.
- > Facilitate employee understanding to maximise the value of the remuneration programmes.

Remuneration for Key Management Personnel

Remuneration for key management personnel comprises a fixed component, variable cash component and employee benefits. A significant proportion of key management personnel's remuneration is in the form of variable compensation, awarded in a combination of short-term and long-term incentives, in keeping with the principle that the interests of key management personnel align with those of Unitholders and that the remuneration framework links rewards to corporate and individual performance. The fixed component for key executives comprises the base salary, fixed allowances and compulsory employer contribution to the employees' Employees Provident Fund. The variable cash component comprises the Balanced Scorecard Bonus Plan which is linked to the achievement of annual performance targets for each key management personnel as agreed at the beginning of the financial year with the Board.

Under the Balanced Scorecard Framework, CLMT Group's strategy and goals are translated to performance outcomes comprising both quantitative and qualitative targets in the dimensions of:

- (a) Financial: This includes targets relating to profitability, distributions, capital structure, capital recycling and risk management;
- (b) Execution: This includes targets relating to occupancy rates, operational efficiency and stakeholder engagement;
- (c) Future Growth: This includes targets relating to investment or portfolio growth and asset enhancements; and
- (d) Sustainability: This includes targets relating to talent management, competency development and sustainability corporate practices.

These are cascaded down throughout the organisation, thereby creating alignment across the CLMT Group.

After the close of each year, the Board reviews CLMT Group's achievements against the targets set in the Balanced Scorecard and determines the overall performance taking into consideration qualitative factors such as the business environment, regulatory landscape and industry trends.

In determining the payout quantum for each key management personnel under the plan, the Board considers the overall business performance and individual performance as well as the affordability of the payout for the Manager.

For FY 2023, remuneration for key management personnel comprises a fixed component, a performance-based variable cash component, a performance-based variable equity-based component or cash-based component and market related benefits. For the equity-based or cash-based component, for FY 2023, either shares of CapitaLand or cash was awarded pursuant to the Balanced Scorecard Bonus Plan of CapitaLand.

Practice 7.2: The board has a Remuneration Committee to implement its policies and procedures on remuneration including reviewing and recommending matters relating to the remuneration of board and senior management. The Committee has written Terms of Reference which deals with its authority and duties and these Terms are disclosed on the company's website.

The NRC which comprises exclusively non-executive directors with majority of them being independent directors, has been tasked with expanded duties and responsibilities to assist the Board in reviewing the appropriate framework and policies on matters relating to remuneration and compensation of the Board and key management personnel. The roles and responsibilities of NRC are governed by its terms of reference. A copy of the terms of reference of NRC can be found on the Website.

The Board assisted by the NRC, considers all aspects of remuneration, including overseeing the design and implementation of the remuneration policy and the specific remuneration packages for each Director and key management personnel. CLI engages independent remuneration consultants periodically to benchmark the remuneration of non-executive directors against the market. For the FY 2023, the remuneration of Non-Executive Directors remains competitive and is benchmarked against a selected list of Malaysia REITs and property peers. No Director, however, is involved in any decision of the Board relating to his own remuneration.

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Intended Outcome 8.0

Stakeholders are able to assess whether the remuneration of directors and senior management commensurates with their individual performance, taking into consideration the company's performance.

Practice 8.1: There is detailed disclosure on named basis for the remuneration of individual directors. The remuneration breakdown of individual directors includes fees, salary, bonus, benefits in-kind and other emoluments.

The Directors' fees for FY 2023 are shown in the table below. The CEO who is an executive Director, is remunerated as part of the key management personnel of the Manager and does not receive any Director's fees. The non-executive Directors who are employees of the CLI Group also do not receive any Directors' fees. In alignment with CLI, the compensation framework

for the Non-Executive Directors has been revised to incorporate the meeting attendance fees into the board and committees retainer fees in line with leading global practices effective from FY 2023. As such, compensation policy for Directors is now based on a scale of fees divided into (i) basic retainer fees for serving as Director; and (ii) committee retainer fee for director serving on any of the Committees.

The compensation package is benchmarked against market, taking into account the effort, time spent and demanding responsibilities on the part of the non-executive Directors in light of the scale, complexity and geographic scope of CLMT Group's business. The remuneration of non-executive Directors is reviewed from time to time to ensure that it is appropriate to attract, retain and motivate the non-executive Directors to provide good stewardship of the Manager.

DIRECTORS' FEES

Board Members	FY 2023 (RM)
Lui Chong Chee ⁱ	257,000
Foo Wei Hoong	173,000
Tan Boon Peng	145,000
Mohd Yusof bin Hussian	155,000
Tan Ming-Li	155,000
Dato' Ng Tiong Lip ⁱⁱ	25,962
Lim Cho Pin Andrew Geoffrey ^{i, iii, v}	163,166
Goh Gek Hiang (Wu Yuxian) ^{i, iv, v}	84,248
Yap Neng Tong ^{v, vi}	75,590
i Inclusive of attendance fees of RM3,000 per meeting for attendance in person by overseas-based director. ii Appointed as a Director with effect from 1 October 2023. iii Redesignated as Chairman of Exco and appointed as a Member of the NRC with effect from 5 June 2023. iv Appointed as a Director and a Member of the Exco with effect from 5 June 2023. v In respect of the Directors who are nominees of CLI, the Director's fees are payable to CLI. vi Resigned as a Director and ceased as Chairman of the Exco and a Member of the NRC with effect from 5 June 2023.	

Practice 8.2: The board discloses on a named basis the top five senior management's remuneration component including salary, bonus, benefits in-kind and other emoluments in bands of RM50,000.

Practice 8.3: Companies are encouraged to fully disclose the detailed remuneration of each member of senior management on a named basis. (Step Up)

The Manager has opted not to disclose the top 5 Senior Management's remuneration. In arriving at its decision, the Manager has taken into account the intense competition for talent in the industry, as well as the need to balance the confidentiality and commercial sensitivities associated with remuneration matters. In addition, the remuneration of the CEO and other key management personnel of the Manager is paid out

of the fees that the Manager receives (of which the quantum and basis have been disclosed), and is not being borne by CLMT.

Intended Outcome 9.0

There is an effective and independent Audit Committee. The board is able to objectively review the Audit Committee's findings and recommendations. The company's financial statement is a reliable source of information.

Practice 9.1: The Chairman of the Audit Committee is not the Chairman of the board.

Practice 9.2: The Audit Committee has a policy that requires a former partner of the external audit firm of the listed company to observe a cooling-off period

of at least three years before being appointed as a member of the Audit Committee.

Practice 9.3: The Audit Committee has policies and procedures to assess the suitability, objectivity and independence of the external auditor to safeguard the quality and reliability of audited financial statements.

Practice 9.4: The Audit Committee should comprise solely of independent directors. (Step Up)

The AC has established an External Auditors' Independence Guideline that considers among others:

- (a) The competence, audit quality and resource capacity of the external auditor (EA) in relation to the audit;
- (b) The nature and extent of the non-audit services rendered and the appropriateness of the level of fees; and
- (c) The written assurance obtained from the EA confirming that they are, and have been, independent throughout the conduct of the audit engagement in accordance with the terms of all relevant professional and regulatory requirements.

During the FY 2023, the Board, based on AC's recommendation, reviewed and adopted a revised External Auditor's Independence Guidelines on non-assurance services. The AC also undertook a review of the independence of the EA, taking into consideration, among other factors, CLMT's relationship with the EA in FY 2023, as well as the processes and safeguards adopted by the Manager and the EA relating to audit independence. Based on the review and the results of the assessment by Management of the EA in FY 2023, the AC is satisfied that the EA are adequately resourced, effective and independent, the latter of which was confirmed through the provisions of the EA's written confirmation of their independence to the AC. The aggregate amount of fees paid and payable to the EA for FY 2023 was RM583,800, of which audit assurance fees amounted to RM202,300 and non-audit assurance fees amounted to RM381,500. Out of the RM381,500 non-audit assurance fees, RM260,000 was in relation to Reporting Accountant fee for the acquisition of QBM.

At present, the AC comprises three (3) members, all of whom are non-executive IDs (including the Chairman of the AC). The Chairman of the AC is not the Chairman of the Board. The members bring with them invaluable recent and relevant managerial and professional expertise in accounting, auditing and related financial management domains.

The Manager had also adopted the enhanced practice introduced by the Code, i.e. a former partner of the EA is to observe a cooling-off period of at least three

years before being appointed as a member of the AC. The extended cooling off period is to safeguard the independence of the audit by avoiding the potential threats and the former partner shall now apply to all former partners of the audit firm and/or its affiliates, including those providing advisory services and tax consulting. In this regard, the AC's terms of reference have been amended accordingly. The AC also does not comprise former partners of CLMT's incumbent external auditors, KPMG PLT (KPMG) (a) within a period of three years commencing from the date of their ceasing to be partners of KPMG; or (b) who has any financial interest in KPMG.

The AC has explicit authority to investigate any matter within its terms of reference. Management provides the fullest co-operation in providing information and resources, and in implementing or carrying out all requests made by the AC. The AC has direct access to the internal and external auditors and full discretion to invite any Director or key management personnel to attend its meetings. Similarly, both the internal and external auditors have unrestricted access to the AC.

Practice 9.5: Collectively, the Audit Committee should possess a wide range of necessary skills to discharge its duties. All members should be financially literate, competent and are able to understand matters under the purview of the Audit Committee including the financial reporting process. All members of the Audit Committee should undertake continuous professional development to keep themselves abreast of relevant developments in accounting and auditing standards, practices and rules.

At present, there is a level of financial literacy amongst the AC members who collectively have the appropriate competence and sufficient understanding of CLMT's business. The qualification and experience of the individual AC members are disclosed in the profile of Directors in the Annual Report 2023.

Key Audit Matters

In the review of the financial statements of the CLMT Group for FY 2023, the AC has discussed with Management the accounting principles that were applied and their judgement of items that might affect the integrity of the financial statements and also considered the clarity of key disclosures in the financial statements.

The AC reviewed the valuation of the investment properties, being the key audit matter as reported by the EA for FY 2023. The AC was updated of the valuation methodologies and key assumptions applied by the valuers for the investment properties in arriving at the valuations. Due diligence of the valuers' competency and independence was also presented to the AC.

CORPORATE GOVERNANCE

The AC reviewed the outputs from the valuation process of the investment properties and held discussions with Management to review the valuation methodologies, focusing on significant changes in fair value measurement and key drivers of the changes including the reasonableness of the capitalisation rates adopted by the valuers.

The AC considered the findings of the EA, including their assessment of the appropriateness of valuation methodologies and the key assumptions applied in the valuation of the investment properties.

No significant matter came to the attention of the AC during the review.

The AC was satisfied with the valuation process, the methodologies used and the valuation of the investment properties. In FY 2023, the AC held two (2) private sessions with the internal and external auditors, separately and without Management's presence, to discuss the reasonableness of the financial reporting process, the system of internal controls, and the significant comments and recommendations by the auditors.

In FY 2023, changes to accounting standards, accounting systems and accounting issues which have a direct impact on the financial statements were reported to and discussed with the AC at its meetings.

Intended Outcome 10.0

Companies make informed decisions about the level of risk they want to take and implement necessary controls to pursue their objectives.

The board is provided with reasonable assurance that adverse impact arising from a foreseeable future event or situation on the company's objectives is mitigated and managed.

Practice 10.1: The board should establish an effective risk management and internal control framework.

Practice 10.2: The board should disclose the features of its risk management and internal control framework, and the adequacy and effectiveness of this framework.

Practice 10.3: The board establishes a Risk Management Committee, which comprises a majority of independent directors, to oversee the company's risk management framework and policies (Step Up)

The Manager maintains an adequate and effective system of risk management and internal controls addressing material financial, operational, compliance, information technology (IT) and environmental risks to safeguard Unitholders' interests and CLMT Group's assets.

The Board has overall responsibility for the governance of risk and oversees the Manager in the design, implementation and monitoring of the risk management and internal control systems whilst the day-to-day risk management resides with the respective business units risk owners.

Given the size and scale of CLMT's operation, the Board does not establish a separate Risk Management Committee. However, the AC and Exco have been entrusted to assist the Board in carrying out the Board's responsibility of overseeing the risk management framework and policies for CLMT Group.

The AC and Exco, guided by their respective terms of reference, and in particular, during FY 2023:

- (a) made recommendations to the Board on CLMT Group's risk strategy, risk appetite and risk limits;
- (b) assessed the adequacy and effectiveness of the risk management and internal control systems established by the Manager to manage risks;
- (c) oversaw the formulation, updating and maintenance of an adequate and effective risk management framework, policies and strategies for managing risks that were consistent with CLMT Group's risk appetite and reported to the Board on its decisions on any material matters concerning the aforementioned;
- (d) made the necessary recommendations to the Board such that an opinion regarding the adequacy and effectiveness of the risk management and internal controls systems could be made by the Board in CLMT Annual Report 2023; and
- (e) considered and advised on risk matters referred to it by the Board or Management, including reviewing and reporting to the Board on any material breaches of the RAS (as defined below) any material non-compliances with the approved framework and policies and the adequacy of any proposed actions.

The Manager adopts an Enterprise Risk Management (ERM) Framework which sets out the required environmental and organisational components for managing risks in an integrated, systematic and consistent manner. The ERM Framework and related policies are reviewed annually.

As part of the ERM Framework, the Manager undertakes and performs a Risk and Control Self-Assessment (RCSA) annually to identify material risks along with their mitigating measures. The adequacy and effectiveness of the systems of risk management and internal controls are reviewed at least annually by Management, the AC and the Board.

CLMT Group's Risk Appetite Statement (RAS), incorporating the risk limits, addresses the management of material risks faced by CLMT Group. Alignment of CLMT Group's risk profile to the RAS is achieved through various communication and monitoring mechanisms (including key risk indicators set for Management) put in place across the various functions within the Manager.

More information on the Manager's ERM Framework including the material risks identified can be found in the Enterprise Risk Management section on page 104 to 108 of CLMT Annual Report 2023.

The internal and external auditors conduct reviews of the adequacy and effectiveness of the material internal controls (including financial, operational, compliance, IT and environmental controls) and risk management systems. This includes testing, where practicable, material internal controls in areas managed by external service providers. Any material non-compliance or lapses in internal controls together with corrective measures recommended by the internal and external auditors are reported to and reviewed by the AC and Exco. The AC also reviews the adequacy and effectiveness of the measures taken by the Manager on the recommendations made by the internal and external auditors in this respect.

The Board has received assurance from the CEO, the CFO and the relevant key management personnel of the Manager who have responsibility regarding various aspects of risk management and internal controls that the systems of risk management and internal controls for the CLMT Group are adequate and effective to address the risks (including financial, operational, compliance, IT and environmental risks) which the Manager considers relevant and material to its current business environment.

The CEO, the CFO and the relevant key management personnel of the Manager have obtained similar assurances from the respective risk and control owners for the purposes of Board assurance.

Based on the ERM Framework and the reviews conducted by Management and both the internal and external auditors, as well as the assurance from the CEO and the CFO of the Manager, the Board is of the opinion, that the system of risk management and internal controls (including financial, operational, compliance, IT and environmental risks) which the CLMT Group considers relevant and material to its current business environment as at 31 December 2023 is adequate. No material weakness in the systems of risk management and internal controls were identified by the Board or the AC in the review for FY 2023.

The Board notes that the systems of risk management and internal control established by the Manager provide reasonable assurance that CLMT Group, as it strives to achieve its business objectives, will not be significantly affected by any event that can be reasonably foreseen or anticipated. However, the Board also notes that no system of risk management and internal controls can provide absolute assurance in this regard, or absolute assurance against poor judgement in decision making, human error, losses, fraud or other irregularities.

Intended Outcome 11.0

Companies have an effective governance, risk management and internal control framework and stakeholders are able to assess the effectiveness of such a framework.

Practice 11.1: The Audit Committee should ensure that the internal audit function is effective and able to function independently.

The Manager has in place an internal audit (IA) function supported by CapitaLand Group's Internal Auditors Department (CLI Group IA) which reports directly to the AC. CLI Group IA is independent of the activities it audits. The AC has carried out a review and is of the view that the internal audit function performed by CLI Group IA is, effective and independent. CLI Group IA plans its internal audit schedules in consultation with, but independently of, Management and its plan is submitted to the AC for approval prior to the beginning of each financial year. The AC also meets with CLI Group IA at least twice a year without the presence of Management. CLI Group IA has unfettered access to the Manager's documents, records, properties and employees, including access to the AC. During FY 2023, CLI Group IA has conducted all audit assignments pursuant to the 2023 annual internal audit plan as approved by AC and has also on a quarterly basis reported to AC a summary of the Related Party Transactions and Recurrent Related Party Transactions entered into by CLMT.

Practice 11.2: The board should disclose:

- (a) whether internal audit personnel are free from any relationships or conflicts of interest, which could impair their objectivity and independence;
- (b) the number of resources in the internal audit department;
- (c) name and qualification of the person responsible for internal audit; and
- (d) whether the internal audit function is carried out in accordance with a recognised framework.

CLI Group IA is adequately resourced and staffed with persons having relevant qualifications and experience. CLI Group IA is a corporate member of The Institute of Internal Auditors Inc (IIA), Singapore, which is an affiliate of the IIA with its headquarters in the United States of

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America. CLI Group IA subscribes to, and is guided by, the International Standards for the Professional Practice of Internal Auditing (Standards) developed by IIA and has incorporated these Standards into its audit practices. With respect to FY 2023, the AC has reviewed and is satisfied as to the adequacy and effectiveness of the IA function.

None of the CLI Group IA team members are related to the CEO nor Management. To ensure that internal audits are performed by competent professionals, CLI Group IA recruits and employs suitably qualified professional staff with the requisite skill sets and experience. For instance, CLI Group IA staff who are involved in IT audits have the relevant professional IT certifications and are also members of the Information System Audit and Control Association (ISACA) Singapore Chapter, a professional body administering information system audit and information security certifications that is headquartered in the USA. The ISACA Information System Auditing Standards provide guidance on the standards and procedures to be applied in IT audits. CLI Group IA identifies and provides training and development opportunities for its staff to ensure that their technical knowledge and skill sets remain current and relevant.

As of 31 December 2023, CLI Group IA staff strength is at 32 persons, including Head of CLI Group IA.

CLI Group IA is headed by Ms Jenny Tan. She has more than 10 years of experience in Internal Audit, Compliance and Group Finance. Ms Jenny Tan has a Masters of Professional Accounting (MPA) from University of Adelaide (Australia) as well as a Masters of Business Administration (MBA) from the University of Leicester (UK).

Intended Outcome 12.0

There is continuous communication between the company and stakeholders to facilitate mutual understanding of each other's objectives and expectations.

Stakeholders are able to make informed decisions with respect to the business of the company, its policies on governance, the environment and social responsibility.

Practice 12.1: The board ensures there is effective, transparent and regular communication with its stakeholders.

Practice 12.2: Large companies are encouraged to adopt integrated reporting based on a globally recognised framework.

The Manager is committed to keeping all Unitholders, other stakeholders, analysts and the media informed of the performance and changes in CLMT or its business which would likely materially affect the price or value of

the Units. This is performed on a timely and consistent basis to assist Unitholders and investors in their investment decisions.

The Manager has in place an Investor Relations and Corporate Communications team which facilitates effective communication with Unitholders, analysts and the media. The Manager also maintains the website which contains information on CLMT including but not limited to current and past announcements and new releases, financial statements, investor presentations and annual reports of CLMT.

The Manager actively engages with Unitholders with a view to solicit and understand their views, and has put in place a Unitholders' Communication and Investor Relations Policy (IR Policy) to promote regular, effective and fair communication with Unitholders. The Policy, which sets out the mechanism through which Unitholders may contact the Manager with questions and through which the Manager may respond to such questions, is available on the Website. Unitholders are welcomed to engage with the Manager beyond general meetings and they may do so by contacting the Investor Relations department whose details may be found on the Website under the heading Ask Us or email the Manager at ask-us@clmt.com.my.

The Manager has a formal policy on corporate disclosure controls and procedures to ensure that CLMT complies with its disclosure obligations under the Listing Requirements. These controls and procedures incorporate the decision-making process and an obligation on internal reporting of the decisions made.

More information on the Manager's investor and media relations initiatives can be found in the Investor & Media Relations section on page 65 to 67 of CLMT Annual Report 2023.

Intended Outcome 13.0

Shareholders are able to participate, engage the board and senior management effectively and make informed voting decisions at General Meetings.

Practice 13.1: Notice for an Annual General Meeting should be given to the shareholders at least 28 days prior to the meeting.

The Manager is committed to treating all Unitholders fairly and equitably.

All Unitholders enjoy specific rights under the Trust Deed and the relevant laws and regulations. These rights include, among other things, the right to participate in profit distributions. They are also entitled to attend general meetings and are accorded the opportunity to participate effectively and vote at general meetings (including through proxies, if they

are unable to attend in person, or if their Units are held through corporations).

All Unitholders were given at least 28 days' notice prior to the 2023 Annual General Meeting held on 29 March 2023 (2023 AGM) which is beyond the minimum requirement of 21 days. The notice includes details of the resolutions proposed along with any background information and reports or recommendations that are relevant.

The Annual General Meeting of CLMT for 2024 will take place on 27 March 2024. Full details and the notification can be found in the Notice of Annual General Meeting section on page 246 to 250 of CLMT Annual Report 2023.

Practice 13.2: All directors attend General Meetings. The Chair of the Audit, Nominating, Risk Management and other committees provide meaningful response to questions addressed to them.

During FY 2023, all Directors namely, Mr Lui (Chairman), Mr Tan Choon Siang (CEO), Mr Foo (AC Chairman), Mr Tan Boon Peng (NRC Chairman), En Mohd Yusof bin Hussian, Ms Tan Ming-Li, Mr Jonathan Yap and Mr Andrew Lim attended (either in person or virtually) the Unitholders' Meeting held on 23 February 2023 (Unitholders' Meeting) and 2023 AGM. All the Directors were present to respond to any queries and clarifications addressed to them, if any. The presence of the Directors facilitates the unitholders to make informed voting decisions at the meeting.

Practice 13.3: Listed companies should leverage technology to facilitate –
(a) voting including voting in absentia; and
(b) remote shareholders' participation at general meetings. Listed companies should also take the necessary steps to ensure good cyber hygiene practices are in place including data privacy and security to prevent cyber threats.

Practice 13.4: The Chairman of the board should ensure that general meetings support meaningful engagement between the board, senior management and shareholders. The engagement should be interactive and include robust discussion on among others the company's financial and non-financial performance as well as the company's long-term strategies. Shareholders should also be provided with sufficient opportunity to pose questions during the general meeting and all the questions should receive a meaningful response.

Practice 13.5: The board must ensure that the conduct of a virtual general meeting (fully virtual or hybrid) support meaningful engagement between the board, senior management and shareholders. This includes

having in place the required infrastructure and tools to support among others, a smooth broadcast of the general meeting and interactive participation by shareholders. Questions posed by shareholders should be made visible to all meeting participants during the meeting itself.

CLMT supports the principle of encouraging Unitholders' participation and voting at general meetings. CLMT Annual Report 2023 is provided to Unitholders within 2 months from the end of CLMT's financial year. Unitholders may download CLMT Annual Report 2023 from the Website and printed copies of the same are available upon request. More than the legally required and minimum notice period for general meetings is generally provided by CLMT. Unitholders will receive the notices of general meetings and may download these notices from the Website. Notices of the general meetings are also advertised in the press and announced to Bursa Securities via Bursa LINK. The rationale and explanation for each agenda item which requires Unitholders' approval at a general meeting are provided in the notice of the general meeting or in the accompanying circular (if any) issued to Unitholders in respect of the matter(s) for approval at the general meeting. This enables Unitholders to exercise their votes on an informed basis.

Unitholders can download CLMT Annual Report 2023 and notice of the annual general meeting electronically at www.clmt.com.my while printed copies will be available upon request. Notices of the general meetings are also advertised in the press and issued via Bursa LINK. All Unitholders are given the opportunity to participate effectively in and to vote at general meetings.

The 2023 AGM of CLMT held on 29 March 2023 was conducted on virtual basis through live streaming and online remote voting using the Remote Participation and Electronic Voting (RPEV) facilities managed by the Poll Administrator, Boardroom Share Registrars Sdn. Bhd.. Similarly, the Unitholders' Meeting of CLMT was also conducted on virtual basis through live streaming and online remote voting using the RPEV facilities managed by the Poll Administrator, Boardroom Share Registrars Sdn. Bhd.. The RPEV facilities enabled unitholders to participate, posed questions (via real time submission of typed texts) and vote remotely without physically attending the meeting. The Poll Administrator is using the core Lumi AGM software of which there are security measures in place to address any potential cyber threats when conducting the virtual meetings. The Poll Administrator also has in place due process which ensured only registered unitholders are allowed to participate in the virtual meetings. The administrative details of the 2023 AGM as well as the detailed registration and voting procedures were shared with the Unitholders and the same were also published on the Website.

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At the 2023 AGM, Management made a presentation to Unitholders to update them on CLMT's performance, position and prospects. The presentation materials were made available to Unitholders on the Website and Bursa LINK. Unitholders were informed of the rules governing general meetings and were given the opportunity to communicate their views and discuss with the Board and Management matters affecting CLMT. Representatives of the Trustee, Directors (including the chairmen of the respective Board Committees) and key management personnel were present for the entire duration of the 2023 AGM to address any queries from the Unitholders.

To safeguard Unitholders' interests and rights, a separate resolution is proposed for each substantially separate issue at general meetings. To ensure transparency in the voting process and better reflect Unitholders' interest, the Manager conducts electronic poll voting for all the resolutions proposed at the general meetings. Voting procedures and the rules governing are explained and vote tabulation procedures are disclosed at the general meetings. An independent scrutineer is also appointed to validate the vote tabulation procedures. Votes cast, for or against and the respective percentages, on each resolution are tallied and displayed 'live on-screen' to Unitholders immediately after each resolution is voted at the general meetings. The total number of votes cast for or against each resolution and the respective percentages are also announced on Bursa LINK after the general meetings. Voting in absentia and by email may only be possible following a thorough assessment to ensure that the integrity of information and authentication of the identity of Unitholders through the web are not compromised.

Questions received from Unitholders prior to the 2023 AGM and Unitholders' Meeting as well as the questions

posed during the meetings were displayed on the screen and made visible to all meeting participants during the meetings, which were duly addressed and responded by the Board and the Management.

Practice 13.6: Minutes of the general meeting should be circulated to shareholders no later than 30 business days after the general meeting.

Minutes of the general meetings, recording the substantial and relevant comments made, questions raised and answers provided, are prepared and made available to Unitholders for their inspection upon request. The Minutes of the general meetings were also made available subsequently on the Website.

OTHERS

Dealing with Related Parties

Review Procedures for Related Party Transactions (including Recurrent Related Party Transactions)

The Manager has established internal control procedures to ensure that all Related Party Transactions are made on terms which are the best available for CLMT and which are no less favourable to CLMT than an arm's length transaction between independent parties. In respect of such transactions, the Manager would have to demonstrate to the AC that the transactions are the best available for CLMT and are no less favourable than an arm's length transaction between independent parties which may include obtaining (where applicable) third party quotations or obtaining valuations from independent valuers (in accordance with the REITs Guidelines and the Listing Requirements). The internal control procedures also ensure compliance with the Listing Requirements and the REITs Guidelines.

In particular, the procedures in place include the following:

Related Party Transactions ⁱ (RPT) with percentage ratio ⁱⁱ :	Internal Approval, Procedures and Disclosure
Below 0.25%	Audit Committee recommends to Board ⁱⁱⁱ
0.25% or more	Audit Committee recommends to Board ⁱⁱⁱ Immediate announcement
5% or more	Audit Committee recommends to Board ⁱⁱⁱ Immediate announcement Independent Adviser Unitholders
25% or more	Audit Committee recommends to Board ⁱⁱⁱ Immediate announcement Independent Adviser Principal Adviser Unitholders
Recurrent Related Party Transactions (RRPT) percentage ratio ⁱⁱ	Immediate Announcement, Independent Adviser and with Unitholders
Below 1%	Audit Committee
1% or more	Audit Committee recommends to Board ⁱⁱⁱ Immediate announcement

ⁱ RPT of less than RM500,000 is noted.

ⁱⁱ The calculation is based on the total assets which are the subject matter of the transaction compared with the total assets of CLMT Group.

ⁱⁱⁱ Board save for interested directors who shall abstain.

Role of the Audit Committee for Related Party Transactions

The Manager's internal control procedures are intended to ensure that RPT are conducted on terms which are best available for CLMT and which are no less favourable to CLMT than arm's length transaction between independent parties.

The Manager maintains a register to record all Related Parties of CLMT and RPT which are entered into by CLMT (and the basis, including the quotations obtained to support such basis upon which they are entered into). All RPT are subject to regular periodic reviews by the AC, which in turn obtains advice from CLI Group IA, to ascertain that the guidelines and procedures established to monitor RPT, including the relevant provisions of the Listing Requirements and the REITs Guidelines, as well as any other guidelines which may from time to time be prescribed by Bursa Securities, the SC or other relevant authority, have been complied with. The review includes an examination of the nature of the transaction and its supporting documents or such other information deemed necessary by the AC. If a member of the AC has an interest in a transaction, he is to abstain from participating in the review and approval process in relation to that transaction.

Details of all RPT entered into by CLMT during the financial year are disclosed on page 225 of the Financial Statements section of CLMT Annual Report 2023.

Dealing with Conflicts of Interest / Potential Conflicts of Interest

The following principles and procedures have been established to deal with potential conflicts of interest which the Manager (including the Directors, executive officers and employees of the Manager) may encounter in managing CLMT:

The Manager will be a dedicated manager to CLMT and will not manage any other REITs or be involved in any other real property business;

All executive officers of the Manager will be employed by the Manager;

- (a) All resolutions at meetings of the Board of the Manager in relation to matters concerning CLMT must be decided by a majority vote of the Directors, including at least one ID;
- (b) In respect of matters in which CapitaLand and/ or its subsidiaries have an interest, whether direct or indirect, any nominees appointed by CapitaLand and/or its subsidiaries to the Board will abstain from voting;

- (c) In respect of matters in which a Director or his associates have an interest, whether direct or indirect, such interested Director will abstain from voting;
- (d) If the Manager is required to decide whether or not to take any action against any person in relation to any breach of any agreement entered into by the Trustee for and on behalf of CLMT with an affiliate of the Manager, the Manager is obliged to consult with a reputable law firm (acceptable to the Trustee) which shall provide legal advice on the matter. If the said law firm is of the opinion that the Trustee, on behalf of CLMT, has a prima facie case against the party allegedly in breach under such agreements, the Manager is obliged to pursue the appropriate remedies under such agreements. The Directors of the Manager have a duty to ensure that the Manager complies with the aforesaid. Notwithstanding the foregoing, the Manager shall inform the Trustee as soon as it becomes aware of any breach of any agreement entered into by the Trustee with an affiliate of the Manager, and the Trustee may take such action as it deems necessary to protect the rights of Unitholders and/or which is in the interests of Unitholders. Any decision by the Manager not to take action against an affiliate of the Manager shall not constitute a waiver of the Trustee's right to take such action as it deems fit against such affiliate; and
- (e) The Board shall comprise at least one-third of IDs. Currently the Board comprises a majority of IDs.

The Manager and the Trustee have been granted a right of first refusal (ROFR) by CapitaLand Mall Asia Limited (CMA), a wholly owned subsidiary of CLI, where:

For so long as the Manager shall remain the manager of CLMT and whereby the Manager and CMA are both subsidiaries of CapitaLand, neither CMA nor any subsidiary of CMA, will (a) purchase any relevant retail property which CMA and/or its subsidiaries may identify and target for acquisition in the future without granting the ROFR to CLMT to purchase such relevant retail property at the offer price and based on the terms and conditions as proposed to the relevant member of CMA and its subsidiaries, subject to various procedural requirements, including notice provisions, as set out in the letters of undertakings; or (b) sponsor or act as the manager of another REIT or any listed company in Malaysia that competes or will compete for the acquisition of relevant retail property, save that (a) and (b) shall not be applicable to any relevant retail property which is the subject matter of any of the following:

- (a) joint venture or proposed joint venture with CMA and/or its subsidiaries and any third party or parties; or

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- (b) a proposal made exclusively available to CMA and/or its subsidiaries; or
- (c) a fund or proposed fund managed by CMA and/or its subsidiaries.

In the event CMA should sponsor a Malaysian retail property fund for the acquisition and/or development of relevant retail property, CMA shall endeavour to procure that such fund shall grant to CLMT a ROFR in relation to any relevant retail properties of which the fund wishes to dispose.

This undertaking has the effect of limiting the ability of CMA from undertaking or participating in certain business opportunities, as described above.

Dealing in Securities

The Manager has devised and adopted a securities dealing policy for the Manager's officers and employees which applies the best practice recommendations in the Listing Requirements. To this end, the Manager has issued guidelines to its Directors and employees as well as certain relevant executives of the CLI Group, which set out prohibitions against dealings in CLMT's Units (i) while in possession of material unpublished price-sensitive information, (ii) during the periods commencing 30 calendar days before the release of CLMT's quarterly results and up to the time of each announcement of CLMT's financial statements during a financial year. In addition, if any of such affected persons deal in CLMT's Units during the closed periods or outside closed periods under the Listing Requirements, they are required to comply with the conditions as set out in the Listing Requirements. They are also made aware of the applicability of the insider trading laws at all times.

Fees payable to the Manager

The methodology for computing the fees payable to the Manager is contained in Clause 18 of the Trust Deed, details of which are disclosed under Notes to the Financial Statements.

The Management Fees, which are contained in Clause 18 of the Trust Deed, are fees earned by the Manager for the management of CLMT's portfolio.

The Management Fees are fees earned by the Manager for the management of CLMT's portfolio. The Management Fee should be viewed holistically as a whole which comprise two components, namely the Base Fee and Performance Fee, which are elaborated further below:

Base Fee

The Base Fee enables the Manager to cover operational and administrative overheads incurred in the management of the portfolio. The Base Fee is calculated at a percentage of assets value as the asset value provides an appropriate metric to determine the resources for managing the assets.

Performance Fee

The Performance Fee is calculated in reference to the net property income before payment of the Management Fee, for each Distribution Period based on the unaudited or as the case may be, the audited accounts of the Trust determined for the relevant Distribution Period but subject to reconciliation to the amount calculated by reference to the audited account of the Trust for the relevant Financial Year.

In addition, the Manager is also paid an Acquisition Fee or a Divestment Fee upon the successful completion of an acquisition or divestment respectively. Further details on the Acquisition Fee and Divestment Fee are provided below:

Acquisition Fee

The Acquisition Fee, which is contained in Clause 18.3 of the Trust Deed, is earned by the Manager upon the successful completion of an acquisition. This fee seeks to motivate and compensate the Manager for its efforts expended to continually seek and acquire Distribution Per Unit accretive assets to increase longer term returns for Unitholders. In addition, the Acquisition Fee allows the Manager to recover the additional costs and resources incurred by the Manager in the course of seeking new acquisition opportunities, including but not limited to, due diligence efforts and man hours spent in evaluating the transaction.

Divestment Fee

The Divestment Fee, which is contained in Clause 18.3 of the Trust Deed, is earned by the Manager upon the completion of a divestment. This fee seeks to motivate and compensate the Manager for its efforts expended to maximise value received by CLMT in the event of a divestment. In addition, the Divestment Fee allows the Manager to recover additional costs and resources incurred by the Manager for the divestment, including but not limited to due diligence efforts and man hours spent in marketing and maximising the divestment price.

COMPOSITION AND MEETING ATTENDANCE IN FY 2023

Composition				Meeting Attendance					
Board Member	Audit	Executive Committee	Nominating and Remuneration Committee	Board Number of Meetings: 5	Audit Committee Number of Meetings: 4	Executive Committee Number of Meetings: 3	Nominating and Remuneration Committee Number of Meetings: 2	Annual General Meeting: 1	Unit-holders' Meeting: 1
Lui Chong Chee	-	-	Member	5/5	N.A.	N.A.	2/2	1/1	1/1
Tan Choon Siang	-	Member	-	5/5	N.A.	3/3	N.A.	1/1	1/1
Foo Wei Hoong	Chairman	-	-	4/5	4/4	N.A.	N.A.	1/1	1/1
Tan Boon Peng	-	-	Chairman	5/5	N.A.	N.A.	2/2	1/1	1/1
Mohd Yusof bin Hussian	Member	-	-	5/5	4/4	N.A.	N.A.	1/1	1/1
Tan Ming-Li	Member	-	-	5/5	4/4	N.A.	N.A.	1/1	1/1
Dato' Ng Tiong Lip ⁱ	-	-	-	2/2	N.A.	N.A.	N.A.	N.A.	N.A.
Lim Cho Pin									
Andrew Geoffrey ⁱⁱ	-	Chairman	Member	4/5	N.A.	3/3	0/1	1/1	1/1
Goh Gek Hiang (Wu Yuxian) ⁱⁱⁱ	-	Member	-	2/3	N.A.	2/2	N.A.	N.A.	N.A.
Yap Neng Tong ^{iv}	-	Chairman	Member	2/2	N.A.	1/1	1/1	1/1	1/1

N.A. - Not applicable

i Appointed as a Director with effect from 1 October 2023.

ii Appointed as Chairman of Exco and a Member of the NRC with effect from 5 June 2023.

iii Appointed as a Director and a Member of the Exco with effect from 5 June 2023.

iv Resigned as a Director and ceased as Chairman of the Exco and a Member of the NRC with effect from 5 June 2023.

Training programmes, seminar and conferences attended by the Directors during FY 2023 were:

- › A Dialogue with Bursa Malaysia – FTSE4GOOD ESG Rating for All PLCs (Institute of Corporate Directors Malaysia)
- › Advocacy Sessions for Directors and CEOs of Main Market Listed Issuers (Bursa Malaysia Berhad)
- › Asia Real Estate Leaders Masterclass & Tour in Singapore (REHDA Institute)
- › Budget 2024 Tax Impact and e-invoicing briefing (PWC Malaysia)
- › Business Segment Presentation – Wholesale Banking (UOB Malaysia)
- › Capital Market Director Programme (CMDP) Module 1: Directors as Gatekeepers of Market Participants (Securities Industry Development Corporation)
- › Capital Market Director Programme (CMDP) Module 2B: Business Challenges and Regulatory Expectations – What Directors Need to Know (Fund Management) (Securities Industry Development Corporation)
- › CEO Series 2023 (Economy and Business Forum) (REHDA Institute)
- › CLI Group Global Sanctions Compliance Policy (CapitaLand)
- › EDB Society Forum “Spotlight on China – A New Dawn Post Pandemic?” (EDB Society)
- › Fraud, Bribery & Corruption Risk Management: Third Party Management (CapitaLand)

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- › Generative AI – An Opportunity or Risk? (Institute of Corporate Directors Malaysia)
- › Governance for Growth: Rejecting Corruption for Better & More Sustainable Business (Embassy of Sweden Kuala Lumpur & The Chinese Chamber of Commerce & Industry of Kuala Lumpur & Selangor)
- › Green Build Conference 2023 (REHDA Institute)
- › Housing Forward Roundtable discussion on Cost of Doing Business (REHDA Institute)
- › In Conversation with BlackRock Leadership (BlackRock)
- › Leadership for Enterprise Sustainability Asia 2023 (Asia School of Business)
- › Malaysia Economics Update and Insights on Upcoming State Elections (Kuala Lumpur Business Club)
- › Management of Cyber Risk (Bursa Malaysia Berhad and Ernst & Young Consulting Sdn Bhd)
- › Mandatory Accreditation Programme (Institute of Corporate Directors Malaysia)
- › Mandatory Accreditation Programme Part II: Leading for Impact (LIP) (Institute of Corporate Directors Malaysia)
- › National Economic Forum 2023 – Setting the Future Economic Roadmap for the New Malaysia (National Chamber of Commerce & Industry of Malaysia)
- › National Integrity Forum 2023: Leading Governance with Integrity (Malaysian Alliance of Corporate Directors)
- › Project Zero: REC and Carbon Offsets stakeholder workshop (Engie Impact Pte Ltd)
- › Regional Housing Conference 2023 (REHDA Institute)
- › Regional Outlook Forum 2023 (CapitaLand)
- › Singapore Perspective 2023 (Institute of Policy Studies)
- › Steps to Develop and Implement an ESG Strategy (CHK Consultancy Sdn Bhd)
- › Strategic Stakeholder Engagement – A Case Study on Carlsberg Brewery Malaysia Berhad (Black Sun Plc)
- › Sunway Leadership Conference (Sunway)
- › Sustainability Transition – Innovation as Change Drivers (Institute of Corporate Directors Malaysia)
- › 39th Singapore Economic Roundtable (Institute of Policy Studies)
- › The Net-Zero Standard (Intro) (UN Global Compact)
- › The Rise of ESG Awareness in Commercial Transactions (RDS Advocates & Solicitors)
- › Update on Sustainability: (1) UOB Net Zero Commitment (UOB Malaysia) and (2) Climate risk trends and regulatory expectation (Oliver Wyman)
- › Understanding the Requirements of Bursa Malaysia's Enhanced Sustainability Reporting Framework and ISSB Overview (KPMG Malaysia)
- › Whistleblowing and Fair Grievance Handling Awareness E-Learning (CapitaLand)

AUDIT COMMITTEE REPORT

The Audit Committee (AC) of the Manager was formed on 10 June 2010 to assist the Board in fulfilling its oversight responsibilities for the financial reporting process, the management of risk and system of internal controls, the governance processes, and the audit process for CLMT and the Manager as well as the Manager's process for monitoring compliance with legal and regulatory requirements.

The Board is pleased to present the report of the AC for FY 2023 to provide insights into the manner which the AC has discharged its functions during FY 2023.

(A) COMPOSITION

Presently, the AC consists of three members, comprising exclusively of non-executive independent directors. The members bring with them invaluable and professional expertise in accounting and related financial management domains. None of the AC members was previously a partner in the incumbent external auditors, KPMG PLT (KPMG), in the previous three years, nor do any of the AC members hold any financial interest in KPMG.

The list of the members of the AC during FY 2023 are as follows:

1. Foo Wei Hoong Chairman / Non-Executive Independent Director
2. Mohd Yusof bin Hussian Member / Non-Executive Independent Director
3. Tan Ming-Li Member / Non-Executive Independent Director

For the FY 2023 under review, the performance and effectiveness of the AC was evaluated through an annual Board evaluation and the outcome of which was reviewed by the Nominating and Remuneration Committee. The Board is satisfied that the AC members have been able to discharge their functions, duties and responsibilities in accordance with the Terms of Reference (TOR) of the AC, which is available on CLMT's website at www.clmt.com.my.

(B) MEETINGS AND ATTENDANCE

A total of four AC meetings were held during the financial year under review. The members of the AC and their attendance records are as follows:

	Number of AC Meetings Attended
Foo Wei Hoong	4/4
Mohd Yusof bin Hussian	4/4
Tan Ming-Li	4/4

(C) SUMMARY OF THE WORK OF THE AUDIT COMMITTEE

Throughout FY 2023 and up to the date of this report, AC has met its responsibilities in discharging its functions and obligations in accordance with its Terms of Reference (TOR) as described below:

1. Financial Reporting

- (a) Reviewed the quarterly results for all the financial quarters and year-end financial statements, ensuring the integrity of the financial statements of CLMT, and announcements relating to CLMT's financial performance, prior to the approval by the Board for the release of the announcements, focusing particularly on:
 - (i) changes in or implementation of major accounting policy changes;

AUDIT COMMITTEE REPORT

- (ii) significant matters highlighted including financial reporting issues, significant judgements made by the Management, significant and unusual events or transactions, and how these matters were addressed; and
 - (iii) compliance with accounting standards and other legal requirements.
- (b) Discussed the key audit matters raised by the external auditors with the Management and the disclosure thereof in the Auditors' Report for FY 2023 in CLMT Annual Report 2023.
- (c) Recommended to the Board for its approval for the income distribution for payment to the Unitholders.

2. External Auditors

- (a) Reviewed the EA report on the conduct of the audit of CLMT's financial statements FY 2023, the findings on significant accounting and financial reporting issues and its impact to the consolidated financial statements of the CLMT Group and, the findings on the internal control system as well as an overview of issues found during the interim audit.
- (b) Reviewed EA's scope of work and audit plans for the year under review to understand their audit methodology, significant risk areas and accounting policies/disclosures and timing.
- (c) Reviewed, in consultation with the Management, the performance of the EA and their fees, upon satisfaction of their independence and objectivity including non-audit services rendered.
- (d) Held two (2) private sessions with the EA and the CapitaLand Investment Limited Group (CLI Group) Internal Auditors (IA) without the presence of the Management to discuss on issues or reservations arising from their audit. No major concerns were highlighted by the EA and the CLI Group IA and they received full cooperation from Management.
- (e) Reviewed and updated the assessment criteria of the EA's Independence Guidelines, including the Non-Assurance Services Pre-approval Policy, prior to their recommendations to the Board for approval.
- (f) Evaluated the performance of the EA for the financial year ended 31 December 2022 covering areas including planning and conduct of audit; level of knowledge, capabilities, experience of audit team; auditor's communication and engagement; and independence and objectivity. The AC was satisfied that the EA was able to meet the audit requirements and statutory obligations of the CLMT Group and their professional independence and objectivity as the EA of the CLMT Group and recommended the re-appointment of Messrs KPMG PLT as the EA of the CLMT Group for the financial year of 31 December 2023 to the Board for approval.

3. CapitalLand Investment Limited Group Internal Auditors

The IA function is outsourced and undertaken by CLI Group IA that reports directly to the AC. The IA function was undertaken to provide independent assessments on the adequacy, efficiency and effectiveness of the internal control systems to manage risk exposures of the Manager and the CLMT Group. The AC had full access to the services and advice of the IA and received reports on all audits that were performed.

During FY 2023, CLI Group IA has executed the following IA services:

- (a) A total of five audit assignments and one deferred audit assignment were conducted on CLMT and the Manager based on the 2022 IA plan, adhering to the International Standards for the Professional Practice of Internal Auditing (Standards) issued by the Institute of Internal Auditors;
- (b) Conducted regular follow up with Management on agreed corrective actions on outstanding audit issues to ensure key risks and weaknesses were addressed effectively and in a timely manner including the tightening of internal controls, whereby the status of implementation of the IA recommendations were reported to the AC on a quarterly basis;
- (c) Prepared the annual IA plan and scope for FY 2023 to be deliberated and approved by the AC; and
- (d) Conducted an annual assessment of IA's effectiveness and independence.

The reports from CLI Group IA, including the result of findings, recommendations and Management's responses, were presented to the AC.

The Compliance Officer had in 2022 conducted a performance assessment on the IA for the period from 1 October 2018 to 31 December 2021. The outcome indicated that the overall performance of the IA function was satisfactory and was rated at above average performance level. Consequently, the AC agreed to propose the re-appointment of CLI Group IA as IA of the Manager and CLMT Group for the period from February 2022 until February 2025 to the Board for approval.

During FY 2023, AC monitored and assessed the role, performance and effectiveness of the IA function by reviewing the IA process from time to time and recommended to the Board for approval of any changes to the IA process. From its evaluation, the AC was satisfied with the performance level and independence of the IA function.

A quality assurance review on the CLI Group IA's function has been performed by Ernst & Young Advisory Pte Ltd in 2018 and the assessment affirmed that CLI Group IA conformed to the Standards. A subsequent review was conducted by another independent firm in September 2023 and no major adverse findings were being reported.

The total costs incurred by the IA function for FY 2023 amounted to RM291,415.

4. Risk Management and Internal Control

The AC also assisted the Board in examining the adequacy and effectiveness of CLMT's ERM Framework and the appropriateness of the Management's responses to key risk areas and recommendations for improvements to be implemented. Based on the Risk and Control Self-Assessment (RCSA) exercise conducted annually as well as the quarterly key risk indicator reports presented to the AC with insights on the areas of risks including but not limited to financial, operational, compliance, IT and environmental risks, their likelihood, impact and management action on CLMT's operating business, AC was thus able to keep under review the adequacy and effectiveness of CLMT's risk management system along with its risk portfolio, risk levels and risk mitigation strategies. No significant irregularities or deficiencies in the systems of risk management and internal controls came to the attention of the AC during FY 2023.

AUDIT COMMITTEE REPORT

5. Related Party Transactions and Conflicts of Interest

The AC has:

- (a) Reviewed and approved processes to regulate the RPT and RRPT (as defined in the Listing Requirements) and ensured compliance with the proper disclosure requirements in accordance with the REITs Guidelines and the Listing Requirements;
- (b) Received reports from the Management and the CLI Group IA on RPT and RRPT, reviewed and approved RPT and RRPT as required by the internal approval processes; and
- (c) Reviewed and assessed from time to time whether additional processes are required to be put in place to manage any material conflicts of interest or potential conflicts of interest within the CLMT Group and proposed, where appropriate, the relevant measures for the management of such conflicts for approval by the Board.

AC was satisfied that all RRPT were undertaken in the best interest of CLMT, whereby the terms concluded were made on terms which were the best available for CLMT and which were no less favourable to CLMT than an arm's length transaction between independent parties and the monitoring procedures to regulate such transactions were appropriate and sufficient.

6. Compliance

The AC reviewed the level of compliance of the Manager and CLMT with the REITs Guidelines, Listing Requirements, Companies Act 2016, CMSA, the Deed as well as Corporate Liability Provision under Section 17A of the MACC Act. The AC was satisfied that there were no major non-compliances based on the compliance reports completed by the Management and as reported by the Compliance Officer at the quarterly meetings during FY 2023.

7. Other Matters

The AC has reviewed and is satisfied with the Statements on Corporate Governance, Risk Management and Internal Control and the AC Report for publication in CLMT's Annual Report 2023.

The AC Report was approved by the Board on 15 February 2024.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

INTRODUCTION

Paragraph 15.26(b) of the Listing Requirements requires the board of directors of any public listed issuer to include in its annual report a statement about the state of risk management and internal control of the listed issuer as a group and the Board is guided by the Statement on Risk Management and Internal Control: Guidelines for Directors of Listed Issuers.

BOARD'S RESPONSIBILITY

In discharging the Board's stewardship responsibilities, the Board assumes the responsibility for the system of risk management and internal controls as set up by the Manager for CLMT Group. The Board also recognises that the reviewing of the adequacy and integrity of the system of risk management and internal controls is a continuing process and requires concerted efforts. In discharging its duties, the Board is supported and assisted by the Management. It is an essential part of the Board's responsibilities to (i) identify principal risks; (ii) formulate the risk appetite of the CLMT Group; (iii) set the key risk indicators/thresholds; (iv) ensure that appropriate systems and policies are in place to manage these risks; and (v) review the adequacy and integrity of such internal controls system and policies. However, the Board acknowledges that no system of risk management and internal controls can provide absolute assurance in this regard, or absolute assurance against poor judgment in decision making, human error, losses, fraud or other irregularities. A sound system of risk management and internal controls therefore provides a reasonable but not absolute assurance that the CLMT Group will not be significantly affected by any event that can be reasonably foreseen as it strives to achieve its business objectives.

RISK MANAGEMENT

Effective risk management is a fundamental part of CLMT's business strategy. The key risks and control measures are described in the Enterprise Risk Management section of CLMT Annual Report 2023. Recognising and managing risk is central to CLMT's business to protect Unitholders' interests and value. CLMT is being managed within guidelines and parameters set by the Board for the Manager and CLMT. Based on the RCSA, transactions are analysed to understand the risks involved. Responsibility for managing risk lies initially with the respective departments concerned, working within the overall strategy endorsed by the Board.

The Manager recognises that risk management is an integral focus for Management. The Enterprise Risk Management (ERM) Framework supports this focus and provides a structured context for Management to

undertake a review of past performance, and to profile the current and future risks it faces within its areas of responsibility. This risk information is consolidated and used as key input into the risk management review sessions which are held annually to review CLMT's strategic direction in detail and include specific focus on the identification of key business and financial risks which could prevent CLMT from achieving its objectives. The Management is then required to ensure that appropriate controls are in place to effectively manage these risks, and such risks and controls are monitored by the AC and Exco respectively on a quarterly basis and by the Board annually. The internal audit plan is developed in conjunction with the risk management programme and is focused on ensuring that the operation of internal controls and assessment reflects the effectiveness and efficiency of the control environment.

The Manager has determined that significant risks (including but not limited to climate change and environmental risk) will likely arise when making property investment decisions and have identified these in the RCSA. Accordingly, the Manager has established procedures to be followed when aligning CLMT's strategy in its risks and opportunities and when making appropriate decisions on property investments. In accordance with these procedures, the Board requires comprehensive due diligence to be carried out in relation to any proposed investment and a suitable determination is made as to whether the anticipated return on the proposed investment is appropriate, having regard to the level of risk.

The Board meets quarterly, or more often if necessary, to review and approve the financial performance of the Manager and of the CLMT Group against a previously approved budget. The Board also reviews the risks associated to the assets of the CLMT Group and acts upon any comments raised by the EA of CLMT Group. In assessing business risks, the Board considers the economic, environment and property industry risks. The Board and Exco review and approve all investment decisions and key treasury matters. The Management meets monthly to review the operations of the Manager and CLMT and discuss continuous disclosure issues.

The Manager has a risk identification and management framework in place and proactively identifies and addresses risks for the CLMT Group. The ownership of these risks lies with the CEO and respective function heads of the Manager with stewardship residing with the Board. The AC and Exco assist the Board to oversee the Management in the formulation, updating and maintenance of an adequate and effective risk management framework while the Board reviews the adequacy and effectiveness of the system of risk management and internal controls.

STATEMENT ON RISK MANAGEMENT AND INTERNAL CONTROL

KEY INTERNAL CONTROL PROCESSES

The Manager has put in place systems of internal control and a set of procedures and processes to manage risk and safeguard the assets of CLMT in the best interests of Unitholders. These are described in the following paragraphs.

The Manager performs a RCSA exercise and maintains a risk register which identifies the material risks faced by the CLMT Group and the internal controls in place to manage or mitigate those risks. The risk register is reviewed and updated annually by the CEO and respective function heads of the Manager, and thereafter, reviewed by the AC and Exco, followed by the Board. The Management is tasked to review the risk register and will report to the AC on the approaches taken in identifying and assessing risks and internal controls under the RCSA. The Manager has established an approach on how the risk appetite is defined, monitored and reviewed for CLMT Group. Approved by the Board, the CLMT Group's RAS incorporates the risk limits and addresses the management of material risks faced by the CLMT Group. Alignment of the CLMT Group's risk profile with the RAS is achieved through various communication and monitoring mechanisms (including key performance indicators set for Management) put in place across the various functions by the Manager. The internal auditor conducts audits that involve testing the effectiveness of the material internal control systems for CLMT Group. Any material non-compliances or lapses in internal controls together with the proposed corrective measures by the internal auditor are reported to the AC. The system of risk management and internal controls is continually being refined by the Manager and reported to the AC and the Board for their approval.

The Board has also received assurance from the CEO and CFO of the Manager that the risk management and internal control systems in place within the CLMT Group are adequate and effective in addressing the material risks for the CLMT Group in its current business environment including material financial, operational, compliance, IT and environmental risks. The CEO and CFO of the Manager have obtained similar assurances from the respective function heads of the Manager.

The Board has adopted a set of internal controls which sets out the authority limits for investments and divestments, acceptance of banking facilities or treasury products, budgetary approval, capital and operating expenditure, lease renewals, marketing, professional services expenditure and other operational matters. The Board approves transactions exceeding certain threshold limits, while delegating authority for transactions within those limits to authorised personnel to facilitate operational efficiency. Only authorised personnel are empowered to approve a transaction (including payments) on behalf of the Board.

Internal control procedures are established to ensure that RPT are undertaken in compliance with the REITs Guidelines, the Listing Requirements and the Trust Deed and, are made on terms which are best available for CLMT and which are no less favourable than an arm's length transaction between the independent parties. The Manager incorporates into its annual internal audit plan a review of all RPT and RRPT. These established procedures are further explained on page 92 to 93 of CLMT Annual Report 2023.

Policies, guidelines and processes are established for dealing with any potential conflicts of interest. This is explained in further detail on page 93 of CLMT Annual Report 2023. In order to deal with any potential conflict of interest situations that may arise, the Manager's policy is that any such transactions carried out for and on behalf of CLMT shall be executed on terms that are best available to CLMT and which are no less favourable to CLMT than transactions between independent parties. The role of the AC has been expanded to include the review and management of any potential conflict of interest.

The Manager has outsourced its internal audit function to CapitaLand Investment Group's Internal Auditors Department (CLI Group IA) which reports directly to the AC. CLI Group IA is adequately resourced and staffed with persons having relevant qualifications and experience. CLI Group IA is a corporate member of The Institute of Internal Auditors (IIA) Singapore, which is an affiliate of the IIA with its headquarters in the United States of America. CLI Group IA subscribes to, and is guided by, the International Standards for the Professional Practice of Internal Auditing (Standards) developed by the IIA and has incorporated these Standards into its audit practices.

To ensure that internal audits are performed by competent professionals, CLI Group IA recruits and employs suitably qualified professional staff with the requisite skill sets and experience. This includes CLI Group IA staff who are involved in Information Technology (IT) audits having relevant professional IT certifications. The IT auditors are also members of the Information System Audit and Control Association (ISACA) Singapore Chapter, a professional body administering information system audit and security certifications that is headquartered in the United States of America. The ISACA Information System Auditing Standards provide guidance on the standards and procedures to be applied in IT audits. CLI Group IA identifies and provides training and development opportunities for its staff to ensure their technical knowledge and skill sets remain current and relevant.

The AC reviews the internal audit reports and activities on an on-going basis. The AC also reviews and approves the CLMT annual internal audit plan. The AC is of the

view that the internal audit function performed by CLI Group IA is adequately resourced, effective and independent. Information about CLI Group IA is on page 89 to 90 and 99 of CLMT Annual Report 2023.

The scope of the internal audit function for FY 2023 included the following:

- (a) Carried out scheduled audit assignments in accordance with the 2023 annual internal audit plan approved by the AC;
- (b) Reported to the AC on key findings and the Management's agreed actions;
- (c) Updated the AC on the implementation status of the Management's agreed actions on a quarterly basis;
- (d) Reviewed RPT including RRPT and presented the findings of the review to the AC on a quarterly basis;
- (e) Reported whistleblowing cases and investigation of various matters when required and as directed by the AC;
- (f) Updated the AC on the key observations on the effectiveness of the internal audit function; and
- (g) Prepared the 2024 annual internal audit plan for submission to the AC for approval.

The AC has put in place a whistleblowing policy to provide employees of the Manager with procedures and accessible channels to report suspected fraud, corruption, dishonest practices or other similar matters relating to CLMT and the Manager and also for independent investigation of any reports by employees with the appropriate follow-up action. This whistleblowing policy has been established and is being reviewed periodically to promote fraud awareness and to encourage the reporting of such matters in good faith, with the confidence that employees making such reports will be treated fairly and, to the extent possible, be protected from reprisals. The adopted Whistleblowing policy is further explained on page 78 of CLMT Annual Report 2023.

The AC reviews, monitors and evaluates the effectiveness and adequacy of CLMT's internal controls and the financial and risk management issues raised by the external and internal auditors, regulatory authorities and the Management. The AC also reviews written reports issued by the internal and external auditors and ensures that appropriate and prompt remedial actions are taken by the Management where deficiencies in internal controls have been identified. In FY 2023, the

issues raised were attended to and addressed by the Management to the internal and external auditors with agreed actions to be undertaken by Management. The AC also convenes meetings with both external and internal auditors without the presence of Management at least once a year.

In addition, the AC has undertaken an assessment of the scope, functions and competency of the internal audit function. The AC also reviews and evaluates the procedures established to ensure compliance with applicable legislation, the REITs Guidelines and the Listing Requirements.

The Anti-Bribery and Corruption (ABC) Policy is established by the Board, in line with the corporate liability provision of the Malaysian Anti-Corruption Commission (Amendment) Act 2018 and the Guidelines on Adequate Procedures based on the five T.R.U.S.T. principles (T-top level commitment; R-risk assessment; U-undertake control measures; S-systematic review, monitoring and enforcement; T-training and communication). In our effort to strengthen the governance of risk management, an Anti-Corruption Compliance Programme is incorporated in the Compliance Plan, with emphasis on periodic review of an adequate anti-corruption compliance programme as part of the adequate procedures recommended by the Malaysian Anti-Corruption Commission (MACC) pursuant to Section 17A(5) of the MACC (Amendment) Act 2018. The ABC Policy is further explained on page 77 to 78 of CLMT Annual Report 2023.

The Board reviews and approves, inter alia, the following reports from the Management, upon recommendation of the AC and Exco, on a periodic basis:

- (a) CLMT Group's quarterly financial results and major variance explanation against the approved budget for the relevant period;
- (b) Status update of major asset enhancement works carried out on the properties as planned;
- (c) Status update of key treasury matters including debt profile, maturity and interest rate management; and
- (d) Status update of other key operational matters.

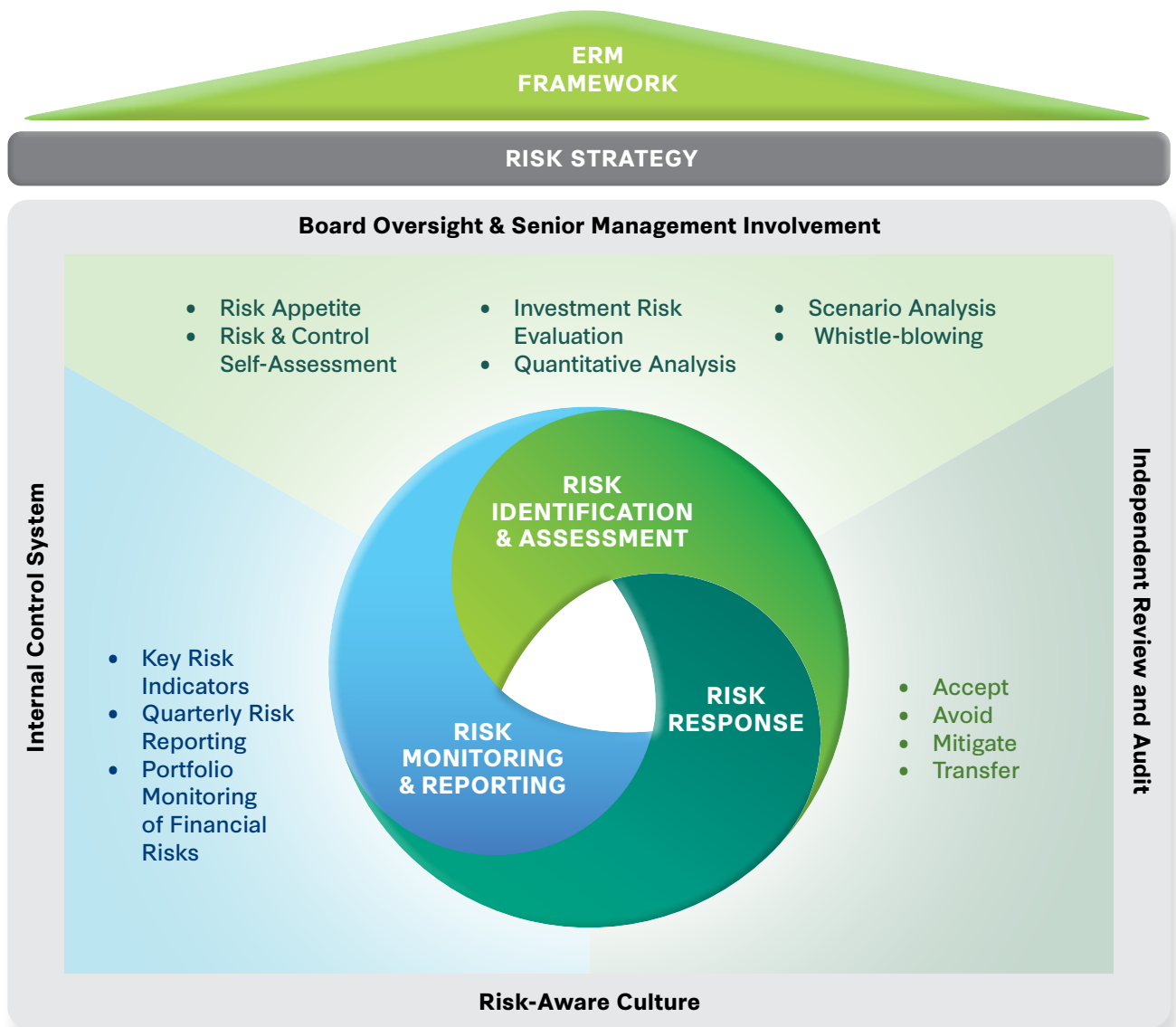
Based on these reviews, the Board opined, with the concurrence of the AC, that there are adequate internal controls in place within CLMT Group addressing financial, operational, compliance, IT and environmental risks.

ENTERPRISE RISK MANAGEMENT

CLMT Group believes in maintaining a robust risk management framework to proactively identify, assess and respond to material risks that can impact our objectives to deliver stable distributions and sustainable total returns to Unitholders. By pursuing a risk strategy of optimisation of opportunities within the approved risk appetite levels, we position CLMT for long-term sustainable results.

ENSURING BEST-IN-CLASS RISK MANAGEMENT, CORPORATE GOVERNANCE AND COMPLIANCE TO BUILD A SUSTAINABLE BUSINESS

The Manager's Enterprise Risk Management (ERM) Framework is adapted from the International Organization for Standardization 31000 International Risk Management Standards. It is benchmarked against other relevant best practices and guidelines and reviewed annually to ensure its continued relevance and practicality. It sets out the required environmental and organisational components needed to identify, assess, respond to, monitor and report material risks in an integrated, systematic and consistent manner as depicted below.



Board Oversight and Senior Management Involvement	Robust Internal Control System	Regular Independent Review and Audit	A Strong Culture of Risk Awareness
The Board, assisted by the AC and Exco, approves CLMT Group's risk appetite (risk tolerance) which determines the nature and extent of material risks CLMT Group is willing to take to achieve its strategic objectives. assurance to the Board. The Board also regularly reviews CLMT Group's risk profile, material risks and mitigation strategies; and ensures the adequacy and effectiveness of the risk management framework and policies. The Manager's management team directs and monitors the implementation and practice of risk management across CLMT Group, including monitoring the risk exposure through key risk indicators.	CLMT Group's ERM Framework operates within a risk governance structure based on three lines of defence. Employees have an important role as the first line of defence and are accountable for the effective identification and management of risks that arise from their business activities. Risk management and compliance departments at CLI together with compliance and risk management divisions from CLMT as the second line of defence provides oversight and governance over risk management and compliance practices, promote and embed a culture of risk ownership and accountability.	CLI's Internal Audit Department (CLI IA) and External Audit as the third line of defence review the adequacy and effectiveness of risk management and internal control systems design and implementation so as to provide reasonable assurance to the AC on its adequacy and effectiveness.	The Manager works closely with the risk management and compliance departments at CLI to ensure risk management practices are implemented effectively and consistently across CLMT Group. Risk workshops are conducted regularly to ensure these practices are embedded in our decision-making and business processes. Management team reinforces the culture by setting the right 'tone at the top', leading by example, and communicating our risk strategy.

CLMT'S MATERIAL RISKS AND OPPORTUNITIES

CLMT Group's Risk and Control Self-Assessment (RCSA) exercise, coordinated by the Manager, is conducted annually to identify key material risks, including new and emerging risks, that CLMT faces in delivering our strategic objectives, its mitigating measures and the opportunities. Based on 2023 RCSA outcomes, the measures taken to mitigate the material risks and opportunities to capitalise on are set out below:

Material Risk	Key Mitigating Action	Opportunities
BUSINESS INTERRUPTION Business disruptions arising from sudden and major disaster events such as pandemic, fire, flooding, pro-longed power outages, riots, protests or other major building infrastructure/ equipment failures causing major disruption at the properties (including tenants' business) resulted in potential injury or even loss of lives of our staff, customers and shoppers.	- Continue to place the wellbeing of our tenants, shoppers/guests and customers as top priority by adopting contactless technologies and innovative tech solutions to enhance safety, cleanliness and hygiene at CLMT Group's properties. - Future proof CLMT Group's business through digitalisation of business operations and processes, innovation and flexibility in CLMT Group's product offerings such as - accelerating our omnichannel solutions, - assisting our customers with digital transition, - optimising the use-of-space - Crises management protocols are put in place to facilitate communications and feedback between property management staff and key management team in times of crises. - Proactive facilities management (e.g. spot checks, routine inspections and scheduled maintenances) to maintain building infrastructure and functionality of equipment. - Ensure assets are adequately covered by insurance.	- Ride on the digital adoption trend and ongoing business digitalisation to innovate and improve product offerings to our customers. - Opportunities to reposition or repurpose CLMT's assets to meet the new norms.

ENTERPRISE RISK MANAGEMENT

Material Risk	Key Mitigating Action	Opportunities
CLIMATE CHANGE Physical risks such as rising sea levels, violent storms, long intense heat waves, flash floods and fresh water depletion. Transitional risks including potentially more stringent regulations and increased expectations from stakeholders.	› Assessment of the detailed physical risks in the evaluation of any new acquisitions. › Incorporate shadow internal carbon price in the evaluation of new investment/capital expenditure decisions. This helps to price in climate-related costs and opportunities, support low-carbon investments, prepare for stringent climate legislation, and avoid stranded assets. › Regularly review CLMT Group's mitigation and adaptation efforts, which include • future proofing our portfolio against changing climatic conditions from the design stage; and • improving the operational efficiency of our properties, setting targets for carbon emissions, water, energy and waste efficiency. › CLI has a well-established environmental management system which is externally certified to ISO 14001 in 19 countries. › For more information, please refer to CLI's Global Sustainability Report 2023, to be published by 31 May 2024.	› Enhance our positive reputation and strong track record in sustainability efforts as a competitive advantage for CLMT Group to build a resilient portfolio of assets, achieve resource efficiency. › Accelerate sustainability innovation and collaboration with tenants, supply chain contractors, vendors and suppliers.
COMPETITION Keen industry competition from established players who are able to capture our customers by meeting their expectations or reacting aptly to market trends.	› Leverage on development partnership and assets pipeline with CapitaLand Development via the ONE CapitaLand ecosystem. › Leverage on strong network of investment and asset management professionals with deep knowledge in multi-sector assets to source for opportunities. › Constantly strive to differentiate ourselves from our peers by adapting CLMT Group's business and products to the evolving needs of tenants and shoppers, delivering competitive products and services, and engaging shoppers with shopper-centric initiatives and loyalty programmes in the retail ecosystem. › Focus on building key enablers that give CLMT Group a competitive advantage amidst the competition and digital disruptions, such as - embarking on digital transformation in our processes, enhancing our data analytics capabilities to speed up data-driven decisions; and - leveraging innovation tools and solutions to assist our customers pivoting to the new digital operating model. › Incorporate Environmental, Social and Governance (ESG) considerations in CLMT Group's business to reinforce our leading position as a sustainable REIT. › Leverage in-house team of industry analysts to keep CLMT Group on top of latest market trends.	› Rely on strong experience in multi-sector asset and portfolio management as well as best-in-class operating platforms.

Material Risk	Key Mitigating Action	Opportunities
CYBER SECURITY & INFORMATION TECHNOLOGY		
Ongoing business digitalisation exposes the business to IT-related threats, which may result in compromising the confidentiality, integrity and availability of CLMT Group's information assets and/or systems.	› The outsourced Information Technology (IT) executes its Cyber Security Strategy through ongoing review against existing/evolving threat landscapes, and institute measures to minimise vulnerability exposure and manage threat vectors. › Ongoing mandatory staff IT Security Awareness Training to counter human intervention in the information security chain. › CLI Group-wide IT Security Policy and Data Protection Framework are periodically reviewed and updated to ensure relevancy. › Maintain and test IT Security Incident Management Procedure to ensure prompt response and timely remediation to cyber security incidents. › Conduct third party vulnerability test and annual Disaster Recovery Plan exercise to ensure timely recoverability of business-critical IT systems. › Put in place enhanced protection controls for systems that hold personal data.	› Build a cyber resilient infrastructure and network to harness the full potential of innovation and digital transformation of our business processes.
ECONOMIC		
Economic instability or changes in macro-economic factors such as inflation or unemployment, which results in challenging business conditions.	› Diversify CLMT's portfolio across different asset classes and geographies in accordance with Board-approved limits. › Disciplined approach to financial, investment and asset management. › Maintain robust investment criteria and processes to ensure portfolio sustainability and seize growth or recycling potential of the assets in different life cycle and location. › Actively monitor macroeconomic trends, policies and regulatory changes in key markets.	› Leverage on the existing local business presence under the ONE CapitalLand ecosystem and its in-depth market knowledge with access to different classes to create a more resilient investment portfolio.
FINANCIAL		
Exposure to financial risks involving liquidity, and interest rates and their volatility. Volatility of cash flow negatively impacting planned cash generation and cash usage profile.	› Proactively review the capital management of CLMT Group to ensure that adequate financial resources are available for the working capital requirements and income distributions. › Focus on instilling financial discipline and deploy capital to earn optimal risk-adjusted returns and maintain a strong balance sheet to invest in suitable opportunities. › For more details, please refer to the Financial Risk Management section on page 218 to 222.	› Manage our financial risks well to give confidence to our investors.
FRAUD, BRIBERY & CORRUPTION		
Any forms of fraud, bribery and corruption that could be perpetuated by employees, third parties or collusion between employees and third parties.	› Foster a culture of ethics and integrity in CLMT Group. › Adopt a zero-tolerance stance against fraud, bribery and corruption (FBC) across our businesses. › Communicate the commitment to integrity from the top through policies and practices, such as FBC Risk Management Policy, Whistleblowing Policy, Ethics and Code of Business Conduct Policies and Anti- Money Laundering and Countering the Financing of Terrorism Policy. › Adopt e-learning modules to raise awareness and train employees on ways to avoid or prevent non-compliant behaviour. › All third party communication to include CLMT Group's zero tolerance stand against FBC.	› Recognising the strong governance and upholding the highest level of integrity are important to build stakeholders confidence.

ENTERPRISE RISK MANAGEMENT

Material Risk	Key Mitigating Action	Opportunities
LEASING Strong competition, economic downturn and challenging market conditions are some key factors that could result in key tenants not renewing their leases, adversely affecting the leasing performance of CLMT Group's properties.	› Establish and maintain a diversified tenant base and sustainable trade mix. › Proactive tenant management strategies which are in line with the assets' positioning are in place. › Closely monitor tenants' performance and maintain positive relationships and rapport with tenants to build loyalty with CLMT Group's properties.	› Focus efforts on stabilising the portfolio through constructive tenant engagement, proactive asset and lease management to build greater resilience in the long run.
REGULATORY & COMPLIANCE Non-compliance with applicable laws, regulations and rules relating to tax, data protection and privacy, financial crimes and sanctions in the major economies and the markets where CLMT Group operates.	› Maintain a framework that proactively identifies the applicable laws, regulations and rules, assess the regulatory and compliance risk and embeds compliance risk mitigation measures into day-to-day operations. › Leverage specialised teams from both locally and CLI such as legal, compliance and tax, and external consultants to provide advisory services and updates on changes to laws, regulations and rules. › CLI's established Group-wide policies and procedures to address the requirements of the applicable laws, regulations and rules such as, Personal Data Protection Policy and Anti-Money Laundering and countering the Financing of Terrorism Policy, Global Sanctions Compliance Policy and Tax Strategy. › Adopt e-learning modules to raise awareness and train employees on ways to avoid or prevent non-compliant behaviour. › Report significant regulatory non-compliance cases on a quarterly basis to the Audit Committee to which the Board delegates its oversight responsibilities.	› Keep abreast of the changing regulatory landscape to identify opportunities for improvements in the various compliance areas.
SAFETY < HEALTH & WELLBEING Increased expectations from stakeholders to provide a safe and healthy environment, including wellbeing, at our assets and operations.	› Assess health and safety related risks in the evaluation of any new acquisitions. › Entrench a sustainable safety culture through deep safety capabilities, disciplined safety practices, and a progressive and pervasive safety mindset that drive safety key performance targets of both CLMT Group and our supply chain. › CLI has a well-established Group occupational health and safety management system which is externally certified to ISO 45001 in 19 countries. › For more information, please refer to the CLI Global Sustainability Report 2023 that will be published by 31 May 2024	› Assess health and safety related risks in the evaluation of any new acquisitions.

ABOUT THIS STATEMENT

In line with CapitaLand Investment's (CLI) sustainability focus, CapitaLand Malaysia Trust (CLMT) has been incorporating its environmental, social and governance (ESG) performance in its annual report.

INTERNATIONAL STANDARDS AND GUIDELINES

This Sustainability Statement (Statement) is prepared in accordance with the Global Reporting Initiative (GRI) Standards 2021 and the Bursa Malaysia's Enhanced Sustainability Reporting Framework in the Main Market Listing Requirements. The GRI Standards has been selected as it is an internationally recognised sustainability reporting framework that covers a comprehensive range of sustainability disclosures relevant to CLMT's business. This Report also references the United Nations Sustainable Development Goals (UN SDGs). CLMT has also aligned its climate-related disclosures with Task Force on Climate-related Financial Disclosures (TCFD) in the four key areas of governance, strategy, risk management, and metrics and targets; and provided a work-in-progress update under the recommendations of the TCFD in this Statement.

REPORTING SCOPE AND PERIOD

As a CLI-sponsored Real Estate Investment Trust (REIT), CLMT is managed externally by a wholly owned subsidiary of CLI which is CapitaLand Malaysia REIT Management Sdn. Bhd. (CMRM). CMRM appoints external Property Managers who oversee the daily property operations. The Manager and Property Managers are responsible for the CLMT, property and portfolio operations of CLMT, and their respective teams are identified as employees of the CLMT.

This Statement covers CLMT's portfolio for the financial period from 1 January 2023 to 31 December 2023 unless otherwise indicated. As at 31 December 2023, CLMT's portfolio comprises eight properties – six retail and two logistics assets in Malaysia. CLMT had completed the divestment of 3 Damansara Office Tower, the office component of 3 Damansara Property, on 4 December 2023. Therefore, 3 Damansara Office Tower was not covered in this Statement.

Taking guidance from the operational control as defined by the Greenhouse Gas (GHG) Protocol¹ Corporate Standard, the environmental performance of five retail properties which are under operational control have been covered in this Statement. These properties are Gurney Plaza, Queensbay Mall, East Coast Mall, The Mines and 3 Damansara.

CLMT reports the energy and water consumption, waste generation and carbon emissions of the five properties, where available, while the other environmental metrics are being tracked and monitored internally. The Sponsor, CLI, is obtaining external assurance over its performance data and the Manager's performance data is included as part of the Sponsor's external assurance engagement.

INDEPENDENT ASSURANCE

In strengthening the credibility of this Statement, this Statement has been subjected to the following:

- independent assurance by KPMG PLT in accordance with International Standard on Assurance Engagements (ISAE) 3000 (Revised), Assurance Engagements Other than Audits or Reviews of Historical Financial Information for selected indicators; and has been approved by the Board of Directors of the Manager.

The scope, subject matters and relevant conclusion(s) are provided below:

Type of Assurance	Subject Matter	Scope	Conclusion
Independent assurance	Total Energy Consumption (kWh)	The boundary covers Gurney Plaza, East Coast Mall, The Mines, 3 Damansara and Queensbay Mall only	Based on the limited assurance procedures performed and evidence obtained, nothing has come to our attention that would cause us to believe that the Subject Matter for the financial year ended 31 December 2023 is not prepared, in all material respects, in accordance with the Applicable Criteria.
	Total Energy Intensity (kWh/m ² /month)	The boundary covers Gurney Plaza, East Coast Mall, The Mines, 3 Damansara and Queensbay Mall only	

1 This is developed by the World Resources Institute (WRI) and World Business Council for Sustainable Development (WBCSD), which sets the global standard on how to measure, manage and report greenhouse gas emissions.

SUSTAINABILITY MANAGEMENT

For the Independent Limited Assurance Report, please refer to page 240 to 242 of CLMT AR 2023.

CLI's Global Sustainability Report 2023, which covers CLMT, is externally assured with reference to the International Standard on Assurance Engagements (ISAE) 300. The CLI Global Sustainability Report 2023 will be published by 31 May 2024 on their website.

FEEDBACK

The Manager welcomes feedback as it continuously improves CLMT's sustainability performance and reporting. Stakeholders with questions or feedback are welcome to write in to ask-us@clmt.com.my.

SUSTAINABILITY APPROACH

Board Statement

At CLMT, sustainability is at the core of everything we do. We are committed to growing in a responsible manner, delivering long-term economic value, and contributing to the environmental and social well-being of our communities. The material environmental, social and governance (ESG) factors have been identified with set targets for 2030, in alignment with the CapitaLand Investment 2030 Sustainability Master Plan (SMP), which was refreshed in 2023 as part of the review by the Board of the Manager of CLMT together with Management.

CLMT's ESG plan steers our efforts on a common course to maximise impact through building portfolio resilience and resource efficiency, enabling thriving and future-adaptive communities, and stewarding responsible business conduct and governance. Ambitious ESG targets have been set by CLI and adopted throughout the organisation, including CLMT. These targets include carbon emissions reduction targets validated by the Science Based Targets initiative (SBTi). In 2023, the SMP targets have been revised to elevate SBTi-approved targets in line with a 1.5°C scenario, incorporate Net Zero commitment, and enhanced focus on social indicators.

The Board of the Manager of CLMT is responsible for overseeing REIT's sustainability efforts, and takes ESG factors into consideration in determining its strategic direction and priorities. The Board also approves the executive compensation framework based on the principle of linking pay to performance. The Manager's business plans are translated to both quantitative and qualitative performance targets, including sustainable corporate practices and are cascaded throughout the organisation.

CapitaLand Investment 2030 Sustainability Master Plan

Being a CLI-sponsored real estate investment trust (REIT), CLMT's sustainability targets and efforts are guided by CapitaLand Investment (CLI). The Manager and the Property Managers who oversee the operations of CLMT abide by CLI's sustainability framework, policies and guidelines, as well as ethics and code of business conduct.

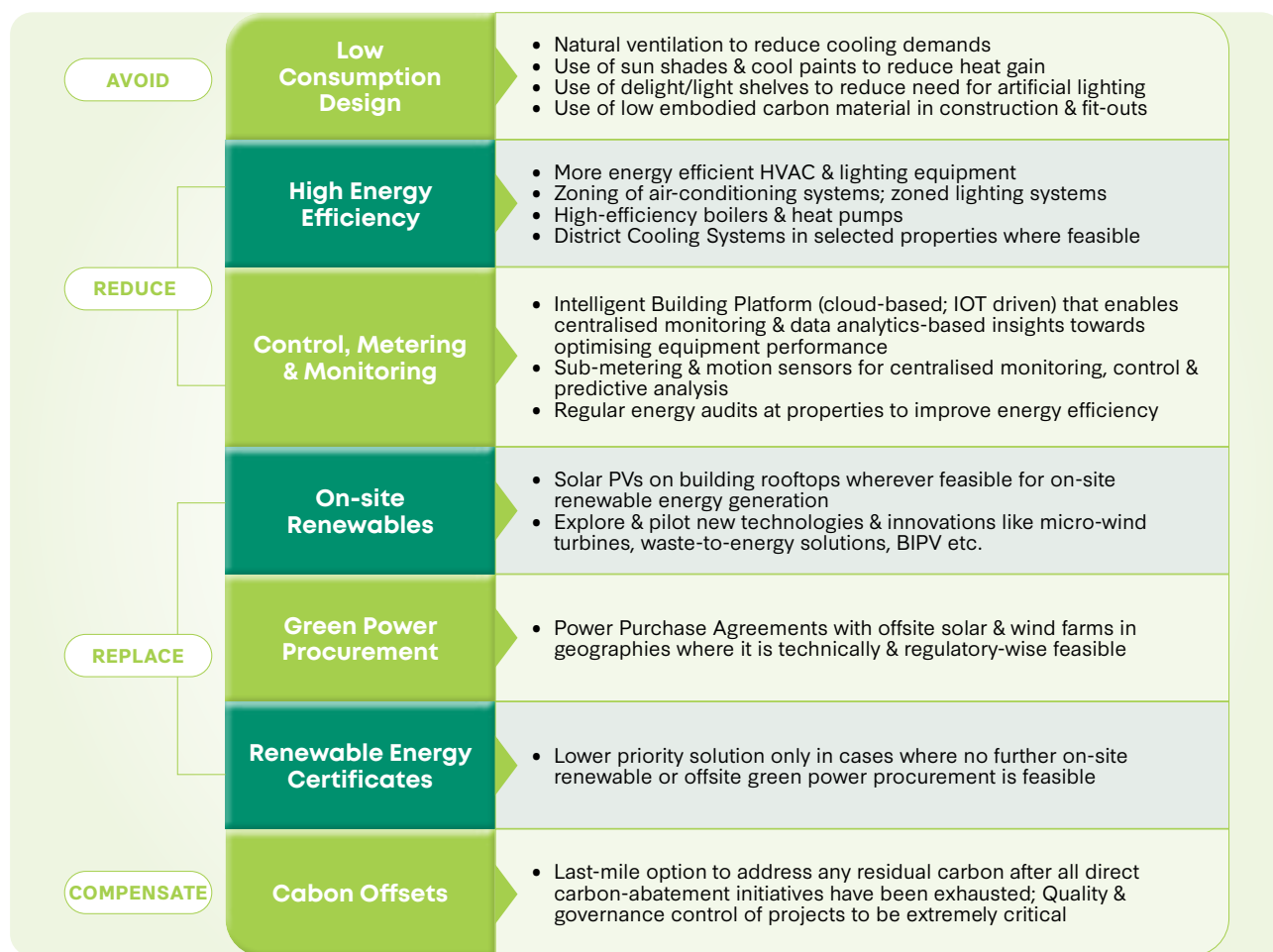
CLMT is aligned with CLI 2030 SMP unveiled in 2020 to elevate the Group's commitment to global sustainability in the built environment. The SMP drives CLI's sustainability efforts in the ESG pillars, enabling CapitaLand Group to create a larger positive impact for the environment and society.

CLI 2030 SMP is regularly reviewed where necessary to complement the Group's business strategy and align with climate science.

Committing to Net Zero by 2050 and Elevating Carbon Emissions Reduction Target to 1.5°C Scenario

In 2022, CapitaLand elevated its Scope 1 and 2 carbon emissions reduction targets which were validated by SBTi to be in line with a 1.5°C trajectory, currently the most ambitious designation available through the SBTi process. This will translate to Net Zero in 2050.

Aligned with the Group's elevated science-based target, CLMT commits to reducing its absolute Scope 1 and 2 emissions by 46% by 2030 from a 2019 base year and aims to achieve Net Zero by 2050, consistent with the effort required to limit global temperature increase to below 1.5°C. To operationalise its SBTi approved carbon emissions reduction target for Scope 1 and 2 emissions, CLMT reviewed its carbon intensity reduction targets and other environment targets, including changing reference to 2019 as the baseline year. CLMT also aims to conduct a comprehensive review of its Scope 3 emissions to better track and disclose its material Scope 3 emissions, and is committed to developing Scope 3 emission goals aligned to science-based targets. Over the next decade, as part of CLI's roadmap to Net Zero, CLI and CLMT will prioritise the decarbonisation levers indicated (on page 116), and in particular, continue to source globally for new ideas and technologies to achieve higher energy efficiency and intensify its renewable energy integration efforts.



BOARD, TOP MANAGEMENT AND STAFF COMMITMENT

The CLI Board recognises the importance of sustainability as a business imperative, and ensures that sustainability considerations are factored into CLI's strategy development. This enables CLI to remain competitive and resilient in an increasingly challenging business environment.

The CLI Board is kept informed on a regular basis through the Strategy and Sustainability Committee (SSC) on the Group's sustainability management performance, key material issues identified by stakeholders, and the planned follow-up measures. Additionally, the CLI Board is typically updated by the Risk Committee and Audit Committee at least once a year and at ad hoc Board meetings. The Board discusses matters relating to sustainability risks and relevant performance metrics, which include carbon emissions and its progress on achieving the reduction targets, green certification, human capital development, stakeholders' expectations on climate change, social impact and/or other matters. The Board is also informed of any incidents relating

to workplace safety, business malpractice and environmental impact, which may include climate-related damage or disruptions.

A Lead Independent Director chairs the SSC which is a Board Committee. The SSC is responsible for overseeing CLI's sustainability strategies and goals, including providing guidance to management and monitoring progress against achieving the goals of sustainability initiatives. The SSC typically meets twice a year, with additional meetings convened as necessary.

The CLI Leadership Council makes strategic resource allocation decisions and meets on a regular basis. The council comprises the Group Chief Executive Officer (CEO), CEOs of the various business units and key management executives of the corporate office.

The sustainability work teams comprise representatives from CLI's business units and corporate functions. Each business unit has its own Environmental, Health and Safety (EHS) Committee to drive initiatives in countries where it operates with support from various departments.

SUSTAINABILITY MANAGEMENT

For CLMT, the Board of the Manager considers sustainability issues as part of its strategic formulation, confirms the material ESG issues listed by the Manager and oversees the management and monitoring of the material ESG factors.

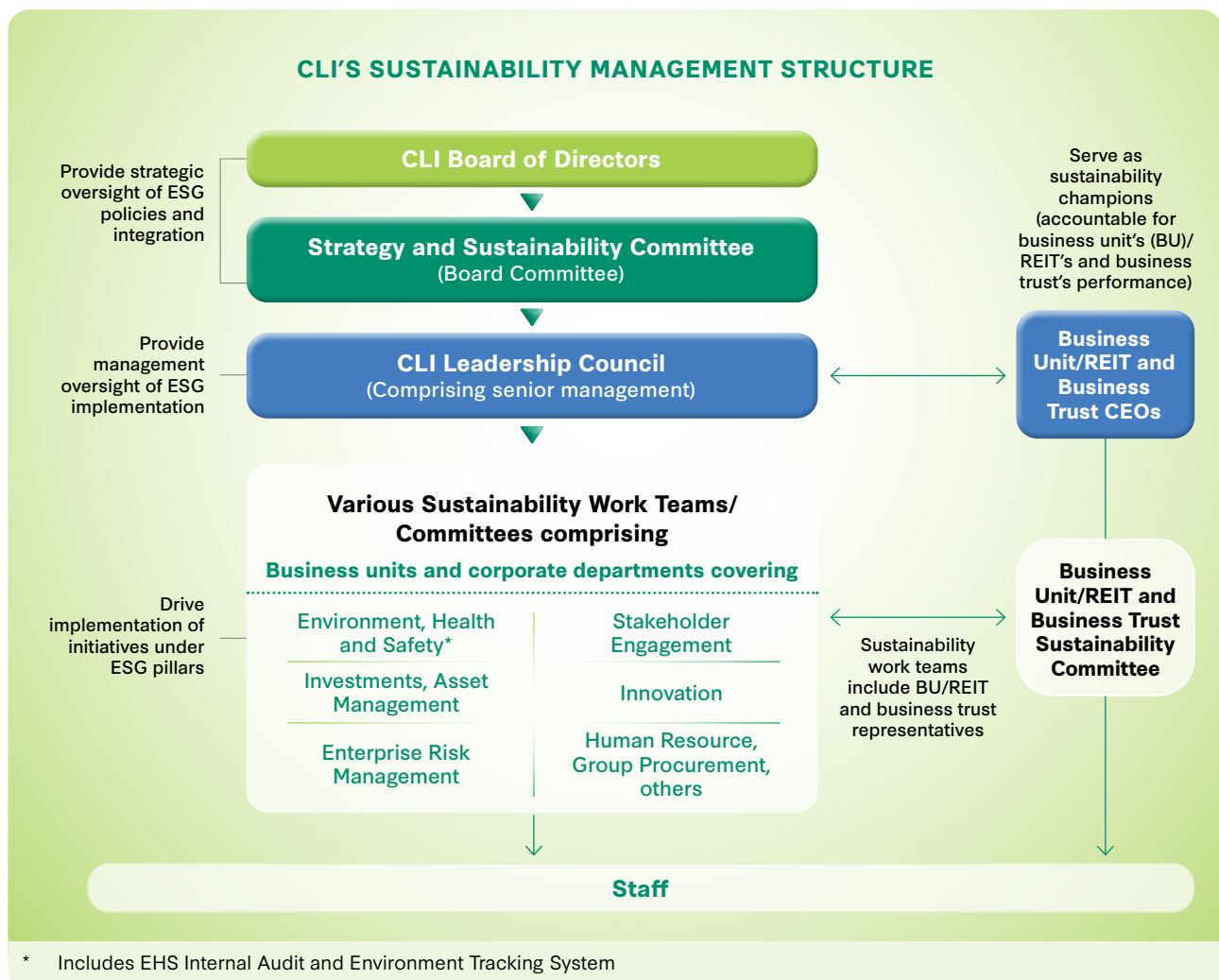
The Board of the Manager sets CLMT's risk appetite, which determines the nature and extent of material risks that CLMT is willing to take to achieve their strategic and business objective. As part of the material risk issues being highlighted, climate change has been identified as critical. The Board is actively involved in discussions on climate-related initiatives and regularly reviews climate change risks as part of its Enterprise Risk Management (ERM) Framework.

The update to the Board is conducted at the quarterly Board meetings and covers relevant climate-related topics including CLI 2030 SMP, green capital expenditure plan, performance metrics such as carbon emissions performance, progress on the reduction targets, as well as stakeholders' expectations on climate change. Any environmental incidents, which may include climate-

related damages or disruptions, are also reported to the Board. As EHS factors are considered as part of the asset investment evaluation process and strategy, they are presented to the Board where relevant.

On 6 June 2023, the Securities Commission Malaysia and Bursa Malaysia rolled out of a new mandatory onboarding programme on sustainability for directors of Public Listed Companies on Bursa Malaysia. The Mandatory Accreditation Programme (MAP) Part II: Leading for Impact (LIP) is an extension to the existing MAP, now known as MAP Part I under the Bursa Malaysia Main Market Listing Requirements. As at 31 December 2023, three directors of the Board of the Manager have completed the MAP Part I and II.

A Sustainability Department led by the CEO of the Manager oversees sustainability objectives and strategies directly to ensure greater focus on sustainability and climate-related matters for CLMT. The Sustainability Department is responsible for providing timely and regular updates on CLMT's sustainability matters to the Board of the Manager.



CLMT'S SUSTAINABILITY MANAGEMENT STRUCTURE



These updates are in relation to sustainability risks, and relevant performance metrics, which include carbon emissions performance, progress on achieving the reduction targets, green certification, human capital development, as well as stakeholders' expectations on climate change and/or other social matters.

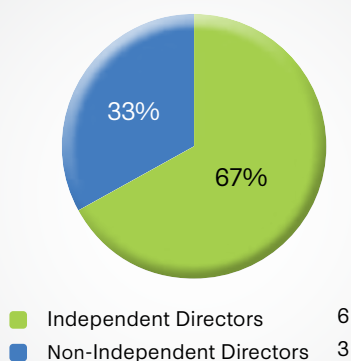
The Sustainability Department works closely with key members from various departments including finance, investment and portfolio management, as well as operations department and technical teams of the Sponsor in carrying out strategies and relevant activities, abiding by CapitaLand's sustainability framework and policies.

Maintaining Diversity on the Board

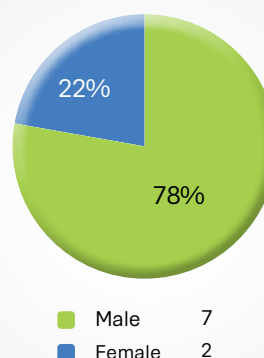
The Board of the Manager embraces diversity and has in place a Board Diversity Policy which ensures that the Board comprises talented and dedicated Directors with a wide mix of expertise (including industry, domain and functional expertise), skills, experience and perspectives. This is with due consideration to diversity in gender, age, tenure, ethnicity and cultural background, as well as any other relevant aspects of diversity.

The Manager's Board Diversity Policy targets, plans and progress are detailed on page 81 to 83 in CLMT AR 2023.

BOARD INDEPENDENCE (%)
AS AT 31 DECEMBER 2023



BOARD GENDER DIVERSITY (%)
AS AT 31 DECEMBER 2023



SUSTAINABILITY MANAGEMENT

With respect to female representation, the Nominating and Remuneration Committee (NRC) notes the Malaysian Code on Corporate Governance 2021 target of women making up 30% of the boards of Bursa Malaysia-listed companies by 2030. In its annual review of the Board's composition, the NRC expressly considers and includes a commentary to the Board about diversity in the composition of the Board. The Board aims to achieve at least 30% female representation in the composition of the Board over the next few years when reviewing the nominations for the appointment and re-appointment of Directors for a new term. Currently, the proportion of female representation in the Manager's Board composition has increased to 25% (or 2 female Directors out of a total of 8 Directors) following the resignation of Mr Lui Chong Chee on 1 February 2024.

RECOGNITION BY GLOBAL BENCHMARKS

CapitaLand was one of the first companies in Singapore to voluntarily publish an annual Global Sustainability Report since FY 2009, and has had the entire report externally assured since FY 2010. Benchmarking against an international standard and framework that is externally validated helps CapitaLand to overcome the challenges in sustainability reporting that may arise from its portfolio of diverse asset types and geographical presence globally.

CapitaLand has been a signatory to the United Nations (UN) Global Compact since 2015 and its Communication on Progress for FY 2023 will be published at www.unglobalcompact.org. In February 2023, CapitaLand also became a signatory of the UN-supported Principles for Responsible Investment (UN PRI), as part of its commitment to invest responsibly.

For its efforts, CapitaLand continues to be listed on the Dow Jones Sustainability World Index and Asia-Pacific Index, GRESB (Global Sector Leader - Listed (Diversified) with the highest 5-star rating), FTSE4Good Index Series, MSCI Global Sustainability Indexes and The Sustainability Yearbook.

CLI's global sustainability reporting (GSR) has evolved into a uniquely hybrid model using the Global Reporting Initiative (GRI) Standards and Greenhouse Gas (GHG) Protocol (operational control method) since 2009, GRESB since 2013, Value Reporting Foundation's Integrated Reporting Framework since 2015, UN Sustainable Development Goals (SDG) Reporting since 2016, Task Force on Climate-related Financial Disclosures (TCFD)² framework since 2017, and Sustainability Accounting Standards Board (SASB) Standards since 2020.

CLI will continue to enhance its disclosures in accordance with these standards and work towards preparing for International Sustainability Standards Board's (ISSB) standards relating to climate reporting. CLI's Global Sustainability Report (GSR) 2023 will be published by 31 May 2024 on their website.

CLI's GSR will continue to be externally assured with reference to the International Standard on Assurance Engagements (ISAE) 3000, and will cover CLI's global portfolio and employees, including our listed real estate investment trusts (REITs) and business trusts - CapitaLand Integrated Commercial Trust, CapitaLand Ascendas REIT, CapitaLand Ascott Trust, CapitaLand China Trust, CapitaLand India Trust and CapitaLand Malaysia Trust, unless otherwise indicated.

CLMT voluntarily commenced its sustainability reporting in 2015 in accordance with Bursa Malaysia's reporting guidelines and requirements, ahead of the time set for all public listed companies to disclose sustainability reporting from 2016. As a CLI-sponsored REIT, CLMT strives to emulate CLI's achievements and leadership position in sustainability and will continue to pursue opportunities where it can make a positive and meaningful impact.

MATERIALITY

CLI identifies and prioritises the management of material ESG issues that are most relevant and significant to the company and its stakeholders. It adopts a double materiality approach, considering issues which are material from either the impact perspective or financial perspective or both.

Potentially material ESG issues arising from activities across CLI's value chain (including potential risks and opportunities in the immediate and longer term) are primarily identified via ongoing engagement with CLI's business units and external stakeholders, and reviews of sources including investor questionnaires, as well as ESG surveys, sustainability benchmarks and frameworks such as Dow Jones Sustainability Indices, GRESB and SASB.

As a CLI-sponsored REIT, CLMT is guided by CLI's materiality assessment process, where the Manager conducts regular reviews, assessments and feedback in relation to ESG topics via ongoing engagement with various stakeholders including investor questionnaires and ESG surveys. Identified material issues are reported in CLMT's corporate risk register through the annual Group-wide Risk and Control Self-Assessment (RCSA) exercise, which identifies, assesses and documents

² Financial Stability Board (FSB) set up the TCFD in 2015 to address concerns around insufficient disclosure of climate-related risks and opportunities. Following the publication of IFRS S1 and IFRS S2, and at the FSB's request, the TCFD itself is now being subsumed into the ISSB with the standard-setter taking over the monitoring of the progress on companies' climate-related disclosures from 2024.

material risks and the corresponding internal controls to manage those risks. These material risks include fraud and corruption, environmental (e.g. climate change), health and safety, and human capital risks which are ESG-relevant. Identified material ESG issues are then prioritised based on the likelihood and potential impact of issues affecting the business continuity of CLMT.

For external stakeholders, priority is given to issues important to the community and applicable to CLMT. In FY 2023, the material ESG topics that were identified were approved by the Board of the Manager.

More information can be found under Enterprise Risk Management on page 104 to 108 of CLMT AR 2023.

PRIORITISATION OF MATERIAL ESG ISSUES

Environment	Social	Governance
Critical		
- Climate change and carbon emissions reduction - Energy efficiency - Water management	- Occupational health and safety - Human capital - Stakeholder engagementⁱ - Products and servicesⁱⁱ - Supply chain management - Diversity (Board and staff)	- Risk managementⁱⁱⁱ - Business ethics
Moderate and emerging		
- Waste management - Biodiversity	Human rights^{iv}	
ⁱ This includes green leases and tenant engagement on ESG matters ⁱⁱ This includes products and services promoting customer health and safety, and green certified buildings ⁱⁱⁱ This includes consideration of compliance, economic performance and Cybersecurity ^{iv} This relates to CLI's zero tolerance stance towards child/forced labour.		

CREATING VALUE AND ALIGNMENT TO UNITED NATIONS SUSTAINABLE DEVELOPMENT GOALS (UN SDGS)

As a CLI-sponsored REIT, CLMT's material ESG issues and the value created, aligned to CLI 2030 SMP focus areas and commitments, are mapped to

the International Integrated Reporting Commission (IIRC) Framework's six integrated reporting Capitals – Environmental, Manufactured, Human, Social and Relationship, Organisational, and Financial. This is further mapped against eight UN SDGs that are most aligned with CLI 2030 SMP focus areas, and where CLI and CLMT can achieve the greatest positive impact.

SUSTAINABILITY MANAGEMENT

Our Commitments	2023 Value Created	
Environment • Transit to low-carbon business and reduce energy consumption through improved energy efficiency, and increased use of renewable energy. • Reduce water consumption, reuse water and prevent water pollution, especially in countries where the availability of clean water and sanitation are of concern. • Green our operational portfolio by 2030. • Strengthen our portfolio's climate resilience by addressing climate related risks and opportunities throughout the real estate lifecycle. • Actively embrace innovation to ensure commercial viability without compromising the environment for future generations. • Influence our supply chain to operate responsibly in the area of environmental management through CLI's Supply Chain Code of Conduct.	For CLMT: • 12.03% reduction in carbon emissions intensity (per m² from 2019 baseline). • 7.42% and 10.63% reduction in energy and water consumption intensity (per m² from 2019 baseline) respectively. • Achieved green building certifications for 39% of portfolio gross floor area. • Retained ISO 14001 certification in Malaysia.	Environmental Capital Manufactured Capital 
Social • We believe staff can make a significant contribution based on their talent, expertise and experience, regardless of ethnicity, age or gender. We adopt consistent, equitable, and fair labour policies and practices in rewarding as well as developing staff under direct hire. • We aim to provide a safe work environment that contributes to the general well-being of our staff, tenants, contractors, suppliers and the communities that use our properties. • CLI's Supply Chain Code of Conduct influences its supply chain to operate responsibly in the areas of human rights, and health and safety. • We are committed to activities that are aligned with our focus on community investment. We engage our stakeholders to raise awareness in the areas of philanthropy, environment, health and safety, as well as promote sustainability within the tenant community.	For CLMT: • Diverse workforce (more than 250 staff). • Males and females at a ratio of about 51:49. • About 69% of workforce was aged between 30 and 50. • About 38.5% of Senior Management were women. • 80% staff engagement score, with 100% survey participation. • Over 39 training hours per staff. • 100% staff attended at least 1 ESG training. • Zero staff work-related fatality and permanent disability incidents. • Zero contractor work-related fatality and/or permanent disability incident. • No reported incidents relating to discrimination, child labour or forced labour. • 100%ⁱ of CLMT's supply chain agreed to abide by CLI's Supply Chain Code of Conduct. • Retained ISO 45001 certification in Malaysia. • Contributed RM200,000 through CapitaLand's philanthropic arm – CapitaLand Hope Foundation, to more than 800 underserved children from 22 homes and schools, as well as over 1,500 beneficiaries from 520 low-income families in Johor, Klang Valley, Penang and Pahang under the #GivingBersama 3.0 initiative. • 139 CapitaLand staff tapped on the volunteer service leave to contribute 1,201 hours to participate in #GivingBersama 3.0	Human Capital Social and Relationship Capital Manufactured Capital 

Our Commitments	2023 Value Created	
Governance - We have in place a Board Diversity Policy which ensures that the Board comprises talented and dedicated Directors with a wide mix of expertise (including industry, domain and functional expertise), skills, experience (including international experience) and perspectives. This is with due consideration to diversity in gender, age, tenure, ethnicity, culture and geographical background including nationality, as well as any other relevant aspects of diversity. - We are committed to meeting high standards of risk management in the way it conducts its business. All employees are required to understand and be responsible for ensuring that risks are managed effectively in their day-to-day work. - We require third-party service providers and vendors to adhere to anti-bribery and anti-corruption provisions. - CLI's Supply Chain Code of Conduct influences CLMT's supply chain to operate responsibly in the area of anti-corruption.	For CLMT: - About 22% of the Board were women ⁱⁱ. 100% of staff attended Fraud, Bribery & Corruption awareness training. 100% of staff attended Whistle-blowing training. 100% of staff attended Cybersecurity training.	Organisational Capital Human Capital 
Economic Integrate CLMT's ESG performance with financial metrics.	For CLMT: - Raised RM753 million in sustainable financing in FY 2023. - For more details, please refer to the following sections in the CLMT AR 2023: - Highlights of FY 2023, page 6 - Capital Management, page 63-64	Financial Capital
i Property maintenance and project related contracts for CLI owned and CLI operationally managed properties and projects. This includes supply chain complying with their own code of conduct which is equivalent or more stringent than CLI's Supply Chain Code of Conduct. ii Figure represents board composition as at 31 December 2023. This proportion increased to 25% (or 2 female Directors out of a total of 8 Directors) following the resignation of Mr Lui Chong Chee on 1 February 2024.		

SUSTAINABILITY MANAGEMENT

ENVIRONMENTAL & MANUFACTURED CAPITAL

Managing Our Environmental Footprint

CLMT is committed to environmental sustainability and value creation by leveraging technologies and analytics in optimising the usage of energy, water and waste management across our properties.

CapitaLand Investment's Environmental Management System (EMS) is a key tool in managing CLMT's environmental footprint across the portfolio. The EMS is integrated with CapitaLand Investment's Occupational Health and Safety Management System (OHSMS) to form CapitaLand Investment's Environmental, Health and Safety Management System (EHSMS). CLI's EHSMS is audited by a third-party accredited certification body to ISO 14001 and ISO 45001. ISO 14001 and ISO 45001 are internationally recognised standards for the environmental management and occupational health and safety management of businesses, respectively.

All staff are involved in reducing CLMT's environmental footprint and are encouraged to be forthcoming and to report all incidences of environmental-related issues and complaints, as well as incidences of non-compliances and non-conformities.

Internal and External Audits

CapitaLand Investment has in place an internal audit system to ensure the conformance and effective implementation of its EMS to ISO 14001 international standards. External audits are conducted annually by a third-party accredited certification body. Since 2012, CLMT's retail properties are ISO 14001 certified.

CapitaLand Investment's Environmental, Health and Safety Policy

As a CLI-sponsored REIT, CLMT is committed to protecting the environment and upholding the occupational health and safety (OHS) of everyone in the workplace (this includes implementing the EHSMS). We regularly conduct the following:

- Carry out exemplary EHS practices to minimise pollution as well as health and safety risks
- Seek continual improvement on its EHS performance
- Comply with relevant legislations and other requirements
- Implement CapitaLand Sustainable Building Guidelines and OHS programmes

These policies are readily available to all staff, suppliers, service providers and partners.

TENANT ENGAGEMENT

CLMT encourages its mall tenants to adopt a sustainable and environment-friendly mindset as part of a successful collaboration to achieve sustainability goals.

GREEN FIT-OUT GUIDE

A green fit-out guide is given to new tenants to encourage adoption of environment-friendly fit-outs, lighting efficiency requirements and promote sustainable practices and behaviour.



GO GREEN SEMINAR

The Mines conducted a talk for its tenants on 30 October 2023 to raise awareness on the benefits of adopting green initiatives and sustainable practices in their business operations.



Green Building Certification

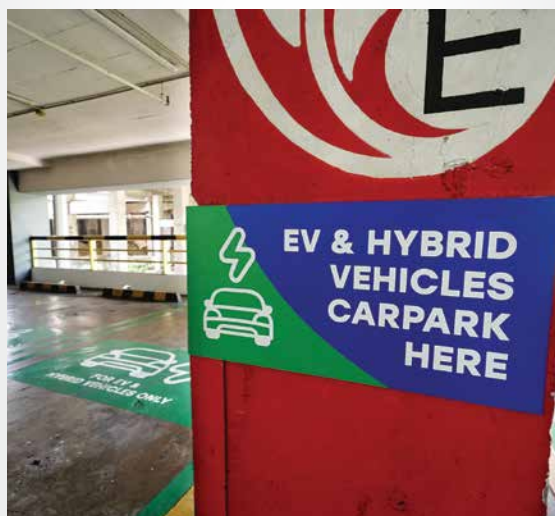
Green building ratings and certifications help assure and demonstrate the quality of CLMT's properties. They serve as an external validation that key environmental aspects have been considered and incorporated in new acquisitions, refurbishments and operations.

Aligned with CLI, CLMT targets to green all its existing properties by 2030 with each property achieving a minimum certification level by a green rating system. In FY 2023, 39% of CLMT's portfolio based on gross floor area achieved a green rating certification from the Building and Construction Authority of Singapore.

Property	Award Category	Year of Award
Queensbay Mall	BCA Green Mark Platinum	2023
The Mines	BCA Green Mark Gold ^{PLUS} (Provisional)	2023

ENVIRONMENT-FRIENDLY TRANSPORT

At The Mines, several initiatives were conducted to promote sustainable transport. With 10 parking bays being dedicated to priority parking for electric and hybrid vehicles on Level 2, there is also an electric vehicle charging station installed at the Main Entrance on Level 3. There are also more than 50 bicycle parking bays readily available at the mall entrances on Levels 1 and 3.



CapitaLand Sustainable Building Guidelines (SBG)

The SBG is an in-house guide developed by CapitaLand to ensure environmental considerations and targets for low carbon transition, waste management and circular economy, water conservation and resilience, accessibility, health and safety, and supply chain management are embedded and incorporated in all stages of its properties' life cycles. The real estate life cycle covers feasibility, investment, design, procurement, construction, operations, asset enhancements and redevelopments.

The SBG is regularly reviewed to ensure continuous improvement, with a focus on four key objectives of minimising carbon footprint and energy consumption, water management, reducing generation of waste and promoting biodiversity in the life cycles of its properties.

Environment Health and Safety Impact Assessment (EHSIA)

A key component of the SBG is the mandatory EHSIA which is conducted during the feasibility stage of any potential acquisitions or investments in operational assets and development projects as part of due diligence.

This involves establishing the baseline environmental performance such as energy efficiency and comparing it against CLI 2030 SMP targets. The assessment also includes transition and physical risk and opportunity considerations, as well as the application of an internal carbon price. This assessment would guide the businesses to consider EHS risks and opportunities upfront and identify mitigation measures earlier.

The significant findings of the EHSIA and their cost implications are incorporated in the investment paper submitted to Board of Directors for approval.

Our Environmental Commitments

CLMT has been tracking the energy and water usage, waste generation and carbon emissions at our operating properties via CLI's online Environmental Tracking System (ETS) since 2009. The platform has been used to survey the various initiatives implemented at CLMT's properties including efficiency and water efficiency measures, biodiversity and habitat risks, as well as physical risks, including flood risk and water management.

As a cloud-based platform, the ETS facilitates benchmarking on consumption patterns and helps identify opportunities for further operational efficiency improvements. It allows each property to conduct analysis against set targets and past trends to understand consumption patterns and identify areas for improvement. The consolidated data is also analysed at the business units and group levels against reduction targets. This facilitates a better understanding of consumption patterns and identification of areas for eco-efficiency improvements for its portfolio. Regular desktop audits are conducted to ensure data completeness and accuracy.

Environmental Targets

As a CLI-sponsored REIT, CLMT is aligned with CapitaLand's science-based targets set out in CLI 2030 SMP Plan to transit to a low-carbon business, improve resource use and enable a circular economy. CLI's carbon emissions intensity reduction target is computed from the approved science-based target to better track day-to-day operational efficiency. As part of the Group, CLMT is committed to working towards the long-term and annual targets under CLI 2030 SMP¹.

CLI's 2030 SMP, in which CLMT is aligned, outlined 2030 targets and pathways to transit to a low-carbon business, improve resource use and enable a circular economy. To measure its performance, CLMT has incorporated KPIs, most of which are linked to remuneration for its staff, including top management.

1 Targets in the refreshed 2030 SMP were set using 2019 as a base year.

SUSTAINABILITY MANAGEMENT

CLMT: FY 2023 PERFORMANCE

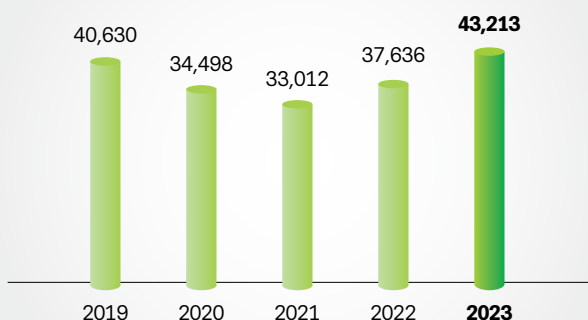
	2030 Target	2023 Performance	
Low-carbon Transition	Achieve science-based target of reducing carbon emissions by 46% from 2019 baseline	6.36% increase from 2019 baseline	●
	Reduce carbon emissions intensity by 72% from 2019 baseline	12.03% reduction from 2019 baseline	●
	Reduce energy consumption intensity by 15% from 2019 baseline	7.42% reduction from 2019 baseline	●
	45% of electricity consumption from renewable sources	0%	●
	100% of existing buildings ⁱ to achieve a minimum green rating	39% ⁱⁱ	●
Water Conservation and Resilience	Reduce water consumption intensity by 15% from 2019 baseline	10.63% reduction from 2019 baseline	●
Waste Management and Circular Economy	Reduce waste intensity by 20% from 2019 baseline	36.84% reduction from 2019 baseline	●
	Achieve 25% recycling rate in its day-to-day operations	3.14%	●
Annual Target			
Sustainable Operation Excellence	ISO 14001 certification for its EMS	Retained ISO 14001 certification in Malaysia	●
	Manage risks of environmental impact	EMS is externally audited annually, providing assurance to top management and external investors on CLMT's compliance and alignment to best practices	
ⁱ Refers to CLI-owned and CLI-managed properties and includes all its real estate classes such as retail, office, lodging, business parks, industrial, and logistics. ⁱⁱ Based on portfolio gross floor area.			

● In progress ● Achieved

CARBON EMISSIONS

CARBON EMISSIONS*

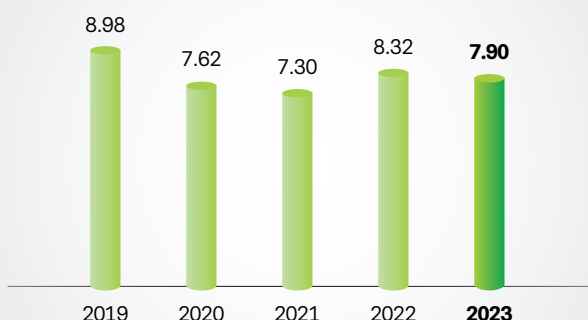
(tonnes CO₂e)



* This is computed mostly from purchased electricity consumption under Scope 2, and some direct energy consumption under Scope 1, as defined by the Greenhouse Gas (GHG) Protocol (operational control approach) and using individual country CO₂ emission factors retrieved from the International Energy Agency (IEA) 2023.

CARBON EMISSIONS INTENSITY

(kgCO₂e/m²/month)



CLMT is committed to reduce carbon emissions which is a key part of its strategy to mitigate transition risks for a low-carbon economy. In alignment with CLI, CLMT is committed to reduce carbon emissions of its operations that aligns with a 1.5°C trajectory, with an aim to be Net Zero by 2050.

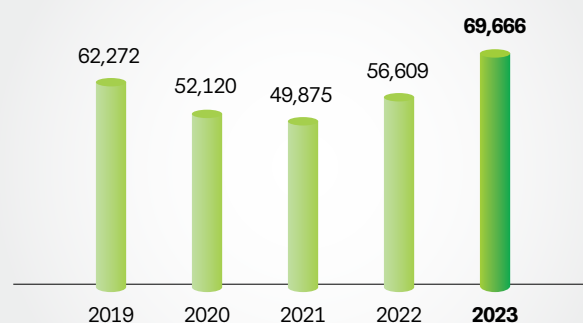
In 2023, CLMT's total Scope 1 and Scope 2 carbon emissions increased by 14.82% year-on-year to 42,213 tonnes CO₂e. CLMT recorded a carbon emissions intensity of 7.9 kgCO₂e/m²/month in 2023, which translates to a 12.0% reduction in carbon emissions intensity compared to the 2019 baseline.

Scope 1 emissions refer to direct emissions from activities controlled by CLMT. CLMT's Scope 1 data is derived from usage of diesel on an ad hoc basis. Scope 2 emissions are indirect emissions associated with its consumption of purchased energy. CLMT's Scope 2 data covered the purchased energy consumption relating to the operations for landlord-controlled areas. Scope 3 emissions are indirect emissions from activities not controlled by CLMT. Aligned with CLI, CLMT aims to better track and disclose its other material Scope 3 emissions, such as tenant energy consumption and third-party managed assets² in its portfolio.

ENERGY

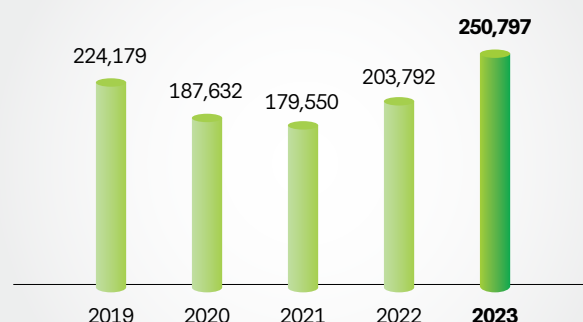
ENERGY CONSUMPTION*

('000 kWh)



ENERGY CONSUMPTION*

(GJ)



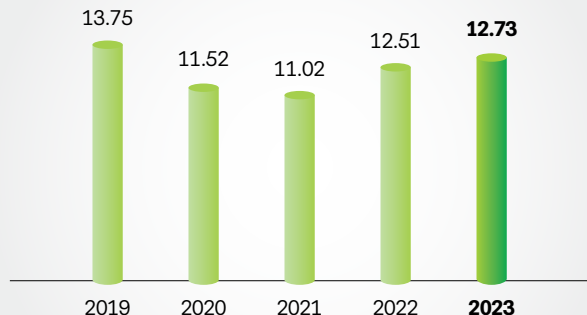
* This is the consumption derived from Gurney Plaza, Queensbay Mall, East Coast Mall, The Mines and 3 Damansara during the reporting period.

* Sungei Wang Plaza, Valdor Logistics Hub and Glenmarie Distribution Centre are not within the scope boundary as these assets are deemed as third-party managed properties.

2 CLMT's third-party managed properties are Sungei Wang Plaza, Valdor Logistics Hub and Glenmarie Distribution Centre.

SUSTAINABILITY MANAGEMENT

ENERGY INTENSITY
(kWh/m²/month)



In 2023, total energy consumption increased by 23.1% year-on-year to 69,666 MWh and almost all of it was contributed by indirect energy consumption for the landlord-controlled areas in CLMT properties. The increase in overall energy usage for landlord's consumption was largely attributable to the addition of Queensbay Mall into CLMT portfolio and improving business activities. Compared to base year 2019, CLMT's 2023 energy consumption intensity recorded a reduction of 7.4%.

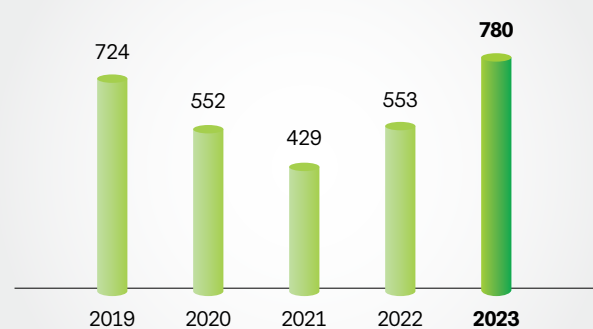
CLMT's total energy consumption comprises direct energy consumption (fuel consumption for maintenance of diesel generator) and indirect energy consumption (purchase of electricity).

CLMT continues to implement various energy conservation measures, some of which are listed below. It also focuses on innovation to reduce energy consumption.

Focus	Initiatives
Energy Efficiency: Central Air Conditioning System	- Installed with Measurement & Verification system to monitor system performance daily - Perform preventive and periodic servicing and maintenance - Chiller ionisation system - Chiller management system
Energy Efficiency: Lighting	- Installation of LED fittings with motion sensors at staircase - Lighting power budget of not more than 22 Watts per m² for tenanted areas
Energy Efficiency: Equipment	Replace equipment with higher efficiencies
Control, Metering and Monitoring	- Conduct energy audits at the properties to improve energy efficiency - Upgrading of existing Building Management System

WATER

WATER CONSUMPTION
('000 m³)



WATER CONSUMPTION INTENSITY
(m³/m²/month)



CLMT is committed to reducing total water consumption and preventing water pollution. Water usage and discharge for each property are monitored and checked regularly. Water usage is also monitored closely so that any fluctuations or anomalies can be identified and acted upon promptly.

For CLMT properties, water is withdrawn from local municipal sources, and used in building systems such as irrigation and air-conditioning. Proper water management ensures minimal wastage and promotes responsible use of this precious resource and the following initiatives have been rolled out in CLMT's properties:

- Lowered flush volumes and water-efficient faucets
- Replaced corroded fixtures
- Installed automatic irrigation systems
- Installed video surveillance and remote meters on water supply and air conditioning systems to monitor water consumption in real-time

In 2023, CLMT's total water consumption was approximately 780,445 m³, an increase of 41% year-on-year, that was largely attributable to the addition of Queensbay Mall into CLMT portfolio and the in business activities compared to 2022. As a result, CLMT's water intensity increased to 0.14 m³/m²/month, which was a 10.6% reduction in water intensity consumption compared to the base year of 2019.

To reduce water consumption, recycled water such as grey water and rainwater is used for the toilet flushing system and washing the car park.

INNOVATIVE SOLUTIONS TO REDUCE WATER USAGE AND MINIMISE WATER WASTAGE

At East Coast Mall, we completed the upgrading of the toilets to use modulating valve with sensors. The motorised valve system for the bidet is an innovative solution that reacts to a motion sensor to control water supply which combines motion sensing technology with automated valve control. This system is designed to optimise water usage and enhance convenience by activating or deactivating the water supply based on the presence or absence of motion. The advantage of this system is its ability to conserve water by only allowing flow when necessary. When there is no motion detected, the system automatically closes the valve, preventing wastage and reducing water consumption. For the wash hand basins, a flow limiting valve is a device used to control water pressure and is designed to regulate the flow of water, ensuring a consistent and controlled water pressure for efficient use at the basin. The function of a flow limiting valve is to restrict the amount of water that passes through it, thus reducing the overall water flow rate. By limiting the flow rate, the valve helps maintain a stable and optimal pressure, preventing excessive water usage and unnecessary wastage.



WASTE



CLMT is committed to managing and disposing waste generated at its properties responsibly. The collection and disposal of waste at these properties are being carried out by licensed contractors.

In 2023, we collected 6,342 tonnes of non-recyclable waste and 206 tonnes of recyclable waste. Recyclable waste is 3.1% of total waste collected comprising paper, plastic, metals, glass and other materials.

CULTIVATING RECYCLING MINDSET AND AWARENESS

As waste generated at its properties is mostly from tenants, shoppers and the general public, we engage our stakeholders through various means to minimise and recycle waste. Recycling and disposal bins for each type of waste (hazardous and all other waste) are made available at all CLMT properties. We will continue to implement measures to reduce waste generation and increase recycling rate across the portfolio.



SUSTAINABILITY MANAGEMENT

FABRIC RECYCLING WITH KLOTH CARES

In collaboration with Kloth Cares, CLMT malls participated in a fabric recycling initiative organised by CapitaLand, aimed to not only cull away fabric from harming the landfills, but to also inculcate responsible recycling practice among shoppers. Through the installation of the fabric recycling bins, the neighbourhood communities can recycle their old garments, clothing accessories, footwear and shoes, bags, household textiles, children's toys and other fabric remnants at The Mines and 3 Damansara. All the collected fabric items will be segregated according to different material categories at a designated fabric recycling factory, while suitable ones will be given away to charity homes. Through this recycling effort, CapitaLand collected approximately 3,700 kg of unwanted fabric items.



BIODIVERSITY

Aligned with CLI, CLMT is committed to preserving the biodiversity of its sites as well as the wider area wherever possible. CLMT's properties are located within urban areas. As CLMT does not have any properties located within protected areas, hence there is no material biodiversity risk identified.

HUMAN CAPITAL

Our Commitments	2023 Value Created
• We believe staff can make a significant contribution based on their talent, expertise and experience, regardless of ethnicity, age or gender. We adopt consistent, equitable, and fair labour policies and practices in rewarding as well as developing staff under direct hire. • We aim to provide a safe work environment that contributes to the general well-being of our staff, tenants, contractors, suppliers and the communities that use our properties. • Our Supply Chain Code of Conduct influences its supply chain to operate responsibly in the areas of human rights, and health and safety. • We are committed to activities that are aligned with our focus on community investment. We engage our stakeholders to raise awareness in the areas of philanthropy, environment, health and safety, as well as promote sustainability within the tenant community.	• Workforce of more than 250 staff • Male: Female ratio of 51:49 • About 69% of workforce was aged between 30 and 50 • 38.5% of senior management are female • 80% staff engagement score, with 100% survey participation • Over 39 training hours per staff • 100% of staff attended at least 1 ESG training • Zero work-related fatality and permanent disability • No reported incidents relating to discrimination, child labour or forced labour • Retained ISO 45001 certification in Malaysia • Contributed RM200,000 through CapitaLand's philanthropic arm, CapitaLand Hope Foundation, to benefit to benefit over 2,300 underprivileged children and low-income families • 1,201 volunteer hours by employees • Annual survey conducted for retail tenants, with a satisfaction rate of 93% • At least one evacuation drill conducted for each retail property • 100% of suppliers with new and renewal contracts signed CLI Supply Chain Code of Conduct

Occupational Health and Safety

Safeguarding the health and safety of our employees and all stakeholders at our properties remain our highest priority. At CLMT, we adopt CapitaLand's Occupational Health and Safety Management System (OHSMS), which has been externally audited by a third-party accredited certification body to International Organization for Standardization (ISO) 45001 standards, a recognised international standard for OHS Management Systems. The framework involves identifying and reviewing OHS hazards, assessing their risks, establishing policies, ensuring accountability, developing action plans and engaging stakeholders.

CLMT champions OHS with commitment from the top management and staff participation through an integrated EHS Management System as well as stakeholder engagement activities. Supplementing this management system is the Board which reviews major OHS incidents and helps to reinforce a strong culture of safety. CLMT strives to reduce occupational injury

rate with the aim to achieve zero work-related injuries resulting in employee permanent disability or fatality by adopting stringent OHS practices.

Risk Management of OHS Hazards

Identifying OHS hazards and assessing their risks are key components the OHSMS. Hazards Identification and Risk Assessments (HIRA) are reviewed annually, or following an incident, or a significant change in processes. OHS hazards are identified from the administration, development and operational functions of the Sponsor's businesses, and their risks are assessed. Examples of hazards include slip, trip and fall, fall from height and falling objects. CLMT has established SOPs to minimise the occurrence of such hazards.

Since October 2020, the EHSIA was made mandatory when evaluating new investments. The results of the EHSIA enable the investment teams to consider OHS risks and opportunities upfront and to identify early mitigating measures.

EHS TRAINING

To facilitate the effective implementation of its EHSMS, training and awareness programmes are organised as part of the integrated EHSMS training for staff. New staff are briefed on CapitaLand's EHS policy and the roles of each staff. Heads of departments in administration, operations, and project development, including heads of operating properties, design managers and project managers, undergo more detailed training programmes. In 2023, about 81% of CLMT staff attended at least one EHS-related training amounting to more than 1,800 hours. These include first-aid, safety, EHS incident and emergency response training.



▲ The First Aider & CPR Certification Training ensures that our employees are equipped with the necessary knowledge and skills to render immediate and effective first aid response during emergencies.

FIRE DRILL

As part of the group's OHS Management System, emergency response procedures are in place to address potential OHS risks. Periodic briefings and biannual evacuation drills are conducted to familiarise tenants with the emergency response actions.



▲ We conducted Fire Safety and Evacuation Trainings and these trainings were facilitated by the authorities, with the aim of enhancing the readiness, confidence, and competence of our employees in dealing with any fire incidents that may occur at the premises.

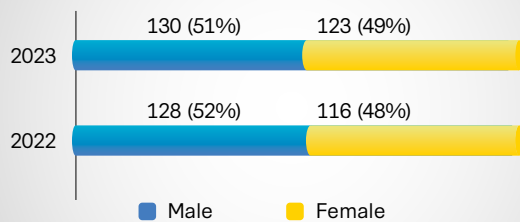
SUSTAINABILITY MANAGEMENT

Our People

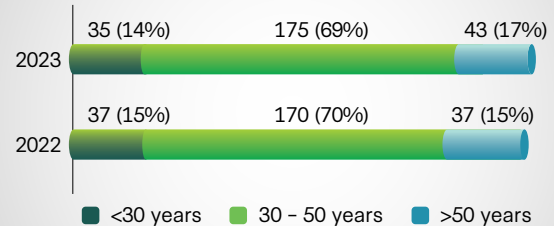
As a CLI-sponsored REIT, CLMT is managed externally by wholly owned subsidiaries of CLI which is the Manager whilst the daily operations of the properties are overseen by the Property Managers. The Manager and Property Managers are responsible for CLMT, property and portfolio operations of CLMT, and their respective teams are identified as employees of Property Managers that manage CLMT properties.

The total headcount for 2023 was 253 (2022: 244) and the following is the breakdown of employee profile.

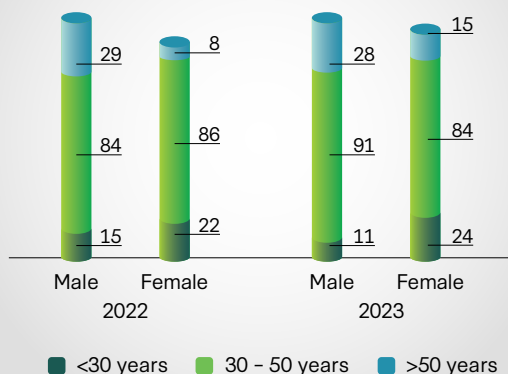
EMPLOYEE GENDER DIVERSITY PROFILE (%)



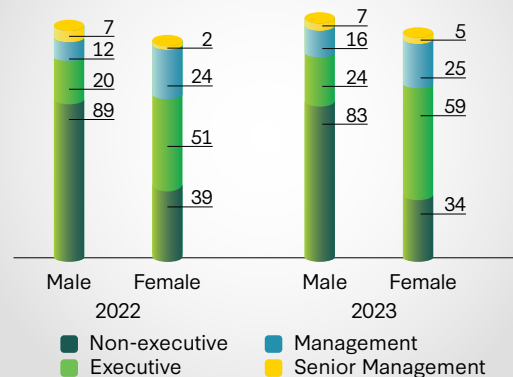
EMPLOYEE AGE DIVERSITY PROFILE (%)



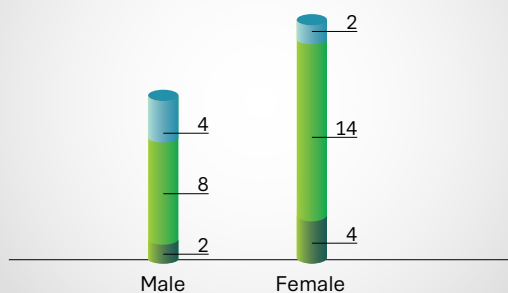
**EMPLOYEE DIVERSITY
BY AGE AND GENDER PROFILE**



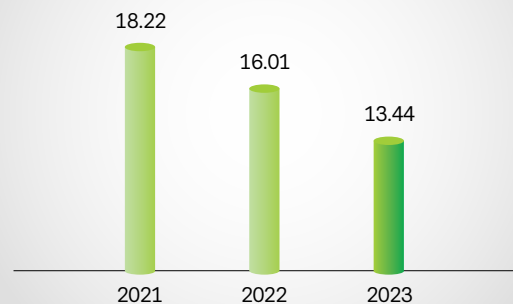
**EMPLOYEE DIVERSITY
BY GENDER AND RANK PROFILE**



**VOLUNTARY TURNOVER
BY AGE AND GENDER PROFILE 2023**



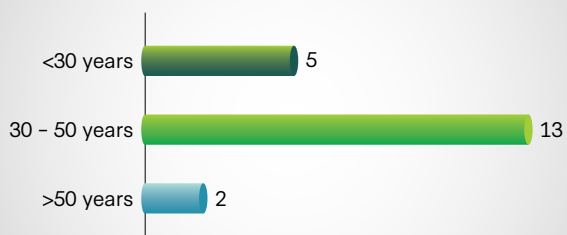
EMPLOYEE TURNOVER RATE (%)



NEW HIRES BY GENDER FY 2023



NEW HIRES BY AGE FY 2023



Human Rights

The Sponsor has a Social Charter approved by top management which sets out commitments to support the preservation of human dignity and self-respect of every individual, covering topics on human rights, child labour, forced labour, human trafficking, code of conduct, diversity and inclusion, and healthy work-life balance. Other human rights-related policies such as grievance handling and harassment policies are also in place. The Social Charter is applicable to all staff and guides the company towards ensuring a supportive and respectful environment for individuals across all aspects of the Sponsor's business and operations.

Anti-Child Labour and Anti-Forced Labour

CLMT upholds the Sponsor's commitment to be a workplace of choice for employees and adheres to its policies on non-discriminatory employment practices and equal remuneration. As a signatory of the United Nations Global Compact (UNGC), CLMT is committed to the 10 principles in the areas of human rights, labour, environment and anti-corruption. These 10 Principles of the UNGC are derived from the Universal Declaration of Human Rights, the International Labour Organisation's Declaration on Fundamental Principles and Rights at Work, the Rio Declaration on Environment and Development, and the United Nations Convention against Corruption. We have adopted the five key principles of fair employment advocated by the Tripartite Alliance for Fair and Progressive Employment Practices. CLMT adopts a zero-tolerance stance regarding child labour, forced labour and unlawful discrimination, and had no reported incidents of such in 2023.

Diversity, Equity and Inclusion

CLMT embraces diversity, equity and inclusivity (DEI) regardless of age, religion, gender and race. We believe that employees can make significant contributions based on their talent, expertise and experience. Having a gender diverse mix of staff is also a target in CLMT's revised 2030 Sustainability Master Plan.

We actively seek innovative, dynamic and talented individuals, both internally and externally, with the right level of experience to support our growth. This is managed through the recruitment of talents across different career stages, from entry-level graduates to mid-career professionals and industry veterans. New hires represented 8% of the total headcount in 2023.

CLMT's vibrant, motivated and qualified workforce had over 69% aged 30 to 50 in 2023. HR continued to organise talks relating to DEI throughout 2023. More than 20 staff attended human rights and diversity-related talks, and training on ways to manage unconscious or implicit bias at the workplace, understand and appreciate multiculturalism, and harness the benefits of a diverse and multigenerational workforce. CLMT organised training sessions for change management resilience and mental-wellness related topics. There were more than 35 staff participants clocking in over 468 hours to the sessions.

Gender Diversity and Pay Parity

CLMT rewards employees fairly based on merit, ability, and experience for comparable roles across the organisation's hierarchy. Its incentive system focuses on performance and is gender-agnostic. Employee pay is benchmarked against the market based on job roles using gender-neutral pay surveys provided by independent remuneration consultants. For the 2023 exercise, no major pay gap was found. We also actively review our employee compensation strategies to ensure that they commensurate with market practice.

In 2023, CLMT's workforce comprised an almost equal ratio of male and female employees, at a ratio of 51:49. Of the total of female employees, about 20% and 4% were in the middle and senior management levels respectively. Of the 13 employees at the senior management level, five or 38.5% were female.

SUSTAINABILITY MANAGEMENT

Job Creation and Employment

CLMT is committed to providing meaningful jobs and talent mobility where employees are given opportunities to rotate across different job functions, subject to skills/competency requirements and business needs. Subject to business needs and work performance, employees who are able and willing can continue their employment beyond the statutory retirement age of 60. CLMT continues to employ these individuals with a reasonable increment to their last drawn salary even though their work scope and responsibilities remain unchanged under its re-employment policy. In 2023, six employees aged 60 and above were re-employed.

Talent Management

We actively seek innovative, dynamic and talented individuals, both internally and externally, with the right level of experience to support CLMT's next phase of growth. This is managed through the recruitment of talents across different career stages, from entry-level graduates to mid-career professionals and industry veterans. We constantly build our management bench strength by identifying and developing high-potential talent as part of the regular succession planning process.

The Group Talent Management and the Senior Management Team regularly reviews the succession plans for the key positions in the company including the Chief Executive Officer and other key management personnel in CLMT.

On an annual basis, CLMT identifies and reviews suitably qualified candidates from within and outside of the Group who could be considered for key positions when the immediate, medium, and long-term need arises.

Positive Work Environment

CLMT is committed to providing a positive and vibrant workplace that promotes personal development, good health and well-being, and fulfilling careers. Initiatives such as flexible hours and work arrangements, comprehensive medical benefits, and employee engagement programmes to foster a culture of high performance and work-life harmony are implemented whilst part-time employees are also entitled to the same benefits as their full-time colleagues, on a prorated basis. We leverage CLMT's robust performance management system to ensure that all employees receive regular performance and career development reviews.

In 2023, four female employees took maternity leave and three returned to work in the same year and one is due to return in first quarter of 2024. This represented a return to work rate of 100%. Seven male employees took paternity leave in 2023. This translated to an employee retention rate of 100%. CLMT also provides Family Event Leave for employees to care for their loved ones, including children, spouses, parents, parents-in-law, or siblings.

About 64% of employees have been with CLMT for five years or longer. The company also interviews resigning employees as part of its continuing efforts to improve its retention policies and initiatives.

Fair Remuneration

Employment contracts with clearly stated terms and conditions are signed for all confirmed employees. This allows them to understand both their rights and obligations, as well as those of the company, thus minimising potential employment disputes in the future. Key employment terms specified in the employment contract include the job title and description, duration of employment, working hours, salary and statutory contributions/deductions, leave entitlements, probation and notice periods, and insurance and medical benefits etc.

We engage external independent remuneration consultants to benchmark the compensation packages against the relevant talent markets. Salaries are reviewed against the benchmarks, and each employee's specific job scope and responsibilities are considered. All regular full-time employees will undergo an annual performance review where there is an open discussion on the employee's performance, areas for improvement, developmental needs and career plans.

To reward and motivate employees, CLMT has a comprehensive and competitive compensation package and benefits programme. We observe a pay-for-performance philosophy that rewards superior performance, which aligns employee and unitholder interest to deliver business results. Sustainability targets were integrated into CLMT's Performance Share Plan and Balance Scorecard framework to determine individual remuneration outcomes (financial and non-financial). CLMT's overall annual variable bonus pool is determined based on its achievement against a holistic set of quantitative and qualitative targets in the Balanced Scorecard dimensions of REIT Performance, Preparing for Future, Manager Financial Health and Sustainability (including Environment, Social and Governance factors).

The amount of bonus awarded to employees are further based on their relative contributions and individual performance. Employees at managerial grades are also eligible to receive performance-based long-term unit-based awards. The awards will vest over three years and are subjected to the achievement of pre-determined profitability and unitholder return targets. The performance and remuneration of key management executives are based on both quantitative and qualitative targets within the Balanced Scorecard framework, including their efforts in building management bench strength and talent.

CLMT adheres to the respective social security contributions and the Employees Provident Fund (EPF) is a compulsory pension scheme for all Malaysians introduced by the Government to enforce savings by salaried workers for a more secure retirement. Under the EPF scheme, CLMT and its employees make monthly contributions to the employee's EPF account in accordance with the prevailing regulations.

Upskilling The Workforce

To build a future ready workforce that is knowledgeable, competent, and adaptable, employees are equipped with the appropriate training to acquire the relevant knowledge and expertise to contribute effectively

to CLMT's performance. Employees' training and development needs are discussed at the annual performance reviews with their immediate superiors and updated throughout the year.

CapitaLand allocates up to 0.5% of its annual wage bill towards learning and development programmes for employees. Employees can participate in certified skills training programmes, personal development courses, and industry seminars and conferences. Eligible employees may apply for a maximum of 10 days of paid leave annually for examinations of study.

In 2023, employees actively participated in various trainings. Almost all employees completed at least one learning session, and the average training hours per employee was 39 hours in 2023 compared to 26 hours in 2022. The average training hours per female and male employees are 44 hours and 35 hours, respectively. 100% of staff attended at least one ESG training in 2023.

CLMT's employees who are also licensed representatives under the Securities Commission Malaysia (SC)'s Capital Markets Services Licence, recorded average of 24 training hours per employee in 2023, which was above the minimum requirement by SC.

LEARNING AND DEVELOPMENT

Various learning and talks were organised to enhance employees' skills and knowledge.

Briefings on legal and compliance topics was organised for staff including:

- Corporate Liability Section 17A MACC Act
- Related party transactions
- Due diligence process
- Anti-Money Laundering and Countering the Financing of Terrorism Policy



▲ A series of Management Leadership trainings was organised to enhance the competencies of staff.



▲ Wellness and healing talks were conducted focused on building resilience, stress management, and promoting a healthy lifestyle.

SUSTAINABILITY MANAGEMENT

Staff Engagement

CLMT actively engages staff through various avenues, including formal staff communication sessions as well as informal sessions, such as luncheons and team bonding sessions. A staff communication session was held in November 2023 where CLMT's CEO updated employees on CLMT's operational and financial performance, growth strategy and addressed any work-related concerns. As a CLI-sponsored REIT, CLMT practises an open-door policy, allowing all staff to obtain a fair review and a prompt response to problems or concerns relating to any aspect of their employment. This includes harassment, grievance handling and Whistle-blowing policies applicable to all staff. Staff can also raise their concerns to a higher level of management or to the Human Resource department. In 2023, 127 staff attended briefing relating to Workplace Sexual Harassment. All new hires must undergo an orientation programme that assimilates them to CapitaLand's business operations, strategy, core values and management philosophy.

Employee Well-being

CLMT aims to provide a safe work environment that contributes to the general well-being of its employees. In Malaysia, this is carried out through a Total Well-being Programme to promote health and well-being of all employees. CLMT supports the programme by engaging its workforce through regular health and recreational

activities, as well as brainstorming workshops. In 2023, some of the activities conducted to encourage a well-balanced and healthy lifestyle among employees include free COVID-19 screening, virtual health-related activities through health talks and campaign. Tips on healthy living and effective exercise were published regularly through CapitaLand's intranet and email blasts.

Employees attend training and awareness programmes to facilitate effective implementation of CapitaLand's Environmental, Health and Safety Management System (EHSMS). New employees are introduced to CapitaLand's EHS policy and EHSMS.

Community Engagement and Volunteerism

To encourage volunteerism as an integral part of building a caring and inclusive community, CapitaLand employees are granted Volunteer Service Leave (VSL) of up to three days. As part of our efforts to recognise and acknowledge employees' social contribution as volunteers, CapitaLand Hope Foundation, the philanthropic arm of CapitaLand Group, donates to support charitable and environmental programmes of the employee's choice if the employee has taken all three days of VSL within the year. In 2023, 139 CapitaLand employees volunteered generously towards community and social causes, putting in more than 1,201 volunteer hours.

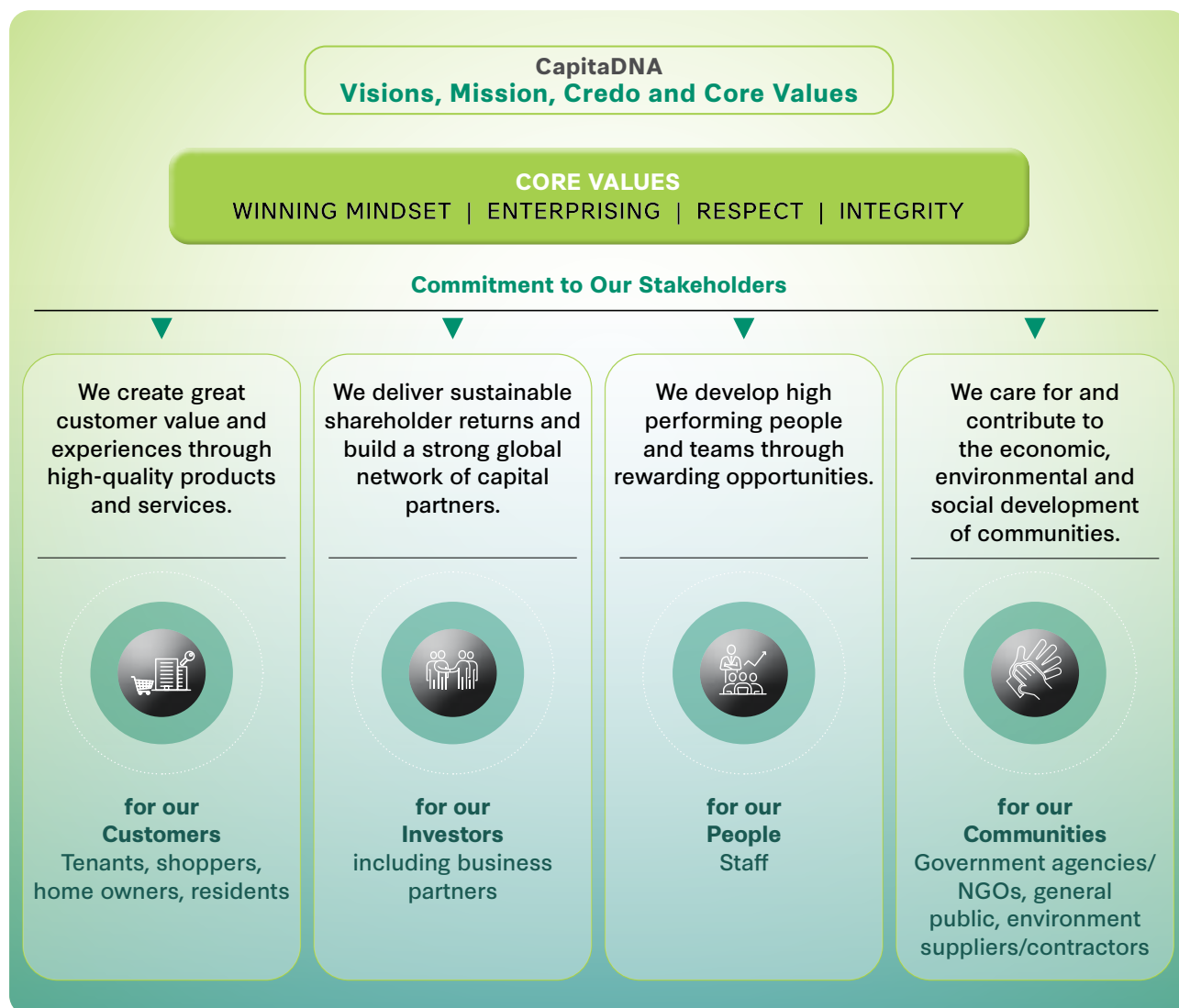
BUILDING AND ENHANCING CAMARADERIE AND TEAM SPIRIT

In a commitment to fostering a vibrant and connected work culture, a series of engaging staff events were organised throughout the year. These initiatives aimed to strengthen team bonding and promote a sense of togetherness among staff. From festive celebrations encompassing various cultural gatherings to teambuilding, wellness challenges, family-friendly activities, parties, etc., these events provided opportunities for staff to unwind, connect, and celebrate the spirit of camaraderie.



SOCIAL AND RELATIONSHIP CAPITAL

Stakeholders are groups that CLMT's business has a significant impact on, and those with a vested interest in its operations. Key stakeholders include staff, investors/Unitholders, customers, business associates, contractors and suppliers, and the local community. Other stakeholders include regulators and key government agencies, non-governmental organisations (NGOs), representatives of the capital market and the media.



STAFF

CLMT actively engages its staff through various avenues, including regular staff communication sessions held by senior management, to facilitate effective exchange of information and ensure alignment of business goals and objectives across all levels of the workforce.

CLMT advocates staff volunteerism as an integral part of building a caring and inclusive community. It grants staff up to three days of Volunteer Service Leave (VSL) per calendar year and staff are encouraged to contribute their time and talent for approved charitable causes with the CapitaLand Group's philanthropic arm, CapitaLand Hope Foundation or on their own. Staff who utilise all three days of VSL are eligible to nominate a registered charity to receive a donation from CHF, as part of its recognition and appreciation for staff volunteers. In 2023, 139 CapitaLand staff in Malaysia tapped on the VSL to contribute 1,201 hours for Giving Bersama 3.0.

SUSTAINABILITY MANAGEMENT

CUSTOMERS

CLMT strives to create meaningful relationships with its customers. To maintain the relevance of its malls, CLMT conducted a tenant satisfaction survey for six of its retail properties in 2023, with an overall participation rate of 92%. CLMT garnered feedback on a range of matters from cleanliness, security, mall ambience to the adequacy of car park lots. On an average, 93% of the respondents rated CLMT with Average or Good performance. The survey is useful in providing specific and actionable feedback, which allows us to better address our tenants' needs and concerns. The feedback obtained is reviewed and relevant follow-up actions are taken to improve the experience and service levels to its tenants and shoppers.

Among shoppers, we reinforce the positioning and brand identity of each of CLMT's properties through memorable promotional activities and theme-based events. Such activities also draw shopper traffic which can help to increase tenants' sales. For more information on our investor engagement efforts, please refer to Marketing & Promotions section on page 46 to 52 of CLMT AR 2023.

INVESTORS

CLMT maintains high levels of engagement with its Unitholders and the investor community at large, to provide timely access to accurate information. This helps them to make sound judgements about the REIT, developing trust and confidence in CLMT. CLMT manages this engagement via multiple touchpoints. For more information on our investor engagement efforts, please refer to Investor & Media Relations section on page 65 to 67 of CLMT AR 2023.

CLMT's Investor Relations policy provides more information on its communications framework, and the policy is available on its website at www.clmt.com.my.

GOVERNMENT AGENCIES AND REGULATORS

CLMT participates in stakeholder consultations organised by key government agencies to provide feedback on proposed regulatory changes that may impact the REIT's business. This allows us to plan and prepare ahead for any upcoming updates to regulations. Through our active participation in the Malaysian REIT Managers Association (MRMA), proactive engagements were also held regularly with the government, regulators and industry stakeholders to enhance regulatory framework and tax structures, amongst others, for the Malaysian Real Estate Investment Trust (M-REIT) industry.

Engaging regulators and relevant industry bodies have also allowed CLMT to better manage the latest industry challenges, placing us in a better position to leverage existing and future opportunities for growth. CLMT is committed to regulatory compliance. Procedures are in place to ensure that its activities and operations comply with existing regulatory requirements through regular monitoring, evaluation and audit of the EHS management systems.

SUPPLY CHAIN MANAGEMENT

CLMT adopts the CapitaLand Supply Chain Code of Conduct, which sets out the requirements for responsible behaviours in the areas of business integrity and ethics such as anti-bribery and corruption, labour laws and human rights, health and safety, as well as environmental management. In addition to complying with local regulations and other legal requirements, all CLMT suppliers and service providers must acknowledge and adhere to the Code of Conduct and are subject to penalties in the event of any breaches or failure to remedy any breaches. 100% of our suppliers with new or renewal contracts have signed the CapitaLand Supply Chain Code of Conduct in 2023. The vendors are also briefed on CapitaLand's Environmental, Health and Safety (EHS) policy to ensure that they are trained and qualified on EHS measures.

CLMT continues to screen its supply chain to ensure that relevant business and ESG risks are being managed appropriately. We identify critical suppliers as high-spend suppliers, non-substitutable suppliers or critical business component suppliers such as term contractors providing facility maintenance and property management services. A high proportion of goods and services are sourced locally for CLMT. In 2023, about 97.1% of the appointed supply chain providers were from Malaysia.

COMMUNITY

CLMT actively invests into the local communities in which it operates, by identifying suitable causes with local stakeholders and involving staff.

In 2023, CapitaLand Group, with the support from its philanthropic arm, CapitaLand Hope Foundation (CHF), has contributed RM200,000 worth of daily necessities and educational supplies to more than 800 underserved children from 22 homes and schools, as well as over 1,500 beneficiaries from 520 low-income families in Malaysia under its #GivingBersama 3.0 initiative. The #GivingBersama 3.0 initiative is the third annual edition of the #GivingBersama campaign that was launched in Malaysia in 2021. Since then, the initiative has reached more than 2,600 children from 75 orphanages and schools, as well as 520 low-income families. Since 2011, CapitaLand, with the support of CHF, has helped over 13,500 beneficiaries in need with donations of more than RM2.4 million in Malaysia.



SUSTAINABILITY MANAGEMENT

STAKEHOLDER ENGAGEMENT

CLMT seeks to understand its stakeholder views, communicate effectively with them and respond to their concerns through various engagement channels. Issues that are of interest to its different stakeholders are outlined below.

Stakeholders	Engagement Channel	Issues	Capitals
Employees	- Regular dialogue sessions with senior management - Regular staff engagement surveys - Volunteer programmes - Training and development	- Work-life balance - Remuneration and benefits - Staff welfare	Human Capital Social and Relationship Capital
Investors, analysts and media	- Annual general meetings - Quarterly financial results announcements - Media releases and interviews - Annual reports - Company website - Regular analyst and investor meetings - Site visits	- Operational efficiency, monetary savings, cost avoidance - Return on equity, earning, business strategy, market outlook - ESG risks and opportunities	Financial Capital Social and Relationship Capital
Customers (Tenants and shoppers)	Tenants: Tenant satisfaction survey, green fit-out guide and joint promotions and strategic partnerships Shoppers: mall campaigns, exhibition, social media campaigns CapitaLand's social media channels	- Facilities management - Customer experience	Social and Relationship Capital Environmental Capital
Supply Chain (Main contractors, vendors, suppliers)	- CapitaLand's Supply Chain Code of Conduct - Environmental, Health and Safety (EHS) management system - Quarterly EHS monitoring - Vendor evaluation, events, meetings and training	- Design and quality - Occupational health and safety practices - Workers' welfare and wellbeing - Environmental compliance	Human Capital Social and Relationship Capital Environmental Capital
Government/ national agencies/ community and non-governmental organisations (NGOs)	- Longstanding partner of various national programmes - Participation in external conferences/forums - Corporate advertisements - Consultation and sharing with academics, NGOs and business associations - Sustainability reports	- Stakeholder programmes to advocate sustainable tenant/consumer behaviours - Advocating best practices	Social and Relationship Capital

TCFD RECOMMENDATIONS

CapitaLand Malaysia Trust climate-related disclosure in line with the Taskforce for Climate-related Financial Disclosure

TCFD Disclosure

CapitaLand Investment (CLI) started to align its climate-related disclosures with the Taskforce for Climate-related Financial Disclosures (TCFD) recommendations in the four key areas of governance, strategy, risk management and metric and targets since 2017 and further declared its support for TCFD and its recommendations in 2019. CLI and its REITs, including CapitaLand Malaysia Trust (CLMT) are striving to continuously enhance the reporting against the TCFD recommendations.

Governance

The Board of Directors of CapitaLand Malaysia REIT Management Sdn. Bhd. (CMRM), the Manager of CLMT, (the Board) has specific oversight on sustainability matters, including climate-related issues for CLMT. The CLMT Board is updated quarterly during Board meetings on relevant climate-related topics including CLMT's alignment progress with CLI 2030 Sustainability Master Plan (SMP). Discussions on the green capital expenditure plan required to meet the SMP targets (which also includes the decarbonisation targets) are conducted during an ad hoc (Special Board) meeting annually. Performance against SMP targets and Balanced Scorecard targets, including decarbonisation targets, is tracked and reported to CLMT Board at least annually.

The Board sets CLMT's risk appetite, which determines the nature and extent of material risks that CLMT is willing to take to achieve their strategic and business objective. As part of the material risk issues being highlighted, climate change has been identified as critical. The Board regularly reviews climate change risks as part of the Manager's Enterprise Risk Management (ERM) Framework.

Taking the lead from CLI, the Board is updated on relevant performance metrics as well as stakeholders' expectations on climate change. They are also kept aware of any environmental incidents, which may include climate-related damages or disruptions. Furthermore, based on the annual Risk and Control Self-Assessment (RCSA) exercise, as well as the quarterly key risk indicators reports, findings on the areas of risks, including but not limited to environmental and climate risk, are presented to the Board. These are presented together with their likelihood, impact and management action. Based on these, the Board is able to review and confirm the adequacy and effectiveness of CLMT's risk management system, along with the risk portfolio, risk levels and mitigation strategies.

The Manager works closely with CLI's Environmental, Health and Safety (EHS) Committee to manage climate-related risks and opportunities. This EHS Committee drives initiatives related to climate-related risks and opportunities, as well as the broader environmental issues. The Property Manager under CLI also has an engineering and sustainability team, led by the Head of Engineering. The focus of these two teams includes integrating sustainability into operations. In alignment with CLI, the Manager's CEO is responsible for CLMT's climate-related targets. A key objective of the Manager's senior management is to transit to a low-carbon business that is aligned with climate science and build a resilient and resource efficient portfolio. As of 2023, CLMT has set up a sustainability department, that drives the management and implementation of CLMT's sustainability matters, including climate-related issues. This sustainability department, which reports to the CEO, is also supported by various Heads of Department of the Manager, and the Heads of Department of the operations and technical teams of CLI to manage and implement CLMT's sustainability objectives and strategies. The sustainability department regularly updates the Board on matters relating to sustainability management performance of CLMT, key material issues identified by stakeholders and the planned follow-up measures.

CLI group-wide sustainability management comes under the purview of a CLI Board Committee, the Strategy and Sustainability Committee (SSC). The CLI SSC, chaired by Lead Independent Director, has specific oversight on sustainability matters, including climate-related issues. The Group CEO and leadership council hold the responsibility and provide approvals with respect to the CLI 2030 SMP. They are further supported by the Group Sustainability Office and various work teams to drive continued progress and improvement in the areas of ESG. The work teams comprise representatives from CLI business units and corporate functions. This governance is cascaded from the Group level to CLMT level through the operations of CapitaLand's EHS Committee and the newly established sustainability department on CLMT level. Please refer to CLMT's Sustainability Management Structure on page 113 of CLMT AR 2023.

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When it comes to building expertise and capacity on climate-related issues for the Board and senior management, on CLI level, the Board is continuously upskilling with respect to sustainability and climate-related issues. All Board members have undergone SGX recognised sustainability training and are regularly briefed on the CLI Sustainability Management, climate-related matters, including choice of climate scenarios and the decarbonisation journey, as well as the CLI 2030 SMP. In Malaysia, the Securities Commission Malaysia and Bursa Malaysia rolled out of a new mandatory onboarding programme on sustainability for directors of Public Listed Companies on Bursa Malaysia. The Mandatory Accreditation Programme (MAP) Part II: Leading for Impact (LIP) is an extension to the existing MAP, now known as MAP Part I under the Bursa Malaysia Main Market Listing Requirements. As at 31 December 2023, three directors of the CLMT Board have completed the MAP Part I and II.

With respect to the decarbonisation initiatives and targets, at CLMT level, there are various mechanisms applied to gaining feedback on these initiatives from our various stakeholders. These include but are not limited to: annual general meetings, quarterly financial results announcements, media releases and interviews, annual reports, the company website, regular analyst and investor meetings and responses to sustainability surveys. At CLI level, Group Sustainability provides regular updates and ad hoc responses to CLI SSC and Board on the decarbonisation plan and progress. For CLMT, the Sustainability Department updates the Board during the quarterly Board meetings and covers relevant climate-related topics including CLI's 2030 SMP, green capital expenditure plan, performance metrics such as carbon emissions performance, progress on the reduction targets, as well as stakeholders' expectations on climate change. Performance against SMP targets and Balanced Scorecard targets, including decarbonisation targets, is tracked and reported to CLI Management and Board at least annually.

Strategy

As a CLI-sponsored REIT, CLI's identified ESG issues have been deemed to be material and applicable to CLMT's business operations. The selection of these issues is guided by CLI's regular review, assessment and feedback process in relation to ESG topics.

Since 2016, climate change and emissions reduction are one of the key ESG material issues identified as relevant and critical for CLMT and CLI. This has been confirmed with this year's CLI ESG factors materiality review. Climate change risk has also been identified as a key risk as part of the ERM Framework and includes both physical and transition risks. Physical risks are a result of climate change and can be acute or chronic in climate patterns, such as rising sea levels, violent storms, long intense heat waves, flash floods and freshwater depletion. Transition risks result from a transition to a lower-carbon economy, which could entail potentially more stringent regulations and increased expectations from customers and stakeholders.

In line with CLI, the Manager's strategy to identify and address climate-related risks and opportunities spans all areas of its real estate life cycle, from the earliest stage of the investment process, to design, procurement, construction, operations and redevelopment or divestment.

- All new investments into operational assets and development projects undergo the Environmental Health and Safety Impact Assessment (EHSIA) during due diligence to identify any environmental (including climate change) risks and opportunities related to the asset/project site and its surroundings. The assessment covers performance metrics such as energy efficiency, as well as transition and physical risks and opportunity considerations. Significant findings from the assessment would be incorporated in the investment paper submitted to CLMT's Board for approval.
- Through the implementation of CLI's Sustainable Building Guidelines (SBG), the aim is to identify and address the risks and opportunities of climate change right from the design stage. The local context of each project is studied in detail, and appropriate measures are taken into consideration with regards to adaptation of climate change. SBG also sets guidelines for buildings to be more energy efficient, e.g. setting green rating targets, specifying minimum equipment efficiency, and requiring the use of onsite renewable energy whenever possible.
- At the operational asset level, the CLI Environment, Health and Safety Management System (EHSMS), which is audited by a third-party accredited certification body to ISO 14001 standard, serves to monitor transition risks relating to climate regulations via EHS legal registers updates and regular stakeholder engagements. Operational issues pertaining to climate change, energy and water are also identified and managed through the EHSMS to strengthen the climate resilience of the portfolio. Furthermore, there is continued requirement for main contractors to be ISO 14001 certified or implement onsite audit and preference is given to vendors with EHS certifications.

- The CLI 2030 Sustainability Master Plan further outlines the targets and pathways for transition to a low-carbon business that is aligned with climate science. Energy use and carbon reduction targets, as well as green certification targets are set for its operational assets. Initiatives are put in place to improve the environmental performance, resilience and durability of its assets through system upgrades, system optimization, effective maintenance and changes to user behaviour. The continued achievement of high green building ratings as well as energy and water efficiency measures put in place to achieve the reduction targets would help to mitigate the impact of changing weather conditions.
- CLI's decarbonisation planned activities are also integrated throughout all stages of a project via CLI's SBGs, from feasibility, design, procurement, construction, operations to redevelopment. CLMT supports low-carbon investments and factors climate-related costs and opportunities into its evaluation of new investments or capital expenditure (CAPEX) through the incorporation of CLI internal carbon price implemented since 2021. For existing assets, CLMT also reviews the CAPEX required annually and has worked out a plan to achieve the targets set under CLI SMP 2030.
- As part of CLMT's value chain engagement and low carbon initiatives, CLMT provides a green fit-out guide to new tenants to encourage them to adopt green practices and associated behaviour. CLMT also targets to have all green certified properties as part of its existing portfolio by 2030 with each property achieving a minimum certification level by a recognised green rating system administered by a national government ministry/agency.

As part of the 2030 Sustainability Master Plan formulation, CLMT generally considers medium term time frames to be until 2030, and long term beyond 2030 in relation to the identification of climate-related risks and opportunities.

CLI and its REITs, including CLMT, commenced its climate scenario analysis in 2022 for its global portfolio to understand how the identified climate-related risks and opportunities could impact future operations. This analysis considers scenarios based on the latest global and scientific developments (scenarios from 1.5°C to 3°C for current to long-term time frames), to draw conclusions on the financially material physical and transition risks and validate the current strategy. CLI and the REITs will then review their mitigation and adaptation plans, and identify opportunities, in alignment with CLI's 2030 Sustainability Master Plan. The Plan was designed to build resilience throughout CLI's operations and futureproof CLI's real estate portfolio to guard against climate change risks and to avoid premature obsolescence and adopt available opportunities.

Scenario analysis on future climate-related risks and opportunities

The climate scenario analysis for CLI's global portfolio (including CLMT) considered the parameters listed below:

			
Physical risk scenarios	NGFS ^a 1.5°C Orderly, 2100	NGFS 2°C Orderly, 2100	NGFS 3°C Hot House World (NDC ^b), 2100 Most severe physical risk impacts & costs at 3°C and in the longer term
Transition risk scenarios	CRREM ^c 1.5°C, 2050 Most severe transition risk impacts & costs at 1.5°C and in the shorter term	NGFS 2°C Orderly, 2100 ^{**}	NGFS 3°C SSP2 ^d Hot House World, 2100
Geographical coverage	All assets* within operating regions.		
* The CRREM^c 2°C, 2050 transition risk scenario was chosen in the beginning of this climate scenario analysis. However, the platform updated its models and this option was removed during CLI's analysis. The NGFS 2°C, 2100 Orderly scenario was then identified to replace the removed CRREM 2°C, 2050 scenario a The Network of Central Banks and Supervisors for Greening the Financial System (NGFS) b Nationally Determined Contributions (NDC) c Carbon Risk Real Estate Monitor (CRREM) d Shared Socioeconomic Pathways (SSP)			

* As of 31 December 2022; Malaysia for CLMT

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The third scenario analysis was performed at the CLI Group level.

The following heatmap on physical risk reflects the quantitative approach based on assessment performed by a third-party platform. The heatmap on transition risks includes the quantitative approach based on assessment performed by a third-party platform, augmented by additional qualitative research undertaken by an external consultant.

The quantitative analysis represents analysis with respect to the asset values of CLI's assets worldwide and their respective exposure to climate related risk change. It is important to note that the risk level is based on the change of the risk in future scenarios – it is assumed that there is currently a certain level of risk exposure for each of the climate-related risks and the risk level reflects the magnitude of change. The colour-coded heatmap was derived based on thresholds of financial exposure, which have been grouped into the five major categories presented in the legend. The risk levels are relative to baseline exposure. These are the specific exposures for CLMT's portfolio.

Risk Type	Primary Risk Driver	Potential Impacts	Risk Level in 3 scenarios ¹			Mitigation Measures
			1.5°C (NGFS, 2100)	2°C (NGFS, 2100)	3°C (NGFS, 2100)	
Physical Risk						
Extreme cold	Cold days and extreme cold could become more common and/or severe	- Increase in heating demand leading to higher electricity costs and potentially higher Scope 1, if fuel oil or natural gas boilers are used				• Ongoing maintenance to ensure that air heating systems and generators are in good working order and appropriate for both the local and changing climate conditions. • Future retrofits and designs to consider welfare of staff, tenants, visitors, and customers in such environments.
Extreme heat	Hot days and extreme heat could become more common and/or severe Increased operational costs with respect	- Increase in cooling demand leading to higher electricity costs				• Ongoing maintenance to ensure that air cooling systems and generators are in good working order and appropriate for both the local and changing climate conditions. • Implement health and safety initiatives to protect people from extreme heat risk, including work restrictions during peak temperature hours, as required.
Fluvial flooding	Damage to assets located in high flood risk zones	- Increase in assets exposed to growing severity of river floods - Increase in operating costs (e.g. repair costs, business interruption)				• Develop flood control features / measures including flood gates and drainage infrastructure where appropriate. Platform level to be checked against flood maps for new design or redevelopment. • Ensure flood emergency response plans are implemented.

Risk Type	Primary Risk Driver	Potential Impacts	Risk Level in 3 scenarios ¹			Mitigation Measures
			1.5°C (NGFS, 2100)	2°C (NGFS, 2100)	3°C (NGFS, 2100)	
Coastal flooding	Properties in coastal areas may be exposed to steady and continuous sea level rise	- Increase in assets exposed to coastal flooding - Increase in capital expenditures to construct flood control infrastructure				• Monitor national-level initiatives to mitigate coastal flooding risk. • Develop flood control features / measures where appropriate. • Ensure flood emergency response plans are implemented.
Tropical Cyclones	Properties may face more frequent and severe tropical cyclone	- Higher chance of damage to specific asset locations that are tropical cyclone-prone - Increase in operating costs (e.g. business interruption)				• Check and ensure structures are sufficient to withstand increased windspeed. • Improvements to roofs and site drainage systems including reinforcement / improvement where appropriate. • Increased operational management, including regular inspections of back-up generation facilities. • Ensure business continuity plans and emergency response plans for severe storms are implemented, including plans for power supply cuts or system failures.
Wildfires	Risk of wildfires could increase in extremely dry conditions, such as drought, and during high winds	- Increase in assets exposed to wildfires - Increase in operating costs (e.g. business interruption)				• Design and monitor landscaping to prevent vegetation encroachment to structures. • Inclusion of fire breaks (e.g., service roads) between outside vegetation and structures. • Distribution of escape plans to staff/occupants. • Ensure business continuity plans and emergency response plans for wildfires are implemented (distribution of escape plans to staff and occupants).

¹ Risk level reflects CLMT's risk level.

Risk level by third party platform



None



Negligible



Moderate



Significant



Severe

SUSTAINABILITY MANAGEMENT

Risk Type	Primary Risk Driver	Potential Impacts	Risk Level in 3 scenarios ¹			Mitigation Measures
			1.5°C (NGFS, 2100)	2°C (NGFS, 2100)	3°C (NGFS, 2100)	
Transition Risk						
Carbon Price Shifts	Carbon emissions priced through taxation or emissions trading schemes	– Increase in operational costs associated with carbon pricing				- At Group level, CLI implemented an internal carbon price to inform decision making for long term decisions before policies are implemented. - At Group level, CLI has a decarbonisation plan/strategy in place to ensure the adoption of strategies to minimize emissions and reduce CLI’s exposure to carbon price shifts.

1 Risk level reflects CLMT's risk level.

From the risk assessment performed by a third-party platform, CLI further explored additional transition risks and opportunities in a qualitative manner as a start. Some of these risks are also seen as 'indirect' climate-related risks to CLI and its operations so evaluating them and keeping them in view is of importance to CLI's climate transition journey. The perceived risk level is based on the market trends, current developments and CLI's experience and expertise in the real estate market. The perceived risk level is seen through three scenarios – a 3°C scenario which is assumed to be a 'business-as-usual' scenario where there is not sufficient action taken by economies and businesses to transition to a lower carbon economy and a 1.5 and 2°C scenarios, where there are differing levels of potential action taken to tackle some of the risks of transitioning to a lower carbon economy. On the opportunity side, these were only reviewed as potential actions which CLI and CLMT can reference to inform our strategy and they have not been evaluated using the risk level heatmapping criteria or reviewed by scenario (these opportunities would be relevant in all scenarios). The following risks and opportunities are explored on a global portfolio level. The legend for risk levels for the following risks and opportunities is built upon the same financial exposure thresholds as the risk assessment performed by a third-party platform, but based on both qualitative as well and quantitative criteria that correspond to each risk level. CLI will continue to monitor these short term and medium term risks.

Risk level by third party platform  None  Negligible  Moderate  Significant  Severe

Risk Type	Primary Risk Driver	Potential Impacts	Risk Level in 3 scenarios (2030)			Mitigation Measures
			1.5°C (NGFS, 2100)	2°C (NGFS, 2100)	3°C (NGFS, 2100)	
Transition Risk						
Regulator expectation changes	Regulators with more stringent polices and regulations around climate change for the buildings / real estate sector	- More comprehensive disclosures expected on climate change actions and metrics				- CLI’s group level carbon emissions targets are validated by the Science Based Targets Initiative (SBTi) - At Group level, CLI’s carbon emissions has been externally audited since FY 2010. - CLMT’s climate-related disclosures are aligned to international standards, and CLI makes on-going efforts to follow the latest developments around climate and emissions reporting standards. CLMT will encompass such developments into its disclosure, to stay aligned with best practice disclosure standards on climate risk (e.g. exploring ISSB reporting recommendations and incorporating them into its disclosure).
Customer expectation changes	Consumer preferences could shift towards greener buildings	- Increased number of tenants seeking for assets with high-performing green credentials				- At Group level, CLI has green building certification and green lease target for its portfolio as part of the CLI 2030 SMP. (Please refer to page vii of CLI GSR 2022.) - CLMT does a continuous assessment of the green building certification for its properties and will implement necessary asset enhancements to align with relevant/latest certification levels. - At Group level, CLI will extend green lease options in more markets to CLI tenants, with green building requirements and expectations.

SUSTAINABILITY MANAGEMENT

Risk Type	Primary Risk Driver	Potential Impacts	Risk Level in 3 scenarios (2030)			Mitigation Measures
			1.5°C (NGFS, 2100)	2°C (NGFS, 2100)	3°C (NGFS, 2100)	
Electricity price shifts	Growing adoption of renewable energy could drive changes in electricity costs	- Increase in capital investment in renewable energy - Fluctuations in operating costs from electricity price variability				• At Group level, CLI has a renewable energy target, and a carbon emissions target which is validated by Science Based Targets Initiative (SBTi), for its portfolio. • CLI has embarked on group procurement of green power purchase agreements for key markets. • At Group level, CLI continues to implement energy efficiency improvement initiatives at its properties, where feasible.

Risk level by third party platform  None  Negligible  Moderate  Significant  Severe

Opportunity	Primary Driver	Potential impacts	Approach
Use of new technologies including PropTech (property technology) to manage emissions	Investment in technologies for improving energy and water	Reduced exposure to regulations, carbon price, electricity price and water price increases Reduction in operating costs	At Group level, CLI continues to pilot new technologies in existing buildings and deploy sustainability innovations in its global portfolio via the CapitaLand Innovation Fund.
Increased demand for green products and services	Shift in consumer preferences and development of low emissions goods and services	Increase in revenue by tapping on the green rental premium created by increased demand for sustainable buildings Increase in asset value for low carbon buildings	Ongoing discussions with tenants to identify opportunities to support their carbon reduction commitments. Continuous assessment of the green building certification for CLMT's properties and adopting the necessary asset enhancements to align with the relevant/latest certification levels.

As an ongoing process, CLI and CLMT will review and update, if appropriate, the processes associated with risk management in order to account for the material environmental and climate-related risks identified.

Risk Management

CLMT conducts an annual Trust-wide Risk and Control Self-Assessment (RCSA) exercise that requires business units and corporate functions to identify, assess and document material risk which includes ESG relevant risks, along with their key controls and mitigating measures. Material risks and their associated controls are consolidated and reviewed at the REIT level before they are presented to the Manager's Audit Committee and the Manager's Board. This exercise is based on CLI's annual Group-wide RCSA exercise, review of the Risk Appetite Statement and Key Risk Indicator on Climate Change and Environmental Risk. Such climate-related risks and opportunities are identified and mitigated through CapitaLand's ERM framework, and its externally certified ISO 14001 Environmental Management System (EMS).

CLMT's risk management process to address its key risks and uncertainties, including climate change, is discussed further in the Annual Report, Enterprise Risk Management on pages 104 to 108 of CLMT AR 2023.

Climate-related risks and opportunities are identified and mitigated through CLI's ERM Framework. CLMT prioritises material ESG issues based on the likelihood and potential impact of the issues affecting business continuity and development. Notably, CLMT is cognisant of the risk posed by existing and emerging regulatory requirements with relation to climate change as it is outlined in CapitaLand's ERM Framework as a transition climate change risk. Some of these risks include:

- Regulatory or compliance risk, prompted by certain regulations in the countries of operation. These include but are not limited to the Environmental Risk Management Guidelines introduced by the Monetary Authority of Singapore (MAS) in 2020 which requires financial institutions and asset managers to place greater emphasis on both physical and transition environmental risks; the Singapore Stock Exchange mandate introduced in December 2021 that all issuers must provide climate reporting that is aligned to the recommendations of the TCFD on a 'comply or explain' basis in their sustainability reports from the financial year commencing 2024 for the materials and buildings industry. In 2023, ACRA and SGX also launched public consultation on the recommendations by the Sustainability Reporting Advisory Committee (SRAC). The recommendations aim to further advance climate reporting in Singapore. If these recommendations are adopted, there will be mandatory climate reporting for all listed issues from FY 2023 and for large non-listed from FY 2027. The prescribed reporting standards as per this consultation align with the standards by the International Sustainability Standards Board (ISSB), which aims to form a comprehensive global baseline of sustainability disclosures. Even though these regulations would not cover the activities of CLMT, the REIT is referring to them as best market practice. With this, CLMT will be in a better position to work towards adopting stretch recommendations that are fully aligned with TCFD disclosures by end 2025 that are expected of all public-listed companies regulated by Bursa Malaysia.
- Market risks, including shifts in carbon and electricity prices, or customer expectations. These developments are prompted by various country-specific or global platforms, including COP28 in November and December 2023, where the key takeaway was that progress on climate action was too slow across all areas such as reduction of greenhouse gas emissions and strengthening resilience to changing climate. The main decision was to accelerate action across all areas by 2030, including to speed up the transition away from fossil fuels to renewables such as wind and solar power in their next round of climate commitments it was recognised that urgent action is needed to combat global warming, and this can only be done through global action from governments and businesses. Other commitments, such as Malaysia's aim to achieve carbon neutrality by 2050 at the earliest, are also monitored by CLMT as they affect the day-to-day operations and practices of the REIT.

Physical risks are observed through the regular monitoring of incidents across the portfolio, for example cases of floods. In 2020, CLI had conducted a global portfolio baseline study to better understand its portfolio's physical climate risk in relation to floods. This included insights into whether properties were located in low lying plains, encountered flooding in previous years, had equipment located in the basement, and had exposure to other flood risks. Globally, most of CLI's properties already have flood control features/measures in place, such as flood barriers, sensors, water level pumps and flood emergency response plans.

An EHSIA is carried out during the feasibility study of CLMT's investment in all new operational assets as part of its due diligence. The assessment includes transition and physical risk and opportunity considerations, as well as the application of an internal carbon price. This assessment would guide CLMT to consider EHS risks and opportunities at the pre-investment stage and identify mitigation measures earlier. The significant findings of the EHSIA and their cost implications are incorporated in the investment paper submitted to CMRM Board for approval, to provide a more holistic perspective of the investment and ensure necessary CAPEX has been set aside for the investment to meet CLI 2030 SMP targets. Through CLI's ERM Framework and the EHSIA, certain physical risks are prioritised e.g. floods are highlighted in the due diligence reports and plans to integrate climate change resilience and adaptation considerations into the design, development and management of its properties. To further strengthen climate resilience to flood risk, CLMT, through CLI regularly engages its operation teams to ensure flood emergency response plans are implemented across its portfolio.

SUSTAINABILITY MANAGEMENT

Metrics & Targets

At the Group level, CLI has tracked and reduced the carbon emissions of its managed and owned operational properties, including those of CLMT, via its cloud-based Environmental Tracking System. All related metrics have been regularly disclosed in CLI's annual Global Sustainability Report. Since 2010, CapitaLand has been disclosing Scope 1, 2 and 3 GHG emissions of its global portfolio and the data has been externally assured.

Furthermore, in 2022, the Group had their carbon emissions reduction targets approved by the Science Based Targets initiative (SBTi) for a 1.5°C scenario. This target is in line with the goals of the Paris Agreement to keep global temperature rise to 1.5°C in this century. CLI has also committed to Net Zero by 2050 for its Scope 1 and 2 emissions, which includes the Trust's assets. Please refer to the CapitaLand Investment Global Sustainability Report 2022, p. 16-18 for more information.

The Scope 1 and 2 emissions for FY 2023, including the carbon intensity has been presented in the ESG data table on page 145. To calculate its carbon emissions, CLMT takes guidance from the operational control approach as defined by the GHG Protocol Corporate Standard, in line with the Group. For more information, please refer to page 121. A focus area on CLI Group level is tracking and disclosure of material Scope 3 categories in the next few years, especially supply chain emissions. For now a new Scope 3 category addition for CLMT is tenants' energy consumption. Furthermore, CLI is also reviewing a carbon offsets strategy at Group level. The planned use of offsets would be aligned to the current SBTi requirements, i.e. offsets will only be used in the last-mile for emissions reductions beyond CLI's science-based reduction targets and decarbonisation strategies (i.e. residual emissions) to reach net zero; and will be sourced from high quality reputable carbon credit projects that undergo the necessary verification and certification processes, aligned to international standards. In this regard, CLI is aiming to ensure the credibility and integrity of the offsets that its plans to procure. Aligned with CLI, CLMT has set sustainability and climate-related performance metrics and targets that are linked to the remuneration policies for members of senior management, such as the Balanced Scorecard (BSC) framework for FY 2023 which had included both quantitative and qualitative targets relating to climate change. Since FY 2021, carbon emissions intensity reduction was introduced as a performance measure in CLI's Performance Share Plan Awards, which was granted to members of senior management.

CLI has implemented a shadow internal carbon price since 2021 to account for climate-related risks and opportunities for its new investments.

CLI will continue to explore new metrics to measure climate-related risks and opportunities which CLMT will assess and adopt where relevant for its portfolio.

KEY ESG DATA SUMMARY

The ESG data summary list is aligned with Bursa Malaysia Enhanced Sustainability Enhanced Framework recommendations on a common set of prescribed sustainability matters and indicators that are deemed material for all listed issuers.

ENVIRONMENTAL DATA

Metric	Unit	2019	2020	2021	2022	2023
Greenhouse Gas Emissionsⁱ						
Scope 1	kg CO ₂ e	9,938	0	0	1,337	9,472
Scope 2	kg CO ₂ e	40,620,181	34,498,116	33,012,462	37,635,491	43,204,403
Scope 3ⁱⁱ						
comprising the following:						
- Business travel	kg CO ₂ e	-	-	-	-	-
- Tenants' energy consumption	kg CO ₂ e	29,662,810	23,840,511	20,801,646	23,704,991	36,131,304
- Third party-managed properties' energy consumption	kg CO ₂ e	-	-	-	-	-
Emission intensity, Scope 1 and Scope 2	kgCO ₂ e/m ² /month	8.98	7.62	7.30	8.32	7.90
Energy Consumption (landlord-controlled areas for Malaysia operating properties - Scope 1 & 2)						
Total energy consumption	kWh	62,273,406	52,119,831	49,875,301	56,608,524	69,665,967
	Megajoules	224,184,262	187,631,392	179,551,084	203,790,686	250,797,481
Direct fuel combustion	kWh	39,331	0	0	5,289	37,598
Natural gas	% of Total Energy	0	0	0	0	0
Diesel fuel	% of Total Energy	0.06	0	0	0.01	0.05
Other fuels (petrol, LPG)	% of Total Energy	0	0	0	0	0
Purchased energy	kWh	62,234,075	52,119,831	49,875,301	56,603,234	69,628,369
Electricity	% of Total Energy	100	100	100	100	100
Heat/steam/chilled water	% of Total Energy	0	0	0	0	0
Proportion of electricity from renewables	% of Total Energy	0	0	0	0	0
Energy consumption intensity	kWh/m ² /month	13.75	11.52	11.02	12.51	12.73
Water Consumption (landlord-controlled areas for Malaysia operating properties)						
Total water consumption	m ³	723,611	551,922	428,866	552,667	780,445
Municipal water supply	% of Total Water	97.89	97.97	99.83	99.89	98.18
Harvested rainwater	% of Total Water	0.03	0	0.17	0.11	0.21
Groundwater	% of Total Water	2.08	0	0	0	0
Recycled water	m ³	12,904	11,207	0	0	12,553
Water consumption intensity	m ³ /m ² /month	0.160	0.122	0.095	0.122	0.143
Waste and Recycling (landlord-controlled areas for Malaysia operating properties)						
Total waste generated	kg	8,609,014	3,758,416	3,250,784	5,008,873	6,548,350
Waste directed to disposal	kg	7,802,310	3,668,576	3,175,126	4,901,971	6,342,546
Waste diverted from disposal by recycling	kg	806,704	89,840	75,658	106,902	205,804
Recycling rate	%	9.37	2.39	2.33	2.13	3.14
Waste intensity	kg/m ²	1.90	0.83	0.72	1.11	1.20
i Scope 1 and 2 is computed from direct fuel combustion and purchased energy. Scope 3 is based on currently available data and deemed to be material and/or optical Scope 3 categories. CLI and CLMT aims to conduct a comprehensive review of its Scope 3 emissions to better track and disclose its material Scope 3 emissions.						
ii This is based on currently available data and deemed to be material and/or optical Scope 3 categories. CLI and CLMT aim to conduct a comprehensive review of its Scope 3 emissions to better track and disclose its material Scope 3 emissions.						

All data reported is as at 31 December of the Financial Year unless stated otherwise.

SUSTAINABILITY MANAGEMENT

SOCIAL DATA

Metric	Unit	2019	2020	2021	2022	2023
Diversity (Gender & Age)						
Total number of staff	Number	273	258	243	244	253
Male	% (number)	53% (144)	53% (137)	53% (129)	52% (128)	51% (130)
Female	% (number)	47% (129)	47% (121)	47% (114)	48% (116)	49% (123)
<30 years old	% (number)	19% (53)	19% (49)	16% (39)	15% (37)	14% (35)
30-50 years old	% (number)	65% (176)	65% (168)	69% (168)	70% (170)	69% (175)
>50 years old	% (number)	16% (44)	16% (41)	15% (36)	15% (37)	17% (43)
Ethnic diversity - Malay	%	47%	45%	46%	47%	43%
Ethnic diversity - Chinese	%	33%	36%	35%	36%	40%
Ethnic diversity - Indian	%	18%	17%	17%	15%	15%
Ethnic diversity - Others	%	2%	2%	2%	2%	2%
Non-executive	Number	158	143	135	128	117
Male	% (number)	66% (105)	66% (95)	69% (93)	70% (89)	71% (83)
Female	% (number)	34% (53)	34% (48)	31% (42)	30% (39)	29% (34)
<30 years old	% (number)	18% (28)	17% (24)	13% (18)	12% (15)	8% (10)
30-50 years old	% (number)	63% (99)	63% (90)	66% (89)	65% (84)	67% (78)
>50 years old	% (number)	19% (31)	20% (29)	21% (28)	23% (29)	25% (29)
Executive	Number	66	68	66	71	83
Male	% (number)	35% (23)	34% (23)	30% (20)	28% (20)	29% (24)
Female	% (number)	65% (43)	66% (45)	70% (46)	72% (51)	71% (59)
<30 years old	% (number)	38% (25)	37% (25)	32% (21)	28% (20)	30% (25)
30-50 years old	% (number)	56% (37)	57% (39)	64% (42)	68% (48)	65% (54)
>50 years old	% (number)	6% (4)	6% (4)	4% (3)	4% (3)	5% (4)
Managerial	Number	49	47	42	45	53
Male	% (number)	33% (16)	40% (19)	38% (16)	42% (19)	43% (23)
Female	% (number)	67% (33)	60% (28)	62% (26)	58% (26)	57% (30)
<30 years old	% (number)	0% (0)	0% (0)	0% (0)	4% (2)	0% (0)
30-50 years old	% (number)	82% (40)	83% (39)	88% (37)	85% (38)	81% (43)
>50 years old	% (number)	18% (9)	17% (8)	12% (5)	11% (5)	19% (10)
New Hires (Gender & Age)						
Male	% (number)	36% (14)	53% (19)	44% (14)	41% (16)	35% (7)
Female	% (number)	64% (25)	47% (17)	56% (18)	59% (23)	65% (13)
<30 years old	% (number)	41% (16)	39% (14)	22% (7)	36% (14)	25% (5)
30-50 years old	% (number)	54% (21)	56% (20)	72% (23)	64% (25)	65% (13)
>50 years old	% (number)	5% (2)	5% (2)	6% (2)	0% (0)	10% (2)
Voluntary Turnover Rate (Gender & Age)						
Male	% (number)	31% (15)	56% (27)	47% (21)	44% (17)	41% (14)
Female	% (number)	69% (33)	44% (21)	53% (24)	56% (22)	59% (20)
<30 years old	% (number)	33% (16)	21% (10)	24% (11)	33% (13)	17% (6)
30-50 years old	% (number)	61% (29)	56% (27)	60% (27)	59% (23)	65% (22)
>50 years old	% (number)	6% (3)	23% (11)	16% (7)	8% (3)	18% (6)
Non-executive	% (number)	38% (18)	50% (24)	35% (16)	36% (14)	44% (15)
Executive	% (number)	42% (20)	25% (12)	36% (16)	49% (19)	41% (14)
Managerial	% (number)	21% (10)	25% (12)	29% (13)	15% (6)	15% (5)
Total turnover	%	17.2	18.3	18.2	16.0	13.4
Employment						
Employees	Number	273	258	243	244	253
Workers						
Term contract	% (number)	2% (6)	2% (6)	2% (4)	3% (7)	4% (9)
Interns/Temporary staff	% (number)	1% (3)	0	0	1% (2)	1% (2)

All data reported is as at 31 December of the Financial Year unless stated otherwise.

SOCIAL DATA (CONT'D)

Metric	Unit	2019	2020	2021	2022	2023
Development & Training						
Total hours of training	Hours	8,841.2	3,210.1	3,785.4	6,311.2	9,926.6
Total hours of training by employee category						
Non-executive	Hours	3,798.7	1,182.4	1,032.6	1,476.5	2,704.1
Executive	Hours	3,028.2	1,145.5	1,802.1	2,442.8	4,280.9
Managerial	Hours	2,014.3	882.2	950.7	2,392	2,941.7
Average training hours per employee	Hours/employee	32.4	12.4	15.6	25.9	39.2
Average training hours per employee by gender						
Male	Hours/employee	28.5	10.5	10.4	24.2	35.2
Female	Hours/employee	36.7	14.7	21.4	27.7	43.5
Average training hours per employee by employee category						
Non-executive	Hours/employee	24	8.3	7	18.7	23.1
Executive	Hours/employee	45.9	16.8	27.3	34.4	51.6
Managerial	Hours/employee	41.1	18.8	24.6	32.8	55.5
Human Rights						
Number of substantiated complaints concerning human rights violations	Number of cases	0	0	0	0	0
Occupational Health & Safety						
Employees						
Fatalities	Number of cases	0	0	0	0	0
High-consequence injuries (Injuries resulting in permanent disability)	Number of cases	0	0	0	0	0
Recordable injuries	Number of cases	1	1	2	1	0
Recordable work-related ill health cases (Occupational disease)	Number of cases	0	0	0	0	0
Injury rate	per million manhours worked	1.5	1.6	2.9	1.6	0
Lost day rate	per million manhours worked	32.2	60.5	89.2	26.2	0
Number of employees trained on health and safety standards	Number	157	153	179	56	205
Contractors						
Fatalities	Number of cases	0	0	0	0	0
High-consequence injuries (Injuries resulting in permanent disability)	Number of cases	0	0	0	0	0
Injury rate	per million manhours worked	0	0	0	0	0
Lost day rate	per million manhours worked	0	0	0	0	0

All data reported is as at 31 December of the Financial Year unless stated otherwise.

SUSTAINABILITY MANAGEMENT

SOCIAL DATA (CONT'D)

Metric	Unit	2019	2020	2021	2022	2023
Supply Chain (Environmental)/ Supplier Environmental Assessment						
Proportion of spending on local suppliers	%	97.2	96.1	96.6	96.4	97.1
Percentage of new suppliers that were screened using environmental criteria	%	-	-	-	-	-
Number of suppliers assessed for environmental impacts	Number	-	-	-	-	-
Percentage of the portfolio certified to a recognised building management standard	%	100	100	100	100	100
Social Community						
Total amount invested in the community	RM	250,000	212,000	200,000	214,000	200,000
Total number of beneficiaries of the investment in communities	Number	350	4,117	658	1,213	2,344
Employees participated in community impact programmes	Number	140	0	73	87	139
Total hours spent on community impact programmes	Hours	560	0	461	587	1,201

GOVERNANCE DATA

Metric	Unit	2019	2020	2021	2022	2023
Diversity (Gender & Age)						
Board of Directors	Number	8	8	8	8	9
Male	% (number)	87.5% (7)	87.5% (7)	87.5% (7)	87.5% (7)	77.8% (7)
Female	% (number)	12.5% (1)	12.5% (1)	12.5% (1)	12.5% (1)	22.2% (2)
<30 years old	% (number)	0	0	0	0	0
30-50 years old	% (number)	25% (2)	12.5% (1)	12.5% (1)	12.5% (1)	22.2% (2)
>50 years old	% (number)	75% (6)	87.5% (7)	87.5% (7)	87.5% (7)	77.8% (7)
Board composition						
Board independence	%	62.5	62.5	62.5	62.5	66.7
Women on the board	%	12.5	12.5	12.5	12.5	22.2
Management Diversity						
Women in the management team	%	67	60	62	58	52

All data reported is as at 31 December of the Financial Year unless stated otherwise.

GOVERNANCE DATA (CONT'D)

Metric	Unit	2019	2020	2021	2022	2023
Ethical Behaviour						
Anti-corruption disclosures	Discussion and number of standards	AR 2019 • Corporate Governance (Pg 34-36) • Enterprise Risk Management (Pg 68-69)	AR 2020 • Corporate Governance (Pg 90-91) • Enterprise Risk Management (Pg 120)	AR 2021 • Corporate Governance (Pg 77-78) • Statement on Risk Management and Internal Control (Pg 104-109)	AR 2022 • Corporate Governance (Pg 72-76) • Statement on Risk Management (Pg 100-102)	AR 2023 • Corporate Governance (Pg 77-78) • Statement on Risk Management (Pg 103)
Anti-corruption training for employees						
Non-executive	% (number)	58% (158)	55% (143)	55% (135)	53% (128)	46% (117)
Executive	% (number)	24% (66)	27% (68)	27% (66)	29% (71)	33% (83)
Managerial	% (number)	18% (49)	18% (47)	18% (42)	18% (45)	21% (53)
Percentage of operations assessed for corruption-related risks	%	100	100	100	100	100
Confirmed incidents of corruption and action taken	Number of cases and action taken	0	0	0	0	0
Number of substantiated complaints concerning breaches of customer privacy and losses of customer data	Number of cases	0	0	0	0	0

All data reported is as at 31 December of the Financial Year unless stated otherwise.

SUSTAINABILITY MANAGEMENT

Indicator	Measurement Unit	2023
Bursa (Anti-corruption)		
Bursa C1(a) Percentage of employees who have received training on anti-corruption by employee category		
Management	Percentage	21.00
Executive	Percentage	33.00
Non-executive/Technical Staff	Percentage	46.00
General Workers	Percentage	0.00
Bursa C1(b) Percentage of operations assessed for corruption-related risks	Percentage	100.00
Bursa C1(c) Confirmed incidents of corruption and action taken	Number	0
Bursa (Community/Society)		
Bursa C2(a) Total amount invested in the community where the target beneficiaries are external to the listed issuer	MYR	200,000.00
Bursa C2(b) Total number of beneficiaries of the investment in communities	Number	2,344
Bursa (Diversity)		
Bursa C3(a) Percentage of employees by gender and age group, for each employee category		
Age Group by Employee Category		
Management Under 30	Percentage	0.00
Management Between 30-50	Percentage	81.00
Management Above 50	Percentage	19.00
Executive Under 30	Percentage	30.00
Executive Between 30-50	Percentage	65.00
Executive Above 50	Percentage	5.00
Non-executive/Technical Staff Under 30	Percentage	8.00
Non-executive/Technical Staff Between 30-50	Percentage	67.00
Non-executive/Technical Staff Above 50	Percentage	25.00
General Workers Under 30	Percentage	0.00
General Workers Between 30-50	Percentage	0.00
General Workers Above 50	Percentage	0.00
Gender Group by Employee Category		
Management Male	Percentage	43.00
Management Female	Percentage	57.00
Executive Male	Percentage	29.00
Executive Female	Percentage	71.00
Non-executive/Technical Staff Male	Percentage	71.00
Non-executive/Technical Staff Female	Percentage	29.00
General Workers Male	Percentage	0.00
General Workers Female	Percentage	0.00

Indicator	Measurement Unit	2023
Bursa (Diversity) CONT'D		
Bursa C3(b) Percentage of directors by gender and age group		
Male	Percentage	77.80
Female	Percentage	22.20
Under 30	Percentage	0.00
Between 30-50	Percentage	22.20
Above 50	Percentage	77.80
Bursa (Energy management)		
Bursa C4(a) Total energy consumption	Megawatt	250,797,481.00
Bursa (Health and safety)		
Bursa C5(a) Number of work-related fatalities	Number	0
Bursa C5(b) Lost time incident rate ("LTIR")	Rate	0.00
Bursa C5(c) Number of employees trained on health and safety standards	Number	205
Bursa (Labour practices and standards)		
Bursa C6(a) Total hours of training by employee category		
Management	Hours	2,942
Executive	Hours	4,281
Non-executive/Technical Staff	Hours	2,704
General Workers	Hours	0
Bursa C6(b) Percentage of employees that are contractors or temporary staff	Percentage	5.00
Bursa C6(c) Total number of employee turnover by employee category		
Management	Number	5
Executive	Number	14
Non-executive/Technical Staff	Number	15
General Workers	Number	0
Bursa C6(d) Number of substantiated complaints concerning human rights violations	Number	0
Bursa (Supply chain management)		
Bursa C7(a) Proportion of spending on local suppliers	Percentage	97.10
Bursa (Data privacy and security)		
Bursa C8(a) Number of substantiated complaints concerning breaches of customer privacy and losses of customer data	Number	0
Bursa (Water)		
Bursa C9(a) Total volume of water used	Megalitres	780.455000

GRI CONTENT INDEX

CLMT has reported in accordance with the GRI Standards for the period 1 January 2023 to 31 December 2023

Disclosure		References	Page Reference and reasons for omissions, if applicable.
GRI 1: Foundation 2021		CLMT Sustainability Statement 2023	
GRI 2: General Disclosures 2021			
THE ORGANISATION AND ITS REPORTING PRACTICES			
2-1	Organisational details	Corporate Profile Corporate Information (Inside Back Cover)	3
2-2	Entities included in the organisation’s sustainability reporting	Reporting Scope and Period	109
2-3	Reporting period, frequency and contact point	Reporting Scope and Period	109
2-4	Restatements of information	Reporting Scope and Period 2023 Value Created Key ESG Data Summary	109 116-117 145-149
2-5	External assurance	Independent Assurance Independent Limited Assurance Report	109-110 240-242
ACTIVITIES AND WORKERS			
2-6	Activities, value chain and other business relationships	Vision/Mission Social and Relationship Capital	3 131-134
2-7	Employees	Human Capital	124-130
2-8	Workers who are not employees	Occupational Health and Safety	125
GOVERNANCE			
2-9	Governance structure and composition	Organisation Structure Corporate Governance Governance Framework	21 70-96 71
2-10	Nomination and selection of the highest governance body	Organisation Structure Corporate Governance Governance Framework	21 70-96 71
2-11	Chair of the highest governance body	Our Board of Directors	22-27
2-12	Role of the highest governance body in overseeing the management of impacts	Corporate Governance CLMT’s Sustainability Management Structure	70-96 113
2-13	Delegation of responsibility for managing impacts	Sustainability Approach	110-114
2-14	Role of the highest governance body in sustainability reporting	Corporate Governance Governance Framework	70-96 71
2-15	Conflicts of interest	Corporate Governance	70-96
2-16	Communication of critical concerns	Corporate Governance	70-96
2-17	Collective knowledge of the highest governance body	Sustainability Approach	110-114
2-18	Evaluation of the performance of the highest governance body	Corporate Governance	70-96
2-19	Remuneration policies	Corporate Governance	70-96
2-20	Process to determine remuneration	Corporate Governance	70-96
2-21	Annual total compensation ratio	Not disclosing due to confidentiality constraints	

Disclosure		References	Page Reference and reasons for omissions, if applicable.
GRI 2: General Disclosures 2021			
STRATEGY, POLICIES AND PRACTICES			
2-22	Statement on sustainable development strategy	Sustainability Approach	110-114
2-23	Policy commitments	Sustainability Approach Environment and Manufactured Capital Social and Relationship Capital Human Capital Governance Framework	110-114 118-124 131-134 124-130 71
2-24	Embedding policy commitments	Sustainability Approach Environment and Manufactured Capital Social and Relationship Capital Human Capital Governance Framework	110-114 118-124 131-134 124-130 71
2-25	Processes to remediate negative impacts	Corporate Governance Social and Relationship Capital	70-96 131-134
2-27	Compliance with laws and regulations	Corporate Governance	70-96
2-28	Membership associations	Social and Relationship Capital	131-134
STAKEHOLDER ENGAGEMENT			
2-29	Approach to stakeholder engagement	Social and Relationship Capital	131-134
2-30	Collective bargaining agreements	Human Capital	124-130
Material Topics			
GRI 3: Material Topics 2021			
3-1	Process to determine material topics	Materiality Social and Relationship Capital	114-115 131-134
3-2	List of material topics	Materiality	114-115
3-3	Management of material topics	Materiality	114-115
GRI 201: Economic Performance 2016			
201-1	Direct economic value generated and distributed	Financial Highlights Financial Review	8-9 61-62
201-2	Financial implications and other risks and opportunities due to climate change	2023 Value Created TCFD	116-117 135-144
GRI 202: Market Presence 2016			
202-1	Proportion of senior management hired from the local community	Human Capital	124-130
GRI 203: Indirect Economic Impacts 2016			
203-1	Infrastructure investments and services supported	Environment and Manufactured Capital	118-124
GRI 204: Procurement Practices 2016			
204-1	Proportion of spending on local suppliers	Social and Relationship Capital	131-134

GRI CONTENT INDEX

CLMT has reported in accordance with the GRI Standards for the period 1 January 2023 to 31 December 2023

Disclosure		References	Page Reference and reasons for omissions, if applicable.
Material Topics			
GRI 205: Anti-corruption 2016			
205-1	Operations assessed for risks related to corruption	Enterprise Risk Management Corporate Governance	104-108 70-96
205-2	Communication and training about anti-corruption policies and procedures	Corporate Governance 2023 Value Created	70-96 116-117
205-3	Confirmed incidents of corruption and actions taken	Corporate Governance	70-96
GRI 302: Energy 2016			
302-1	Energy consumption within the organisation	Environment and Manufactured Capital Key ESG Data Summary	118-124 145
302-2	Energy consumption outside of the organisation		
302-3	Energy intensity		
302-4	Reduction of energy consumption		
302-5	Reductions in energy requirements of products and services		
GRI 303: Water and Effluents 2018			
303-1	Interactions with water as a shared resource	Environment and Manufactured Capital Key ESG Data Summary	118-124 145
303-2	Management of water discharge related impacts		
303-3	Water withdrawal		
303-4	Water discharge		
303-5	Water consumption		
GRI 304: Biodiversity 2016			
304-1	Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas	None during the reporting period. Environment and Manufactured Capital	118-124
304-2	Significant impacts of activities, products and services on biodiversity		
304-3	IUCN Red List species and national conservation list species with habitats in areas affected by operations		
GRI 305: Emissions 2016			
305-1	Direct (Scope 1) GHG emissions	Environment and Manufactured Capital Key ESG Data Summary	118-124 145
305-2	Energy indirect (Scope 2) GHG emissions		
305-3	Other indirect (Scope 3) GHG emissions		
305-4	GHG emissions intensity		
305-5	Reduction of GHG emissions		

Disclosure		References	Page Reference and reasons for omissions, if applicable.
Material Topics			
GRI 306: Waste 2020			
306-1	Waste generation and significant waste-related impacts	Environment and Manufactured Capital Key ESG Data Summary	118-124 145
306-2	Management of significant waste-related impacts		
306-3	Waste generated		
306-4	Waste diverted from disposal		
306-5	Waste directed to disposal		
GRI 308: Supplier Environmental Assessment 2016			
308-1	New suppliers that were screened using environmental criteria	Social and Relationship Capital	131-134
GRI 401: Employment 2016			
401-1	New employee hires and employee turnover	Human Capital Key ESG Data Summary	124-130 146
401-3	Parental leave	Human Capital	124-130
GRI 403: Occupational Health and Safety 2018			
403-1	Occupational health and safety management system	Occupational Health and Safety	125
403-2	Hazard identification, risk assessment, and incident investigation	Occupational Health and Safety	125
403-3	Occupational health services	Occupational Health and Safety	125
403-4	Worker participation, consultation, and communication on occupational health and safety	Occupational Health and Safety	125
403-5	Worker training on occupational health and safety	Occupational Health and Safety	125
403-6	Promotion of worker health	Human Capital	124-130
403-7	Prevention and mitigation of occupational health and safety impacts directly linked by business relationships	Human Capital Occupational Health and Safety	124-130 125
403-8	Workers covered by an occupational health and safety management system	Human Capital Occupational Health and Safety	124-130 125
403-9	Work-related injuries	Human Capital Key ESG Data Summary	124-130 147
GRI 404: Training and Education 2016			
404-1	Average hours of training per year per employee	Human Capital Key ESG Data Summary	124-130 147, 149
404-2	Programs for upgrading employee skills and transition assistance programs	Human Capital	124-130
404-3	Percentage of employees receiving regular performance and career development reviews	Human Capital	124-130

GRI CONTENT INDEX

CLMT has reported in accordance with the GRI Standards for the period 1 January 2023 to 31 December 2023

Disclosure		References	Reference and reasons for omissions, if applicable.
Material Topics			
GRI 405: Diversity and Equal Opportunity 2016			
405-1	Diversity of governance bodies and employees	Human Capital	124-130
GRI 406: Non-discrimination 2016			
406-1	Incidents of discrimination and corrective actions taken	Human Capital	124-130
GRI 408: Child Labour 2016			
408-1	Operations and suppliers at significant risk for incidents of child labour	Social and Relationship Capital	131-134
GRI 409: Forced Or Compulsory Labour 2016			
409-1	Operations and suppliers at significant risk for incidents of forced or compulsory labour	Social and Relationship Capital	131-134
GRI 413: Local Communities			
413-1	Operations with local community engagement, impact assessments, and development programs	Environment and Manufactured Capital Social and Relationship Capital	118-124 131-134
GRI 416: Customer Health and Safety			
416-1	Assessment of the health and safety impacts of product and service categories	Environment and Manufactured Capital Occupational Health and Safety	118-124 125
416-2	Incidents of non-compliance concerning the health and safety impacts of products and services	Occupational Health and Safety	125
GRI 417: Marketing and Labeling 2016			
417-3	Incidents of non-compliance concerning marketing communications	No instances of non-compliance concerning marketing communications.	
GRI 418: Customer Privacy 2016			
418-1	Substantiated complaints concerning breaches of customer privacy and losses of customer data	No instances of concerning customer privacy and losses of customer data.	

INDEPENDENT MARKET OVERVIEW



1.0 GENERAL MARKET OUTLOOK

Macroeconomic & Demographic Overview

The low pace of growth has moderated on a year-on-year (y-o-y) basis for 2023, primarily influenced by low base year effect and a deceleration in merchandise exports. Nevertheless, the ongoing reopening of international borders in the Asia-Pacific region, particularly in mainland China, is poised to contribute to the gradual recovery of the international tourism sector—a pivotal component of the Malaysian economy before the pandemic. This, in turn, is expected to alleviate the impact of sluggish growth in merchandise exports. Despite these challenges, domestic demand has demonstrated resilience in the first half of 2023, buoyed by improvements in labour market conditions. Furthermore, the gradual easing of restrictions on the entry of migrant labour supports industry sectors reliant on foreign workers.

The Malaysian economic growth for 2023 showed an expansion of 3.3% in the third quarter of 2023 compared to 2.9% in the second quarter of 2023. The expansion was primarily propelled by resilient domestic demand. Continuous improvements in employment and wages supported the rise of household spending. Business investment activity was strengthened by the advancement of multi-year projects and capacity expansion initiatives by businesses. Malaysia's position as a global electronic hub is focused on attracting investments from multinational electronic companies to undertake local projects that will help generate the local economy. For instance, Intel is investing USD7 billion (approximately RM30 billion) in a new semiconductors packaging plant in Penang, scheduled for completion by 2024, creating a substantial number of new jobs in Malaysia. Infineon Technologies is likewise in the process of constructing a new state-of-the-art wafer fab module in Kulim, involving an investment of approximately RM8 billion. This new module, expected to be completed in 2024, will significantly augment the manufacturing capacity of power semiconductors. Despite enduring sluggish external demand, exports partially rebounded thanks to improvements in inbound tourism. Bank Negara Malaysia (BNM) reported that the Malaysian economy is expected to achieve approximately 4% growth in 2023 and between 4% and 5% in 2024 despite the challenging global conditions. The driving force behind this growth is the expansion of domestic demand, which is supported by stable employment and income prospects, especially in industries focused on the domestic market. BNM has opted to keep the overnight policy

rate (OPR) unchanged at 3.00%, as determined in the latest meeting of the Monetary Policy Committee (MPC) on 2 November 2023. The sole adjustment occurred on 3 May 2023, when the degree of monetary accommodation shifted from 2.75% to the current rate. The present monetary policy stance is consistent with the current assessment of inflation and growth prospects. This commitment is made while ensuring that the monetary policy stance fosters sustainable economic growth and upholds price stability.

Foreign tourist arrivals and spending are likely to continue. Investments have been receiving support from the ongoing progress of multi-year infrastructure projects and the implementation of catalytic initiatives. Measures outlined within the Budget 2024 will further stimulate economic activity. The growth outlook is susceptible to downside risks, primarily from weaker-than-expected external demand and prolonged declines in commodity production. Nevertheless, there are upside factors, such as the potential for strong inbound tourism activity, a robust recovery from the electrical and electronic (E&E) downcycle and expedited implementation of existing and new investment projects.

The Government's efforts to enhance tourism in the country are apparent through appealing strategies, exemplified by initiatives such as the revised and more adaptable Malaysia My Second Home (MM2H) scheme. Additionally, the provision of visa-free entry to China and India for Malaysians represents a concerted effort to foster increased travel between countries. The unilateral visa-free entry policy grants Malaysians visiting China the privilege of visa-free travel for up to 15 days. Similarly, Indians traveling to Malaysia are entitled to a visa-free stay of up to 30 days. The introduction of this visa-free plan is strategically aimed at enhancing tourist arrivals from both India and China, as these two markets are recognized as significant markets for Malaysia.

In 2022, Malaysia experienced a decrease of 61.4% in tourist arrivals, with a recorded total of about 10 million tourist arrivals, and witnessed a decline of 67.2% in tourism receipts, amounting to RM28.23 billion, as compared to the corresponding year in 2019. The tourism sector in Malaysia was anticipated to surpass its initial goal of 18 million international tourist arrivals by the end of 2023, aligning with the World Tourism Organisation's (UNWTO) prediction of a robust year for global tourism in 2023. In the first nine months of 2023, Malaysia recorded 14 million international tourist arrivals whilst contributing to a substantial tourist receipt of RM49.28 billion,

INDEPENDENT MARKET OVERVIEW

improving tremendously by 160.4% and 200.7% respectively compared to the corresponding period of 2022.

Year	Tourist Arrivals	Receipts (RM) Million
2019	26,100,784	86,143.5
2020	4,332,722	12,688.2
2021	134,728	238.7
2022	10,070,964	28,228.3
9M/2022	5,556,281	16,387.9
9M/2023	14,467,037	49,277.4

Source: Malaysia Tourism Key Performance Indicators 2019 – 9M/2023

In the third quarter of 2023, the services, construction, and agriculture sectors supported the country's economic supply growth. However, the manufacturing sector faced challenges, with a decline in production attributed to reduced demand for electrical and electronic (E&E) products and lower output of refined petroleum products. When analysed on a quarter-on-quarter seasonally adjusted basis, the economy exhibited a growth rate of 2.6%, a notable increase from the 1.5% recorded in the second quarter of 2023.

Headline and core inflation are anticipated to maintain a moderate trajectory for 2023. As projected, both indicators have experienced a

decline over the year and are largely influenced by more favourable cost conditions. This trend is likely to persist till the end of 2023. In the broader context, headline inflation is expected to average between 2.5% and 3% in 2023. Headline inflation continued its dwindling trend, reaching 2% in the third quarter of 2023, a decline from 2.8% in the second quarter. This moderation was observed in both non-core and core inflation. The reduction in non-core inflation was influenced by decreases in fresh food and fuel prices. Core inflation also saw a decline to 2.5% (compared to 3.4% in Q2/2023) but maintained a level above its long-term average, such as during 2011-2019, with an average of 2%. The moderation in core inflation was primarily attributed to specific services, including food away from home, spending in restaurants and cafés, and personal transport repair and maintenance. Looking ahead, the inflation outlook remains contingent on potential shifts in domestic policy related to subsidies and price controls, as well as developments in global commodity prices and financial markets. Additionally, the overall inflation pervasiveness reduced, as it was reflected in the share of Consumer Price Index (CPI) items experiencing monthly price increases, moderated to 40.8% in the third quarter (down from 42.7% in Q2/2023). This figure fell below the long-term average for the third quarter from 2011 to 2019, which stood at 44.5%.

1.1 KEY ECONOMIC INDICATORS

State	2019	2020	2021	2022	2023
GDP at constant 2015 prices (RM billion)ⁱ					
Malaysia	1,424.0	1,346.2	1,390.6	1,510.9 ^p	1,569.2 ^e
W.P. Kuala Lumpur ^{xiv}	233.8	217.4	219.7	239.8	-
Selangor	345.0	326.8	344.0	384.9	-
Penang	94.6	92.7	99.1	112.1	-
Pahang	58.4	54.9	55.4	61.4	-
Johor	134.2	128.1	131.3	142.1	-
Real GDP Growth (%)ⁱⁱ					
Malaysia	4.4	-5.5	3.3	8.7	4.0 ^a
W.P. Kuala Lumpur ^{xiv}	6.1	-7.4	1.0	9.2	-
Selangor	6.7	-5.2	5.3	11.9	-
Penang	3.7	-2.1	6.9	13.1	-
Pahang	3.8	-6.1	0.9	10.8	-
Johor	2.8	-4.7	2.5	8.2	-
GDP at Current Prices (RM billion)ⁱⁱ					
Malaysia	1,512.7	1,418.5	1,548.9 ^e	1,791.4 ^p	-
W.P. Kuala Lumpur	244.6	227.9	233.1 ^e	262.7 ^p	-
Selangor	358.0	339.9	364.6 ^e	421.6 ^p	-

State	2019	2020	2021	2022	2023
Penang	97.6	97.1	103.9 ^e	121.2 ^p	-
Pahang	61.1	60.5	66.2 ^e	76.1 ^p	-
Johor	140.6	135.8	146.8 ^e	165.2 ^p	-
GDP per capita at Current Prices (RM)ⁱⁱⁱ					
Malaysia	46,513	43,717	47,547 ^e	54,785 ^p	-
W.P. Kuala Lumpur	129,677	108,985	112,084 ^e	126,423 ^p	-
Selangor	55,030	48,591	51,980 ^e	59,804 ^p	-
Penang	55,202	55,783	59,733 ^e	69,591 ^p	-
Pahang	36,560	38,022	41,335 ^e	47,127 ^p	-
Johor	37,377	33,861	36,505 ^e	41,001 ^p	-
Industrial Production Index (2015 = 100) ^{iv}	114.8	110.1	118.3	126.2	126.7 (Jan-Oct'23)
Manufacturing Sales (RM billion) ^v	1,376.0	1,346.6	1,554.7	1,800.9	1,499.2 (Jan-Oct'23)
Mean Monthly Household Income^{vi}(RM)					
Malaysia	7,901	7,089	-	8,479	-
W.P. Kuala Lumpur	13,257	11,728	-	13,325	-
Selangor	10,827	9,668	-	12,233	-
Penang	7,774	6,850	-	8,267	-
Pahang	5,667	5,144	-	5,777	-
Johor	8,013	7,264	-	8,517	-
Domestic Aggregate Demand at Current Prices (RM billion)ⁱⁱ					
Private Consumption	904.2	865.5	897.6	1,031.8 ^p	1,111.7 ^e
Private Investment	252.5	222.3	231.3	253.9 ^p	269.9 ^e
Public Consumption	176.3	183.9	196.9	208.9 ^p	213.1 ^e
Public Investment	94.5	74.4	67.1	72.3 ^p	79.9 ^e
Malaysia Retail Trade Index (RM billion) ^{vii}	537.6	511.0	533.6	661.1	597.0 (Jan-Oct'23)
Malaysia Retail Trade Index (2015 = 100) ^{vii}	139.5	131.0	135.6	161.6	171.1 ^p (Jan-Nov'23)
Consumer Sentiment Index	82.3 (Q4/2019)	85.2 (Q4/2020)	97.2 (Q4/2021)	105.3 (Q4/2022)	78.8 (Q3/2023)
Consumer Price Index (Average Prices at 2010 = 100)^{viii}					
Malaysia	121.5	120.1	123.1	127.2	130.3 ^p (Jan-Oct'22)
Core Inflation (%) ^{ix}	1.5	1.1	0.7	3.0	2.5 (Q3/2023)
Population ('000)^x					
Malaysia	32,523 ^e	32,447 ^e	32,576 ^e	32,698	33,379 ^p
W.P. Kuala Lumpur	1,783	1,982	1,964	1,961	1,999 ^p
Selangor	6,506	6,994	7,015	7,050	7,205 ^p
Penang	1,768	1,740	1,740	1,741	1,772 ^p
Pahang	1,671	1,591	1,602	1,614	1,643 ^p
Johor	3,761	4,010	4,020	4,028	4,101 ^p
Labour ¹¹					

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State	2019	2020	2021	2022	2023
Labour Force ('000)	15,674.2	15,856.6	16,141.8	16,568.6	16,836.3 (Jan-Jul'23)
Employment ('000)	15,155.3	15,145.3	15,400.4	15,937.0	16,249.3 (Jan-Jul'23)
Unemployed ('000)	518.9	711.2	741.3	631.6	587.0 (Jan-Jul'23)
Labour Force Participation (%)	68.7	68.4	68.6	69.3	70.0 (Jan-Oct'23)
Unemployment Rate (%)	3.3	4.5	4.6	3.9	3.5 (Jan-Oct'23)
Overnight Policy Rate (%) ^{xii}	3.0	1.75	1.75	2.75	3.00 (Nov'23)
Base Lending Rate (%) ^{xiii}	6.8	5.8	5.5	5.9	6.6 (Jan-Oct'23)
Base Rate (%) ^{xiii}	3.8	2.8	2.4	3.2 (Jul-Dec'22)	3.6 (Jan-Oct'23)
Tourist Arrivals (million persons) ^{xiv}	26.1	4.3	0.1	10.1	-
Tourist Receipts (RM billion) ^{xiv}	86.1	12.7	0.2	28.2	-

- i Department of Statistics Malaysia
• 2015-2022 data is based on the Department of Statistics Malaysia, Gross Domestic Product (GDP) by State at Constant Prices.
- ii Ministry of Finance.
• Economic Outlook 2023 Report.
• Economic Outlook 2024 Report.
• Department of Statistics Malaysia.
• Digital Economy: 2022.
• Table of GDP by States 2015-2022p.
- iii Department of Statistics Malaysia.
• State GDP Table 2015-2022.
- iv Department of Statistics Malaysia.
• Index of Industrial Production, June 2023.
- v Department of Statistics Malaysia.
• Monthly Manufacturing Statistics, October 2023.
- vi Department of Statistics Malaysia.
• Household Income Estimates and Incidence of Poverty Report, Malaysia 2020.
• DOSM household income estimates are limited to 2019 and 2020.
- vii Department of Statistics Malaysia.
• Wholesale & Retail Trade Index, June 2023.
• Index of Wholesale & Retail Trade, October 2023.
- viii Department of Statistics Malaysia.
• Consumer Price Index Malaysia, October 2023.
- ix Bank Negara Malaysia (BNM)
• BNM Quarterly Bulletin 4Q22, November 2022.
• BNM Quarterly Bulletin 3Q23, November 2023.
- x Department of Statistics Malaysia.
• 2020-2023 data is extracted from the Current Population Estimates, 2023.
- xi Department of Statistics Malaysia.
• Labour Force Report, October 2022.
• Labour Force Report, August 2023.
- xii Bank Negara Malaysia.
• OPR Decision and Statement, November 2023.
- xiii Bank Negara Malaysia.
• Monthly Highlights and Statistics in September 2023.
• Monthly Highlights and Statistics in October 2023.
- xiv Tourism Malaysia.
• My Tourism Data 2022.
• Key Performance Indicators 2022.

Note:

(e) = estimated data
(p) = preliminary data

2.0 RETAIL MARKET OVERVIEW AND TRENDS

In an era of rapid transformation and rising expectations of consumers on the retail landscape, the global retail landscape is undergoing changes to redefine the way businesses engage with consumers. From the surge of e-commerce to the integration of technology and experiential retail, the retail sector is witnessing an evolution.

The retail sector in Malaysia is closely aligning itself with the global transformation – the retail sector has experienced significant transformations, navigating challenges like the pandemic, embracing digital advancement, and addressing the ever-changing consumer behaviour. The opening of The Exchange TRX and Pavilion Damansara Heights Mall in Kuala Lumpur has set apart the traditional retail concept, bringing another fresh experience. Shopping has transcended its traditional form – no longer about making purchases, instead, it is about creating an immersive experience for consumers. Hence, the emerging trends observed are incorporating coffee bars in retail spaces, movie retail partnerships, engaging with local influencers and in-store car dealerships.

In terms of consumer spending, the second and third quarters of the year show lower total retail sales attributed to the rising interest rates and the absence of major festival celebrations. Retail sales of furniture & furnishing, home improvement and electrical & electronics sub-sector showed a negative growth, reflecting consumers' continued caution towards spending, especially on big-ticket items.

The rental rates of retail spaces for prime malls show an increase in 2022 compared to 2021. These estimates are based on the gross revenue of the respective annual report, i.e. Pavilion Kuala Lumpur and Suria KLCC hold average monthly gross revenue of RM28 psf and RM39 psf (2021: RM25 psf and RM29 psf), respectively. The increase in gross revenue is also derived from advertising and promotional activities, event hosting and parking fees that have translated into higher footfall in malls. Generally, retail rental rates are expected to remain competitive with no major increase expected, with the increasing number of new retail spaces.

Clothing brands are incorporating coffee bars into retail locations.

Crossover coffee shops emerged as a novel global trend prior to the outbreak of the COVID-19 pandemic, gaining momentum that has sped up with the ease of lockdowns. Leading fashion brands are redefining retail, making shopping a captivating and immersive experience. In the wake of almost two years of lockdowns and social distancing measures, there is a widespread acknowledgement that revitalising the brick-and-mortar sector requires more than just products. Several fashion brands in Malaysia have already embraced this trend, distinguishing themselves from traditional retail spaces by offering unique and value-added experiences.

Ralph Lauren, known for their classic polo shirt and cashmere sweaters, is the first luxury brand to incorporate a coffee shop concept (Ralph's Coffee) into its retail space, offering a delightful retail experience with exceptional coffee and delectable cakes in its outlet in Pavilion KL. Maison Kitsuné, known for its perfect blend of Parisian cool and Tokyo Street fashion style, has officially set its stylish footprint alongside Café Kitsune at the newly open The Exchange TRX. This innovative retail space shares its ambience with a café bar, featuring a carefully curated number of tables to preserve the exclusive allure of the brand. In Pavilion KL, Carhartt WIP – an American streetwear brand – has incorporated their own Carhartt Coffee, which is available in a limited number of Carhartt WIP stores worldwide.

Similarly, the newly revamped Muji store in One Utama has opened its first coffee counter in Malaysia, serving coffees and pastries and making it a place for shoppers to take a break from shopping. The three-storey Uniqlo in Fahrenheit has also undergone renovation, with an addition of 'Uniqlo Coffee' in its store, offering coffees and cookies.

More fashion brands are anticipated to embrace the coffee culture as a strategy to enhance the shopping experience. This trend is expected to continue in Malaysia, considering the strong coffee culture here.

Movie retail partnership

After more than a year of not being able to experience watching movies in a cinema, the

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movie industry returned stronger in marketing with a more comprehensive promotional content strategy. In the last few years, movie and retail partnerships have accelerated in Western countries. The retail industry in Malaysia has been observed to hop on the trend with a strong momentum, which does not appear to be slowing anytime soon.

Retailers have realised the ability of movie partnerships to drive sales and create in-store shopper moments. Brands such as Skechers collaborated with Transformers movie, Pandora X The Little Mermaid, Lush X Super Mario Bros and Levi's X Princess Mononoke. The collaboration will portray a "limited edition" impression towards consumers of the retailer's products, especially fans of the movie.

The biggest movie partnership this year would be from "Barbie", which captured the attention of consumers from all age groups. From local and international fashion brands to fast food chains, retailers have grasped this marketing opportunity to promote its release. Shopping malls such as Pavilion KL, MidValley Megamall, Sunway Pyramid and Mitsui Shopping Park Lalaport were seen to organise events while promoting the movie by setting up certain spaces of the mall with life-sized cutouts for 'insta-worthy' photos.

Apart from that, shopping malls are also organising events centred around recent movies, mostly animated movies with kids as their audience, such as The Little Mermaid, Elemental, The Super Mario Bros and Spiderman by creating themed decorations based on the film and including meet-and-greets with the characters, interactive games and workshops.

Strong presence of local influencers

Social media marketing has been a norm for retailers in reaching out to consumers. A handful of brands are leveraging the strong presence of local influencers as a marketing strategy, particularly luxury fashion and beauty brands, even home appliances.

Several international and local brands have hosted events in shopping malls while engaging with local influencers and aligning interests and followers on social media. In Pavilion KL and MidValley Megamall, events were actively hosted

by international fashion brands such as Givenchy, Chanel, Dior, YSL, Kate Spade, and Gucci to promote the launch of new products. As local influencers usually have a strong base of existing followers, they are able to build anticipation of the events by utilising social media channels to reach a broader audience.

Over at East Coast Mall, Kuantan, Uniqlo has collaborated with local actress Mira Filzah for the Modest Collection, with activities and workshops lined up.

Brands are also seen collaborating with influencers to create exclusive content, usually a short video clip on the product – also a paid sponsorship. This content is generally shown on several social media platforms such as TikTok, Instagram and X (formerly known as Twitter). Besides that, several brands would also organise giveaways in collaboration with local influencers by using their social media platform – local influencers have successfully carved a sense of authenticity and trust with their followers, making their endorsements and recommendations highly impactful.

In-Store car dealerships

The trend of car dealerships entering shopping malls is further accentuated by the rise of electric vehicles (EVs), contributing to a reduction in carbon emissions. With the growing popularity and acceptance of EVs, known for their eco-friendly nature and lower carbon footprint, the decision for car dealerships to establish in-store locations within malls aligns seamlessly with environmental sustainability objectives.

In Malaysia, Sime Darby Motors, the automotive arm of Sime Darby Berhad, and BYD, the world's leading manufacturer of new energy vehicles, have opened two new BYD centres in Penang and Johor Bahru. The showroom expansions are located inside a shopping mall, Gurney Plaza in Penang and Mid Valley Southkey in Johor Bahru. The opening of Tesla in Pavilion Damansara Heights will set the tone for car dealerships to establish in-store locations.

The integration of car dealerships into shopping malls represents a dynamic response to changing consumer behaviours and preferences, emphasizing the importance of creating immersive and accessible retail experiences.

Establishing in-store outlets also provides a more accessible environment whilst tapping into the ready target market present in malls, where diverse consumer demographics are present.

New attraction and retail concepts

KSL Esplanade Mall in Klang opened its doors in May 2023 with an NLA of 650,000 sq ft. The mall is operated by KSL Management Sdn. Bhd. and is across four floors of retail space. The mall is equipped with a landscaped park with bicycle rental, a 10,000 sq ft event space, an outdoor dining terrace and a children's playground. Numerous events, both indoors and outdoors, including competitions, tournaments, light and music displays, festivals, and arts and cultural events, are held in support of community living. As part of the larger Pavilion Damansara Heights integrated development, Phase 1 of the mall, with an NLA of 533,361 sq ft, was opened in October 2023. The six-storey shopping mall stands strong among affluent neighbourhoods like Bangsar and Damansara Heights. Phase 2 is set to open in 2024, with an additional NLA of about 529,353 sq ft.

The Exchange TRX, the new social heart of Kuala Lumpur, was opened in November 2023. It is jointly developed by Lendlease and TRX City Sdn. Bhd., the master developer of the Tun Razak Exchange. The Exchange TRX houses more than 400 stores across 1.3 million sq ft NLA and features an expansive 10-acre rooftop park that is open to the public. The park features a playground, a 'play cave', an interactive water feature and a huge garden space for the public to enjoy the greeneries, allowing a sense of community and social gatherings. The mall also offers restroom facilities with shower amenities for the kids to clean up. Another unique feature of the mall is the inclusion of wireless charging ports installed on the benches.

Foreign retailers and brands debut in Malaysia

Malaysia continues to stand as a canvas for international brands seeking expansion and debuting in 2023. The year 2023 marked several anticipated debuts of foreign retailers and brands, further supported by the opening of new shopping malls.

The grand opening of The Exchange TRX unveiled several debuts for global brands in the Malaysian retail market. Luxury fashion brands

such as Dolce & Gabbana opened their first flagship boutique in the country; Gentle Monster – a South Korean eyewear brand, with products displayed like museum pieces in an immersive and experiential retail space; Alo Yoga which will spark interest from fitness enthusiasts, French-Japanese brand Maison Kitsune, and the French jeweller and fine watchmaker Chaumet. The food and beverage sector includes Shake Shack – a New York fast food staple; HeyTea originating from China; the famous Korean Mil Toast House; Topsy Flamingo and Amazonas. The anchor tenant, Seibu – opened its first luxury Japanese department store in Malaysia, and conquered four levels, taking up over 250,000 sq ft.

In Pavilion Kuala Lumpur, Balenciaga opened its newest duplex store outlet spanning 3,500 sq ft, featuring a redesigned store layout and design. Rado, renowned for its precision and timeless Swiss watch design, has also opened while the Emporio Armani store was newly revamped, and the store's interior was thoroughly crafted by Giorgio Armani and his team of architects, spanning about 2,700 sq ft. Cartier has reopened its flagship boutique, occupying three levels, with an interior constructed that merges parts of the Malaysian heritage with Cartier's signature design. Meanwhile, in the newly opened Pavilion Damansara Heights, Tesla marked their first in-store location in Malaysia by occupying a 3,000 sq ft experience centre, which also houses the brand's merchandise and charging solutions.

There has been a huge influx of food & beverage establishments in the retail market, indicating that businesses are seeing the opportunity and potential in the Malaysian consumer market. Bacha Coffee, a Moroccan brand, made its debut in Suria KLCC, spanning over 7,000 sq ft with a boutique retail space – where popular coffee blends, brewing accessories and gift boxes are displayed, followed by a second store opening in The Exchange TRX. Venchi, a renowned Italian chocolate store serving chocolate and gelato, opened its first outlet in Pavilion Kuala Lumpur—subsequently, a second outlet in The Exchange TRX.

In Penang, several retailers are expanding their presence to the Northern region. In Queensbay Mall, Rookie, Innisfree, H&M, Sacoor Blue and the leading VR (virtual reality) company, PICO (second store in Malaysia) have expanded their presence.

INDEPENDENT MARKET OVERVIEW

2.1 RETAIL MARKET OUTLOOK

Despite a robust start to the year with a 13.8% increase (according to Retail Group Malaysia) in the first quarter, the Malaysian retail sector faced a challenging second quarter with a contraction of -4.0%. However, there was a notable recovery in the third quarter, showing a 2.7% increase. The fluctuation was predominantly driven by a more cautious domestic consumption due to the rising cost of living, eventually leading to a lower disposable income and weakening spending power.

The Consumer Sentiment Index (CSI) in Malaysia reflects a shift in consumer confidence, showing a decline over the first three quarters of the year. The CSI recorded 99.2 points in the first quarter, followed by a decrease in the second quarter to 90.8. As of Q3/2023, the CSI reached a notable low of 78.9 points amid rising concerns about future job opportunities and income growth worries from consumers. This further indicates the low disposable income of the average consumer - especially Malaysians - due to the rising cost of living and the depreciation of the Ringgit Malaysia (RM) which will further push up the price of imported goods. In response to the challenging retail conditions, retailers have been increasing promotional activities and offering discounts to stimulate interest. The drop in total retail sales was felt prominently by brands operating in the Mid/Mass segments. In contrast, the Luxury and Premium categories still managed to record some growth, mainly from the strong purchasing power of tourists, albeit below initial expectations.

The successful opening of The Exchange TRX has shown that the Malaysian market still has a lot of potential for international brands to enter and expand, provided that key components and parameters such as tenant mix, mall concept, and promotion are well implemented as planned. The growth and expansion of international brands in Malaysia's retail market are notable, given the quality of malls available to accommodate them.

Looking ahead to 2024, the outlook is "cautiously optimistic" – as economic uncertainties still threaten the retail market. Retailers will put a stronger emphasis on detailed analytics and market evaluation before expansion. Nevertheless, the retail market's outlook still faces the following challenges:

- 1) The escalating increase in operational costs, such as rent, utilities and labour, will squeeze the profit margins for retailers, particularly small businesses. Prime shopping malls are feeling the pinch of the increase in electricity tariffs this year. This will indirectly lead to a rise in product prices, affecting consumer affordability.
- 2) The increment of service tax from 6% to 8% – excluding F&B and telecommunications (from 1 March 2024) and the implementation of 5% to 10% on the High-Value Goods Tax (from 1 May 2024) will result in more cautious spending by consumers and will affect the domestic spending sentiment.
- 3) Globally, certain retailers have grappled with the boycott of selected international F&B and retail franchises. This movement gained momentum due to allegations of links to Israel triggered by the Zionist government's bombardment of Palestinian settlements in the Gaza Strip.

2.2 RETAIL SUPPLY IN WP KUALA LUMPUR, SELANGOR, PENANG AND PAHANG

The statistics from the National Property Information Centre (NAPIC) recorded that the total retail supply for Malaysia, including shopping centres, retail arcades and hypermarkets, stood at 188.8 million sq ft as of Q3/2023, an increase of 0.58% from Q3/2022.

Most retail spaces are located within shopping centres, which accounts for 75.7% of the total retail stock as of Q3/2023. Selangor and WP Kuala Lumpur remain at the forefront with a total of 44.1% of the nationwide shopping centre supply, followed by Penang and Pahang at 9.1% and 2.8%, respectively.

SHOPPING CENTRE STOCK IN MALAYSIA AS OF Q3/2023

State	No. of properties	Total Space (million sq ft)	Percentage of Total Space in Malaysia (%)
WP Kuala Lumpur	75	31.0	21.6
WP Putrajaya	2	0.8	0.6
WP Labuan	1	0.3	0.2
Selangor	88	32.1	22.5
Johor	69	19.7	13.8
Penang	40	13.0	9.1
Perak	38	6.4	4.5
Negeri Sembilan	30	3.4	2.4
Melaka	22	4.8	3.3
Kedah	37	5.1	3.5
Pahang	24	4.1	2.8
Terengganu	8	1.2	0.8
Kelantan	9	2.6	1.8
Perlis	4	0.2	0.2
Sabah	36	7.4	5.2
Sarawak	72	10.9	7.7
MALAYSIA	555	143.1	100.0

Source: National Property Information Centre (NAPIC)

In Q3/2023, the total retail stock supply per capita in Malaysia increased to 5.7 sq ft per person from 5.4 sq ft per person in Q3/2022. A similar trend was observed for the shopping centre supply alongside the increase of retail stock in Kuala Lumpur and Selangor, in which the supply per capita also experienced an increasing trend, from 4.2 sq ft per capita in Q3/2022 to 4.3 sq ft per capita in Q3/2023.

PER CAPITA RETAIL STOCK AND SHOPPING CENTRE STOCK IN MALAYSIA AND SELECTED STATES AS OF Q3/2023

State	Malaysia	WP Kuala Lumpur	Selangor	Penang	Pahang
Retail Stock (million sq ft)	188.8	35.7	42.6	20.1	4.9
Shopping centre stock (million sq ft)	143.0	31.0	32.1	13.0	4.1
Percentage of shopping centre stock out of retail stock (%)	75.7	86.8	75.4	64.7	83.7
Population 2023* (million)	33.3	1.9	7.2	1.7	1.6
Retail stock per capita (sq ft per person)	5.7	18.8	5.9	11.8	3.1
Shopping centre stock per capita (sq ft per person)	4.3	16.3	4.5	7.6	2.6

Source: Savills Research

* The population estimates for the year 2023 adopted for the per capita calculation are derived from mid-year population estimates based on the 2020 Population and Housing Census of Malaysia, published by the DOSM.

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2.3 FUTURE RETAIL SUPPLY IN WP KUALA LUMPUR, SELANGOR, PENANG AND PAHANG

WP Kuala Lumpur & Selangor

The Greater Kuala Lumpur (which includes WP Kuala Lumpur and Selangor) is expected to have an additional 3.1 million sq ft (WP Kuala Lumpur) and 0.45 million sq ft (Selangor) of retail spaces in the coming three years.

In WP Kuala Lumpur, 118 Mall (900,000 sq ft) and 168 Park Selayang (235,000 sq ft) is the next anticipated mall opening in 2024. Pavilion Damansara Heights Phase 2 (529,353 sq ft) is scheduled to open in 2024, Q Mall @ Queensville (412,000 sq ft) and Mall @ The Loft Maju Kuala Lumpur Phase 1 (1,000,000 sq ft) are expected to be open by 2026.

Meanwhile, in Selangor, Sunsuria Forum@7th Avenue (150,000 sq ft) and Sunway SQ Mall

(300,000 sq ft) are scheduled for completion in 2024 and 2025 respectively.

Penang

Coming in 2024, Sunshine Mall @ Sunshine Central (820,000 sq ft) and The Wave @ Penang Times Square Phase 3 (230,000 sq ft) are expected to be the next new opening malls in Penang. Penang is anticipated to have an additional 680,000 sq ft of retail space in 2025 from the completion of The Waterfront Shoppes at The Light City (Phase 1)

Progressively, Waterfront Shoppes at The Light City Phase 2 (300,000 sq ft), Klippa Shopping Centre (1.6 million sq ft of Gross Leasable Area) and Mitsui Outlet (250,000 sq ft) are scheduled for completion post-2025.

Pahang

There is no future retail supply being planned in Pahang as of 2024.

2.3.1 Future Supply of Retail Space in Shopping Centres in Selected States

State	Future Shopping Centre Stock (million sq ft NLA) 2024-2026		Future Shopping Centre Supply
W.P. Kuala Lumpur	3.1	2024	118 Mall
			168 Park Selayang
			Pavilion Damansara Heights Phase 2
		2026	Q Mall @ Queensville
			Mall @ The Loft Maju Kuala Lumpur Phase 1
Selangor	0.5	2024	Sunsurial Forum @ 7th Avenue
		2025	Sunway SQ Mall
Penang	3.9	2024	Sunshine Mall @ Sunshine Central
			The Wave @ Penang Times Square Phase 3
		2025	The Waterfront Shoppes @The Light City (Phase 1)
		post 2025	Klippa Shopping Centre*
			The Waterfront Shoppes @The Light City (Phase 2)
Pahang			Mitsui Outlet
			N/A
Source: Savills Research			
Note:			
*Klippa Shopping Centre's gross leasable area is approximately 1,600,000 sq ft			

2.4 RETAIL STOCK AND OCCUPANCY

Malaysia's occupancy rate generally witnessed a positive shift of 1.6% from 75.2% (Q3/2022) to 76.8% (Q3/2023). By state, the occupancy rate in WP Kuala Lumpur, Selangor, Penang and Pahang has increased.

It is foreseeable that the average occupancy rate will grow gradually, considering that the retail market is more vibrant with new tenants and brands expanding.

OCCUPANCY RATES OF RETAIL SPACE (SHOPPING COMPLEX) IN MALAYSIA AS OF Q3/2023

State	Total Existing Space (million sq ft)		Space Occupied (million sq ft)		Occupancy Rate (%)	
	Q3/2022	Q3/2023	Q3/2022	Q3/2023	Q3/2022	Q3/2023
W.P Kuala Lumpur	35.1	35.7	28.7	29.7	81.8%	83.1%
W.P Putrajaya	0.9	0.9	0.8	0.7	85.0%	78.8%
W.P Labuan	0.3	0.3	0.3	0.3	96.5%	96.9%
Selangor	41.9	42.6	32.2	33.7	76.7%	79.3%
Johor	26.3	26.4	18.5	18.4	70.3%	69.9%
Pulau Pinang	20.0	20.1	14.3	14.6	71.5%	73.0%
Perak	11.8	11.0	9.0	9.6	76.2%	87.3%
Negeri Sembilan	6.5	6.6	4.4	4.5	67.1%	68.3%
Melaka	6.8	6.8	4.3	3.8	62.6%	56.2%
Kedah	6.4	6.5	4.6	4.5	72.1%	69.8%
Pahang	4.8	4.9	3.4	3.7	70.8%	74.7%
Terengganu	2.2	2.2	1.7	1.8	76.9%	79.6%
Kelantan	4.3	4.3	3.5	3.5	81.3%	80.8%
Perlis	0.6	0.6	0.5	0.5	81.6%	83.9%
Sabah	8.1	8.3	6.1	6.7	75.5%	80.3%
Sarawak	11.7	11.7	8.9	9.0	76.6%	76.8%
MALAYSIA	187.7	188.8	141.1	145.0	75.2%	76.8%

Source: National Property Information (NAPIC)

2.5 CAPITAL VALUES

The retail investment sector experienced a major acquisition of hypermarkets, especially from Sunway REIT which acquired Giant Hypermarket Bandar Kinrara, Giant Hypermarket Putra Heights, Giant Hypermarket Klang, Giant Shopping Complex USJ1 and Giant Superstore Ulu Klang for RM520 million. Whilst KIP REIT had announced the acquisition of KIP Mall Kota Warisan with RM80 million in value. However, there is a lack of transactions for major shopping malls. Despite the lack of transactions, most shopping mall assets demonstrated stability and are focusing on sustaining tenants, optimising operational efficiency, and catching up on market trends to enhance the assets further.

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2.5.1 Historical Transaction (volume & value)

VOLUME AND VALUE OF SHOPPING COMPLEXES, HYPERMARKET AND ARCADE

State	2019		2020		2021		2022		9M/2023 ^p	
	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)
WP Kuala Lumpur	1	1,480	0	0	0	0	1	72	1	145
Selangor	0	0	1	30	6	563	1	80	4	49
Penang	1	14	1	200	0	0	0	0	0	0
Pahang	0	0	0	0	0	0	0	0	0	0
Total	2	1,494	2	230	6	563	2	152	5	194

Source: National Property Information Centre (NAPIC)

Note: (p) = preliminary data

2.6 RECENT AND NOTABLE SHOPPING MALL TRANSACTIONS

Shopping Mall	Date of Transaction	NLA (million sq ft)	Transaction Price (RM Million)	Capital Value (RM psf)	Purchaser
WP Kuala Lumpur					
Pavilion Bukit Jalilⁱ	22 November 2022	1.8	2,200	1,222	Pavilion REIT
Setapak Central Mallⁱ	October 2020	0.5	318	653	Fraser Property ^{iv}
Pavilion Bukit Jalilⁱⁱ	28 May 2019	0.9 (49% of 1.8 mil sq ft)	1,480	822	Regal Path Sdn. Bhd.
Elite Pavilion Mall	27 July 2017	0.2	580	2,397	Pavilion REIT
M3 shopping mall	September 2017	0.2	105	575	LBS Bina Group
Selangor					
Empire City Mallⁱⁱⁱ	October 2021	1.7	180	-	Rubberex Corp
Ampang Point Mall	10 November 2020	0.3	300	1,200	Nadin Holdings Sdn. Bhd.
SS2 Mall (vacated building)	July 2018	0.5	180	391	DK-MY Properties Sdn. Bhd.
AEON Mahkota Cheras Shopping Centre	30 June 2017	0.2	87.8	415	Foremost Wealth Management Sdn. Bhd.
Empire Shopping Gallery	February 2017	0.4	570	1,629	Pelaburan Hartanah Berhad (PHB)
Penang					
Queensbay Mallⁱ	9 November 2022	0.9	990.5	1,122	CapitaLand Malaysia Trust
1st Avenue Mall	13 September 2019	0.4	153	376	I Homes Properties Sdn. Bhd.
Pahang					
Temerloh Mall	8 December 2023	0.09	25	274	Axis-REIT

Source: Savills Research

Note:

i Related party transaction.

ii The purchase price of RM1.48 million is based on 49% of the shares in the under-construction Pavilion Bukit Jalil Mall (1 block of the retail mall with 5 levels of retail space, 2 levels of basement parking, centralised green area and supporting infrastructure)

iii Rubberex Corp ventured into property investment via a strategic 20% stake in the ongoing development of Empire City Mall for RM180.0 million. A market valuation was conducted for the development using an income approach to derive a valuation of RM1.0 billion or RM571 psf.

iv Share buyout whereby Frasers Property acquire Setapak Central Mall and directly inherit the asset, the listed transacted price is 100% full market value.

3.0 INDUSTRIAL AND LOGISTICS MARKET OVERVIEW & TRENDS

The nation's industrial sector continues to thrive, buoyed by encouraging investment volume, strong e-commerce penetration and consistent manufacturing output. The depreciation of the Malaysian Ringgit is anticipated to fuel a temporary surge in investments within the country. The low base of the Real Effective Exchange Rate (REER) helps alleviate currency fluctuations, making exports comparatively more affordable and stimulating trade engagement with foreign investors.

Demand for logistics and warehouse space is expected to hold well despite existing inflationary pressures and uncertain economic conditions. It is supported mainly by the continued growth in online retail, changing consumer behaviours, stable e-commerce market penetration and a positive domestic business climate.

The implementation of the National Energy Transition Roadmap (NETR) and the New Industrial Master Plan (NIMP) 2030 are expected to create substantial investment opportunities and prospects, potentially driving demand for economic growth and creating new job opportunities.

Surge in Data Centre Demand

The data centre market in Malaysia has experienced rapid expansion due to heightened demand from telecommunications and internet service providers. The surge is also attributed to the widespread adoption of technologies like artificial intelligence, the Internet of Things (IoT) and online payment systems. The growth is further propelled by factors such as digitalisation and the implementation of 5G networks, as well as the shift to hybrid working during the COVID-19 pandemic.

Besides, Singapore has in 2019 temporarily halted new data centre construction due to environmental sustainability and resource efficiency concerns, prompting some major operators to expand and establish their data centres in Malaysia. Furthermore, the emergence of Malaysia as a regional investment hub has fuelled a surge in the adoption of cloud systems, leading to increased demand for data centres. This growth has attracted numerous international companies, including GDS, Yondr, Vantage Data Centre, YTL Green Data Centre, Airtrunk, and Equinix, who have established their data centres in Malaysia. According to MIDA's report, Malaysian data centres had a capacity of 66MW

in 2022, and this is expected to grow significantly to approximately 157MW by 2027.

The majority of Malaysia's data centres were concentrated in Greater Kuala Lumpur, particularly in Cyberjaya (ICT capital), with some located on the fringes of Kuala Lumpur. Among the emerging areas with potential for data centre operation in Greater Kuala Lumpur is the Malaysian Research Accelerator for Technology & Innovation (MRANTI) Park in Bukit Jalil. MRANTI is an innovation hub and is fully supported by 5G infrastructures and 4th Industrial Revolution (4IR) technologies. The park will be designed as a one-stop hub for fostering new and emerging technological clusters within the innovation ecosystem. Data centre operator Bridge Data Centres (BDC) has announced the expansion of its hyperscale data centre campus (namely, MY03) in MRANTI Park with an additional 48MW capacity. With the expansion, MY03 will offer a total of 64MW power capacity upon the completion of its Phase 1 and 2 in 2027.

Additionally, Johor, specifically in Iskandar Malaysia, has become an attractive destination for data centre investment due to its proximity to Singapore, competitive land prices and available labour pool. The data centre market in Johor appears to be growing as it captures the spillover demand from Singapore. New facilities in Iskandar Malaysia are generally focused in areas like Sedenak and Nusajaya. Several upcoming strategic locations are purposefully designed for data centre usage, with one notable example being Sedenak Tech Park (STeP). Spanning an extensive 745 acres, STeP, formerly known as Kulai Iskandar Data Exchange (KIDEX), allocates a substantial 458 acres of leasable areas dedicated to data centre development. Its proximity to Singapore and its robust dark fibre connection position the park as the primary alternative data hub for the Southeast Asia region. The STeP is crafted explicitly for Tier 3 data centre development, ensuring top-notch security and access to ample energy and water resources, complying with all critical elements necessary for international standard data centre operations. Furthermore, it also incorporates sustainable energy generation through solar farms and cogeneration plants. Hyperscale data centres in Iskandar Malaysia are gaining momentum, with some of the big tech giants showing presence, namely GDS Data Centre, Sea Data Centre, Yondr Data Centre, and YTL Green Data Centre Park, to name a few. The introduction of the Fourth Industrial Revolution (IR 4.0) blueprint and National Fourth Industrial Revolution (4IR) policy will continue to

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see more influx of data centre investment in the foreseeable future.

The logistics sector remains resilient

The accelerated adoption of eCommerce has contributed immensely to the logistics industry and increased demand for logistics properties, i.e., warehouses, distribution hubs, and logistics facilities. Despite outlook pressure such as much tighter and volatile global financial conditions, inflationary pressures, and economic uncertainty, demand for high-specification logistic warehouses remains strong with developers such as IJM Corporation Berhad, Global Vision Logistics Sdn. Bhd. and Selangor State Development Corporation (PKNS) venturing into development of logistics hubs.

Capitalising on the ongoing growth of the logistics sector, IJM RE Sdn. Bhd. has partnered with FMM Elmina Sdn. Bhd. in a joint venture to develop two state-of-the-art logistics hubs in Elmina, Shah Alam namely Storio Hub 1 and Storio Hub 2. The development will be constructed on 22-acre land with a floor area of 500,000 sq ft, which will be fully leased and operated by Storio Sdn. Bhd. upon completion in 2024.

Global Vision Logistics Sdn. Bhd. had on July 2023 launched a ground-breaking ceremony for the development of its new Shah Alam International Logistics Hub (SAILH), known as Malaysia's first green-certified logistics hub which is located on a 71-acre industrial plot in Shah Alam with a total net lettable area of 6 million sq ft, scheduled for completion in 2028. Phase One of the development, which is scheduled for completion in 2025, will consist of a four-storey warehouse complex, a four-storey car park facility and a single-storey office building along with an ancillary structure with a total built-up area of 4.3 million sq ft (2.8 million sq ft of lettable area).

The Selangor State Development Corporation (PKNS) launched its 151 hectares of managed green industrial park in Section 11 and Section 12 Kota Puteri, Rawang, in July 2023. Phase 1 which spans across 48-hectare will offer a total of 304 units of twin factories. The completion of this phase is anticipated by 2027. The development is a gated and guarded industrial park, incorporating ESG concepts and featuring a clubhouse, recreational area, centralised labour quarters, EV charging stations and a centralised park.

Port Klang Authority (PKA) has a plan to construct a cargo port on Carey Island with an investment sum of RM28 billion to serve as a backup area for the existing port in Klang. The development of Carey Island aims to be a port of choice in Malaysia and Southeast Asia. This strategic initiative seeks to fortify Malaysia's standing as the preferred port and shipping hub in the Southeast Asian region. It will serve as a special economic zone targeting manufacturing activities and other value-added logistic services. The project will be scheduled for completion by 2060, focusing on terminal infrastructures, such as berths, equipment for operations, roads and utilities, digital connectivity, electricity and water supply.

The third policy enabler of the Twelfth Malaysia Plan (2021-2025) - which focuses on Enhancing Connectivity and Transport Infrastructure - plays an important role in improving last-mile connectivity by integrating rail and road networks between airports, ports, industrial areas and cities. Five main strategies will be carried out under this effort: improving passenger mobility, strengthening transport governance, enhancing connectivity and transport infrastructure, improving infrastructure maintenance, and increasing logistics and trade facilitation competitiveness. Under the growing logistics and trade facilitation competitiveness strategy, the government has planned to establish a single platform that will function as a central database to facilitate end-to-end information flow and serve as a one-stop portal for maritime regulatory and port services transactions. It aims to establish connections and linkages among all federal ports, offering swift and transparent access to industry players. This initiative aims to bolster the competitiveness of logistics services at a national level, thereby supporting and facilitating the growth of the industrial economy, particularly in the logistics sectors within the region.

As the industrial sector displayed resilience throughout, it drew increased interest from developers and investors, leading to the construction of high-grade logistic facilities in response to growing demand. There is a growing demand for high-grade logistics warehouses, and a noticeable trend is emerging towards more efficient storage solutions. This trend encompasses higher ceiling height, higher floor loading capacity, enhanced power capacities, loading bay facilities and larger floor plate sizes. Given the scarcity of land and the surge in industrial land prices in prominent industrial areas like Shah Alam, some traditional

warehouses have been refurbished to transform into high-grade logistics facilities with improved specifications. Symphony Warehouse Sdn. Bhd., a subsidiary of Mapletree Malaysia, has recently completed the construction of its multi-storey warehouse in Section 22, Shah Alam, boasting an approximate gross floor area of 1,400,000 sq ft. The property was initially an ageing industrial building, but it underwent redevelopment to emerge as a new multi-storey logistics warehouse. In addition, Mapletree Logistics Trust has acquired two parcels in Subang Jaya for redevelopment, aiming to establish the first mega modern logistics facility with a development value of RM500 million. It will be the inaugural modern ramp-up warehouse in Subang Jaya, featuring an estimated gross floor area of 1,400,000 sq ft.

New Emerging Sectors

New emerging sectors such as electric vehicles (EVs) and renewable energy have been identified as promising and potentially high-growth sectors in Malaysia. Malaysia's government is focusing on high-value investment activity, leading to the growth of industries related to electric vehicles and renewable energy.

Advancing green growth and enhancing energy sustainability are some of the key initiatives highlighted in the 12th Malaysia Plan to tackle issues such as climate change and unsustainable consumption and production practices. Notably, increased investments in the nation are emphasising renewable energy, paving the way towards a low-carbon environment while achieving significant reductions in pollution and greenhouse gas emissions. The Malaysia Renewable Energy Roadmap (MyRER) has played a vital role in fostering this industry, with the first half of 2023 recording a noteworthy RM1.3 billion investment in Green Technologies. Several notable projects are specifically centred around renewable energy, including:

- a) LONGi Green Energy Technology Co.'s first solar photovoltaic (PV) manufacturing facility spanning 140 acres of land in Serendah;
- b) Citaglobal Berhad and Abu Dhabi Future Energy Co PJSC (Masdar) to jointly develop a few major renewable energy projects such as solar, battery energy storage system (BESS), wind and other energy technologies in Malaysia, and
- c) TNB's 'Hybrid Hydro-Floating Solar' initiative in producing a power capacity of up to 2.5 GW through hybrid floating solar installations at hydro dams will be implemented in four

phases spanning from 2023 to 2040. The solar projects at the Temenggor and Chenderoh hydro plants in Perak are anticipated to be finalized by 2025.

Moreover, fuelled by the significant advancements in clean energy supply chains and the growing environmental consciousness, there is a rising demand in the market for new energy vehicles. This trend is evident with numerous automakers, including Tesla and Neta, making their entry into the Malaysian market. The government is also offering attractive incentive packages to boost the electric vehicle industry, which includes tax exemptions for land development, the manufacture of parts and components, and the establishment of research centres and educational institutions. Some of the notable investments involving electric vehicles include:

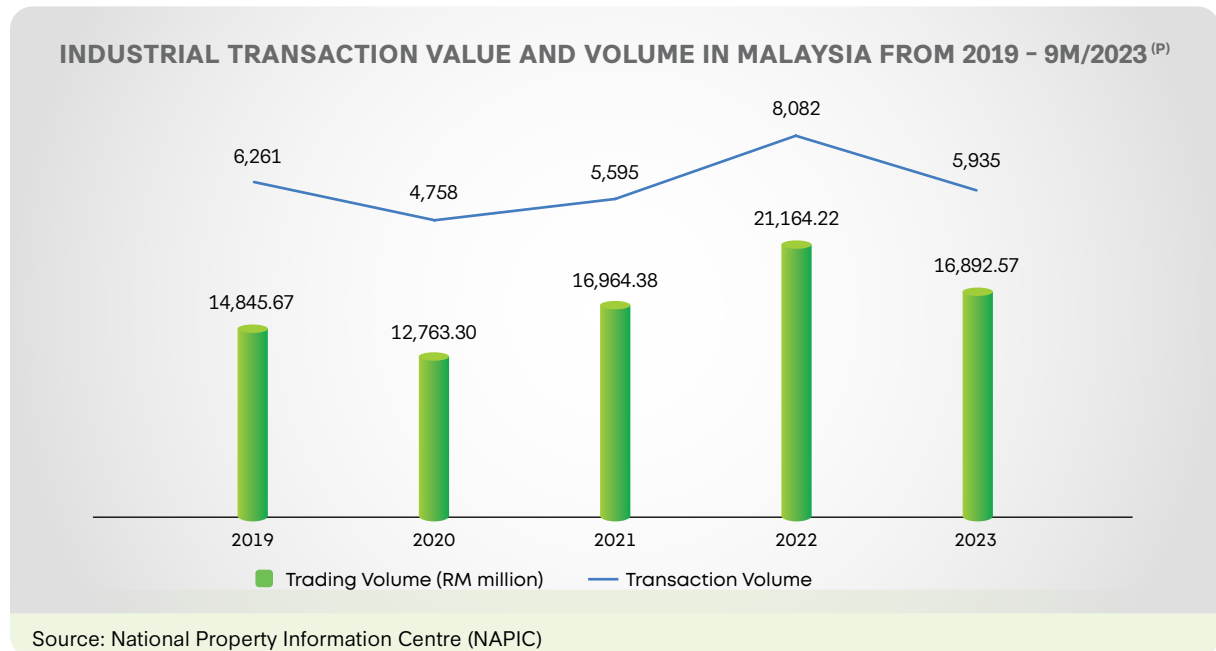
- a) NexV Manufacturing Sdn. Bhd., formed through a collaboration between GoAuto Group and Careplus Group Bhd, has successfully concluded the initial stage of constructing its new electric vehicle manufacturing and assembly plant. Situated on a 29.68-hectare parcel of land in the Chembong Industrial Area, Rembau, Negeri Sembilan, the development is slated for completion by 2028;
- b) Zhejiang Geely Holding Group Co Ltd, the Chinese automobile manufacturer, is investing RM45 billion in Tanjung Malim, Perak. The facility will focus on automobiles, high-tech components and parts of new energy vehicles manufactured, which would potentially turn Tanjung Malim into the largest automobile city in the region;
- c) EP Manufacturing Bhd is involving over RM100 million in an investment of establishing an automotive manufacturing facility in Melaka catering for BAIC and Great Wall Motor (GWM) vehicles, which will unfold in several phases located at the HICOM Pegoh Industrial Park in Alor Gajah, Melaka;
- d) Mercedes-Benz AG has launched its local assembly plants for its electric vehicle (EV) in Pekan, Pahang,

The surging demand for the electric vehicle manufacturing industry also played a pivotal role in fostering the growth of the semiconductor industry, thereby bolstering the prosperity of the nation's electrical and electronics (E&E) sector.

INDEPENDENT MARKET OVERVIEW

3.1 INDUSTRIAL PROPERTY SECTOR: MALAYSIA

The industrial outlook in Malaysia continues to be optimistic, marked by favourable growth in the total number of industrial transactions in 2022 compared to 2021. Malaysia's attractiveness as an investment destination is sustained by its conducive business ecosystem and key supply chain hub role. The ongoing global trends of digitalisation and globalisation, coupled with the rise in e-commerce activities, have potentially benefited the supply chain and other small and medium enterprises (SMEs). This scenario is fostering growth in the logistics and manufacturing sectors.



3.1.1 Malaysia: Supply of Industrial Properties by State 2019 to 9M/2023

State	2019	2020	2021	2022	9M/2023	Future Supply (No. of Units)	
						Incoming	Planned
W.P. Kuala Lumpur	5,138	5,138	5,138	5,138	5,138	0	37
W.P. Putrajaya	48	48	48	48	48	0	0
W.P. Labuan	635	641	641	641	649	41	0
Selangor	40,701	40,984	41,339	41,642	42,005	1,486	2,082
Johor	17,681	18,079	18,525	18,718	19,101	557	92
Pulau Pinang	9,231	9,507	9,606	9,714	9,734	142	146
Perak	8,463	8,471	8,471	8,482	8,507	82	324
Negeri Sembilan	5,516	5,528	5,556	5,574	5,574	184	604
Melaka	7,104	7,158	7,158	7,184	7,214	773	1,917
Kedah	3,858	3,858	3,869	3,869	3,873	73	339
Pahang	3,559	3,578	3,584	3,647	3,680	36	188
Terengganu	866	866	866	866	866	83	66
Kelantan	606	613	617	630	630	5	44

State	2019	2020	2021	2022	9M/2023	Future Supply (No. of Units)	
						Incoming	Planned
Perlis	295	296	296	296	296	68	140
Sabah	6,163	6,189	6,237	6,317	6,331	188	324
Sarawak	7,117	7,347	7,337	7,467	7,525	222	175
Total	116,981	118,301	119,288	120,233	121,171	3,940	6,478

Source: National Property Information Centre (NAPIC)

In terms of geographical distribution, the top three states which represented the majority share with almost 60% of Malaysia's existing industrial property supply as of Q3/2023 are Selangor (34.7% share, 42,005 units), followed by Johor (15.8% share, 19,101 units) and Pulau Pinang (8.0% share, 9,734 units).

As reported by MIDA, the total approved investment in the first nine months of 2023 (9M/2023) has recorded an improvement of 6.6% as compared to the same period in 2022. (RM225 billion, 9M/2023; RM211 billion, 9M/2022). The top five states that took the lion's share of investments, amounting to 79% of the total approved investments, are W.P. Kuala Lumpur (RM48.9 billion), Pulau Pinang (RM44.9 billion), Selangor (RM41.6 billion), Kedah (RM22.6 billion) and Johor (RM20.0 billion).

Our basket of industrial warehouse properties is selected from the established Real Estate Investment Trusts (REITs) in Malaysia, with a predominant concentration in Greater KL, Penang, and Johor. The samplings of selected industrial warehouses indicate consistently high occupancy rates, underpinned by committed long-term leases by the warehouse occupiers. The overall occupancy rate for the observed warehouses has been consistently recorded at an average of 88%. The strong performance of MREITs is mainly supported by the security of tenure, where most of the tenants are single tenants with long-term tenancies and secured rental rates. With industrial activity remaining buoyant, the demand for warehouses/facilities in prime locations will remain positive. Nevertheless, the positive upswing in the industrial development supply basket may eventually pressure the rental and occupancy rate.

3.2 INDUSTRIAL PROPERTY SECTOR: WP KUALA LUMPUR & SELANGOR (GREATER KL)

3.2.1 WP Kuala Lumpur & Selangor: Industrial Property Volume and Value of Transactions, 2019 to 9M/2023 ^(p)

State	Industrial Property Type	2019		2020		2021		2022		9M/2023 ^(p)	
		Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)
WP Kuala Lumpur	Vacant Plot	4	49.70	0	0.00	2	3.91	5	15.97	5	40.51
	Terraced Factory/Warehouse	61	90.37	38	56.83	53	89.33	80	173.61	52	90.87
	Semi-Detached Factory/Warehouse	13	72.00	8	42.18	8	40.10	6	29.10	17	82.72
	Detached Factory/Warehouse	15	110.90	11	86.93	14	91.92	31	362.60	22	148.21
	Industrial Complex/Unit	45	15.81	23	10.03	17	7.29	24	9.03	15	6.31
	Others	11	38.85	5	3.24	3	2.61	3	2.39	0	0.00
	Total	149	377.62	85	199.21	97	235.16	149	592.70	111	368.62

INDEPENDENT MARKET OVERVIEW

State	Industrial Property Type	2019		2020		2021		2022		9M/2023 ^(p)	
		Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)
Selangor	Vacant Plot	555	2,127.58	360	3,440.25	400	3,727.65	592	3,159.55	380	2,405.48
	Terraced Factory/Warehouse	942	871.22	714	724.38	888	912.97	1,247	1,217.91	912	930.83
	Semi-Detached Factory/Warehouse	407	1,517.60	287	1,175.63	430	1,567.46	563	2,304.71	361	1,579.60
	Detached Factory/Warehouse	206	3,676.32	151	1,827.63	187	2,582.49	272	3,100.67	203	3,125.14
	Industrial Complex/Unit	33	13.84	38	17.23	7	38.49	10	5.13	9	4.08
	Others	69	69.91	51	105.87	40	88.18	47	264.86	56	217.67
	Total	2,212	8,276.47	1,601	7,291.00	1,952	8,917.24	2,731	10,052.82	1,921	8,262.80

Source: National Property Information Centre (NAPIC)

Note: (p) = preliminary data

The industrial real estate market in Greater KL remains active, with 2,880 industrial properties worth RM10.65 billion transactions recorded in 2022, underpinned by healthy demand on the back of strong e-commerce penetration and manufacturing output. Following that, 2,032 transactions amounting to RM8.63 billion were recorded in 9M/2023, signifies a slight decrease of 4.6% and an increase of 7.6%, respectively, in terms of volume and value of the transaction, compared to 2,130 transactions worth RM8.02 billion recorded in the same period of 2022. This positive trend in value is backed by the Malaysian government's proactive initiatives, which include implementing comprehensive strategies and action plans to drive the nation's industrial development forward.

3.2.2 WP Kuala Lumpur & Selangor: Supply of Industrial Properties by Type, 2019 to 9M/2023

State	Industrial Property Type	2019	2020	2021	2022	9M/2023	Future Supply (No. of Units)	
							Incoming	Planned
WP Kuala Lumpur	Terraced	2,545	2,545	2,545	2,545	2,545	0	37
	Semi-Detached	412	412	412	412	412	0	0
	Detached	511	511	511	511	511	0	0
	Flatted Factory	1,670	1,670	1,670	1,670	1,670	0	0
	Industrial Complex	0	0	0	0	0	0	0
	Cluster	0	0	0	0	0	0	0
	Total	5,138	5,138	5,138	5,138	5,138	0	37

State	Industrial Property Type						Future Supply (No. of Units)	
		2019	2020	2021	2022	9M/2023	Incoming	Planned
Selangor	Terraced	28,520	28,647	28,785	28,919	29,004	262	458
	Semi-Detached	6,598	6,694	6,826	6,932	7,056	420	782
	Detached	5,213	5,273	5,356	5,419	5,481	337	495
	Flatted Factory	263	263	264	264	264	464	0
	Industrial Complex	107	107	108	108	108	3	2
	Cluster	0	0	0	0	92	0	345
	Total	40,701	40,984	41,339	41,642	42,005	1,486	2,082

Source: National Property Information Centre (NAPIC)

As of 9M/2023, the cumulative industrial supply in Greater KL stood at 47,143 units. In Selangor, there are 1,486 units of industrial properties in the upcoming supply, with 2,082 units from the planned supply. Selangor comprises most of the bulk supply, while WP Kuala Lumpur only makes up to 37 units of the planned supply, all of which are terraced factories.

3.2.3 Greater KL: Selected Industrial Property Transactions in 2023

Location	Property Details	Land Area (acres)	Tenure ¹	Date of Transaction	Consideration (RM million)	Purchaser
Cheras	Industrial Land with Building	1.69	LH	5 January 2023	17.5	Attractive Venture (KL) Sdn. Bhd.
Puchong	Industrial Land with Building	1.01	LH	6 January 2023	19.0	Sedaya Rasmi (M) Sdn. Bhd.
Subang	Industrial Land with Building	5.51	-	13 January 2023	29.3	Mapletree Logistics Trust
Puchong	Industrial Land with Building	1.90	-	13 January 2023	20.9	Mapletree Logistics Trust
Sungai Buloh	Industrial Land with Building	4.00	FH	19 January 2023	35.0	TYH Management Sdn. Bhd.
Shah Alam	Industrial Land with Building	2.55	FH	10 February 2023	33.0	Matang Berhad
Klang	Industrial Land with Building	4.83	FH	26 April 2023	23.4	Wilee Vegetable Oils Sdn. Bhd.
Klang	Vacant Industrial Land	2.26	FH	28 April 2023	13.0	Kitacon Sdn. Bhd.
Klang	Vacant Industrial Land	20.31	FH	2 May 2023	60.2	Astino (Malaysia) Colour Steel Sheets Sdn. Bhd.
Shah Alam	Industrial Land with Building	N/A	FH	15 May 2023	39.7	CapitaLand Malaysia REIT Management Sdn. Bhd.
Shah Alam	Industrial Land with Building	1.18	FH	10 July 2023	19.4	Conway Terminals Manufacturer Sdn. Bhd.
Kuala Lumpur	Industrial Land with Building	1.19	LH	18 July 2023	29.0	Gorgeous Arena Sdn. Bhd.

INDEPENDENT MARKET OVERVIEW

Location	Property Details	Land Area (acres)	Tenure ⁱ	Date of Transaction	Consideration (RM million)	Purchaser
Kuala Lumpur	Development Land with Building	26.11	LH	20 July 2023	408.0	Paragon TSL Sdn. Bhd.
Rawang	Industrial Land	12.82	FH	21 July 2023	24.0	TST Land Sdn. Bhd.
Klang	Industrial Land	10.79	FH	25 July 2023	34.7	Hond Tat Polymer Sdn. Bhd.
Rawang	Development Land	245.00	FH	3 August 2023	115.0	Sunway Rawang City Sdn. Bhd.
Klang	Industrial Land with Building	14.44	-	7 August 2023	60.0	N/A ⁱⁱ
Banting	Industrial Land with Building	26.79	FH	1 September 2023	92.0	Unichamp Mineral Sdn. Bhd.
Balakong	Industrial Land with Building	1.20	LH	6 September 2023	16.2	Menang Nusantara Sdn. Bhd.
Klang	Industrial Land with Building	6.58	FH	25 September 2023	75.8	Senheng Electric (KL) Sdn. Bhd.
Kuala Lumpur	Industrial Land	3.53	LH	5 October 2023	43.1	Urban Reach Sdn. Bhd.
Petaling	Industrial Land with Building	0.24	FH	10 October 2023	6.7	JLL Electrical Sdn. Bhd.
Klang	Industrial Land with Building	4.54	FH	12 October 2023	40.0	Array Metal (M) Sdn. Bhd.
Klang	Industrial Land	14.00	LH	16 October 2023	36.6	Ong Saut Mee
Kuala Selangor	Industrial Land	19.38	FH	19 October 2023	18.4	Syarikat Minho Kilning Sdn. Bhd.
Klang	Industrial Land	12.85	LH	31 October 2023	42.0	Tri-Mode System (M) Berhad
Shah Alam	Industrial Land with Building	6.00	LH	2 November 2023	41.0	Atrium REIT Managers Sdn. Bhd.
Shah Alam	Industrial Land with Building	1.05	FH	1 December 2023	18.5	TT dotCom Sdn. Bhd.
Serendah	Industrial Land	22.22	LH	4 December 2023	52.3	Perodua Sales Sdn. Bhd.
Serdang	Industrial Land with Building	0.24	FH	20 December 2023	6.9	8 Food Avenue Sdn. Bhd.

Source: JPPH/ Savills Research

Note:

i FH = Freehold; LH = Leasehold

ii N/A = Purchaser information is not made available

Industrial transactions remained positive throughout 2023, with 30 major transactions amounting to RM1.47 billion recorded in the year. Klang remained one of the prime industrial spots, recording the highest number of transactions with 9 deals worth RM0.39 billion, contributing 27% of the total transaction value in Greater KL.

The Klang Municipal Council (MPK) is proposing a change to Klang's Draft Local Plan 2035 (Amendment 1) in terms of building regulations related to plot ratio and density. These modifications were made to facilitate the East Coast Rail Link (ECRL) project, which is scheduled to commence operations in 2027, to address flood mitigation concerns and to meet the demand for industrial zones supporting the logistics industry. Upon gazettment, the suggested alterations in land use are anticipated to lead to a 2.36% rise in the total industrial land, which will later benefit the local industrial development.

3.3 INDUSTRIAL PROPERTY SECTOR: PENANG

3.3.1 Penang: Industrial Property Volume and Value of Transactions, 2019 to 9M/2023 ^(p)

Industrial Property Type	2019		2020		2021		2022		9M/2023 ^(p)	
	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)
Vacant Plot	85	181.65	82	129.45	116	388.24	104	522.21	155	418.82
Terraced Factory/Warehouse	133	90.67	115	98.09	138	114.31	183	141.73	127	110.39
Semi-Detached Factory/Warehouse	90	174.37	92	192.94	103	232.28	122	336.36	86	251.18
Detached Factory/Warehouse	45	391.09	47	369.61	74	769.18	68	603.07	51	492.40
Industrial Complex/Unit	15	6.82	8	4.01	20	99.77	32	17.11	12	9.41
Others	24	20.30	18	21.53	13	8.86	13	2.93	16	53.87
Total	392	864.90	362	815.63	464	1,612.64	522	1,623.42	447	1,336.07

Source: National Property Information Centre (NAPIC)
Note: (p) = preliminary data

In Penang, industrial property transactions recorded RM1.62 billion in 2022, a marginal increase of 0.7% from RM1.61 billion in 2021. Additionally, the number of transactions rose 12.5% from 464 in 2021 to 522 in 2022. Subsequently, 9M/2023 recorded 447 transactions worth RM1.37 billion. The presence of a robust electrical and electronics (E&E) cluster has further positioned and evolved Penang into a regional electronics manufacturing hub. The pandemic has accelerated the sales of raw materials, supported by rapid technological advancements and digitalisation, which have boosted demand for industrial properties in the state.

3.3.2 Penang: Supply of Industrial Properties by Type, 2019 to 9M/2023

State	Industrial Property Type						Future Supply (No. of Units)	
		2019	2020	2021	2022	9M/2023	Incoming	Planned
Penang	Terraced	5,099	5,117	5,171	5,157	5,169	5	0
	Semi-Detached	1,640	1,850	1,886	2,000	2,000	112	136
	Detached	1,910	1,941	1,950	1,957	1,965	24	10
	Flatted Factory	511	511	511	511	511	1	0
	Industrial Complex	71	71	71	72	72	0	0
	Cluster	0	17	17	17	17	0	0
	Total	9,231	9,507	9,606	9,714	9,734	142	146

Source: National Property Information Centre (NAPIC)

As of 9M/2023, Penang's cumulative industrial supply stood at 9,734 units. There are 142 units of industrial properties in the upcoming supply, with 146 units under the planned supply. On the other hand, the bulk of Penang's 288 units in the pipeline were mainly contributed by semi-detached factories (86.1% share, 248 units), followed by detached factories (11.8% share, 34 units) and terraced factories (1.7% share, 5 units). The launch of Ready-Built-Factories in Penang Technology Park (PTP) has contributed to the incoming supply of industrial units in Penang.

INDEPENDENT MARKET OVERVIEW

3.3.3 Penang: Selected Industrial Property Transactions in 2023

Location	Property Details	Land Area (Acres)	Tenure ⁱ	Date of Transaction	Consideration (RM million)	Purchaser
Seberang Prai Tengah	Industrial Land with Building	1.00	LH	3 April 2023	10.5	All Cables Sdn. Bhd.
Seberang Prai Tengah	Vacant Land	15.14	FH	5 April 2023	34.0	Wangsaga Industries Sdn. Bhd.
Seberang Prai Selatan	Vacant Land	2.27	FH	11 April 2023	2.4	Heng Huat Resources Group Bhd
Seberang Prai Tengah	Industrial Land with Building	1.00	LH	26 April 2023	10.2	Volcano Name Plate Sdn. Bhd.
Seberang Prai Utara	Industrial Land with Building	5.36	FH	23 May 2023	30.2	Swift Haulage Bhd
Seberang Prai Tengah	Industrial Land	7.23	LH	23 June 2023	15.7	Heng Huat Resources Group Bhd
Seberang Prai Tengah	Industrial Land with Building	4.32	LH	1 August 2023	23.8	NationGate System Sdn. Bhd.
Seberang Prai Selatan	Industrial Land with Building	2.11	FH	14 August 2023	17.7	Coraza Systems Malaysia Sdn. Bhd.
Seberang Prai Tengah	Vacant Land	9.71	FH	18 September 2023	39.8	SkyDorm Sdn. Bhd.
Seberang Prai Selatan	Development Land	18.00	FH	10 October 2023	70.6	Projek Tetap Teguh Sdn. Bhd.
Bukit Minyak	Industrial Land with Building	7.77	LH	10 November 2023	41.8	SkyDorm Industries Sdn. Bhd.
Bukit Minyak	Worker Dormitory (3,321 beds)	4.05	FH	4 December 2023	81.0	Kumpulan Wang Persaraan (KWAP)
Seberang Prai Tengah	Industrial Land with Building	10.40	LH	18 December 2023	66.8	Sunway Real Estate Investment Trust
Bayan Lepas	Industrial Land	4.13	LH	21 December 2023	41.9	FoundPac Sdn. Bhd.
Source: JPPH/ Savills Research Note: FH = Freehold; LH = Leasehold						

Seberang Prai remains the industrial hotspot with 13 transactions worth RM0.44 billion, contributing to the 91% share of the 14 major transactions in Penang. This reflects the persistent strong demand for industrial lands and properties in the Penang mainland. To support the growing demand for industrial land in Penang, the Penang Development Corp (PDC) is developing infrastructure for 800 acres of land in East Batu Kawan, which is expected to be completed by 2028. This development aims to cater to the strong demand from multinational corporations (MNCs) from various countries seeking alternative investment destinations.

The recent launch of Penang Technology Park in Bertam by Ideal Capital Bhd involved a significant investment sum of RM4.2 billion. This pioneering initiative is the first of its kind in the North Seberang Perai district, encompassing 880 acres of industrial land specifically designed for high-technology industries, with certain parcels set aside for commercial use. It has been reported that the project's launch has garnered significant interest, securing commitments from 23 local and foreign companies. These companies are expected to occupy approximately 35% of the initial phase of Penang Technology Park (PTP). Several noteworthy companies have established a presence in the park, including the inauguration of INV New Material Technology (M) Sdn. Bhd. and the prominent player in the lithium battery separator industry, Shenzhen Senior Technology Material Co Ltd, to name a few.

3.4 INDUSTRIAL PROPERTY SECTOR: PAHANG

3.4.1 Pahang: Industrial Property Volume and Value of Transactions, 2019 to 9M/2023 ^(p)

Industrial Property Type	2019		2020		2021		2022		9M/2023 ^(p)	
	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)	Volume (No. of units)	Value (RM Million)
Vacant Plot	72	250.73	67	93.64	93	60.13	103	58.36	52	346.03
Terraced Factory/Warehouse	59	21.90	23	10.74	28	11.13	58	24.21	37	15.77
Semi-Detached Factory/Warehouse	7	7.15	16	10.25	9	7.66	18	14.36	7	6.99
Detached Factory/Warehouse	12	131.15	15	61.19	12	38.02	21	74.17	12	31.19
Industrial Complex/Unit	0	0.00	0	0.00	0	0.00	0	0.00	0	0.00
Others	39	32.49	11	7.36	14	5.66	20	11.96	7	2.87
Total	189	443.42	132	183.18	156	122.60	220	183.05	115	402.85

Source: National Property Information Centre (NAPIC)
Note: (p) = preliminary data

In 2022, about 220 industrial properties with a total value of RM0.18 billion changed hands. This reflects a significant year-on-year increase of 41.0% in volume and 49.3% in value compared to the figures for 2021, which stood at 156 units worth RM0.12 billion. Subsequently, 115 transactions amounting to RM0.40 billion were recorded in 9M/2023. This marks a 134.7% increase in volume and a twofold rise in transaction value compared to the 160 transactions valued at RM0.12 billion recorded during the equivalent period in 2022. The ongoing construction of the East Coast Rail Link (ECRL), slated for completion in 2027, is a pivotal development in Pahang. This initiative plays a key role in promoting rail freight transport, bringing about a transformative impact by enhancing cargo transport capabilities at both Kuantan Port and Port Klang, it is anticipated to boost industrial activities in the region significantly.

3.4.2 Pahang: Supply of Industrial Properties by Type, 2019 to 9M/2023

State	Industrial Property Type	2019	2020	2021	2022	9M/2023	Future Supply (No. of Units)	
							Incoming	Planned
Pahang	Terraced	2,294	2,312	2,312	2,365	2,397	22	151
	Semi-Detached	406	406	412	412	412	12	8
	Detached	787	787	787	797	798	2	26
	Flatted Factory	0	0	0	0	0	0	0
	Industrial Complex	72	73	73	73	73	0	3
	Cluster	0	0	0	0	0	0	0
	Total	3,559	3,578	3,584	3,647	3,680	36	188

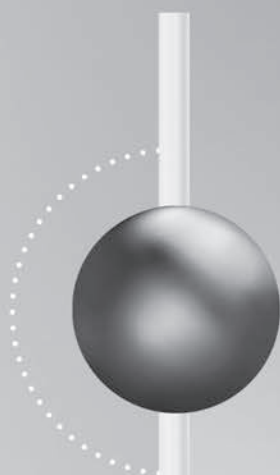
Source: National Property Information Centre (NAPIC)

As of 9M/2023, the existing industrial stock in Pahang is mainly contributed by terraced factories, which contribute to 65% of the total existing supply in the state. It is followed by detached factories (22%, 798 units) and semi-detached factories (11%, 412 units). As for future supply, there are a total of 224 units consisting of mainly terraced factories (77%, 173 units), followed by detached factories (13%, 28 units), semi-detached factories (9%, 20 units) and industrial complexes (1%, 3 units).

3.4.3 Pahang: Selected Industrial Property Transactions in 2023

Location	Property Details	Land Area (Acres)	Tenure ⁱ	Date of Transaction	Consideration (RM million)	Purchaser ⁱⁱ
Temerloh	Vacant Land	0.51	FH	16 March 2023	3.0	N/A
Kuantan	Detached Factory with Office	0.96	LH	16 May 2023	3.8	N/A
Kuantan	Detached Factory with Office	0.41	LH	1 June 2023	2.5	N/A
Kuantan	Vacant Land	27.16	LH	3 July 2023	19.1	N/A
Pekan	Vacant Land	5.99	LH	11 July 2023	4.5	N/A
Kuantan	Vacant Land	5.92	FH	25 July 2023	3.0	N/A
Kuantan	Detached Factory	1.03	FH	14 August 2023	2.3	N/A
Note: i FH = Freehold; LH = Leasehold ii N/A = Purchaser information is not made available						

Pahang experienced a scarcity of transactions in the review period, predominantly focused on the Kuantan district. This district constituted 80% of the total transactions, contributing RM30.7 million to the overall sum of RM38.2 million. The ongoing construction of the East Coast Rail Link (ECRL), currently progressing at 53% as of September 2023, is slated to complete its Phase 1 construction, spanning from Kota Bahru, Kelantan, to Gombak, Selangor, by the year 2026. The primary objective of this project is to establish a crucial link between Kuantan Port in Pahang and Port Klang in Selangor, aiming to enhance cargo transport efficiency at both ports. The ECRL represents a pivotal initiative in transitioning from a road-based to a more effective railway cargo transport system, fostering increased rail freight transport. This shift significantly alleviates traffic congestion and emissions and reduces costs while improving connectivity and trade and catalysing economic and industrial growth in Malaysia's east coast developments.



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STATEMENTS OF FINANCIAL POSITION

As at 31 December 2023

		Group		Trust	
	Note	2023 RM'000	2022 RM'000	2023 RM'000	2022 RM'000
Assets					
Plant and equipment	3	3,766	3,362	3,766	3,362
Investment properties	4	5,008,550	3,892,000	5,006,402	3,892,000
Investment in subsidiaries	5	-	-	2,537	*
Total non-current assets		5,012,316	3,895,362	5,012,705	3,895,362
Trade and other receivables	6	26,537	35,954	26,431	35,902
Amount due from subsidiary	7	-	-	7,016	5,079
Cash and cash equivalents	8	77,952	84,309	70,730	79,362
Total current assets		104,489	120,263	104,177	120,343
Total assets		5,116,805	4,015,625	5,116,882	4,015,705
Equity					
Unitholders' capital	9	2,534,074	2,274,725	2,534,074	2,274,725
Undistributed profits		213,128	143,366	213,124	143,381
Total unitholders' funds		2,747,202	2,418,091	2,747,198	2,418,106
Liabilities					
Borrowings	10	1,975,167	1,266,919	1,675,870	967,315
Lease liabilities		6,118	-	6,118	-
Tenants' deposits		57,833	35,338	57,759	35,338
Deferred tax liabilities	11	3,072	-	3,050	-
Amount due to subsidiary	7	-	-	300,000	300,000
Total non-current liabilities		2,042,190	1,302,257	2,042,797	1,302,653
Borrowings	10	187,388	184,399	187,388	184,399
Lease liabilities		336	-	336	-
Tenants' deposits		49,622	42,995	49,602	42,995
Trade and other payables	12	90,067	67,883	89,561	67,552
Total current liabilities		327,413	295,277	326,887	294,946
Total liabilities		2,369,603	1,597,534	2,369,684	1,597,599
Total equity and liabilities		5,116,805	4,015,625	5,116,882	4,015,705
Net assets value (NAV)					
- before final income distribution		2,747,202	2,418,091	2,747,198	2,418,106
- after final income distribution		2,685,815	2,372,629	2,685,811	2,372,644
Units in circulation ('000)	9	2,740,459	2,206,935	2,740,459	2,206,935
NAV per unit (RM)					
- before final income distribution		1.0025	1.0957	1.0025	1.0957
- after final income distribution		0.9801	1.0751	0.9801	1.0751

* Denotes RM2 issued and paid-up share capital in CLMT MTN Berhad.

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the Financial Year Ended 31 December 2023

	Note	Group 2023 RM'000	2022 RM'000	Trust 2023 RM'000	2022 RM'000
Gross rental income		317,802	220,127	317,709	220,127
Car park income		27,132	19,394	27,132	19,394
Other revenue		50,456	36,296	50,449	36,296
Gross revenue		395,390	275,817	395,290	275,817
Maintenance expenses		(59,139)	(37,628)	(59,087)	(37,628)
Utilities		(64,099)	(46,832)	(64,099)	(46,832)
Other operating expenses	13	(54,746)	(38,847)	(54,745)	(38,847)
Property operating expenses		(177,984)	(123,307)	(177,931)	(123,307)
Net property income		217,406	152,510	217,359	152,510
Interest income		2,762	1,969	2,762	1,969
Other non-operating income		3,642	3,250	3,642	3,250
Fair value gain/(loss) on investment properties (net)	4	55,124	(41,066)	58,996	(41,066)
Net investment income		278,934	116,663	282,759	116,663
Manager's management fee	14	(24,968)	(18,720)	(24,968)	(18,720)
Trustee's fee	15	(420)	(400)	(420)	(400)
Auditor's fee		(323)	(220)	(300)	(212)
Tax agent's fee		(52)	(26)	(31)	(21)
Valuation fee		(375)	(291)	(370)	(291)
Finance costs	16	(84,781)	(46,517)	(84,781)	(46,517)
Other non-operating expenses		(1,683)	(1,803)	(5,196)	(1,816)
Total non-operating and trust expenses		(112,602)	(67,977)	(116,066)	(67,977)
Profit before taxation		166,332	48,686	166,693	48,686
Taxation	17	(2,670)	1,738	(3,050)	1,738
Profit and total comprehensive income for the financial year		163,662	50,424	163,643	50,424
Distribution adjustments	A	(53,651)	36,891	(53,651)	36,891
Income available for distribution		110,011	87,315	109,992	87,315
Distributable income¹	19	109,825	87,489	109,825	87,489

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the Financial Year Ended 31 December 2023

	Note	Group 2023 RM'000	Group 2022 RM'000	Trust 2023 RM'000	Trust 2022 RM'000
Total comprehensive income for the financial year is made up as follows:					
Realised profit		111,202	89,752	111,197	89,752
Unrealised profit/(loss)		52,460	(39,328)	52,446	(39,328)
		163,662	50,424	163,643	50,424
Earnings per unit (sen)	18				
- before Manager's management fee		7.23	3.20	7.23	3.20
- after Manager's management fee		6.27	2.33	6.27	2.33
Distribution per unit (DPU) (sen)					
- for the financial year	19	4.17	4.01	4.17	4.01
Income distribution²					
Distribution of 1.95 sen per unit relating to 1.1.2022 to 30.6.2022				-	42,027
Distribution of 2.06 sen per unit relating to 1.7.2022 to 31.12.2022 ³	19			-	45,462
Advanced distribution of 0.74 sen per unit relating to 1.1.2023 to 9.3.2023				16,330	-
Distribution of 1.19 sen per unit relating to 10.3.2023 to 30.6.2023				32,108	-
Distribution of 2.24 sen per unit relating to 1.7.2023 to 31.12.2023 ³	19			61,387	-
				109,825	87,489

¹ The difference between income available for distribution and distributable income is due to the rounding effect of DPU.

² Income distributable to resident individuals, non-resident individuals, resident institutional investors, non-resident institutional investors and non-resident companies are subject to withholding tax.

³ The declared final income distribution will be recognised in the immediate subsequent financial year.

	Note	Group 2023 RM'000	Group 2022 RM'000	Trust 2023 RM'000	Trust 2022 RM'000
Note A					
Distribution adjustments comprise:					
Manager's management fee payable in units		8,313	5,153	8,313	5,153
Depreciation	3	1,685	1,391	1,685	1,391
Amortisation of transaction costs on borrowings	16	1,436	919	1,239	724
Tax and other adjustments		(12,625)	(9,900)	(12,442)	(9,705)
Realised portion		(1,191)	(2,437)	(1,205)	(2,437)
Impairment loss on investment in subsidiaries	5	-	-	3,500	-
Fair value (gain)/loss on investment properties (net)	4	(55,124)	41,066	(58,996)	41,066
Deferred taxation	17	2,664	(1,738)	3,050	(1,738)
Unrealised portion		(52,460)	39,328	(52,446)	39,328
Total distribution adjustments		(53,651)	36,891	(53,651)	36,891

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF CHANGES IN NET ASSET VALUE

For the Financial Year Ended 31 December 2023

	Unitholders' capital RM'000	Undistributed profits RM'000	Total unitholders' funds RM'000
Group			
At 1 January 2022	2,235,447	155,851	2,391,298
Total comprehensive income for the financial year	-	50,424	50,424
Unitholders' transactions			
- Units issued as part satisfaction of the Manager's management fee	4,071	-	4,071
- Units issued under the Distribution Reinvestment Plan (net of issue costs)	35,207	-	35,207
- Distribution paid to unitholders	-	(62,909)	(62,909)
Increase/(Decrease) in net assets resulting from unitholders' transactions	39,278	(62,909)	(23,631)
At 31 December 2022/1 January 2023	2,274,725	143,366	2,418,091
Total comprehensive income for the financial year	-	163,662	163,662
Unitholders' transactions			
- Units issued as part satisfaction of the Manager's management fee	16,927	-	16,927
- Units issued through equity fund raising (net of issue costs)	225,754	-	225,754
- Units issued under the Distribution Reinvestment Plan (net of issue costs)	16,668	-	16,668
- Distribution paid to unitholders	-	(93,900)	(93,900)
Increase/(Decrease) in net assets resulting from unitholders' transactions	259,349	(93,900)	165,449
At 31 December 2023	2,534,074	213,128	2,747,202
Note 9			
Trust			
At 1 January 2022	2,235,447	155,866	2,391,313
Total comprehensive income for the financial year	-	50,424	50,424
Unitholders' transactions			
- Units issued as part satisfaction of the Manager's management fee	4,071	-	4,071
- Units issued under the Distribution Reinvestment Plan (net of issue costs)	35,207	-	35,207
- Distribution paid to unitholders	-	(62,909)	(62,909)
Increase/(Decrease) in net assets resulting from unitholders' transactions	39,278	(62,909)	(23,631)
At 31 December 2022/1 January 2023	2,274,725	143,381	2,418,106
Total comprehensive income for the financial year	-	163,643	163,643
Unitholders' transactions			
- Units issued as part satisfaction of the Manager's management fee	16,927	-	16,927
- Units issued through equity fund raising (net of issue costs)	225,754	-	225,754
- Units issued under the Distribution Reinvestment Plan (net of issue costs)	16,668	-	16,668
- Distribution paid to unitholders	-	(93,900)	(93,900)
Increase/(Decrease) in net assets resulting from unitholders' transactions	259,349	(93,900)	165,449
At 31 December 2023	2,534,074	213,124	2,747,198
Note 9			

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF CASH FLOWS

For the Financial Year Ended 31 December 2023

	Note	Group		Trust	
		2023 RM'000	2022 RM'000	2023 RM'000	2022 RM'000
Cash flows from operating activities					
Profit before taxation		166,332	48,686	166,693	48,686
Adjustments for:					
Manager's management fee paid/payable in units ¹		8,313	5,153	8,313	5,153
Depreciation	3	1,685	1,391	1,685	1,391
Fair value (gain)/loss on investment properties (net)	4	(55,124)	41,066	(58,996)	41,066
Finance costs	16	84,781	46,517	84,781	46,517
Net reversal of impairment losses on trade receivables	6	(1,437)	(4,874)	(1,424)	(4,874)
Impairment loss on investment in subsidiaries		-	-	3,500	-
Interest income		(2,762)	(1,969)	(2,762)	(1,969)
Gain on disposal of an investment property		(426)	-	(426)	-
Gain on disposal of plant and equipment		-	(1)	-	(1)
Plant and equipment written off		4	-	4	-
Operating profit before changes in working capital		201,366	135,969	201,368	135,969
Changes in working capital:					
Trade and other receivables		11,193	16,787	11,142	16,460
Trade and other payables		(13,859)	1,255	(13,960)	6,599
Tenants' deposits		29,062	1,518	29,028	1,518
Amount due from subsidiary		-	-	(2,135)	(9,716)
Net cash generated from operations		227,762	155,529	225,443	150,830
Tax paid		(11)	-	-	-
Tax refunded		7	-	-	-
Net cash generated from operating activities		227,758	155,529	225,443	150,830
Cash flows from investing activities					
Acquisition of investment properties		(1,023,670)	(79,950)	(1,023,670)	(79,950)
Addition of plant and equipment		(2,126)	(1,006)	(2,126)	(1,006)
Acquisition of subsidiaries, net of cash and cash equivalents acquired	27	(5,572)	-	(6,037)	-
Incidental costs on acquisition of investment properties		(9,516)	(1,883)	(9,516)	(1,883)
Capital expenditure on investment properties		(23,596)	(13,611)	(23,596)	(13,611)
Deposits paid on acquisition of investment properties	6	-	(19,759)	-	(19,759)
Proceeds from disposal of an investment property		50,431	-	50,431	-
Proceeds from disposal of plant and equipment		33	1	33	1
Interest received		2,753	1,969	2,753	1,969
Net cash used in investing activities		(1,011,263)	(114,239)	(1,011,728)	(114,239)
Cash flows from financing activities					
Distribution paid to unitholders ²		(77,057)	(27,424)	(77,057)	(27,424)
Increase in pledged deposits		(1,720)	-	-	-
Interest expense and other financing costs paid		(87,814)	(45,009)	(87,309)	(40,318)
Payment of lease liabilities		(474)	-	(474)	-
Payment of transaction costs related to issuance of new CLMT units		(2,258)	(205)	(2,258)	(205)
Proceeds from drawdown of interest-bearing borrowings		923,406	157,266	923,406	157,266
Proceeds from issuance of new CLMT units		227,849	-	227,849	-
Repayment of interest-bearing borrowings		(206,504)	(117,785)	(206,504)	(117,785)
Net cash from/(used in) financing activities		775,428	(33,157)	777,653	(28,466)
Net (decrease)/increase in cash and cash equivalents		(8,077)	8,133	(8,632)	8,125
Cash and cash equivalents at 1 January		79,379	71,246	79,362	71,237
Cash and cash equivalents at 31 December		71,302	79,379	70,730	79,362

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF CASH FLOWS

For the Financial Year Ended 31 December 2023

Cash and cash equivalents at end of the financial year comprise:

	Note	Group 2023 RM'000	2022 RM'000	Trust 2023 RM'000	2022 RM'000
Deposits placed with licensed banks	8	60,892	66,267	54,237	61,333
Cash and bank balances	8	17,060	18,042	16,493	18,029
	8	77,952	84,309	70,730	79,362
Less: Pledged deposits	8	(6,650)	(4,930)	-	-
		71,302	79,379	70,730	79,362

a. Non-cash transactions

1. A portion of the management fees were paid in new CLMT units to the Manager.
2. A portion of the income distribution was paid in new CLMT units pursuant to the Distribution Reinvestment Plan.

b. Cash outflows for leases as a lessee:

	Group 2023 RM'000	2022 RM'000	Trust 2023 RM'000	2022 RM'000
Included in net cash from operating activities:				
Payment relating to leases of low-value assets	393	69	393	69
Included in net cash from financing activities:				
Payment of lease liabilities	474	-	474	-
Total cash outflows for leases	867	69	867	69

The accompanying notes form an integral part of these financial statements.

STATEMENTS OF CASH FLOWS

For the Financial Year Ended 31 December 2023

Reconciliation of movements of liabilities to cash flows arising from financing activities

	At 1 January 2022 RM'000	Net changes from financing cash flows RM'000	Other changes RM'000	At 31 December 2022/ 1 January 2023 RM'000	Net changes from financing cash flows RM'000	Acquisition of new lease/other changes RM'000	At 31 December 2023 RM'000
Group							
Secured term loans	918,430	-	-	918,430	702,499	-	1,620,929
Secured revolving credit	69,516	5,841	-	75,357	(592)	-	74,765
Unsecured revolving credits	125,310	33,640	-	158,950	14,995	-	173,945
Unrated and secured MTN	300,000	-	-	300,000	-	-	300,000
Lease liabilities	-	-	-	-	(474)	6,928	6,454
Less: Unamortised transaction costs	(987)	-	(432)	(1,419)	-	(5,665)	(7,084)
Total liabilities from financing activities	1,412,269	39,481	(432)	1,451,318	716,428	1,263	2,169,009
Trust							
Secured term loans	918,430	-	-	918,430	702,499	-	1,620,929
Secured revolving credit	69,516	5,841	-	75,357	(592)	-	74,765
Unsecured revolving credits	125,310	33,640	-	158,950	14,995	-	173,945
Amount due to subsidiary	300,000	-	-	300,000	-	-	300,000
Lease liabilities	-	-	-	-	(474)	6,928	6,454
Less: Unamortised transaction costs	(396)	-	(627)	(1,023)	-	(5,358)	(6,381)
Total liabilities from financing activities	1,412,860	39,481	(627)	1,451,714	716,428	1,570	2,169,712

The accompanying notes form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

CapitaLand Malaysia Trust (CLMT or the Trust) is a Malaysia domiciled real estate investment trust (REIT) constituted by a deed dated 7 June 2010 (which was amended and restated on 13 July 2021) (the Deed) entered into between CapitaLand Malaysia REIT Management Sdn. Bhd. (the Manager) and MTrustee Berhad (the REIT Trustee). The Deed was registered with Securities Commission Malaysia (SC) on 20 September 2021. CLMT is regulated by the SC's Guidelines on Listed Real Estate Investment Trusts (REIT Guidelines), the Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Securities) and other relevant laws and regulations.

CLMT is listed on the Main Market of Bursa Securities.

The consolidated financial statements reported for the financial year ended 31 December 2023 relates to the Trust and its subsidiaries (the Group).

Under the Deed, the principal activity of CLMT is to invest, on a long term basis, in a portfolio of income-producing real estate as deemed fit by the Manager, that are used for retail, commercial, office and industrial purposes, or such other non-real estate investments, as may be permitted under the Deed, the REIT Guidelines or by the SC, with a view of providing unitholders with long term and sustainable distribution of income and potential capital growth. The principal activity of the subsidiaries are as disclosed in Note 5 to the financial statements. Except as disclosed above, there have been no significant changes in the nature of these activities during the financial year.

For financial reporting purposes, the intermediate and ultimate holding companies of the Group are CapitaLand Investment Limited (CLI) and Temasek Holdings (Private) Limited respectively. The intermediate and ultimate holding companies are incorporated in the Republic of Singapore.

The principal activity of the Manager is to manage and administer CLMT. The Manager, incorporated in Malaysia, is a wholly-owned subsidiary of CLI.

The Manager's registered office and principal place of business is as follows:

Unit No. 1-27, Level 27, Naza Tower
No. 10, Persiaran KLCC
50088 Kuala Lumpur

The financial statements were approved by the Manager's Board of Directors on 15 February 2024.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

1. BASIS OF PREPARATION

(a) Statement of compliance

The financial statements of the Group and of the Trust have been prepared in accordance with the provisions of the Deed, the REIT Guidelines, Malaysian Financial Reporting Standards (MFRSs) and IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards).

The Group and the Trust have applied the following MFRSs and amendments to MFRSs during the financial year:

MFRSs, interpretations and amendments effective for annual periods beginning on or after 1 January 2023

- Amendments to MFRS 101, *Presentation of Financial Statements – Disclosures of Accounting Policies*
- Amendments to MFRS 108, *Accounting Policies, Changes in Accounting Estimates and Errors – Definition of Accounting Estimates*
- Amendments to MFRS 112, *Income Taxes – Deferred Tax related to Assets and Liabilities arising from a Single Transaction and International Tax Reform – Pillar Two Model Rules*

The following are accounting standards, amendments and interpretations of the MFRSs that have been issued by the Malaysian Accounting Standards Board (MASB) and are applicable to but have not been adopted by the Group and the Trust:

MFRSs, interpretations and amendments effective for annual periods beginning on or after 1 January 2024

- Amendment to MFRS 16, *Leases – Lease Liability in a Sale and Leaseback*
- Amendment to MFRS 101, *Presentation of Financial Statements – Non-current Liabilities with Covenants and Classification of Liabilities as Current or Non-current*
- Amendments to MFRS 107, *Statement of Cash Flows* and MFRS 7, *Financial Instruments: Disclosures – Supplier Finance Arrangements*

MFRSs, interpretations and amendments effective for annual periods beginning on or after 1 January 2025

- Amendments to MFRS 121, *The Effects of Changes in Foreign Exchange Rates – Lack of Exchangeability*

MFRSs, interpretations and amendments yet to be effective

- Amendments to MFRS 10, *Consolidated Financial Statements* and MFRS 128, *Investments in Associates and Joint Ventures – Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

1. BASIS OF PREPARATION (CONTINUED)

(a) Statement of compliance (continued)

The Group and the Trust plan to apply the abovementioned amendments:

- from the annual period beginning on 1 January 2024 for those amendments that are effective for annual periods beginning on or after 1 January 2024.
- from the annual period beginning on 1 January 2025 for those amendments that are effective for annual periods beginning on or after 1 January 2025.

The initial application of the accounting standards, amendments or interpretations are not expected to have material financial impact to the current and prior period financial statements of the Group and of the Trust.

Material accounting policy information

The Group adopted amendments to MFRS 101, *Presentation of Financial Statements* and MFRS Practice Statement 2 – *Disclosure of Accounting Policies* for the first time in 2023. Although the amendments did not result in any changes to the accounting policies themselves, they impacted the accounting policy information disclosed in the financial statements.

The amendments required the disclosure of ‘material’, rather than ‘significant’, accounting policies. The amendments also provide guidance on the application of materiality to disclosure of accounting policies, assisting entities to provide useful, entity-specific accounting policy information that users need to understand other information in the financial statements.

Management reviewed the accounting policies and made updates to the information disclosed in Note 2 Material accounting policies (2022: Significant accounting policies) in certain instances in line with the amendments.

(b) Basis of accounting

The financial statements have been prepared on the historical cost basis except for investment properties as disclosed in Note 2(d) and financial instruments as disclosed in Note 2(f).

(c) Functional and presentation currency

These financial statements are presented in Ringgit Malaysia (RM), which is the Group’s and the Trust’s functional currency. All financial information presented in RM has been rounded to the nearest thousand, unless otherwise stated.

(d) Use of estimates and judgements

The preparation of the financial statements in conformity with MFRSs requires management to make judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimates are revised and in any future periods affected.

There are no critical judgement involved in applying accounting policies. The area which involved significant estimation uncertainties that have significant effect on the amounts recognised in the financial statements relates to the valuation of investment properties as disclosed in Note 4.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

2. MATERIAL ACCOUNTING POLICIES

(a) Basis of consolidation

Subsidiaries

Subsidiaries are entities controlled by the Trust. The financial statements of the subsidiaries are included in the consolidated financial statements from the date of which control commences until the date on which control ceases.

The Trust controls an entity when it is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity.

Investment in subsidiary is measured in the Trust's statement of financial position at cost less any impairment loss.

Business combinations

Business combinations are accounted for using the acquisition method from the acquisition date, which is the date on which control is transferred to the Group.

Transactions eliminated on consolidation

Intra-group balances and transactions, and any unrealised income and expenses arising from intra-group transactions, are eliminated in preparing the consolidated financial statements.

(b) Foreign currencies

Transactions in foreign currencies are translated to the functional currency of the Group and of the Trust at exchange rates at the dates of transaction. Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined. Non-monetary items that are measured based on historical cost in a foreign currency are translated at the exchange rate at the date of transaction. Foreign currency differences arising on retranslation are recognised in profit or loss.

(c) Plant and equipment

(i) Recognition and measurement

Items of plant and equipment are stated at cost less accumulated depreciation and accumulated impairment losses, if any.

Cost includes expenditures that are directly attributable to the acquisition of the asset and any other costs directly attributable to bringing the asset to working condition for its intended use, and the costs of dismantling and removing the items and restoring the site on which they are located.

Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When significant parts of an item of plant and equipment have different useful lives, they are accounted for as separate items (major components) of plant and equipment.

The gain and loss on disposal of an item of plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of plant and equipment and is recognised net within "other operating income" and "other operating expenses" respectively in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

(c) Plant and equipment (continued)

(ii) Subsequent costs

The cost of replacing part of an item of plant and equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group or the Trust and its cost can be measured reliably. The carrying amount of the replaced part is derecognised and is charged to profit or loss. The costs of the day-to-day servicing of equipment are recognised in profit or loss as incurred.

(iii) Depreciation

Depreciation is based on the cost of an asset less its residual value. Significant parts of individual assets are assessed, and if a part has a useful life that is different from the remainder of that asset, then that part is depreciated separately.

Depreciation is recognised in profit or loss on a straight-line basis over the estimated useful lives of each part of an item of plant and equipment from the date that they are available for use.

The estimated useful lives for the current and comparative periods are as follows:

Computer	2 – 3 years
Office equipment	3 – 5 years

Depreciation methods, useful lives and residual values are reassessed at the end of the reporting period, and adjusted as appropriate.

(d) Investment properties

Investment properties are properties which are owned or held under leasehold interest to earn rental income or for capital appreciation or for both, but not for sale in the ordinary course of business, used in the production or supply of goods or services or for administrative purposes. Investment properties are measured initially at cost and subsequently at fair value with any changes therein recognised in profit or loss for the period in which they arise. Cost includes expenditure that is directly attributable to the acquisition of the investment properties.

Fair value is determined in accordance with the Deed and the REIT Guidelines which requires the investment properties to be valued by independent professional valuers. In determining the fair value, the valuers used valuation techniques which involve certain estimates. In relying on the valuation reports, the Manager has exercised its judgement and is satisfied that the valuation methods and estimates reflect the current market conditions. The fair value is determined annually based on independent professional valuation.

When an investment property is disposed of, the resulting gain or loss is recognised in profit or loss in the year in which the item is derecognised. Investment properties are not depreciated. The properties are subject to continued maintenance and are regularly revalued on the basis mentioned above. For taxation purposes, the Group or the Trust may claim capital allowances on assets that qualify as plant and machinery under the Income Tax Act, 1967.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

(e) Leases

At inception of a contract, the Group assesses whether a contract is, or contains, a lease. A contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

(i) As a lessee

At commencement or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of its relative stand-alone prices. However, for the leases of property, the Group has elected not to separate non-lease components and account for the lease and non-lease components as a single lease component.

The Group recognises a right-of-use asset and a lease liability at the lease commitment date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove the underlying asset or to restore the underlying asset or the site on which it is located, less any lease incentives received.

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, unless the lease transfers ownership of the underlying asset to the Group by the end of the lease term or the cost of the right-of-use asset reflects that the Group will exercise a purchase option. In that case, the right-of-use asset will be depreciated over the useful life of the underlying asset, which is determined on the same basis as those of property and equipment. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the lessee's incremental borrowing rate.

Short-term leases and leases of low-value assets

The Group has elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases, including office equipment. The Group recognises the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

(e) Leases (continued)

(ii) As a lessor

At inception or on modification of a contract that contains a lease component, the Group allocates the consideration in the contract to each lease component on the basis of their relative stand alone prices.

When the Group acts as a lessor, it determines at lease inception whether each lease is a finance lease or an operating lease.

To classify each lease, the Group makes an overall assessment of whether the lease transfers substantially all of the risks and rewards incidental to ownership of the underlying asset. If this is the case, then the lease is a finance lease; if not, then it is an operating lease. As part of this assessment, the Group considers certain indicators such as whether the lease is for the major part of the economic life of the asset.

The Group leases out its investment properties. The Group has classified these leases as operating leases.

The Group recognises lease payments received from investment properties under operating leases as rental income on a straight-line basis over the lease term as part of revenue.

(f) Financial instruments

(i) Recognition and initial measurement

A financial asset or a financial liability is recognised in the statement of financial position when, and only when, the Group or the Trust becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without significant financing component) or a financial liability is initially measured at fair value plus or minus, in the case for an item not at fair value through profit or loss, transaction costs that are directly attributable to its acquisition or issuance. A trade receivable without a significant financing component is initially measured at the transaction price.

(ii) Financial instrument categories and subsequent measurement

Financial assets

Categories of financial assets are determined on initial recognition and are not reclassified subsequent to their initial recognition unless the Group or the Trust changes its business model for managing financial assets in which case all affected financial assets are reclassified on the first day of the first reporting period following the change of the business model.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

(f) Financial instruments (continued)

(ii) Financial instrument categories and subsequent measurement (continued)

Amortised cost

Amortised cost category comprises financial assets that are held within a business model whose objective is to hold assets to collect contractual cash flows and its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding. The financial assets are not designated as fair value through profit or loss. Subsequent to initial recognition, these financial assets are measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.

Interest income is recognised by applying effective interest rate to the gross carrying amount except for credit impaired financial assets (see Note 2(g)(i)) where the effective interest rate is applied to the amortised cost.

All financial assets are subject to impairment assessment (see Note 2(g)(i)).

Financial liabilities

The financial liabilities at initial recognition of the Group and of the Trust are classified as amortised cost. Financial liabilities are subsequently measured at amortised cost using the effective interest method.

Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gains or losses on derecognition are also recognised in profit or loss.

(iii) Derecognition

A financial asset or part of it is derecognised when, and only when the contractual rights to the cash flows from the financial asset expire or transferred, or control of the asset is not retained or substantially all of the risks and rewards of ownership of the financial asset are transferred to another party. On derecognition of a financial asset, the difference between the carrying amount of the financial asset and the sum of consideration received (including any new asset obtained less any new liability assumed) is recognised in profit or loss.

A financial liability or a part of it is derecognised when, and only when, the obligation specified in the contract is discharged, cancelled or expires. A financial liability is also derecognised when its terms are modified and the cash flows of the modified liability are substantially different, in which case, a new financial liability based on modified terms is recognised at fair value. On derecognition of a financial liability, the difference between the carrying amount of the financial liability extinguished or transferred to another party and the consideration paid, including any non-cash assets transferred or liabilities assumed, is recognised in profit or loss.

(iv) Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Group and the Trust currently have a legally enforceable right to set off the amounts and they intend either to settle them on a net basis or to realise the asset and liability simultaneously.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

(g) Impairment

(i) Financial assets

The Group and the Trust recognise loss allowances for expected credit losses on financial assets measured at amortised cost. Expected credit losses are a probability-weighted estimate of credit losses.

The Group and the Trust measure loss allowances at an amount equal to lifetime expected credit loss, except for cash and bank balance for which credit risk has not increased significantly since initial recognition, which are measured at 12-month expected credit loss. Loss allowances for trade receivables are always measured at an amount equal to lifetime expected credit loss.

When determining whether the credit risk of a financial asset has increased significantly since the initial recognition and when estimating expected credit loss, the Group and the Trust consider reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group's historical experience and informed credit assessment and including forward-looking information, where available.

Lifetime expected credit losses are the expected credit losses that result from all possible default events over the expected life of the asset, while 12-month expected credit losses are the portion of expected credit losses that result from default events that are possible within the 12 months after the reporting date. The maximum period considered when estimating expected credit losses is the maximum contractual period over which the Group and the Trust are exposed to credit risk.

The Group and the Trust estimate the expected credit losses on trade receivables by assessing the risk of loss of each customer individually based on their financial information, past trend of payments and external credit ratings, where applicable.

An impairment loss in respect of financial assets measured at amortised cost is recognised in profit or loss and the carrying amount of the asset is reduced through the use of an allowance account.

At each reporting date, the Group and the Trust assess whether financial assets carried at amortised cost are credit impaired. A financial asset is credit impaired when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

The gross carrying amount of a financial asset is written off (either partially or full) to the extent that there is no realistic prospect of recovery. This is generally the case when the Group or the Trust determines that the debtor does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. However, financial assets that are written off could still be subject to enforcement activities in order to comply with the Group's or the Trust's procedures for recovery of amounts due.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

(g) Impairment (continued)

(ii) Other assets

The carrying amounts of other assets, other than investment properties, are reviewed at the end of each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets.

The recoverable amount of an asset is the greater of its value in use and its fair value less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

An impairment loss is recognised if the carrying amount of an asset exceeds its estimated recoverable amount. Impairment loss is recognised in profit or loss.

Impairment losses recognised in prior periods are assessed at the end of each reporting period for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount since the last impairment loss was recognised. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Reversals of impairment losses are credited to profit or loss in the financial year in which the reversals are recognised.

(h) Cash and cash equivalents

Cash and cash equivalents consist of cash on hand, bank balances and deposits placed with licensed banks. For the purpose of the statements of cash flows, cash and cash equivalents are presented net of pledged deposits.

(i) Equity instruments

Instruments classified as equity are measured at cost on initial recognition and are not remeasured subsequently. Costs directly attributable to the issue of instruments classified as equity are recognised as a deduction from equity.

(j) Provisions

A provision is recognised if, as a result of a past event, the Group and the Trust have a present legal or constructive obligation that can be estimated reliably, and is probable that an outflow of economic benefits will be required to settle the obligation. Provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the liability. The unwinding of the discount is recognised as finance costs.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

(k) Revenue recognition

(i) Rental income

Rental income from leasing of shopping mall shops and space is recognised in profit or loss on a straight-line basis over the term of the lease and such revenue includes base rent, service charges and advertising and promotion fees. Contingent rents, which include gross turnover rent, are recognised as income in the financial year in which they are earned. No contingent rents are recognised if there are uncertainties due to the possible return of amounts received.

(ii) Car park income

Car park income is recognised as income in the financial year in which they are earned.

(iii) Other revenue

Other revenue consists of recovery of utilities charges from tenants, kiosk rental, advertising and other miscellaneous income. These are recognised as income in the financial year in which they are earned.

(l) Interest income

Interest income is recognised as it accrues, using the effective interest method in profit or loss.

(m) Expenses

(i) Property operating expenses

Property operating expenses consist of quit rent, assessment, utilities, property management fee, property management reimbursement, advertising and promotion, maintenance and other property outgoings in relation to investment properties where such expenses are the responsibility of the Group or the Trust and are recognised on an accrual basis in the year in which they are incurred.

(ii) Manager's management fee

Manager's management fee is recognised on an accrual basis using the applicable formula as set out in Note 14.

(iii) Trustee's fee

Trustee's fee is recognised on an accrual basis using the applicable formula as set out in Note 15.

(iv) Finance costs

Finance costs comprise interest expense on borrowings and amortisation of transaction costs on borrowings which are expensed in profit or loss using the effective interest method over the tenure of borrowings.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

(n) Tax expense

Tax expense comprises current and deferred tax. Current tax and deferred tax are recognised in profit or loss.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted by the end of the reporting period, and any adjustment to tax payable or receivable in respect of previous financial years.

Deferred tax is recognised using the liability method, providing for temporary differences between the carrying amounts of assets and liabilities in the statements of financial position and their tax bases. Deferred tax is not recognised for the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss. Deferred tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the end of the reporting period.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to taxes levied by the same tax authority on the same taxable entity.

A deferred tax asset is recognised to the extent that it is probable that future taxable profits will be available against which the temporary difference can be utilised. Deferred tax assets are reviewed at each reporting period and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

Where investment properties are carried at fair value in accordance with the accounting policy set out in Note 2(d), the amount of deferred tax recognised is measured using the tax rates that would apply on the sale of those assets at their carrying values at the reporting date unless the property is depreciable and is held with the objective to consume substantially all the economic benefits embodied in the property over time, rather than through sale. Deferred tax assets and liabilities are not discounted.

(o) Earnings per unit

The Group and the Trust present basic and diluted earnings per unit. Basic earnings per unit is calculated by dividing the total return by the weighted-average number of units outstanding during the financial year. Diluted earnings per unit is determined by adjusting the total return and the weighted-average number of ordinary units outstanding, for the effects of all dilutive potential units.

(p) Operating segments

An operating segment is a component of the Group that engages in business activities from which it may earn revenues and incur expenses, including revenues and expenses that relate to transactions with any of the Group's other components. All operating segments' results are reviewed and used by the Group's Chief Operating Decision Makers for strategic decision making and resources allocation.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

2. MATERIAL ACCOUNTING POLICIES (CONTINUED)

(q) Fair value measurements

Fair value of an asset or a liability, except for lease transactions, is determined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The measurement assumes that the transaction to sell the asset or transfer the liability takes place either in the principal market or in the absence of a principal market, in the most advantageous market.

For non-financial asset, the fair value measurement takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

When measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible. Fair value are categorised into different levels in a fair value hierarchy based on the input used in the valuation technique as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities that the Group can access at the measurement date.
- Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly.
- Level 3: unobservable inputs for the asset or liability.

The Group recognises transfers between the levels of the fair value hierarchy as of the date of the event or change in circumstances that caused the transfers.

3. PLANT AND EQUIPMENT

	Computer RM'000	Office equipment RM'000	Total RM'000
Group and Trust Cost			
At 1 January 2022	4,027	11,127	15,154
Additions	10	1,254	1,264
Disposal/Write-off	(6)	(240)	(246)
At 31 December 2022/1 January 2023	4,031	12,141	16,172
Additions	252	1,874	2,126
Disposal/Write-off	(250)	(224)	(474)
At 31 December 2023	4,033	13,791	17,824
Accumulated depreciation			
At 1 January 2022	3,675	7,989	11,664
Depreciation for the financial year	134	1,257	1,391
Disposal/Write-off	(6)	(239)	(245)
At 31 December 2022/1 January 2023	3,803	9,007	12,810
Depreciation for the financial year	110	1,575	1,685
Disposal/Write-off	(250)	(187)	(437)
At 31 December 2023	3,663	10,395	14,058
Carrying amounts			
At 1 January 2022	352	3,138	3,490
At 31 December 2022/1 January 2023	228	3,134	3,362
At 31 December 2023	370	3,396	3,766

Included in the additions during the financial year of RM2,126,000 is an amount of RM500,000 paid in relation to the acquisition of Queensbay Mall.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

4. INVESTMENT PROPERTIES

	Group		Trust	
	2023 RM'000	2022 RM'000	2023 RM'000	2022 RM'000
At 1 January	3,892,000	3,826,000	3,892,000	3,826,000
Addition of right-of-use assets	6,706	-	6,706	-
Acquisition of investment properties	1,043,091	81,787	1,043,091	81,787
Addition arising from acquisition of subsidiaries (Note 27)	6,020	-	-	-
Capital expenditure capitalised	55,614	25,279	55,614	25,279
Disposal of an investment property	(50,005)	-	(50,005)	-
Fair value gain/(loss) (net)	55,124	(41,066)	58,996	(41,066)
At 31 December	5,008,550	3,892,000	5,006,402	3,892,000

Investment properties refer to shopping malls, office block and logistics assets which primarily generate rental income from leasing out retail shops and space to third parties via lease or licence agreements.

Right-of-use assets refer to the lease of common area, motorcycle parks and car parking bay at Queensbay Mall's VIP driveway which primarily generate rental income from leasing out the space to third parties via lease or license agreements.

On 21 March 2023, CLMT completed the acquisition of Queensbay Mall at a total purchase consideration of RM983,980,000 and incurred incidental costs of RM17,963,000, which were also capitalised as part of the acquisition cost.

On 29 August 2023, CLMT completed the acquisition of Glenmarie Distribution Centre at a purchase consideration of RM39,690,000 and incurred incidental costs of RM1,458,000, which were also capitalised as part of the acquisition cost.

In the prior financial year, CLMT completed the acquisition of Valdor Logistics Hub at a purchase consideration of RM79,950,000 and incurred incidental costs of RM1,837,000, which were also capitalised as part of the acquisition cost.

CLMT had on 4 December 2023 divested its investment in 3 Damansara Office Tower for a sale consideration of RM52,000,000. A gain of RM426,000 was recognised in the profit or loss after offsetting against the incidental costs of RM1,569,000 arising from the divestment.

Gurney Plaza, CLMT's 433 strata titles in Queensbay Mall, The Mines, 3 Damansara Mall and Valdor Logistics Hub collectively valued at RM3,920,852,000 (FY2022: RM2,799,000,000), are pledged as securities for borrowings as disclosed in Note 10. East Coast Mall, CLMT's 205 strata titles in Sungei Wang Plaza and Glenmarie Distribution Centre are unencumbered as at the reporting date. Glenmarie Distribution Centre will be pledged to the bank as security upon draw down of the term loan as disclosed in Note 10(a).

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

4. INVESTMENT PROPERTIES (CONTINUED)

Details of the investment properties are as follows:

	Date of acquisition	Location	Tenure	Cost of investment ¹ RM'000	Fair value at 31 December 2023 ² RM'000	Fair value at 31 December 2022 ³ RM'000	% of fair value to NAV at 31 December 2023 ⁴ %	% of fair value to NAV at 31 December 2022 ⁴ %
Group								
Retail assets								
Gurney Plaza	14 Jul 2010 & 28 Mar 2011	Penang	Freehold	1,186,900	1,690,000	1,675,000	61.5	69.3
Queensbay Mall ⁶	21 Mar 2023	Penang	Freehold	1,018,835	1,081,350	-	39.4	-
East Coast Mall	14 Nov 2011	Pahang	Leasehold ⁵	420,586	608,000	590,000	22.1	24.4
Sungei Wang Plaza ⁷	14 Jul 2010	Kuala Lumpur	Freehold	814,439	430,000	422,000	15.7	17.5
3 Damansara Property ⁸	10 Jul 2015	Selangor	Freehold	548,137	415,000	469,000	15.1	19.4
The Mines	14 Jul 2010	Selangor	Leasehold ⁵	612,068	661,000	655,000	24.1	27.1
				<u>4,600,965</u>	<u>4,885,350</u>	<u>3,811,000</u>		
Logistics assets								
Valdor Logistics Hub	14 Dec 2022	Penang	Freehold	81,936	82,000	81,000	3.0	3.3
Glenmarie Distribution Centre	29 Aug 2023	Selangor	Freehold	41,694	41,200	-	1.5	-
				<u>123,630</u>	<u>123,200</u>	<u>81,000</u>		
				<u>4,724,595</u>	<u>5,008,550</u>	<u>3,892,000</u>		
Trust								
Retail assets								
Gurney Plaza	14 Jul 2010 & 28 Mar 2011	Penang	Freehold	1,186,900	1,690,000	1,675,000	61.5	69.3
Queensbay Mall ⁶	21 Mar 2023	Penang	Freehold	1,016,899	1,079,202	-	39.4	-
East Coast Mall	14 Nov 2011	Pahang	Leasehold ⁵	420,586	608,000	590,000	22.1	24.4
Sungei Wang Plaza ⁷	14 Jul 2010	Kuala Lumpur	Freehold	814,439	430,000	422,000	15.7	17.5
3 Damansara Property ⁸	10 Jul 2015	Selangor	Freehold	548,137	415,000	469,000	15.1	19.4
The Mines	14 Jul 2010	Selangor	Leasehold ⁵	612,068	661,000	655,000	24.1	27.1
				<u>4,599,029</u>	<u>4,883,202</u>	<u>3,811,000</u>		
Logistics assets								
Valdor Logistics Hub	14 Dec 2022	Penang	Freehold	81,936	82,000	81,000	3.0	3.3
Glenmarie Distribution Centre	29 Aug 2023	Selangor	Freehold	41,694	41,200	-	1.5	-
				<u>123,630</u>	<u>123,200</u>	<u>81,000</u>		
				<u>4,722,659</u>	<u>5,006,402</u>	<u>3,892,000</u>		

¹ Cost of investment comprises purchase consideration and capital expenditure incurred from inception date up to the financial year end date.

² Based on valuation carried out on 31 December 2023.

³ Based on valuation carried out on 31 December 2022.

⁴ This is computed based on market value of the investment properties over the NAV before final income distribution as at 31 December 2023 and 31 December 2022. This is calculated in accordance with the REIT Guidelines.

⁵ The leasehold period for East Coast Mall and The Mines are 99 years and will expire on 18 December 2106 and 20 March 2091 respectively. The remaining leasehold period for East Coast Mall and The Mines are approximately 82 years and 67 years respectively.

⁶ The Group's interest in Queensbay Mall consists of 438 strata parcels within the Mall, with 5 of these strata parcels being owned through CLMT's direct shareholdings in the four newly acquired subsidiaries during the financial year, and the right-of-use of common area, motorcycle parks and car parking bay at the VIP's driveway. The Trust's interest in Queensbay Mall consists of 433 strata parcels within the Mall and the right-of-use of common area, motorcycle parks and car parking bay at the VIP's driveway.

⁷ CLMT's interest in Sungei Wang Plaza comprises (i) 205 strata parcels within the mall represents approximately 61.9% of the aggregate retail floor area of Sungei Wang Plaza, and (ii) 100% car park bays.

⁸ As at 31 December 2022, 3 Damansara Property comprised 3 Damansara Mall and 3 Damansara Office Tower, with their respective fair values at RM419,000,000 and RM50,000,000. On 4 December 2023, CLMT divested its stake in 3 Damansara Office Tower. The fair value as at 31 December 2023 solely represents the fair value of 3 Damansara Mall.

All individual titles and strata titles are registered in the name of the Trustee save for five strata titles of Queensbay Mall that are registered in the name of CLMT's wholly-owned subsidiaries.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

4. INVESTMENT PROPERTIES (CONTINUED)

The following are recognised in profit or loss in respect of investment properties:

	Group		Trust	
	2023 RM'000	2022 RM'000	2023 RM'000	2022 RM'000
Gross revenue	395,390	275,817	395,290	275,817
Less: Property operating expenses	(177,984)	(123,307)	(177,931)	(123,307)
Net property income	217,406	152,510	217,359	152,510

Gross turnover rent of RM33,387,000 (FY2022: RM22,592,000), which represents CLMT's contingent rent, was recognised as income in the financial year.

(a) Operating lease payments receivable

CLMT's lease agreements generally contain an initial non-cancellable period of up to three years and subsequent renewals are negotiated with the lessee. The rental rates are negotiated based on prevailing market rates and are pre-agreed over the lease tenure.

The operating lease payments to be received are as follows:

	Group		Trust	
	2023 RM'000	2022 RM'000	2023 RM'000	2022 RM'000
Within one year	272,659	158,252	272,469	158,252
One to two years	160,824	95,715	160,639	95,715
Two to three years	62,397	39,075	62,267	39,075
More than three years	48,325	840	48,325	840
	544,205	293,882	543,700	293,882

(b) Fair value information

The fair value of investment properties of the Group and of the Trust are categorised as Level 3. The properties are valued by independent external valuers using the income capitalisation approach, also known as investment approach. This valuation approach takes into account of the gross revenue and outgoings to estimate the net income for the properties. Capitalisation rates are then applied to the net income of the investment properties to determine the market value of the investment properties.

The significant assumptions and unobservable inputs underlying the estimation of fair value of investment properties are those related to term capitalisation and reversionary capitalisation rates, car park and other income, outgoings expenses and allowance for void. Term capitalisation and reversionary capitalisation rates for the investment properties range from 6.25% to 7.25% (FY2022: 6.25% to 7.25%) and from 6.25% to 7.50% (FY2022: 6.50% to 7.50%) respectively. The estimated fair value would increase (decrease) if the capitalisation rates, outgoings and allowance for void were lower (higher) and if car park and other income was higher (lower).

(c) Valuation processes applied to the Group and the Trust for Level 3 fair value

The fair value of investment properties is determined by independent external valuers having appropriate recognised professional qualifications and recent experience in the location and category of the investment properties being valued. The fair value of the Group's and of the Trust's investment property portfolio are revalued at least every twelve months. The resultant fair value gain or loss arising from the change in valuation is assessed by the Manager after obtaining the valuation reports from the external valuers.

(d) Highest and best use

The Group's and the Trust's investment properties are currently valued at their highest and best use.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

5. INVESTMENT IN SUBSIDIARIES

	2023 RM'000	Trust 2022 RM'000
Cost of investment	6,037	*
Less: Impairment loss	(3,500)	-
	2,537	*

* Denotes RM2

Details of the subsidiaries are as follows:

Name of entities	Principal place of business	Principal activities	Effective ownership interest and voting interest 2023	2022
CLMT MTN Berhad	Malaysia	Raise financing on behalf of CLMT	100%	100%
Luxury Ace Sdn. Bhd. (LASB)	Malaysia	Investment in and letting of property	100%	-
Milky Way Properties Berhad (MWPB)	Malaysia	Investment in and letting of property	100%	-
Scenic Growth Sdn. Bhd. (SGSB)	Malaysia	Investment in and letting of property	100%	-
Success Idea Sdn. Bhd. (SISB)	Malaysia	Investment in and letting of property	100%	-

The shares of LASB, MWPB, SGSB and SISB are pledged as securities for borrowings as disclosed in Note 10.

6. TRADE AND OTHER RECEIVABLES

	Group 2023 RM'000	2022 RM'000	Trust 2023 RM'000	2022 RM'000
Trade				
Trade receivables	12,651	15,140	12,579	15,140
Less: Impairment losses	(7,427)	(9,577)	(7,374)	(9,577)
	5,224	5,563	5,205	5,563
Other receivables	18,137	7,592	18,134	7,592
	23,361	13,155	23,339	13,155
Non-trade				
Deposits	1,121	20,764	1,121	20,764
Other receivables	348	159	338	153
	1,469	20,923	1,459	20,917
Trade and other receivables categorised as amortised cost	24,830	34,078	24,798	34,072
Prepayments and others	1,682	1,876	1,633	1,830
Current tax assets	25	-	-	-
Trade and other receivables	26,537	35,954	26,431	35,902

Trade related other receivables mainly consist of accrued rental income.

Included in the deposits of the Group and of the Trust for prior financial year is an amount of RM19,759,000 related to earnest deposit paid on acquisition of investment properties.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

6. TRADE AND OTHER RECEIVABLES (CONTINUED)

The following table provides information about the exposure to credit risk and expected credit losses for trade receivables.

	Gross carrying amount RM'000	Impairment losses RM'000	Net balance RM'000
Group			
2023			
Past due 1 – 30 days	3,450	(132)	3,318
Past due 31 – 90 days	811	(58)	753
Past due more than 90 days	8,390	(7,237)	1,153
	12,651	(7,427)	5,224
2022			
Past due 1 – 30 days	2,972	(195)	2,777
Past due 31 – 90 days	353	(213)	140
Past due more than 90 days	11,815	(9,169)	2,646
	15,140	(9,577)	5,563
Trust			
2023			
Past due 1 – 30 days	3,450	(132)	3,318
Past due 31 – 90 days	811	(58)	753
Past due more than 90 days	8,318	(7,184)	1,134
	12,579	(7,374)	5,205
2022			
Past due 1 – 30 days	2,972	(195)	2,777
Past due 31 – 90 days	353	(213)	140
Past due more than 90 days	11,815	(9,169)	2,646
	15,140	(9,577)	5,563

The movement of impairment losses on trade receivables during the financial year is as follows:

	Note	Group 2023 RM'000	Group 2022 RM'000	Trust 2023 RM'000	Trust 2022 RM'000
At 1 January		9,577	14,485	9,577	14,485
Acquisition of subsidiaries		66	-	-	-
Amounts written off		(779)	(34)	(779)	(34)
Reversal of impairment losses on trade receivables (net)	13	(1,437)	(4,874)	(1,424)	(4,874)
At 31 December		7,427	9,577	7,374	9,577

The Manager of CLMT believes that no additional impairment losses is necessary in respect of past due receivables as these receivables are mainly arising from tenants that have good payment records and sufficient security deposits are held as collateral.

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As at 31 December 2023

7. AMOUNT DUE FROM/(TO) SUBSIDIARY

The amount due from subsidiary of RM7,016,000 (FY2022: RM5,079,000) is non-trade in nature, unsecured, and is repayable on demand. Included in the amount due from subsidiary is an interest-bearing loan from CLMT of RM6,650,000 (FY2022: RM4,930,000) which is subject to an average interest rate of 3.22% (FY2022: 2.18%) per annum that is based on the prevailing deposit rates of licensed banks.

The amount due to subsidiary of RM300,000,000 (FY2022: RM300,000,000) is pursuant to the REIT Trustee Financing Agreement (RTFA) entered into by the Trustee on behalf of CLMT and the subsidiary, where the funds raised from the unrated and secured MTN, as detailed in Note 10(b), were advanced to CLMT. The amount due to subsidiary is secured, subject to an average interest rate of 4.41% (FY2022: 3.24%) per annum which is payable semi-annually. The principal is repayable in three tranches of RM100,000,000 each, due in 2026, 2027 and 2028 respectively (FY2022: repayable in 2026).

8. CASH AND CASH EQUIVALENTS

	Group		Trust	
	2023 RM'000	2022 RM'000	2023 RM'000	2022 RM'000
Deposits placed with licensed banks	60,892	66,267	54,237	61,333
Cash and bank balances	17,060	18,042	16,493	18,029
	77,952	84,309	70,730	79,362

Gurney Plaza maintains a separate designated revenue account with a licensed bank while The Mines, 3 Damansara Property, Queensbay Mall and Valdor Logistics Hub maintain separate designated revenue and operating accounts with licensed banks. This forms part of the financing covenants and the usage of funds in these designated revenue and operating accounts are not restricted as long as no event of default has occurred on the borrowings. The total amount of the designated revenue and operating accounts at the end of the financial year that is included in the cash and cash equivalents is RM47,828,000 (FY2022: RM52,088,000).

Included in the Group's cash and cash equivalents are pledged deposits of RM6,650,000 (FY2022: RM4,930,000). This is in relation to a separate debt service reserves account and trustee reimbursement account assigned by the subsidiary to the security trustee pursuant to the unrated and secured MTN, as set out in Note 10(b). The deposits are maintained with licensed banks and the funds are restricted in use.

9. UNITHOLDERS' CAPITAL

	Amount 2023 RM'000	Number of units 2023 '000	Amount 2022 RM'000	Number of units 2022 '000
Group and Trust				
Issued and fully paid:				
At 1 January	2,274,725	2,206,935	2,235,447	2,130,856
Units issued as part satisfaction of the Manager's management fee	16,927	33,194	4,071	7,197
Units issued through equity fund raising (net of issue costs)	225,754	464,998	-	-
Units issued under Distribution Reinvestment Plan (net of issue costs)	16,668	35,332	35,207	68,882
At 31 December	2,534,074	2,740,459	2,274,725	2,206,935

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

9. UNITHOLDERS' CAPITAL (CONTINUED)

The Distribution Reinvestment Plan (DRP) was established on 19 June 2020 to enable unitholders to reinvest the income distribution received into new units. During the financial year, DRP was applied to the income distribution for the period from 10 March 2023 to 30 June 2023 (1H 2023).

For the 1H 2023 income distribution, CLMT paid RM32.1 million or 1.19 sen per unit, in which a total of 35,332,383 of new units were issued out of 63,737,836 units eligible under the DRP, this represents a take up rate of 55.4%. The new units were issued at the price of RM0.4767 per unit.

Unitholdings of the Manager and parties related to the Manager

The parties related to CLMT (including the Manager) and the Directors of the Manager holding units in CLMT as at 31 December 2023 and 31 December 2022 are as follows:

	Number of units '000	Percentage of unitholdings %	Market value ² RM'000
2023			
<i>Direct unitholdings of parties related to CLMT</i>			
CMMT Investment Limited	989,551	36.1	554,149
Menang Investment Limited	124,107	4.5	69,500
CapitaLand Malaysia REIT Management Sdn. Bhd.	1,060	N.M.	594
Ms Ng Kuan Yee	14	N.M.	8
<i>Direct unitholdings of the Directors of the Manager who held office at 31 December 2023</i>			
Mr Lim Cho Pin Andrew Geoffrey ¹	52	N.M.	29
En Mohd Yusof bin Hussian	68	N.M.	38
2022			
<i>Direct unitholdings of parties related to CLMT</i>			
CMMT Investment Limited	797,447	36.1	426,634
Menang Investment Limited	74,121	3.4	39,655
Ms Ng Kuan Yee	13	N.M.	7
<i>Direct unitholdings of the Directors of the Manager who held office at 31 December 2022</i>			
Mr Lim Cho Pin Andrew Geoffrey ¹	50	N.M.	27
En Mohd Yusof bin Hussian	67	N.M.	36

N.M. – Not meaningful

¹ Units held through nominees.

² The market value of the units for the respective years are computed based on the closing market price of RM0.560 per unit as at 31 December 2023 and RM0.535 per unit as at 31 December 2022.

CMMT Investment Limited, Menang Investment Limited and CapitaLand Malaysia REIT Management Sdn. Bhd. are indirect wholly-owned subsidiaries of CLI and are regarded as parties that have joint control over the Group and the Trust for financial reporting purposes.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

10. BORROWINGS

	Group		Trust	
	2023	2022	2023	2022
	RM'000	RM'000	RM'000	RM'000
Non-current				
Secured term loans				
– Fixed rate	1,551,179	848,680	1,551,179	848,680
– Floating rate	69,750	69,750	69,750	69,750
Secured revolving credit	60,923	49,697	60,923	49,697
Unrated and secured MTN	300,000	300,000	–	–
Less: Unamortised transaction costs	(6,685)	(1,208)	(5,982)	(812)
	1,975,167	1,266,919	1,675,870	967,315
Current				
Secured revolving credit	13,842	25,660	13,842	25,660
Unsecured revolving credits	173,945	158,950	173,945	158,950
Less: Unamortised transaction costs	(399)	(211)	(399)	(211)
	187,388	184,399	187,388	184,399
	2,162,555	1,451,318	1,863,258	1,151,714

(a) Secured term loans and revolving credits

CLMT had entered into five separate secured facility agreements with licensed banks on 10 June 2010 (Secured Facility 1), 17 March 2011 (Secured Facility 2), 26 June 2015 (Secured Facility 3), 9 March 2023 (Secured Facility 4) and 11 April 2023 (Secured Facility 5).

Secured Facility 1 comprises term loan facilities of RM500.0 million and a revolving credit facility of RM61.0 million. Secured Facility 2 comprises term loan facilities of RM69.8 million and a revolving credit facility of RM20.0 million. Both Secured Facilities 1 and 2 will mature in 2028.

Secured Facility 3 comprises term loan facility of RM348.7 million, a revolving credit facility of RM100.0 million and a bank guarantee facility of RM10.0 million. Secured Facility 3 will mature in July 2027. RM50.5 million of the term loan facility has been re-paid during the financial year by utilising the proceeds from divestment of 3 Damansara Office Tower.

Secured Facility 4 comprises term loan facility of RM693.0 million and bank guarantee facility of RM30.0 million. The term loan facility has been utilised to finance the acquisition of Queensbay Mall. Secured Facility 4 will mature in March 2028. CLMT has converted Secured Facility 4 into a sustainability-linked loan in December 2023.

Secured Facility 5 comprises sustainability-linked term loan facility of RM60.0 million which was utilised to finance the acquisition of Valdor Logistics Hub. Secured Facility 5 will mature in April 2028.

As at 31 December 2023, total term loan facilities utilised under the Secured Facilities 1, 2, 3, 4 and 5 were RM1,620.9 million (FY2022: RM918.4 million) while total secured revolving credit utilised under these facilities were RM74.8 million (FY2022: RM75.4 million).

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

10. BORROWINGS (CONTINUED)

(a) Secured term loans and revolving credits (continued)

During the financial year, CLMT accepted a term loan facility of RM43.5 million with an initial loan tenure of 5 years and an option to extend for another 5 years after the end of the initial tenure. This loan is subject to fulfilment of terms and conditions and will be available to refinance the bridging loans drawn for the acquisition of Glenmarie Distribution Centre. The loan remains undrawn as at 31 December 2023.

The average effective interest rate for the Secured Facilities 1, 2, 3, 4 and 5 was approximately 4.1% (FY2022: 3.2%) per annum.

(b) Secured Medium Term Notes Programme

The Group has a secured Medium Term Notes Programme of up to RM3.0 billion in nominal value (MTN Programme) under CLMT MTN Berhad (the Issuer), pursuant to which rated/unrated notes in series or tranches may be issued from time to time in Ringgit Malaysia. The MTN Programme has a tenure of twenty years from the date of first issuance of MTN, which was on 20 December 2012. The net proceeds from the issue of the MTN (after deducting issue expenses) will be on-lent to CLMT, which in turn will utilise such proceeds to refinance its existing and/or future borrowings and/or to finance investments, capital expenditure, asset enhancement initiatives and/or working capital of CLMT. The Issuer will also be allowed to use the proceeds to refinance maturing MTN on the respective maturity dates. The security trustee of the MTN Programme is Malaysian Trustees Berhad.

On 20 June 2023, the Issuer issued three tranches of RM100.0 million each of unrated and secured MTN (4-TM) which will be maturing on 20 June 2026, 20 June 2027 and 20 June 2028 respectively. The three tranches of 4-TM bear coupon rates of 4.36%, 4.44% and 4.44% per annum respectively for the first two years which is payable semi-annually. Upon expiration of the first two years, the Issuer may elect to refix 4-TM with another fixed rate.

(c) Unsecured revolving credit

As at 31 December 2023, the outstanding unsecured revolving credits were RM173.9 million (FY2022: RM158.9 million) at an average effective interest rate of approximately 4.5% (FY2022: 3.5%) per annum.

The secured borrowings are secured by charges on investment properties as disclosed in Note 4 with an amount of RM3,920,852,000 (FY2022: RM2,799,000,000) and shares of LASB, MWPB, SGSB and SISB as disclosed in Note 5.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

11. DEFERRED TAX LIABILITIES

		Group		Trust	
	Note	2023 RM'000	2022 RM'000	2023 RM'000	2022 RM'000
At 1 January		-	1,738	-	1,738
Acquisition of subsidiaries	27	408	-	-	-
Recognised in profit or loss	17	2,664	(1,738)	3,050	(1,738)
At 31 December		3,072	-	3,050	-

The above deferred tax liabilities are attributable to the fair value changes in the freehold investment properties of the Group and of the Trust which are expected to be recovered through sale. With effect from 1 January 2019, the applicable Real Property Gains Tax (RPGT) rate under the Finance Act 2020 for disposal of real properties or shares in real properties companies which have been held for more than 5 years is 10%. It is the business model of CLMT to hold investment properties to earn rental income and for long term capital growth. Hence, there are no expected disposals of investment properties held for less than 5 years.

12. TRADE AND OTHER PAYABLES

		Group		Trust	
		2023 RM'000	2022 RM'000	2023 RM'000	2022 RM'000
Trade					
Trade payables		5,981	4,027	5,981	4,027
Amount due to related parties		9,373	7,097	9,373	7,097
		15,354	11,124	15,354	11,124
Non-trade					
Interest payables		7,699	5,471	7,264	5,152
Accruals		59,057	45,174	58,981	45,162
Other payables		1,247	687	1,252	687
		68,003	51,332	67,497	51,001
Trade and other payables categorised as amortised cost		83,357	62,456	82,851	62,125
Advances		6,710	5,427	6,710	5,427
Trade and other payables		90,067	67,883	89,561	67,552

Included in the amount due to related parties is an amount due to the Manager of RM9,313,000 (FY2022: RM6,996,000) of which RM4,801,000 (FY2022: RM2,711,000) is payable in units of CLMT as payment for the performance component of management fee for the period from 1 July 2023 to 31 December 2023 (FY2022: for the period from 1 July 2022 to 31 December 2022) and Trustee's fee of RM37,000 (FY2022: RM67,000). The relationship and transactions of the above are further disclosed in Note 25.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

13. OTHER OPERATING EXPENSES

	Note	Group 2023 RM'000	2022 RM'000	Trust 2023 RM'000	2022 RM'000
Property management fees and reimbursements		25,436	20,653	25,436	20,653
Marketing expenses		8,061	5,975	8,061	5,975
Quit rent and assessment		15,313	11,126	15,303	11,126
General and administrative expenses		7,373	5,967	7,369	5,967
Reversal of impairment loss on trade receivables (net)	6	(1,437)	(4,874)	(1,424)	(4,874)
		54,746	38,847	54,745	38,847

Property management fees are payable to the property managers, namely (1) Knight Frank Property Management Sdn. Bhd. (Knight Frank) for all CLMT's properties for the year under review except for Glenmarie Distribution Centre and Sungei Wang Plaza; and (2) Nexcap Property Consultants Sdn. Bhd. (Nexcap), the property manager for CLMT's interest in Sungei Wang Plaza. Property management reimbursements include reimbursable staff costs and other reimbursements for managing the investment properties.

Knight Frank and Nexcap were entitled to monthly property management fees of RM90,680 (FY2022: RM75,000) and RM19,000 (FY2022: RM19,000) for the period up to 15 April 2023 and 31 March 2023 respectively. The fees were subsequently revised to RM85,680 and RM17,000 per month respectively.

14. MANAGER'S MANAGEMENT FEE

	2023 RM'000	2022 RM'000
Group and Trust		
Base management fee	14,641	11,476
Performance fee	10,327	7,244
	24,968	18,720
Acquisition fee capitalised in investment properties	10,302	800
Divestment fee netted off against sale consideration from disposal of an investment property	260	–

Pursuant to the Deed, the Manager is entitled to a base fee of up to 1% per annum of the total asset value and a performance fee of up to 5% per annum of net property income. For the financial year ended 31 December 2023, the Manager has accounted for a base fee of 0.29% (FY2022: 0.29%) per annum of the total asset value, payable quarterly in arrears, and a performance fee of 4.75% (FY2022: 4.75%) per annum of net property income, payable semi-annually in units after distribution to unitholders, except for the performance fee related to East Coast Mall which is payable in cash.

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14. MANAGER'S MANAGEMENT FEE (CONTINUED)

In addition to the above, the Manager is also entitled to an acquisition fee of up to 1% of the purchase price and a divestment fee of up to 0.5% of the sale price of any authorised investment/divestment. With the acquisition of Queensbay Mall and Glenmarie Distribution Centre during the financial year, acquisition fees of RM9,905,000 and RM397,000 respectively were paid to the Manager in units and cash respectively and capitalised as part of the investment properties' acquisition cost. In prior financial year, an acquisition fee of RM800,000 related to the acquisition of Valdor Logistics Hub payable to the Manager was capitalised as part of the investment property's acquisition costs.

The divestment of 3 Damansara Office Tower was completed during the financial year, with a divestment fee of RM260,000 payable to the Manager. The divestment fee was netted off against the sale consideration to arrive at the gain on disposal of the investment property.

During the financial year ended 31 December 2023, the Manager was paid 12,111,000 of units (FY2022: 7,197,000 of units) in CLMT or equivalent to RM6,222,000 (FY2022: RM4,071,000), as part settlement of its management fees for the period from 1 July 2022 to 30 June 2023 (FY2022: 1 July 2021 to 30 June 2022). The Manager was also paid 21,083,000 units (FY2022: nil) in CLMT or equivalent to RM10,705,000 (FY2022: nil) as settlement of its acquisition fees for Valdor Logistics Hub and Queensbay Mall. The Manager disposed 26,169,000 and 5,965,000 CLMT units (FY2022: 2,834,000 and 4,363,000) at cost to a related party, Menang Investment Limited, on 10 May 2023 and 12 December 2023 (FY2022: 12 May 2022 and 17 November 2022) respectively.

There were no other fees or soft commission paid to the Manager during the financial year other than as disclosed above.

15. TRUSTEE'S FEE

Pursuant to the Deed, the Trustee is entitled to a fee of 0.02% per annum of the total asset value for the first RM2.0 billion and a 0.01% per annum of the total asset value thereafter, payable monthly in arrears.

With the agreement from Trustee, the Trustee's fee for the financial year ended 31 December 2023 was RM420,000 (FY2022: RM400,000).

16. FINANCE COSTS

	Group		Trust	
	2023 RM'000	2022 RM'000	2023 RM'000	2022 RM'000
Interest expense on secured term loans	60,641	29,303	60,641	29,303
Interest expense on unrated and MTN	11,594	9,705	-	-
Interest expense on RTFA with subsidiary	-	-	11,594	9,705
Interest expense on secured and unsecured revolving credits	10,517	6,135	10,517	6,135
Interest expense on lease liabilities	222	-	222	-
Amortisation of transaction costs on borrowings	1,436	919	1,239	724
Others	371	455	568	650
	84,781	46,517	84,781	46,517

NOTES TO THE FINANCIAL STATEMENTS

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17. TAXATION

Pursuant to the amendment of Section 61A of the Income Tax Act, 1967, effective from the Year of Assessment 2007, the total income of a REIT will be exempted from income tax provided that the REIT distributes 90% or more of its total income for that year of assessment. If the REIT is unable to meet the 90% distribution criteria, the entire taxable income of the REIT for the year of assessment would be subject to income tax.

As CLMT will distribute more than 90% of its distributable income for the financial year ended 31 December 2023 to its unitholders, no provision for tax expense has been made for the current financial year.

The current tax recognised during the financial year is in respect of tax expenses of the newly acquired subsidiaries which are not entitled to the abovementioned tax exemption.

	Note	Group 2023 RM'000	2022 RM'000	Trust 2023 RM'000	2022 RM'000
Current tax					
- Current year		6	-	-	-
		6	-	-	-
Deferred tax					
Origination/(reversal) of temporary differences	11	2,664	(1,738)	3,050	(1,738)
Taxation for the financial year		2,670	(1,738)	3,050	(1,738)

Reconciliation of tax expense is as follows:

	2023 RM'000	2022 RM'000
Group		
Profit before taxation	166,332	48,686
Income tax at Malaysian statutory tax rate of 24.0%	39,920	11,685
Effect of net fair value (gain)/loss on investment properties	(13,230)	9,856
Effect of income not subject to tax	(30,898)	(23,871)
Effect of expenses not deductible for tax purposes	4,214	2,330
	6	-
Effect of net cumulative fair value changes on investment properties subject to RPGT	2,664	(1,738)
Taxation for the financial year	2,670	(1,738)
Trust		
Profit before taxation	166,693	48,686
Income tax at Malaysian statutory tax rate of 24.0%	40,006	11,685
Effect of net fair value (gain)/loss on investment properties	(14,159)	9,856
Effect of income not subject to tax	(30,052)	(23,871)
Effect of expenses not deductible for tax purposes	4,205	2,330
	-	-
Effect of net cumulative fair value changes on investment properties subject to RPGT	3,050	(1,738)
Taxation for the financial year	3,050	(1,738)

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

18. EARNINGS PER UNIT

Basic and diluted earnings per unit

The calculation of earnings per unit is based on the weighted average number of units and profit for the financial year.

	Group		Trust	
	2023 RM'000	2022 RM'000	2023 RM'000	2022 RM'000
Profit for the financial year	163,662	50,424	163,643	50,424
Add: Manager's management fee	24,968	18,720	24,968	18,720
Profit for the financial year before Manager's management fee	188,630	69,144	188,611	69,144
			2023 units '000	2022 units '000

Group and Trust

Issued units at the beginning of the financial year	2,206,935	2,130,856
Weighted average number of units issued during the financial year	401,241	32,122
Weighted average number of units at the end of the financial year	2,608,176	2,162,978

Earnings per unit (sen)

- before Manager's management fee	7.23	3.20
- after Manager's management fee	6.27	2.33

Diluted earnings per unit equals to basic earnings per unit as there are no potential dilutive units in issue.

19. DISTRIBUTIONS TO UNITHOLDERS

	Group		Trust	
	2023 RM'000	2022 RM'000	2023 RM'000	2022 RM'000
Distributions to unitholders are from the following sources:				
Gross rental income	317,802	220,127	317,709	220,127
Car park income and other revenue	77,588	55,690	77,581	55,690
Interest income	2,762	1,969	2,762	1,969
Less: Expenses	(288,141)	(190,471)	(288,060)	(190,471)
(Less)/Add: Adjustment for rounding difference	(186)	174	(167)	174
Distributable income	109,825	87,489	109,825	87,489
Distribution per unit (sen) of which:				
- taxable income (sen)	3.98	3.93	3.98	3.93
- non-taxable income (sen)	0.19	0.08	0.19	0.08
	4.17	4.01	4.17	4.01

The Manager declared a final income distribution of approximately RM61,387,000 or 2.24 sen per unit on 30 January 2024 for the period from 1 July 2023 to 31 December 2023. In total, CLMT will be paying approximately RM109,825,000, which is more than 90% of its distributable income, to its unitholders for the financial year ended 31 December 2023.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

19. DISTRIBUTIONS TO UNITHOLDERS (CONTINUED)

In the prior financial year, the Manager declared a final income distribution of approximately RM45,462,000 or 2.06 sen per unit on 19 January 2023, for the period from 1 July 2022 to 31 December 2022. This final income distribution was paid on 22 February 2023. In total, CLMT had paid approximately RM87,489,000, which is more than 90% of its distributable income, to its unitholders for the financial year ended 31 December 2022.

The declared final income distribution will be recognised in the immediate subsequent financial year.

Pursuant to the Section 109D(2) of the Income Tax Act, 1967, the applicable final withholding tax on distributions of income which is tax exempt at CLMT level is as follows:

Resident unitholders

- | | | |
|-----|----------------------|--------------------------------------|
| (a) | Corporate | Tax flow through, no withholding tax |
| (b) | Other than corporate | Withholding tax at 10% |

Non-resident unitholders

- | | | |
|-----|-------------------------|------------------------|
| (c) | Corporate | Withholding tax at 24% |
| (d) | Institutional investors | Withholding tax at 10% |
| (e) | Individuals | Withholding tax at 10% |

20. PORTFOLIO TURNOVER RATIO

	2023	2022
Group		
Portfolio turnover ratio (PTR) (times)	0.4	*

The calculation of the PTR is based on the average of total acquisitions and total disposal of investments for the financial year to the average net asset value during the financial year.

Since the basis of calculating the PTR can vary among the REITs, there is no sound basis for providing an accurate comparison of CLMT against other REITs.

* Less than 0.1 times

21. MANAGEMENT EXPENSE RATIO

	2023	2022
Group		
Management expense ratio (MER) (%)	1.5	0.9

MER is calculated based on the total fees of CLMT, including Manager's management fee, Trustee's fee, acquisition fee, divestment fee and other trust expenses, to the average net asset value during the financial year.

Comparison of the MER of CLMT with other REITs which may use different basis of calculation may not be an accurate comparison.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

22. CAPITAL COMMITMENTS

Capital commitments in relation to capital expenditure of the existing portfolio of the Group and of the Trust are as follows:

	2023 RM'000	2022 RM'000
Group and Trust		
Contracted but not provided for	30,967	4,062

23. FINANCIAL INSTRUMENTS

23.1 Categories of financial instruments

The financial instruments of the Group and of the Trust are categorised as follows:

	Carrying amount Group		Carrying amount Trust	
	2023 RM'000	2022 RM'000	2023 RM'000	2022 RM'000
Financial assets categorised as amortised cost:				
Trade and other receivables	24,830	34,078	24,798	34,072
Amount due from subsidiary	-	-	7,016	5,079
Cash and cash equivalents	77,952	84,309	70,730	79,362
	102,782	118,387	102,544	118,513
Financial liabilities categorised as amortised cost:				
Borrowings	2,162,555	1,451,318	1,863,258	1,151,714
Tenants' deposits	107,455	78,333	107,361	78,333
Amount due to subsidiary	-	-	300,000	300,000
Trade and other payables	83,357	62,456	82,851	62,125
	2,353,367	1,592,107	2,353,470	1,592,172

23.2 Net gains/(losses) arising from financial instruments

	Group		Trust	
	2023 RM'000	2022 RM'000	2023 RM'000	2022 RM'000
Net gains/(losses) on:				
Financial assets at amortised cost				
- Reversal of impairment losses on trade receivables (net)	1,437	4,874	1,424	4,874
- Interest income	2,762	1,969	2,762	1,969
	4,199	6,843	4,186	6,843
Financial liabilities at amortised cost				
- Finance costs	(84,781)	(46,517)	(84,781)	(46,517)
- Realised foreign exchange loss	(14)	(5)	(14)	(5)
	(84,795)	(46,522)	(84,795)	(46,522)
	(80,596)	(39,679)	(80,609)	(39,679)

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

23. FINANCIAL INSTRUMENTS (CONTINUED)

23.3 Financial risk management

Financial risk management is integral to the whole business of the Group and of the Trust. The Group and the Trust adopt an integrated approach to manage the financial risks arising in the normal course of business.

The Group and the Trust have identified the following financial risk exposure from its use of financial instruments:

- Liquidity risk
- Credit risk
- Market risk

The Group and the Trust have implemented risk management policies and guidelines which set its tolerance of risk and its general risk management philosophy.

23.4 Liquidity risk

Liquidity risk is defined as the risk that the Group and the Trust will not be able to meet its financial obligations as they fall due.

The Group's and the Trust's exposures to liquidity risk arise primarily from various payables and borrowings. The Group and the Trust maintain sufficient liquid reserves in terms of cash and credit facilities to ensure, as far as possible, that it will have sufficient liquidity to meet its liabilities when they fall due. In addition, the Manager diligently monitors and observes financing covenants to ensure compliance.

The health and sentiments of the debt markets in Malaysia directly affects the liquidity position of the Group and the Trust as external sources of funding are needed to fund new acquisitions or asset enhancement initiatives besides the need to refinance the existing borrowings when they mature.

At the reporting date, RM187,787,000 (FY2022: RM184,610,000) of outstanding revolving credits will be subject to annual review within the next twelve months. The Group and the Trust will continue to manage their capital structure proactively by spreading out the debt maturities to a manageable size and maintaining an optimal gearing level.

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

23. FINANCIAL INSTRUMENTS (CONTINUED)

23.4 Liquidity risk (continued)

Maturity analysis

The table below summarises the maturity profile of the Group's and of the Trust's financial liabilities as at the end of the financial year based on undiscounted contractual payments:

	Note	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	Under 1 year RM'000	1 - 2 years RM'000	2 - 5 years RM'000	More than 5 years RM'000
Group								
2023								
Bank borrowings (excluding unamortised transaction costs)	10	1,869,639	2.99 - 5.15	2,076,965	311,718	53,673	1,711,574	-
Unrated and secured MTN (excluding unamortised transaction costs)	10	300,000	4.36 - 4.44	346,450	13,276	13,240	319,934	-
Lease liabilities		6,454	4.40	8,646	608	608	1,824	5,606
Tenants' deposits		107,455	-	107,455	49,529	26,564	31,052	310
Trade and other payables	12	83,357	-	70,857	70,857	-	-	-
		2,366,905		2,610,373	445,988	94,085	2,064,384	5,916
2022								
Bank borrowings (excluding unamortised transaction costs)	10	1,152,737	2.99 - 4.71	1,339,673	274,360	39,857	672,231	353,225
Unrated and secured MTN (excluding unamortised transaction costs)	10	300,000	3.24 - 4.67	346,554	11,510	14,049	320,995	-
Tenants' deposits		78,333	-	78,333	42,995	12,828	22,267	243
Trade and other payables	12	62,456	-	54,274	54,274	-	-	-
		1,593,526		1,818,834	383,139	66,734	1,015,493	353,468

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As at 31 December 2023

23. FINANCIAL INSTRUMENTS (CONTINUED)

23.4 Liquidity risk (continued)

Maturity analysis (continued)

	Note	Carrying amount RM'000	Contractual interest rate %	Contractual cash flows RM'000	Under 1 year RM'000	1 - 2 years RM'000	2 - 5 years RM'000	More than 5 years RM'000
Trust								
2023								
Bank borrowings (excluding unamortised transaction costs)	10	1,869,639	2.99 - 5.15	2,076,965	311,718	53,673	1,711,574	-
Lease liabilities		6,454	4.40	8,646	608	608	1,824	5,606
Tenants' deposits		107,361	-	107,361	49,508	26,564	30,979	310
Amount due to subsidiary	7	300,000	4.36 - 4.44	346,450	13,276	13,240	319,934	-
Trade and other payables	12	82,851		70,786	70,786	-	-	-
		<u>2,366,305</u>		<u>2,610,208</u>	<u>445,896</u>	<u>94,085</u>	<u>2,064,311</u>	<u>5,916</u>
2022								
Bank borrowings (excluding unamortised transaction costs)	10	1,152,737	2.99 - 4.71	1,339,673	274,360	39,857	672,231	353,225
Tenants' deposits		78,333	-	78,333	42,995	12,828	22,267	243
Amount due to subsidiary	7	300,000	3.24 - 4.67	346,554	11,510	14,049	320,995	-
Trade and other payables	12	62,125	-	54,262	54,262	-	-	-
		<u>1,593,195</u>		<u>1,818,822</u>	<u>383,127</u>	<u>66,734</u>	<u>1,015,493</u>	<u>353,468</u>

Included in the carrying amount of trade and other payables are as follows:

For the Group:

- an amount of RM7,699,000 (FY2022: RM5,471,000) for interest payable on the borrowings, was incorporated in the contractual cash flows of the bank borrowings and unrated and secured MTN; and
- an amount of RM4,801,000 (FY2022: RM2,711,000) for Manager's performance fee payable in units was not incorporated in the contractual cash flows.

For the Trust:

- an amount of RM7,264,000 (FY2022: RM5,152,000) for interest payable on the borrowings, was incorporated in the contractual cash flows of the bank borrowings; and
- an amount of RM4,801,000 (FY2022: RM2,711,000) for Manager's performance fee payable in units was not incorporated in the contractual cash flows.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

23. FINANCIAL INSTRUMENTS (CONTINUED)

23.5 Credit risk

Credit risk is defined as the risk of a financial loss to the Group and to the Trust if a customer or counterparty to a financial instrument fails to meet its contractual obligations. The Group's and the Trust's exposures to credit risk arise primarily from their trade and other receivables.

Credit risk is controlled by credit verification procedures before lease agreements are entered into with tenants and ongoing balance monitoring to ensure minimum credit risk exposure. In addition, there is a stringent collection policy in place to ensure that credit risk is minimised. Other than the collection of security deposits, which typically amounts to an average of three months' rent in the form of cash or bankers' guarantee, the Group and the Trust also have vigilant monitoring and debt collection procedures. Additionally, certain revenue streams such as car park income and recovery from tenants do not have credit terms since they are settled on cash or prepayment terms. Debtors turnover days of the Group for the financial year was approximately 14 days (FY2022: 24 days).

For other financial assets, the Group and the Trust minimise credit risk by dealing with restricted counterparties that meet the appropriate credit criteria and have high credit standing.

The Manager establishes an allowance for impairment that represents its estimate of incurred losses in respect of trade and other receivables. The main component of this allowance is a specific loss component that relates to the individually significant exposure. The allowance account in respect of trade and other receivables is used to record impairment losses unless the Manager is satisfied that no recovery of the amount owing is possible. At that point, the financial asset is considered irrecoverable and the amount charged to the allowance account is written off against the carrying amount of the impaired financial asset.

At the end of financial year, there was no significant concentration of credit risk.

Cash and bank balances are placed with financial institutions which are regulated.

23.6 Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and other prices that will affect the Group's and the Trust's financial positions or cash flows.

23.6.1 Interest rate risk

The Group's and the Trust's investments in financial products and its fixed rate borrowings are exposed to a risk of change in the fair values of the instruments due to changes in interest rates. The Group's and the Trust's floating rate borrowings are exposed to a risk of change in cash flows due to changes in interest rate. Short term receivables and payables are not significantly exposed to interest rate risk. Of these instruments, the primary interest rate risk exposure of the Group and of the Trust relates to interest-bearing borrowings.

In line with the Group's overall enterprise risk management framework, the Manager adopts a proactive interest rate management policy to manage the risk associated with changes in interest rates on the Group's and the Trust's loan facilities (including borrowing from subsidiary) and also seeking to ensure a competitive level of cost of debt. Interest rate risk is managed on an ongoing basis with the primary objective of limiting the extent to which interest expense could be affected by adverse movements in interest rates.

To mitigate the Group's exposure to fluctuation in interest rates, the Manager has locked in a proportion of the Group's and the Trust's borrowings at fixed interest rates. As at 31 December 2023, the Group's and the Trust's borrowings at fixed rates are 85.3% (FY2022: 79.1%) while the remaining balances are on floating rates.

The investments in financial products are mainly short-term in nature and not held for trading or speculative purposes but are mainly placed in as deposits with licensed banks which yield better returns than cash at bank.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

23. FINANCIAL INSTRUMENTS (CONTINUED)

23.6 Market risk (continued)

23.6.1 Interest rate risk (continued)

The interest rate profile of the Group's and of the Trust's significant interest-bearing financial instruments, based on carrying amounts as at end of the financial year, is as follows:

	Note	Group		Trust	
		2023 RM'000	2022 RM'000	2023 RM'000	2022 RM'000
Financial assets					
Fixed rate instruments					
Deposits placed with licensed banks	8	60,892	66,267	54,237	61,333
Amount due from subsidiary	7	-	-	6,650	4,930
		60,892	66,267	60,887	66,263
Financial liabilities					
Fixed rate instruments					
Secured term loans	10	1,551,179	848,680	1,551,179	848,680
Unrated and secured MTN	10	300,000	300,000	-	-
Amount due to subsidiary	7	-	-	300,000	300,000
		1,851,179	1,148,680	1,851,179	1,148,680
Floating rate instruments					
Secured term loans	10	69,750	69,750	69,750	69,750
Secured and unsecured revolving credits	10	248,710	234,307	248,710	234,307
		318,460	304,057	318,460	304,057
		2,169,639	1,452,737	2,169,639	1,452,737

The exposure to interest rate risk is in respect of the floating rate instruments as reported above.

Interest rate risk sensitivity analysis

Fair value sensitivity analysis for fixed rate instruments

The Group and the Trust do not account for any fixed rate financial assets and liabilities at fair value through profit or loss. Therefore, a change in interest rates at the end of the financial year would not affect profit or loss.

Cash flow sensitivity analysis for variable rate instruments

An increase of 50 basis points (bp) (FY 2022: 50 bp) in interest rate at the reporting date would have increased the finance costs by RM1,592,000 (FY 2022: RM1,520,000) per annum. A decrease in 50 bp in interest rate would have an equal but opposite effect. This analysis assumes that all other variables remain constant.

23.6.2 Currency risk

As the assets of the Group are currently based in Malaysia, there is little or no foreign exchange exposure from operations. The Group borrows in Malaysian Ringgit from domestic banks and debt capital market hence creating a perfect currency match for the Group's and the Trust's assets and liabilities. At the end of the financial year, the Group and the Trust are not exposed to any significant foreign currency risk.

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

23. FINANCIAL INSTRUMENTS (CONTINUED)

23.7 Fair value information

The carrying amounts of cash and cash equivalents, trade and other receivables, amount due from/(to) subsidiary and trade and other payables approximate their fair values due to the relatively short-term nature of these financial instruments.

The fair value of the floating rate borrowings approximates its carrying amount as it reprices to market interest rates for liabilities with similar risk profiles.

The fair value of the fixed-rate borrowings at initial recognition approximates its carrying amount as its effective interest rate is considered to be the market rate.

The fair values of the financial liabilities, together with the carrying amounts shown in the statements of financial position, are as follows:

	Carrying amount 2023 RM'000	Fair value 2023 RM'000	Carrying amount 2022 RM'000	Fair value 2022 RM'000
Group				
Tenants' deposits	107,455	104,038	78,333	76,095
Fixed rate secured term loans	1,551,179	1,473,060	848,680	834,919
Unrated and secured MTN	300,000	299,928	300,000	298,040
Trust				
Tenants' deposits	107,361	103,948	78,333	76,095
Fixed rate secured term loans	1,551,179	1,473,060	848,680	834,919
Amount due to subsidiary	300,000	299,928	300,000	298,040

The fair values of the tenants' deposits is categorised as Level 2 and the remaining financial liabilities are categorised as Level 3.

The above fair values, which are determined for disclosure purposes, are calculated based on the present value of future cash flows discounted at the market rate of interest at the end of the financial year. Interest rates used to determine fair values are as follows:

	2023	2022
Group and Trust		
Tenants' deposits	2.8%	2.9%
Fixed rate secured term loans	4.7%	4.9%
Unrated and secured MTN	4.6%	4.8%
Amount due to subsidiary	4.6%	4.8%

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

24. CAPITAL MANAGEMENT

The Group's objectives when managing capital are to maintain a strong capital base so as to maintain investor, creditor and market confidence and to ensure optimal returns to unitholders, while maintaining flexibility in respect of future capital expenditure and acquisitions. The Manager continues to rigorously monitor the cash position and borrowings of the Group with the view of strengthening its capital structure and competitive position.

The Manager maintains an optimal gearing ratio, which is defined as total borrowings divided by total asset value, that complies with regulatory requirements and financing covenants. Under the SC's REIT Guidelines, the gearing ratio of the Group should not exceed 50.0% (FY2022: 60.0%) at the time the borrowings or financing facilities or deferred payment arrangements are incurred. The gearing limit for Malaysia real estate investment trusts was temporarily increased from 50.0% to 60.0% until 31 December 2022 as announced by the SC on 12 August 2020. As at 31 December 2023, the gearing level of the Group stood at 42.4% (FY2022: 36.2%) and has maintained the gearing ratio below the statutory threshold during the financial year.

	2023 RM'000	2022 RM'000
Group		
Total assets value (before final income distribution)	5,116,805	4,015,625
Total borrowings (excluding unamortised transaction costs)	2,169,639	1,452,737
Gearing ratio (%)	42.4	36.2

There was no change in the Group's approach to capital management during the financial year.

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25. RELATED PARTIES

Identity of and transactions with related parties

For the purposes of these financial statements, parties are considered to be related to the Group if the Group or the Trust has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Group or the Trust and the party are subject to common control or common significant influence. Related parties may be individuals or other entities.

During the financial year, other than those disclosed elsewhere in the financial statements, the following related party transactions were carried out in the normal course of business under normal commercial terms:

	Group		Trust	
	2023 RM'000	2022 RM'000	2023 RM'000	2022 RM'000
The Manager				
CapitaLand Malaysia REIT Management Sdn. Bhd.				
- Management fee (Note 14)	24,968	18,720	24,968	18,720
- Acquisition fee (Note 14)	10,302	800	10,302	800
- Divestment fee (Note 14)	260	-	260	-
The Trustee				
MTrustee Berhad				
- Trustee's fee (Note 15)	420	400	420	400
Related companies of a material unitholder and of the Manager				
CapitaLand Retail Malaysia Sdn. Bhd.				
- Project management fee for asset enhancement works	582	173	582	173
U Mobile Sdn. Bhd.				
- Rental income from leasing of space	441	264	441	264
Special Coral Sdn. Bhd.				
- Deposit paid for the acquisition of 433 strata parcels in Queensbay Mall	-	19,690	-	19,690
- Acquisition of 433 strata parcels in Queensbay Mall	984,480	-	984,480	-
Retail Galaxy Pte. Ltd.				
- Deposit paid for the acquisition of 4 companies along with 5 strata parcels in Queensbay Mall as disclosed in Note 27	-	69	-	69
- Acquisition of 4 companies along with 5 strata parcels in Queensbay Mall as disclosed in Note 27	5,734	-	5,734	-
CapitaLand Retail (MY) Pte. Ltd.				
- Intercompany loan settlement for acquisition of the 4 companies as disclosed in Note 27	303	-	303	-
CapitaLand Development Pte. Ltd.				
- Technical support and advisory services	17	34	17	34
Boardroom Share Registrars Sdn. Bhd.				
- Poll administrative services	53	21	53	21

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26. OPERATING SEGMENTS

The Group's Chief Operating Decision Makers (CODM) has identified Retail as a reportable segment for the purpose of performance assessment.

Segment revenue comprises mainly income generated from its tenants. Segment net property income represents the income earned by the segment after allocating property operating expenses. Segment performance is measured based on the segment net property income.

Segment result include items directly attributable to a segment as well as those that can be allocated on a reasonable basis. Unallocated expenses comprise mainly non-operating and trust expenses.

	Retail RM'000	Others RM'000	Total RM'000
Group			
Segment profit for the year ended 31 December 2023			
Gross revenue	388,801	6,589	395,390
Net property income	213,796	3,610	217,406
Interest income			2,762
Other non-operating income			3,642
Fair value gain on investment properties (net)			55,124
Unallocated expenses			(27,821)
Finance costs			(84,781)
Profit before taxation			166,332
Taxation			(2,670)
Profit for the financial year			163,662
Segment profit for the year ended 31 December 2022			
Gross revenue	274,024	1,793	275,817
Net property income/(expense)	152,687	(177)	152,510
Interest income			1,969
Other non-operating income			3,250
Fair value loss on investment properties (net)			(41,066)
Unallocated expenses			(21,460)
Finance costs			(46,517)
Profit before taxation			48,686
Taxation			1,738
Profit for the financial year			50,424

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26. OPERATING SEGMENTS (CONTINUED)

	Retail RM'000	Others RM'000	Total RM'000
Trust			
Segment profit for the year ended 31 December 2023			
Gross revenue	388,701	6,589	395,290
Net property income	213,749	3,610	217,359
Interest income			2,762
Other non-operating income			3,642
Fair value gain on investment properties (net)			58,996
Unallocated expenses			(31,285)
Finance costs			(84,781)
Profit before taxation			166,693
Taxation			(3,050)
Profit for the financial year			163,643
Segment profit for the year ended 31 December 2022			
Gross revenue	274,024	1,793	275,817
Net property income/(expense)	152,687	(177)	152,510
Interest income			1,969
Other non-operating income			3,250
Fair value loss on investment properties (net)			(41,066)
Unallocated expenses			(21,460)
Finance costs			(46,517)
Profit before taxation			48,686
Taxation			1,738
Profit for the financial year			50,424

No segment assets and liabilities information is prepared as the Group's CODM assesses the segment's performance based on the segment's net property income.

No geographical segment information is prepared as the Group's properties are all located in Malaysia.

NOTES TO THE FINANCIAL STATEMENTS

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27. ACQUISITION OF SUBSIDIARIES

On 21 March 2023, the Group acquired all the shares in LASB, MWPB, SGSB and SISB for RM3,462,000 via cash consideration and repaid all loans or advances owed by the subsidiaries to Retail Galaxy Pte. Ltd. and/or its related companies amounting to RM2,575,000. The subsidiaries are principally engaged in the operations of investment in and letting of property.

The following summarises the major classes of consideration transferred, and the recognised amounts of assets acquired and liabilities assumed at the acquisition date:

Fair value of consideration transferred

	LASB RM'000	MWPB RM'000	Acquisition of SGSB RM'000	SISB RM'000	Group RM'000
Cash and cash equivalents	665	815	828	1,154	3,462

Identifiable assets acquired and liabilities assumed

	Note	LASB RM'000	MWPB RM'000	SGSB RM'000	SISB RM'000	Group RM'000
Investment properties	4	1,038	1,453	1,142	2,387	6,020
Trade and other receivables		19	10	36	2	67
Current tax assets		9	4	14	-	27
Cash and cash equivalents		211	11	209	34	465
Deferred tax liabilities	11	(75)	(111)	(73)	(149)	(408)
Tenants' deposits		(21)	(8)	(21)	(10)	(60)
Trade and other payables		(16)	(28)	(14)	(16)	(74)
Total identifiable net assets		1,165	1,331	1,293	2,248	6,037

Net cash outflow arising from acquisition of subsidiaries

	Group 2023 RM'000	Trust 2023 RM'000
Purchase consideration settled in cash and cash equivalents	(3,462)	(3,462)
Settlement of intercompany loan	(2,575)	(2,575)
Cash and cash equivalents acquired	465	-
	(5,572)	(6,037)

NOTES TO THE FINANCIAL STATEMENTS

As at 31 December 2023

28. SIGNIFICANT EVENTS DURING THE FINANCIAL YEAR

The following significant events occurred during the financial year:

(i) On 21 March 2023, CLMT completed the following:

- acquisition of 433 strata titles within Queensbay Mall for a purchase consideration of RM984,480,000 from Special Coral Sdn. Bhd.; and
- acquisition of LASB, MWPB, SGSB and SISB ("Target Companies"), which collectively hold 5 strata titles within Queensbay Mall for a total purchase consideration of RM3,462,000, together with an intercompany loan settlement on behalf of the Target Companies of RM2,575,000 from Retail Galaxy Pte. Ltd..

The acquisition was funded through a combination of private placement, which included the issuance of 464,997,500 new units in CLMT, raising RM227,849,000 in cash proceeds and bank borrowings.

(ii) On 15 May 2023, CLMT entered into a sale and purchase agreement to acquire Glenmarie Distribution Centre, a freehold logistics warehouse located at the Hicom-Glenmarie Industrial Park in Shah Alam, Selangor for a purchase consideration of RM39,690,000. The logistics warehouse would be converted into a temperature-controlled distribution centre and subsequently leased to a fashion retail tenant for a period of 10 years. The acquisition of the logistics warehouse was completed on 29 August 2023.

(iii) On 5 September 2023, CLMT entered into a sale and purchase agreement for the sale of 3 Damansara Office Tower (3DOT) for a sale consideration of RM52,000,000 to Lagenda Harta Sdn. Bhd.. The divestment of 3DOT was completed on 4 December 2023.

29. SUBSEQUENT EVENT

On 5 February 2024, CLMT entered into a conditional sale and purchase agreement with Nusajaya Tech Park Sdn. Bhd., a related party to CLMT, for the acquisition of two semi-detached factories with mezzanine office and guard posts and one detached factory with mezzanine office with a guard post located at Taman Teknologi Nusajaya, Iskandar Puteri, Johor for a total purchase consideration of RM27,000,000 from Nusajaya Tech Park Sdn. Bhd.. The acquisition will be funded via bank borrowings.

MANAGER'S REPORT

CapitaLand Malaysia REIT Management Sdn. Bhd., the Manager for CapitaLand Malaysia Trust (CLMT or the Trust), has pleasure in presenting its report together with the audited financial statements of the Group and of the Trust for the financial year ended 31 December 2023.

CLMT is a Malaysia domiciled real estate investment trust (REIT) constituted by a deed dated 7 June 2010 (which was amended and restated on 13 July 2021) (the Deed) entered into between CapitaLand Malaysia REIT Management Sdn. Bhd. (the Manager) and MTrustee Berhad (the REIT Trustee). The Deed was registered with Securities Commission Malaysia (SC) on 20 September 2021. CLMT is regulated by the SC's Guidelines on Listed Real Estate Investment Trusts (REIT Guidelines), the Listing Requirements of Bursa Malaysia Securities Berhad (Bursa Securities) and other relevant laws and regulations.

Under the Deed, the principal activity of CLMT is to invest, on a long term basis, in a portfolio of income-producing real estate as deemed fit by the Manager, that are used for retail, commercial, office and industrial purposes, or such other non-real estate investments, as may be permitted under the Deed, the REIT Guidelines or by the SC, with a view of providing unitholders with long term and sustainable distribution of income and potential capital growth.

The Manager is of the view that CLMT has made continued progress in growing its diversified portfolio to strengthen income resilience for the financial year ended 31 December 2023. Except as disclosed in the financial statements, there was no change in the strategies and policies employed during the financial year.

DIRECTORS

The Directors of the Manager who have held office during the financial year until the date of this report are as follows:

Tan Choon Siang
Foo Wei Hoong
Tan Boon Peng
Mohd Yusof bin Hussian
Tan Ming-Li
Lim Cho Pin Andrew Geoffrey
Goh Gek Hiang (Wu Yuxian) (Appointed on 5 June 2023)
Dato' Ng Tiong Lip (Appointed on 1 October 2023)
Yap Neng Tong (Resigned on 5 June 2023)
Lui Chong Chee (Resigned on 1 February 2024)

DIRECTORS' BENEFITS

Neither at the end of the financial year, nor at any time during that year, did there subsist any arrangement to which the Manager was a party, whereby the Directors of the Manager might acquire benefits by means of the acquisition of units in or debentures of CLMT.

Since the end of the previous financial year, no Director of the Manager has received or become entitled to receive any benefit (other than a benefit included in the aggregated amount of remuneration received or due and receivable by the Directors), by reason of a contract made by the Manager or a related corporation with any Director of the Manager or with a firm of which the Director of the Manager is a member of, or with a company in which the Director of the Manager has substantial financial interest.

MANAGER'S REPORT

DIRECTORS' INTERESTS

According to the register of Directors' shareholdings kept by the Manager under Section 59 of the Companies Act 2016 in Malaysia, the interests of Directors of the Manager in office at the end of the financial year in units in CLMT during the financial year were as follows:

	At 1.1.2023 Unit	Addition ² Unit	Sold Unit	At 31.12.2023 Unit
Lim Cho Pin Andrew Geoffrey ¹	50,484	1,139	-	51,623
Mohd Yusof bin Hussian	66,624	1,503	-	68,127

Notes:

¹ Units held through nominees

² Subscription under the Distribution Reinvestment Plan

The other Directors of the Manager in office at the end of the financial year did not have any interest in units in CLMT during the financial year.

SOFT COMMISSION

There was no soft commission received by the Manager during the financial year from any broker or dealer by virtue of transactions conducted for CLMT.

OTHER INFORMATION

- (a) Before the financial statements of the Group and of the Trust were made out, the Manager took reasonable steps:
- (i) to ascertain that proper action had been taken in relation to the writing off of bad debts and the making of allowance for doubtful debts and satisfied themselves that there were no known bad debts and that adequate allowance had been made for doubtful debts; and
 - (ii) to ensure that any current assets which were unlikely to be realised in the ordinary course of business have been written down to an amount which the current assets might be expected so to realise.
- (b) At the date of this report, the Manager is not aware of any circumstances:
- (i) that would render the amount written off for bad debts or the amount of the provision for doubtful debts in the Group and the Trust inadequate to any substantial extent, or
 - (ii) that would render the values attributed to the current assets in the financial statements of the Group and of the Trust misleading, or
 - (iii) which have arisen which render adherence to the existing method of valuation of assets or liabilities of the Group and of the Trust misleading or inappropriate, or
 - (iv) not otherwise dealt with in this report or financial statements that would render any amount stated in the financial statements of the Group and of the Trust misleading.

MANAGER'S REPORT

OTHER INFORMATION (CONTINUED)

- (c) As at the date of this report, there does not exist:
 - (i) any charge on the assets of the Group and of the Trust that has arisen since the end of the financial year which secures the liabilities of any other person; and
 - (ii) any contingent liability of the Group or of the Trust that has arisen since the end of the financial year.
- (d) In the opinion of the Manager:
 - (i) except for those already disclosed in the financial statements, the results of the operations of the Group and of the Trust during the financial year have not been substantially affected by any item, transaction or event of a material and unusual nature;
 - (ii) no item, transaction or event of a material and unusual nature has arisen in the interval between the end of the financial year and the date of this report which is likely to affect substantially the results of the operations of the Group or of the Trust for the financial year in which this report is made; and
 - (iii) no contingent or other liability has become enforceable or is likely to become enforceable within the period of twelve months after the end of the financial year which will or may affect the ability of the Group or of the Trust to meet their obligations as and when they fall due.

OTHER SIGNIFICANT EVENTS

Except for those already disclosed in the financial statements, there are no significant events during the financial year and up to the date of this report.

CHANGES IN MATERIAL LITIGATION

The Manager is not aware of any pending litigation which is material since 31 December 2023 up to the date of this report.

Signed on behalf of the Directors of the Manager in accordance with a resolution of the Board of Directors dated 15 February 2024.

Dato' Ng Tiong Lip
Chairman

Tan Choon Siang
Chief Executive Officer

Date: 15 February 2024

STATEMENT BY THE MANAGER

The Manager acknowledges its responsibility for the preparation of the annual financial statements of CapitaLand Malaysia Trust and its subsidiaries (the Group). In the opinion of the Directors of the Manager, CapitaLand Malaysia REIT Management Sdn. Bhd., the financial statements set out on pages 182 to 229 are drawn up in accordance with the provisions of the Deed dated 7 June 2010 (which was amended and restated on 13 July 2021), the Securities Commission Malaysia's Guidelines on Listed Real Estate Investment Trusts, Malaysian Financial Reporting Standards and IFRS Accounting Standards so as to give a true and fair view of the financial position of the Group and of the Trust as at 31 December 2023 and of their financial performance and cash flows for the financial year then ended.

Signed on behalf of the Directors of the Manager in accordance with a resolution of the Board of Directors dated 15 February 2024.

Dato' Ng Tiong Lip
Chairman

Tan Choon Siang
Chief Executive Officer

Date: 15 February 2024

STATUTORY DECLARATION

I, **Soon Yeong Chyan**, the officer of CapitaLand Malaysia REIT Management Sdn. Bhd., primarily responsible for the financial management of CapitaLand Malaysia Trust, do solemnly and sincerely declare that the financial statements set out on pages 182 to 229, are, to the best of my knowledge and belief, correct and I make this solemn declaration conscientiously believing the declaration to be true, and by virtue of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by the abovenamed Soon Yeong Chyan, MIA CA12084, at Kuala Lumpur, Wilayah Persekutuan on 15 February 2024.

Soon Yeong Chyan

Before me:

TRUSTEE’S REPORT

To the Unitholders of CapitaLand Malaysia Trust
(Established in Malaysia)

We have acted as Trustee of CapitaLand Malaysia Trust (CLMT) for the financial year ended 31 December 2023. In our opinion and to the best of our knowledge, CapitaLand Malaysia REIT Management Sdn. Bhd., the Manager of CLMT, has managed CLMT in accordance with the limitations imposed on the investment powers of the Manager and the Trustee under the Deed dated 7 June 2010 (which was amended and restated on 13 July 2021) (the Deed), the Capital Markets and Services Act, 2007, Securities Commission Malaysia’s Guidelines on Listed Real Estate Investment Trusts and other applicable laws during the financial year then ended.

We have ensured that valuation has been carried out on all the properties of CLMT in accordance with the Deed and any other regulatory requirements.

We also confirm that the income distributions declared and paid during the financial year ended 31 December 2023 are in line with and are reflective of the objectives of CLMT.

For and on behalf of the Trustee,
MTrustee Berhad

Nurizan Binti Jalil
Chief Executive Officer

Date: 15 February 2024

INDEPENDENT AUDITORS' REPORT

To the Unitholders of CapitaLand Malaysia Trust
(Established in Malaysia)

REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS

Opinion

We have audited the financial statements of CapitaLand Malaysia Trust (CLMT), which comprise the statements of financial position as at 31 December 2023 of the Group and of CLMT, and the statements of profit or loss and other comprehensive income, statements of changes in net asset value and statements of cash flows of the Group and of CLMT for the year then ended, and notes to the financial statements, including material accounting policy information, as set out on pages 182 to 229.

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and of CLMT as at 31 December 2023, and of their financial performance and their cash flows for the year then ended in accordance with Malaysian Financial Reporting Standards and IFRS Accounting Standards as issued by the International Accounting Standards Board (IFRS Accounting Standards).

Basis for Opinion

We conducted our audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing. Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Financial Statements* section of our auditors' report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Independence and Other Ethical Responsibilities

We are independent of the Group and of CLMT in accordance with the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants ("By-Laws") and the International Ethics Standards Board for Accountants' *International Code of Ethics for Professional Accountants (including International Independence Standards)* ("IESBA Code"), and we have fulfilled our other ethical responsibilities in accordance with the By-Laws and the IESBA Code.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the Group and of CLMT for the current year. These matters were addressed in the context of our audit of the financial statements of the Group and of CLMT as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

Valuation of investment properties

Refer to Note 2(d) – Material accounting policy: Investment properties and Note 4 – Investment properties.

The key audit matter

The Group and CLMT own a portfolio of investment properties comprising shopping malls and logistics assets located in Malaysia. Investment properties represent the single largest category of assets on the statements of financial position, at RM5,008,550,000 and RM5,006,402,000 respectively as at 31 December 2023.

These investment properties are stated at their fair values based on independent external valuations.

The valuation process involves significant judgement in determining the appropriate valuation methodology to be used, and in estimating the underlying assumptions to be applied. The valuations are highly sensitive to key assumptions applied i.e. a small change in the assumptions can have a significant impact to the valuation.

This is a key audit matter because of the inherently subjective nature of investment property valuations arising from the use of assumptions in the valuation methodology and the financial significance of the balances.

INDEPENDENT AUDITORS' REPORT

To the Unitholders of CapitaLand Malaysia Trust
(Established in Malaysia)

Key Audit Matters (continued)

How the matter was addressed in our audit

We performed the following audit procedures, among others:

- We assessed the Manager's processes for the selection of the external valuers, the determination of the scope of work of the valuers, and the review and acceptance of the valuations reported by the external valuers.
- We considered the qualifications and competence of the external valuers vis-à-vis the expert's qualifications, membership of a professional body or industry association, and license to practice.
- We held discussions with the external valuers to understand their processes, judgements and observations in determining the assumptions applied in their valuations.
- We considered the valuation methodologies used against those applied by other valuers for similar property types. We also considered other alternative valuation methods commonly used by external valuers.
- We tested samples of data applied in the projected cash flows used in the valuations by the external valuers to lease agreements and other supporting documents.
- We challenged the key assumptions used in the valuations by external valuers, such as capitalisation rates, by comparing them against historical rates and available industry data, taking into consideration comparability and market factors. Where the rates were outside the expected range, we undertook further procedures to understand the effect of additional factors and, when necessary, held further discussions with the external valuers.
- We also considered the adequacy of the disclosures in the financial statements, in describing the inherent degree of subjectivity and key assumptions in the estimates. This includes the relationships between the key unobservable inputs and fair values, in conveying the uncertainties.

Information Other than the Financial Statements and Auditors' Report Thereon

CapitaLand Malaysia REIT Management Sdn. Bhd. (Manager) is responsible for the other information. The other information comprises the information included in the annual report, but does not include the financial statements of the Group and of CLMT and our auditors' report thereon.

Our opinion on the financial statements of the Group and of CLMT does not cover the annual report and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements of the Group and of CLMT, our responsibility is to read the annual report and, in doing so, consider whether the annual report is materially inconsistent with the financial statements of the Group and of CLMT or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of the annual report, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Manager for the Financial Statements

The Manager is responsible for the preparation of financial statements of the Group and of CLMT that give a true and fair view in accordance with the provisions of the Deed dated 7 June 2010 (which was amended and restated on 13 July 2021), the Securities Commission Malaysia's Guidelines on Listed Real Estate Investment Trusts, Malaysian Financial Reporting Standards and IFRS Accounting Standards. The Manager is also responsible for such internal control as the Manager determines is necessary to enable the preparation of financial statements of the Group and of CLMT that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements of the Group and of CLMT, the Manager is responsible for assessing the ability of the Group and of CLMT to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Manager either intends to liquidate the Group or CLMT or to cease operations, or have no realistic alternative but to do so.

INDEPENDENT AUDITORS' REPORT

To the Unitholders of CapitaLand Malaysia Trust
(Established in Malaysia)

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements of the Group and of CLMT as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with approved standards on auditing in Malaysia and International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with approved standards on auditing in Malaysia and International Standards on Auditing, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements of the Group and of CLMT, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Manager's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Manager.
- Conclude on the appropriateness of the Manager's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the ability of the Group or of CLMT to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements of the Group and of CLMT or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group or CLMT to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements of the Group and of CLMT, including the disclosures, and whether the financial statements of the Group and of CLMT represent the underlying transactions and events in a manner that gives a true and fair view.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements of the Group. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the Manager regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the Manager with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with the Manager, we determine those matters that were of most significance in the audit of the financial statements of the Group and of CLMT for the current year and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our auditors' report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

INDEPENDENT AUDITORS' REPORT

To the Unitholders of CapitaLand Malaysia Trust
(Established in Malaysia)

OTHER MATTERS

This report is made solely to the unitholders of CLMT, as a body, and for no other purpose. We do not assume responsibility to any other person for the content of this report.

KPMG PLT

(LLP0010081-LCA & AF 0758)
Chartered Accountants

Petaling Jaya,

Date: 15 February 2024

Ow Peng Li

Approval Number: 02666/09/2025 J
Chartered Accountant

INDEPENDENT LIMITED ASSURANCE REPORT

On Selected Sustainability Information of CapitaLand Malaysia Trust
For the Financial Year Ended 31 December 2023



KPMG PLT
(LLP0010081-LCA & AF 0758)
Chartered Accountants
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CapitaLand Malaysia REIT Management Sdn. Bhd.

Unit No. 1-27, Level 27, Naza Tower,
No. 10, Persiaran KLCC,
5088 Kuala Lumpur,
Malaysia

Dear Sirs,

Independent Limited Assurance Report on Selected Sustainability Information of CapitaLand Malaysia Trust for the financial year ended 31 December 2023

We, KPMG PLT ("KPMG"), were engaged to provide limited assurance on CapitaLand Malaysia Trust ("CLMT") and its subsidiary's (the "Group") Selected Sustainability Information (the "Subject Matter"), published in CLMT's Annual Report for the financial year ended 31 December 2023 (the "Annual Report"), in the form of an independent limited assurance conclusion as to whether anything has come to our attention that would cause us to believe that the Subject Matter, in all material respects, has not been prepared in accordance with CLMT's definition and calculation methodologies which are disclosed in the Annual Report, including any significant inherent limitations (the "Applicable Criteria").

Subject Matter

The Selected Sustainability Information covered by our limited assurance engagement is as follows:

- (i) Total Energy Consumption (kWh); and
- (ii) Total Energy Intensity (kWh/m²/month).

The boundary of the limited assurance engagement by KPMG on the Selected Sustainability Information covers CLMT's properties namely Gurney Plaza, East Coast Mall, The Mines, 3 Damansara Mall and Queensbay Mall only.

Board of Directors and Management's Responsibilities

The Board of Directors (the "Directors") of CapitaLand Malaysia REIT Management Sdn. Bhd., (the "Manager") and the management of the Manager (the "Management") are responsible for the preparation and presentation of the Subject Matter in accordance with the Applicable Criteria, and the information and assertions contained within it; for determining that the criteria is appropriate to meet their needs; and for establishing and maintaining appropriate performance management and internal control systems from which the Subject Matter is derived.

The Directors and the Management are responsible for the prevention and detection of fraud and error mainly through the implementation and continued operation of an adequate system of internal control.

INDEPENDENT LIMITED ASSURANCE REPORT

On Selected Sustainability Information of CapitaLand Malaysia Trust
For the Financial Year Ended 31 December 2023



CapitaLand Malaysia Trust ("CLMT")
*Independent Limited Assurance Report on Selected Sustainability
Information of CLMT for the financial year ended 31 December 2023
15 February 2024*

Overview

Leadership

Portfolio

Performance

Governance

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Financial Statements

Other Information

Board of Directors and Management's Responsibilities (continued)

The Directors and the Management are also responsible for ensuring that staff involved with the preparation and presentation of the description of the Subject Matter in the Annual Report are properly trained, ensuring that information systems are properly updated and that any changes in reporting encompass all significant business units.

The Directors and the Management are responsible for disclosing to us their knowledge of: (i) known, actual or possible non-compliance with laws or regulations that have or may have a material effect on the Subject Matter; and (ii) allegations of or suspected fraud or dishonesty committed against the Group.

The Directors and the Management are responsible to make available to us the Subject Matter and any other information timely to facilitate the completion of the engagement within the required time frame.

The Directors and the Management are responsible for disclosing to us facts that may affect the Subject Matter, of which they may become aware up to the date of the independent limited assurance report.

Our Responsibilities

Our responsibility is to carry out a limited assurance engagement and to express a limited assurance opinion based on the work performed and evidence obtained.

We conducted our engagement in accordance with Malaysian Approved Standard on Assurance Engagements (ISAE) 3000 (Revised), *Assurance Engagements Other Than Audits or Reviews of Historical Financial Information*. This standard requires that we plan and perform procedures to obtain limited assurance that nothing has come to our attention that causes us to believe that the Subject Matter, in all material respects, is not prepared in accordance with the Applicable Criteria.

Procedures Performed

Our limited assurance engagement on the Subject Matter consists of making enquiries, primarily of persons responsible for the preparation of the Subject Matter, and applying analytical and other evidence gathering procedures, as appropriate. These procedures, amongst others, included:

- Enquired Management to gain an understanding of the processes established from which the Subject Matter is derived;
- Interviewed relevant staff responsible for preparing and presenting the Subject Matter in the Annual Report;
- Compared the Subject Matter presented in the Annual Report to underlying sources on a sample basis to determine whether the relevant information has been appropriately disclosed; and
- Read the Subject Matter presented in the Annual Report to determine whether they are in line with our overall knowledge of, and experience with, the sustainability performance of the Group.

The procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement and consequently the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

INDEPENDENT LIMITED ASSURANCE REPORT

On Selected Sustainability Information of CapitaLand Malaysia Trust
For the Financial Year Ended 31 December 2023



CapitaLand Malaysia Trust ("CLMT")
*Independent Limited Assurance Report on Selected Sustainability
Information of CLMT for the financial year ended 31 December 2023
15 February 2024*

Our Quality Management and Independence

Our firm applies Malaysian Approved Standard on Quality Management, ISQM 1, *Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services Engagements*, which requires the firm to design, implement and operate a system of quality management including policies or procedures regarding compliance with ethical requirements, professional standards and applicable legal and regulatory requirements.

We have complied with the independence and other ethical requirements of the *By-Laws (on Professional Ethics, Conduct and Practice)* of the Malaysian Institute of Accountants, which is founded on fundamental principles of integrity, objectivity, professional competence and due care, confidentiality and professional behaviour.

Inherent Limitations

Due to the inherent limitations of any internal control structure, it is possible that errors or irregularities in the information presented in the Annual Report may occur and not be detected. Our engagement is not designed to detect all weaknesses in the internal controls over the preparation and presentation of the Annual Report, as the engagement has not been performed continuously throughout the period and the procedures performed were undertaken on a test basis.

Conclusion

Our conclusion has been formed on the basis of, and is subject to, the matters outlined in this report.

We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our conclusion.

Based on the limited assurance procedures performed and evidence obtained, as described above, nothing has come to our attention that would cause us to believe that the Subject Matter for the financial year ended 31 December 2023 is not prepared, in all material respects, in accordance with the Applicable Criteria.

Restriction on distribution and use of our report

In accordance with the terms of our engagement, this report on the Subject Matter has been prepared for the Directors for the purpose as described in the first paragraph of this report and for no other purpose. Our report should also not be regarded as suitable to be used or relied on by any other party.

We consent to the inclusion of this report in CLMT's Annual Report in respect of the financial year ended 31 December 2023, to assist the Directors in responding to their governance responsibilities by obtaining independent limited assurance report on the Subject Matter. We will not accept any liability or responsibility to any other party to whom our report is shown or into whose hands it may come.

KPMG PLT
(LLP0010081-LCA & AF 0758)
Chartered Accountants

Petaling Jaya

Date: 15 February 2024

STATISTICS OF UNITHOLDINGS

As at 2 February 2024

Issued and Fully Paid Units

2,740,459,465 units (voting rights: 1 vote per unit)

Public Spread

As at 2 February 2024, the public unitholding spread of CLMT was 43.94%

ANALYSIS BY SIZE OF UNITHOLDINGS

Size of Unitholdings	No. of Unitholders	% of Unitholders	No. of Units	% of Units
Less than 100	493	4.64	9,327	0.00
100 – 1,000	1,463	13.77	884,321	0.03
1,001 – 10,000	4,594	43.23	23,919,022	0.87
10,001 – 100,000	3,303	31.08	112,308,614	4.10
100,001 – less than 5% of issued units	769	7.24	855,086,474	31.20
5% and above of issued units	4	0.04	1,748,251,707	63.80
Total	10,626	100.00	2,740,459,465	100.00

THIRTY (30) LARGEST UNITHOLDERS AS PER RECORD OF DEPOSITORS

No	Name of Unitholder	Holdings	%
1	CMMT INVESTMENT LIMITED	989,551,464	36.11
2	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EMPLOYEES PROVIDENT FUND BOARD	292,773,843	10.68
3	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM BUMIPUTERA	236,467,200	8.63
4	KUMPULAN WANG PERSARAAN (DIPERBADANKAN)	229,459,200	8.37
5	MENANG INVESTMENT LIMITED	124,107,406	4.53
6	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EMPLOYEES PROVIDENT FUND BOARD (AHAM AM)	77,674,374	2.84
7	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM MALAYSIA 2 - WAWASAN	57,200,000	2.09
8	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM MALAYSIA	49,802,800	1.82
9	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EMPLOYEES PROVIDENT FUND BOARD (ABERDEEN)	32,460,400	1.18
10	CITIGROUP NOMINEES (TEMPATAN) SDN BHD GREAT EASTERN LIFE ASSURANCE (MALAYSIA) BERHAD (PAR 1)	29,165,900	1.06
11	AMANAHRAYA TRUSTEES BERHAD AMANA SAHAM MALAYSIA 3	19,952,900	0.73
12	CITIGROUP NOMINEES (TEMPATAN) SDN BHD KUMPULAN WANG PERSARAAN (DIPERBADANKAN) (AHAM AM EQ)	19,323,449	0.71
13	CITIGROUP NOMINEES (TEMPATAN) SDN BHD KUMPULAN WANG PERSARAAN (DIPERBADANKAN) (ABERDEEN)	16,533,200	0.60

STATISTICS OF UNITHOLDINGS

As at 2 February 2024

THIRTY (30) LARGEST UNITHOLDERS AS PER RECORD OF DEPOSITORS (CONTINUED)

No	Name of Unitholder	Holdings	%
14	CITIGROUP NOMINEES (ASING) SDN BHD CBNY FOR DFA INTERNATIONAL REAL ESTATE SECURITIES PORTFOLIO OF DFA INVESTMENT DIMENSIONS GROUP INC	12,746,369	0.47
15	CITIGROUP NOMINEES (TEMPATAN) SDN BHD EMPLOYEES PROVIDENT FUND BOARD (ARIM)	12,266,131	0.45
16	DB (MALAYSIA) NOMINEE (TEMPATAN) SENDIRIAN BERHAD EXEMPT AN FOR KUMPULAN SENTIASA CEMERLANG SDN BHD (TSTAC/CLNT)	11,555,000	0.42
17	AMANAHRAYA TRUSTEES BERHAD AMANAH SAHAM BUMIPUTERA 2	11,465,000	0.42
18	CGS-CIMB NOMINEES (TEMPATAN) SDN BHD PLEDGED SECURITIES ACCOUNT FOR YEOH KOK SAN (BSDM-CL)	11,047,520	0.40
19	AMANAHRAYA TRUSTEES BERHAD ASN UMBRELLA FOR ASN EQUITY 3	8,300,000	0.30
20	CARTABAN NOMINEES (TEMPATAN) SDN BHD TMF TRUSTEES MALAYSIA BERHAD FOR AFFIN HWANG WHOLESALE EQUITY FUND	8,031,688	0.29
21	AREA STAR SDN BHD	7,513,007	0.27
22	CITIGROUP NOMINEES (TEMPATAN) SDN BHD KUMPULAN WANG PERSARAAN (DIPERBADANKAN) (ABDN EQ ABSR FD)	6,677,500	0.24
23	RHB NOMINEES (TEMPATAN) SDN BHD CAROLYN WONG TARNN YOONG	6,000,000	0.22
24	DB (MALAYSIA) NOMINEE (TEMPATAN) SENDIRIAN BERHAD DEUTSCHE BANK AG SINGAPORE FOR KSC (S) PTE LTD (LEE HAU HIAN)	5,665,000	0.21
25	AMANAHRAYA TRUSTEES BERHAD ASN IMBANG (MIXED ASSET BALANCED) 1	5,479,800	0.20
26	CITIGROUP NOMINEES (ASING) SDN BHD EXEMPT AN FOR OCBC SECURITIES PRIVATE LIMITED (CLIENT A/C-NR)	5,358,856	0.20
27	CIMSEC NOMINEES (TEMPATAN) SDN BHD CIMB FOR KUAH HUN LIANG (PB)	5,112,859	0.19
28	LIM SUAN	4,940,321	0.18
29	KENANGA NOMINEES (TEMPATAN) SDN BHD RAKUTEN TRADE SDN BHD FOR TONG SEECH WI	4,511,805	0.16
30	RHB NOMINEES (TEMPATAN) SDN BHD PLEDGED SECURITIES ACCOUNT FOR WONG YEE HUI	4,243,673	0.15
Total		2,305,386,665	84.12

STATISTICS OF UNITHOLDINGS

As at 2 February 2024

LIST OF DIRECTORS' INTEREST

Name	Designation	Nationality	No. of Units Held Through Own Name	No. of Units Held Through Nominees	Total Unitholdings
Dato' Ng Tiong Lip	Non-Executive Independent Director	Malaysian	-	-	-
Mr Tan Choon Siang	Executive Non-Independent Director	Singaporean	-	-	-
Mr Foo Wei Hoong	Non-Executive Independent Director	Malaysian	-	-	-
Mr Tan Boon Peng	Non-Executive Independent Director	Malaysian	-	-	-
En Mohd Yusof bin Hussian	Non-Executive Independent Director	Malaysian	68,127	-	68,127
Ms Tan Ming-Li	Non-Executive Independent Director	Malaysian	-	-	-
Mr Lim Cho Pin Andrew Geoffrey	Non-Executive Non-Independent Director	Singaporean	-	51,623	51,623
Ms Goh Gek Hiang (Wu Yuxian)	Non-Executive Non-Independent Director	Singaporean	-	-	-
Total			68,127	51,623	119,750

SUBSTANTIAL UNITHOLDERS

No.	Name	No. of Units Held Through Own Name	No. of Units Held Through Nominees	Total Unitholdings	%
1	CMMT Investment Limited	989,551,464	-	989,551,464	36.11
2	Employees Provident Fund Board	-	295,810,343	421,517,348	15.38
	Employees Provident FD BD (AHAM AM)		80,980,474		
	Employees Provident FD BD (ABERDEEN)		32,460,400		
	Employees Provident FD BD (ARIM)		12,266,131		
	Registered with: <i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>				
3	Amanah Saham Bumiputera	-	236,467,200	236,467,200	8.63
	Registered with: <i>AmanahRaya Trustees Berhad</i>				
4	Kumpulan Wang Persaraan (Diperbadankan)	230,097,200	-	273,426,349	9.98
	Kumpulan Wang Persaraan (Diperbadankan) (AHAM AM EQ)	-	20,118,449		
	Kumpulan Wang Persaraan (Diperbadankan) (ABERDEEN)		16,533,200		
	Kumpulan Wang Persaraan (Diperbadankan) (ABDN EQ ABSR FD)		6,677,500		
	Registered with: <i>Citigroup Nominees (Tempatan) Sdn. Bhd.</i>				
Total		1,219,648,664	701,313,697	1,920,962,361	70.10

NOTICE OF ANNUAL GENERAL MEETING

CAPITALAND MALAYSIA TRUST

[Established in Malaysia under the trust deed dated 7 June 2010 (as amended and restated on 13 July 2021) entered into between CapitaLand Malaysia REIT Management Sdn. Bhd. (200801018055 (819351-H)) and MTrustee Berhad (198701004362 (163032-V))]

NOTICE IS HEREBY GIVEN that the Annual General Meeting ("**AGM**") of the holders of units ("**Units**") ("**Unitholders**") of CapitaLand Malaysia Trust ("**CLMT**") will be held on a virtual basis through live streaming via Remote Participation and Electronic Voting facilities from the broadcast venue at 12th Floor, Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor Darul Ehsan, Malaysia ("**Broadcast Venue**") on Wednesday, 27 March 2024 at 10.00 a.m. to transact the following businesses:

ORDINARY BUSINESS

1. To receive the report of MTrustee Berhad, as trustee of CLMT (the "**Trustee**"), the report by CapitaLand Malaysia REIT Management Sdn. Bhd., as manager of CLMT (the "**Manager**"), and the Audited Financial Statements of CLMT for the financial year ended 31 December 2023 and the Auditors' Report attached thereon.

SPECIAL BUSINESS

To consider and, if thought fit, to pass with or without any modification, the following resolutions:

2. **PROPOSED AUTHORITY TO ALLOT AND ISSUE NEW UNITS PURSUANT TO PARAGRAPH 6.59 OF THE MAIN MARKET LISTING REQUIREMENTS OF BURSA MALAYSIA SECURITIES BERHAD ("PROPOSED AUTHORITY 1")** **Ordinary Resolution 1**

"THAT pursuant to the Main Market Listing Requirements ("**Listing Requirements**") of Bursa Malaysia Securities Berhad ("**Bursa Securities**"), provisions of the trust deed dated 7 June 2010 (as amended and restated on 13 July 2021) and the approval of the relevant regulatory authorities, where such approval is required, authority be and is hereby given to the Manager to allot and issue new units in CLMT ("**New Units**") from time to time to such persons and for such purposes as the Manager may in its absolute discretion deem fit and in the best interest of CLMT and its Unitholders, **PROVIDED THAT** the aggregate number of New Units issued pursuant to this resolution, when aggregated with the number of units in CLMT issued during the preceding 12 months, must not exceed 20% of the total number of units issued in CLMT for the time being;

AND THAT the Proposed Authority 1 shall be effective and continue to be in force from the date of receipt of all relevant authorities' approval or the date the Unitholders pass this resolution, whichever may be the later, until:

- (a) the conclusion of the next AGM of the Unitholders at which time it shall lapse, unless by a resolution passed at the meeting, the authority is renewed; or
- (b) the expiration of the period within which the next AGM of the Unitholders is required by law to be held; or
- (c) the Proposed Authority 1 is revoked or varied by the Unitholders in a Unitholders' meeting,

whichever occurs first ("**Validity Period**");

AND THAT the New Units to be issued pursuant to the Proposed Authority 1 shall, upon allotment and issuance, rank pari passu in all respects with the existing Units except that the New Units will not be entitled to any distributable income, right, benefit, entitlement and/or any other distributions that may be declared before the date of allotment and issuance of such New Units;

NOTICE OF ANNUAL GENERAL MEETING

AND THAT authority be and is hereby given to the Manager and the Trustee, acting for and on behalf of CLMT, to give effect to the aforesaid Proposed Authority 1 with full powers to assent to any condition, variation, modification and/or amendment in any manner as the Manager and the Trustee may deem fit and in the best interest of CLMT and its Unitholders and/or as may be imposed by the relevant authorities, and to deal with all matters relating thereto;

AND FURTHER THAT authority be and is hereby given to the Manager and the Trustee, acting for and on behalf of CLMT, to take all such steps and do all acts, deeds and things in any manner (including execute such documents as may be required) as they may deem necessary or expedient to implement, finalise, complete and give full effect to the Proposed Authority 1."

(Please see Explanatory Note 1)

3. **PROPOSED RENEWAL OF UNIT BUY-BACK AUTHORITY TO REPURCHASE UP TO TEN PERCENT (10%) OF THE TOTAL NUMBER OF UNITS ISSUED ("PROPOSED RENEWAL OF UNIT BUY-BACK MANDATE")**

Ordinary Resolution 2

"THAT subject to the Listing Requirements of Bursa Securities, provisions of the trust deed dated 7 June 2010 (as amended and restated on 13 July 2021), and any prevailing laws, guidelines, rules and regulations issued by the relevant authorities, the Board of the Manager ("**Board**") shall be authorised to repurchase the Units in CLMT for and on behalf of CLMT through Bursa Securities, subject to the following:

- (a) the aggregate number of Units in CLMT which may be repurchased shall not exceed ten percent (10%) of the total number of Units issued at the time of purchase and the compliance with the public unitholding spread requirements as stipulated under the Listing Requirements;
- (b) the maximum funds to be allocated by CLMT for the purpose of repurchasing the Units shall not exceed the aggregate of the retained profits of CLMT based on the latest audited financial statements of CLMT available at the time of purchase;
- (c) the authority conferred by this resolution shall be effective and continue to be in force from the date the Unitholders pass this resolution, whichever may be the later, until:
 - (i) the conclusion of the next AGM of the Unitholders at which time it shall lapse, unless by a resolution passed at the meeting, the authority is renewed; or
 - (ii) the expiration of the period within which the next AGM of the Unitholders is required by law to be held; or
 - (iii) the authority is revoked or varied by the Unitholders in a Unitholders' general meeting,

whichever occurs first;

THAT where the Manager has repurchased the Units, the Board shall cancel the Units so repurchased immediately.

AND THAT authority be and is hereby given to the Board for and on behalf of CLMT, to sign and execute all documents, and do all acts and things as may be required for or in connection with and to give effect to, and to implement the Proposed Renewal of Unit Buy-Back Mandate with full power to do all such acts as they may consider necessary or expedient in the best interest of CLMT and its Unitholders so as to give full effect to the same with further power to assent to any condition, modification, variation and/or amendment as may be required or imposed by the relevant authorities."

(Please see Explanatory Note 2)

NOTICE OF ANNUAL GENERAL MEETING

4. **PROPOSED AUTHORITY TO ALLOT AND ISSUE NEW UNITS PURSUANT TO THE DISTRIBUTION REINVESTMENT PLAN THAT PROVIDES THE UNITHOLDERS OF CLMT AN OPTION TO REINVEST THEIR CASH DISTRIBUTION INTO NEW UNITS ("PROPOSED AUTHORITY 2")**

Ordinary
Resolution 3

"THAT pursuant to the Distribution Reinvestment Plan ("**DRP**") established at the deferred AGM of CLMT held on 19 June 2020 and as approved by the Unitholders at the AGM of CLMT held on 29 March 2023, provisions of the trust deed dated 7 June 2010 (as amended and restated on 13 July 2021) and the approval of the relevant regulatory authorities, where such approval is required, authority be and is hereby given to the Manager to allot and issue New Units ("**DRP New Units**") from time to time as may be required to be allotted and issued pursuant to the **DRP**, upon such terms and conditions and to such persons as the Manager may in its absolute discretion deem fit and in the best interest of CLMT and its Unitholders, **PROVIDED THAT** the issue price shall not be more than 10% discount to the volume weighted average market price ("**VWAMP**") of the Units for the five (5) market days immediately preceding the price-fixing date. The **VWAMP** shall be adjusted ex-distribution(s) before applying the aforementioned discount **AND THAT** such authority to allot and issue New Units shall continue to be in force until the conclusion of the next AGM of CLMT.

THAT the New Units shall, upon allotment and issue, rank equally in all respects with the existing Units in issue, save and except that the holders of the **DRP New Units** will not be entitled to any distributable income, right, benefit, entitlement and/or any other distributions that may be declared before the date of allotment of the **DRP New Units** issued pursuant to the **DRP**.

AND THAT authority be and is hereby given to the Board to do all such acts and things and enter into all such transactions, arrangements and agreements and to execute, sign and deliver for and on behalf of CLMT, all such documents and impose such terms and conditions or delegate all or any part of its powers as they may consider necessary or expedient in order to give full effect to the Proposed Authority 2 and **DRP**, with full power to assent to any condition, modification, variation and/or amendment including amendment, modification, suspension and termination of the **DRP** (irrespective of whether an election to exercise the distribution reinvestment has been made by the Unitholders), as the Board may, in their absolute discretion, deem fit and in the best interest of CLMT and its Unitholders and/or as may be imposed or agreed to by any relevant authorities."

(Please see Explanatory Note 3)

BY ORDER OF THE BOARD

CAPITALAND MALAYSIA REIT MANAGEMENT SDN. BHD.

(Registration No. 200801018055 (819351-H))
as Manager of CapitaLand Malaysia Trust

Evelyn Tan Li Yi (SSM PC No.: 202208000105) (MAICSA No. 7065803)
Teo Mee Hui (SSM PC No.: 202008001081) (MAICSA No. 7050642)
Company Secretaries

Kuala Lumpur

27 February 2024

Enclosures:

1. **Explanatory Notes**
2. **Proxy Form**

cc : MTrustee Berhad
Securities Commission Malaysia

NOTICE OF ANNUAL GENERAL MEETING

NOTES:

1. The Broadcast Venue is strictly for the purpose of complying with Section 327(2) of the Companies Act 2016 which requires the Chairman of the meeting to be present at the main venue of the meeting. Unitholders **WILL NOT BE ALLOWED** to attend this AGM in person at the Broadcast Venue on the day of the AGM. Unitholders are to participate, speak (including posing questions to the Board via real time submission of typed texts) and vote (collectively, "**participate**") remotely at this AGM via the Remote Participation and Electronic Voting facilities ("**RPEV**") provided by Boardroom Share Registrars Sdn Bhd via its website at <https://investor.boardroomlimited.com>. **Please read these Notes carefully and follow the procedures in the Administrative Details for the AGM which will be made available on the corporate website at www.clmt.com.my in order to participate remotely.**
2. Pursuant to Paragraph 8.29A(1) of the Listing Requirements of Bursa Securities, all resolutions shall be put to vote by way of a poll.
3. Only Unitholders whose names appear in the Record of Depositors on 21 March 2024 are entitled to participate and vote at the AGM or appoint proxy to participate and vote instead of him.
4. Any Unitholder entitled to participate at the AGM may appoint up to two (2) proxies to participate at the AGM and vote in the Unitholder's place. A Unitholder holding 10,000 Units or less shall be entitled to appoint one (1) proxy (whether a Unitholder or not). A Unitholder holding more than 10,000 Units shall be entitled to appoint up to two (2) proxies (whether a Unitholder or not).
5. Where a Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one (1) proxy for each securities account that holds 10,000 Units or less standing to the credit for the said securities account and up to two (2) proxies for each securities account that has more than 10,000 Units standing to the credit for the said securities account.
6. Where a Unitholder appoints two (2) proxies in accordance with such provision, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy.
7. If the Proxy Form is submitted in hard copy, it must be in writing under the hand of the Unitholder or of his duly appointed attorney or, if the Unitholder is a corporation, either under the seal or under the hand of an authorised officer or attorney duly authorised by a valid instrument.
8. The Proxy Form appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarially certified copy of that power or authority, must be deposited at the Poll Administrator's office, Boardroom Share Registrars Sdn Bhd at 11th Floor, Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor Darul Ehsan, Malaysia or at its website at <https://investor.boardroomlimited.com> ("**eProxy Lodgement**") , not less than 48 hours before the time appointed for holding the AGM or any adjournment thereof; in default of this provision, the Proxy Form shall not be treated as valid. Please refer to the Administrative Details for the AGM for the steps on the eProxy Lodgement.

NOTICE OF ANNUAL GENERAL MEETING

PERSONAL DATA PRIVACY:

By submitting an instrument appointing a proxy(ies) and/or representative(s) to participate and vote at the AGM and/or any adjournment thereof, a Unitholder (i) consents to the collection, use and disclosure of the Unitholder's personal data by the Manager and MTrustee Berhad (or their agents) for the purpose of processing and administering the proxies and representatives appointed for the AGM (including any adjournment thereof) and the preparation and compilation of the attendance lists, minutes and other documents relating to the AGM (including any adjournment thereof), and in order for the Manager and MTrustee Berhad (or their agents) to comply with any applicable laws, listing rules, regulations and/or guidelines (collectively, the "**Purposes**"), (ii) warrants that where the Unitholder discloses the personal data of the Unitholder's proxy(ies) and/or representative(s) to the Manager and MTrustee Berhad (or their agents), the Unitholder has obtained the prior consent of such proxy(ies) and/or representative(s) for the collection, use and disclosure by the Manager and MTrustee Berhad (or their agents) of the personal data of such proxy(ies) and/or representative(s) for the Purposes, and (iii) agrees that the Unitholder will indemnify the Manager and MTrustee Berhad in respect of any penalties, liabilities, claims, demands, losses and damages as a result of the Unitholder's breach of warranty.

EXPLANATORY NOTES

1. Ordinary Resolution 1 – Proposed Authority 1

The Proposed Ordinary Resolution 1, if passed, would enable the Manager to allot and issue New Units from time to time provided that the aggregate number of the New Units to be issued during the Validity Period, when aggregated with the number of units issued during the preceding 12 months must not exceed 20% of the total number of units issued in CLMT for the time being.

The Proposed Authority 1 will allow the Manager the flexibility to allot and issue New Units to raise funds to finance future investments, acquisitions and capital expenditure to enhance the value of CLMT and/or to refinance existing debt as well as for working capital purposes, subject to the relevant laws and regulations. With the Proposed Authority 1, delays and further costs involved in convening separate general meetings to approve such issue of New Units to raise funds can be avoided.

Any allotment and issuance of New Units pursuant to the Proposed Authority 1 will be subject to the relevant approvals of Securities Commission Malaysia and Bursa Securities.

2. Ordinary Resolution 2 – Proposed Renewal of Unit Buy-Back Mandate

Unitholders are advised to refer to the Statement to Unitholders dated 27 February 2024, which is available on CLMT's website at www.clmt.com.my for further information.

3. Ordinary Resolution 3 – Proposed Authority 2

The Proposed Authority 2, if passed, will give authority to the Board of the Manager to allot and issue the DRP New Units pursuant to the DRP upon such terms and conditions and to such persons as the Manager may in its absolute discretion deem fit and in the best interest of CLMT and its Unitholders, and such authority shall expire at the conclusion of the next AGM of CLMT.

CAPITALAND MALAYSIA TRUST

[Established in Malaysia under the trust deed dated 7 June 2010 (as amended and restated on 13 July 2021) entered into between CapitaLand Malaysia REIT Management Sdn. Bhd. (200801018055 (819351-H)) and MTrustee Berhad (198701004362 (163032-V))]

PROXY FORM

ANNUAL GENERAL MEETING

IMPORTANT:

Personal Data Privacy

By submitting an instrument appointing proxy(ies) and/or representative(s), the Unitholder accepts and agrees to the personal data privacy terms set out in the Notice of Annual General Meeting dated 27 February 2024.

I/We, _____ (Name(s) and NRIC no./Passport no./Company

Registration no.) of _____ (Address)

being a unitholder/unitholders of CapitaLand Malaysia Trust ("CLMT"), hereby appoint:

Name :	NRIC/Passport No.:	Proportion of Unitholdings	
		No. of Units	%
Address :			
Email Address:		Tel No.:	

and/or (delete as appropriate)

Name :	NRIC/Passport No.:	Proportion of Unitholdings	
		No. of Units	%
Address :			
Email Address:		Tel No.:	

or, failing whom, the Chairman of the Annual General Meeting ("AGM"), as my/our proxy/proxies to attend and to vote for me/us on my/our behalf at the AGM of CLMT to be held on a virtual basis through live streaming via Remote Participation and Electronic Voting facilities from the broadcast venue at 12th Floor, Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor Darul Ehsan, Malaysia ("Broadcast Venue"), and at any adjournment thereof. I/We direct my/our proxy/proxies to vote for or against the resolutions to be proposed at the AGM as indicated hereunder. If no specific direction as to voting is given, the proxy/proxies will vote or abstain from voting at his/her/their discretion, as he/she/they may on any other matter arising at the AGM.

No.	Ordinary Resolution:	For*	Against*
SPECIAL BUSINESS			
1	Proposed Authority 1		
2	Proposed Renewal of Unit Buy-Back Mandate		
3	Proposed Authority 2		

* If you wish to exercise all your votes "For" or "Against", please tick [V] within the box provided. Alternatively, please indicate the number of votes as appropriate.

Dated this _____ day of _____ 2024

Total number of Units held

Signature(s) of unitholder(s) / Common Seal[^]

[^] Where the Proxy Form is executed by a corporation, it shall be either under its Common Seal or under the hand of an attorney or an officer on behalf of the corporation duly authorised, and a certified true copy (by the Company Secretary) of the power of attorney or of the board resolution of that corporation appointing such officer, shall be deposited with the Poll Administrator together with the Proxy Form.

IMPORTANT: PLEASE READ NOTES TO PROXY FORM ON REVERSE PAGE

Affix
postage
stamp

BOARDROOM SHARE REGISTRARS SDN BHD

11th Floor, Menara Symphony
No. 5, Jalan Prof. Khoo Kay Kim
Seksyen 13, 46200 Petaling Jaya
Selangor Darul Ehsan, Malaysia

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IMPORTANT: PLEASE READ THE NOTES TO PROXY FORM BELOW

Notes to Proxy Form:

1. The Broadcast Venue is strictly for the purpose of complying with Section 327(2) of the Companies Act 2016 which requires the Chairman of the meeting to be present at the main venue of the meeting. Unitholders **WILL NOT BE ALLOWED** to attend this AGM in person at the Broadcast Venue on the day of the AGM. Unitholders are to participate, speak (including posing questions to the Board via real time submission of typed texts) and vote (collectively, “**participate**”) remotely at this AGM via the Remote Participation and Electronic Voting facilities (“**RPEV**”) provided by Boardroom Share Registrars Sdn Bhd via its website at <https://investor.boardroomlimited.com>. **Please read these Notes carefully and follow the procedures in the Administrative Details for the AGM which will be made available on the corporate website at www.clmt.com.my in order to participate remotely.**
2. Pursuant to Paragraph 8.29A(1) of the Main Market Listing Requirements of Bursa Malaysia Securities Berhad, all resolutions shall be put to vote by way of a poll.
3. Only Unitholders whose names appear in the Record of Depositors on 21 March 2024 are entitled to participate and vote at the AGM or appoint proxy to participate and vote instead of him.
4. Any Unitholder entitled to participate at the AGM may appoint up to two (2) proxies to participate at the AGM and vote in the Unitholder's place. A Unitholder holding 10,000 Units or less shall be entitled to appoint one (1) proxy (whether a Unitholder or not). A Unitholder holding more than 10,000 Units shall be entitled to appoint up to two (2) proxies (whether a Unitholder or not).
5. Where a Unitholder is an authorised nominee as defined under the Securities Industry (Central Depositories) Act 1991, it may appoint one (1) proxy for each securities account that holds 10,000 Units or less standing to the credit for the said securities account and up to two (2) proxies for each securities account that has more than 10,000 Units standing to the credit for the said securities account.
6. Where a Unitholder appoints two (2) proxies in accordance with such provision, the appointment shall be invalid unless he specifies the proportions of his holdings to be represented by each proxy.
7. If the Proxy Form is submitted in hard copy, it must be in writing under the hand of the Unitholder or of his duly appointed attorney or, if the Unitholder is a corporation, either under the seal or under the hand of an authorised officer or attorney duly authorised by a valid instrument.

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8. The Proxy Form appointing a proxy and the power of attorney or other authority, if any, under which it is signed or a notarially certified copy of that power or authority, must be deposited at the Poll Administrator's office, Boardroom Share Registrars Sdn Bhd at 11th Floor, Menara Symphony, No. 5, Jalan Prof. Khoo Kay Kim, Seksyen 13, 46200 Petaling Jaya, Selangor Darul Ehsan, Malaysia or at its website at <https://investor.boardroomlimited.com> (“**eProxy Lodgement**”), not less than 48 hours before the time appointed for holding the AGM or any adjournment thereof; in default of this provision, the Proxy Form shall not be treated as valid. Please refer to the Administrative Details for the AGM for the steps on the eProxy Lodgement.

PERSONAL DATA PRIVACY:

By submitting an instrument appointing a proxy(ies) and/or representative(s) to participate and vote at the AGM and/or any adjournment thereof, a Unitholder (i) consents to the collection, use and disclosure of the Unitholder's personal data by the Manager and the MTrustee Berhad (or their agents) for the purpose of processing and administering the proxies and representatives appointed for the AGM (including any adjournment thereof) and the preparation and compilation of the attendance lists, minutes and other documents relating to the AGM (including any adjournment thereof), and in order for the Manager and the MTrustee Berhad (or their agents) to comply with any applicable laws, listing rules, regulations and/or guidelines (collectively, the “**Purposes**”), (ii) warrants that where the Unitholder discloses the personal data of the Unitholder's proxy(ies) and/or representative(s) to the Manager and the MTrustee Berhad (or their agents), the Unitholder has obtained the prior consent of such proxy(ies) and/or representative(s) for the collection, use and disclosure by the Manager and the MTrustee Berhad (or their agents) of the personal data of such proxy(ies) and/or representative(s) for the Purposes, and (iii) agrees that the Unitholder will indemnify the Manager and the MTrustee Berhad in respect of any penalties, liabilities, claims, demands, losses and damages as a result of the Unitholder's breach of warranty.

General

The Manager shall be entitled to reject any Proxy Form which is incomplete, improperly completed, illegible or where the true intentions of the appointor are not ascertainable from the Proxy Form submitted. The Manager may reject any Proxy Form if the Unitholder, being the appointor, is not shown to have Units entered against his/her name in the Record of Depositors as at 21 March 2024.

CORPORATE INFORMATION

REGISTERED ADDRESS

MTrustee Berhad

(Registration Number:
198701004362 (163032-V))
B-2-9 (2nd Floor),
Pusat Perdagangan Kuchai
No. 2, Jalan 1/127
Off Jalan Kuchai Lama
58200 Kuala Lumpur
Telephone No.: +60 3 7983 1088
Facsimile No.: +60 3 7984 9612
Email: inquiry@mtrustee.com

Stock Exchange Listing

Main Market of Bursa Malaysia
Securities Berhad
Stock Name: CLMT
Stock Code: 5180

TRUSTEE

MTrustee Berhad

(Registration Number:
198701004362 (163032-V))

Business Address

Level 15, Menara Access World
(formerly known as Menara
AmFirst)
No. 1, Jalan 19/3
46300 Petaling Jaya
Selangor Darul Ehsan
Telephone No.: +60 3 7954 6862
Facsimile No.: +60 3 7954 3712
Email: inquiry@mtrustee.com

MANAGER

CapitaLand Malaysia REIT Management Sdn. Bhd.

(Registration Number:
200801018055 (819351-H))
**Manager's Registered Office /
Principal Place of Business**
Unit No. 1-27, Level 27,
Naza Tower
No. 10, Persiaran KLCC
50088 Kuala Lumpur
Telephone No.: +60 3 2279 9888
Facsimile No.: +60 3 2279 9889
Email: ask-us@clmt.com.my

Website

www.clmt.com.my

BOARD OF DIRECTORS OF THE MANAGER

Dato' Ng Tiong Lip (Dato' Jeffrey Ng)

Chairman and Non-Executive
Independent Director

Mr Tan Choon Siang

Chief Executive Officer and
Executive Non-Independent
Director

Mr Foo Wei Hoong

Non-Executive Independent
Director

Mr Tan Boon Peng

Non-Executive Independent
Director

Encik Mohd Yusof bin Hussian

Non-Executive Independent
Director

Ms Tan Ming-Li

Non-Executive Independent
Director

Mr Lim Cho Pin Andrew Geoffrey

Non-Executive Non-Independent
Director

Ms Goh Gek Hiang (Wu Yuxian)

Non-Executive Non-Independent
Director

Executive Committee

Mr Lim Cho Pin Andrew Geoffrey
(Chairman)
Ms Goh Gek Hiang (Wu Yuxian)
Mr Tan Choon Siang

Audit Committee

Mr Foo Wei Hoong (Chairman)
Encik Mohd Yusof bin Hussian
Ms Tan Ming-Li

Nominating and Remuneration Committee

Mr Tan Boon Peng (Chairman)
Mr Foo Wei Hoong
Mr Lim Cho Pin Andrew Geoffrey

COMPANY SECRETARIES OF THE MANAGER

Ms Evelyn Tan Li Yi

(SSM PC No.: 202208000105)
(MAICSA 7065803)
Unit No. 1-27, Level 27, Naza Tower
No. 10, Persiaran KLCC
50088 Kuala Lumpur

Ms Teo Mee Hui

(SSM PC No.: 202008001081)
(MAICSA 7050642)
Level 13, Menara 1 Sentrum
201, Jalan Tun Sambanthan
Brickfields
50470 Kuala Lumpur

AUDITORS

KPMG PLT

(Firm No: LLP0010081-LCA &
AF0758)
Chartered Accountants
Level 10, KPMG Tower
8, First Avenue, Bandar Utama
47800 Petaling Jaya
Selangor Darul Ehsan
Telephone No.: +60 3 7721 3388
Facsimile No.: +60 3 7721 3399
Partner-In-Charge: Ms Ow Peng Li

UNIT REGISTRAR

Tricor Investor & Issuing House Services Sdn. Bhd.

(Registration Number:
197101000970 (11324-H))
Unit 32-01, Level 32, Tower A
Vertical Business Suite, Avenue 3
Bangsar South
No. 8 Jalan Kerinchi
59200 Kuala Lumpur
Telephone No.: +60 3 2783 9299
Facsimile No.: +60 3 2783 9222
Email: is.enquiry@my.tricorglobal.com

PROPERTY MANAGERS

Knight Frank Property Management Sdn. Bhd.

(Registration Number: 201601040834
(1211775-H))
Suite 10.01, 10th Floor
Menara Southpoint, Mid Valley City
Medan Syed Putra Selatan
59200 Kuala Lumpur
Telephone No.: +60 3 2289 9688
Facsimile No.: +60 3 2289 9788

Nexcap Property Consultants Sdn. Bhd.

(Registration Number:
201401017278 (1093365-D))
Suite 23-5, Oval Damansara
No. 685, Jalan Damansara
60000 Kuala Lumpur
Telephone No.: +60 3 7733 2122
Facsimile No.: +60 3 7733 2103

PRINCIPAL BANKERS

Affin Bank Berhad
Alliance Bank Malaysia Berhad
CIMB Bank Berhad
HSBC Bank Malaysia Berhad
Malayan Banking Berhad
Public Bank Berhad
RHB Bank Berhad
United Overseas Bank
(Malaysia) Bhd.

